

Ahluwalia Contracts (AHLUCONT)

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Call: Nov 2022

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"Ahluwalia Contracts (India) Limited
Q2 FY '23 Earnings Conference Call "
November 15, 2022

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. VIKAS AHLUWALIA – EXECUTIVE DIRECTOR –
AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. SATB EER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

ANALYST : MR. SHRAVAN SHAH – DOLAT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY23 results conference call of Ahluwalia Contract India Limited hosted by Dola t Capital. Please note, this conference call may contain forward -looking statements about the company which are based on th e beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in t he listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please not e that this conference is being recorded. And now I hand the conference over to Mr. Shravan Shah, VP Research and Analyst, Dola t Capital. Thank you and over to you Mr. Shah.

Shravan Shah: Thank you. Good evening everyone. I would like to welcome you all fo r Q2 FY23 results conference call of Ahluwalia Contracts India Limited. We thank the management for giving us the opportunity to host the call. From the management we have Mr. S hobhit Uppal, Deputy Managing Director along with Mr. Vikas Ahluwalia, Executiv e Director and Mr. Satb eer Singh, CFO with us. Without wasting much time, I will hand over the floor to S hobhit sir for opening remarks and post that they will be sharing their data regarding the order book and all the bookkeeping questions and then we wil l have a Q&A session. Over to you sir.

Shobhit Uppal: Thank you Shravan. Good evening everybody. A hluwalia Contracts India Limited has announced financial results for Q2 FY23. During Q2 FY23, the company has achieved a turnover of INR 622.84 crores and a PAT of INR 39.17 crores in comparison to a turnover of INR 698 crores and a PA T of INR 35.78 crores in the corresponding quarter of the last financial year.

EPS of the company for Q2 FY23 is 5.85 as compared to 5.34 in Q2 of FY22. During Q2 FY23, company' s EBITDA margin is 10.99% as compared to 10.04% and PAT margin 6.29% as compared to 5.13% in the corresponding period of the last quarter of the last financial year, of the corresponding quarter of the last financial year. During the H1 FY23, the company h as achieved a turnover of INR 1,232.09 crore s and a P AT. of INR 76.94 crore s in comparison to a turnover of INR 1,278.11 crore s and a P AT. of INR 70.60 crore in H1 FY22.

EPS of the company for H1 FY23 is INR 11.49 as compared to INR 10.54 in H1 FY22. Durin g H1 FY23, company's EBITDA margin is 11.06% as compared to 10.67% and a P AT margin of 6.25% as compared to 5.52% in the corresponding period. Net order book of the company is INR 7,587.73 crores to be executed in the next 24 to 30 months. Total order infl ow during the current financial year stands at INR 3,182.77 crores. We are L1 in three projects aggregating to INR 1,098.35 crores. Thank you.

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Management: What I would suggest Shravan that you know all the bookkeeping questions and all details relating to geographical divide and other such questions. Satbeer will make the announcements and then I'll take questions after that. Over to Satbeer.

Satbeer Singh: First of all segment by journal book. This is commercial 8.35%, hospital 32.04%, [inaudible 0:04:34], residential 13.24% and sector wise government 81.51%, private 18.49%. And it costs you about region wise. East 37.60%, north 33.97% and south 4.88%. West 17.74% and outside India, 5.82%. And if you ask about state wise, this is Assam 5.56%. Bihar 28.31%, Delhi 8.30%, Himachal 11.26%, Haryana 1.89%, Jammu 8.55%, Karnataka 4.88% Maharashtra 12.17% and Odisha 3.76%, UP 2.91%, West Bengal 5.52% and Ut

tarakhand 0.72% rest is outside India, Nepal 5.82%.

This is about order book. And besides that, there is a retention money. It's around to be INR 150 crores total data including retention. This is coming out INR 691 crores. Course mortgage advance is INR 190 crores and out of this intact varying into 50%. And trade reverse is 605. Codes inventory 238 crores. Real estate inventory 59.73 quotes, unwilled. Revenue 315. Quote and networking of the day. This is coming out 71 days. And beside that there is I think so it is 50%. And this flight contact is around 20% bid pipeline is 5000 quotes. I think most of the questions have been covered. And during the quarter 21.65 quote and last quarter, 12.20 quote. This is now aggregated to 33.854.

We can take questions now.

Moderator: Thank you very much. The first question is from the line of Mohit Kumar from Dam Capital. Please go ahead.

Mohit Kumar: Good evening, sir.. Another good quarter, sir, as far as margins and top margins are concerned. So my first question on the execution, the run rate, we can expect and of course I think we've given a guidance of 15% growth, which means the second half we should do INR 1,800 crores as top line. Are you maintaining the guidance or do you think there is a downward risk?

Management: We will strive to maintain that guidance.

Mohit Kumar (Overtalking 00:08:09)

Management: Because our order book is healthy and traditionally the last two quarters the run rate is always higher. Yes, our turnover has been flat as far as this quarter is concerned. There are a number of reasons for that, but I think we are geared up to increase it substantially in the last two quarters or the next four and a half to five months, which are left for this financial year?

Mohit Kumar: Secondly, on the order pipeline, how does this look like at this point of time? given that we have already keyed, I think our guidance was 40-50 billion, I think we are already largely there. Can you just comment on the order pipeline opportunity for the Q3 and Q4?

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Management: We have actually exceeded our target. We are being conservative in our bidding now. So we are already L1 in three projects, two out of which we are expecting to be awarded shortly within this month. So going forward, the pipeline is robust but we are being conservative in how we are bidding.

Mohit Kumar: Can I expect to surpass the order inflow guidance for the fiscal?

Management: Maybe we will surpass it by about, our guidance was INR 3000 crores, we may surpass it by about INR 1000 crores.

Shravan Shah: I just wanted to understand, so these three L1, if you can help me in terms of break up and also when it's likely to be converted into orders. So INR 3,183 crores we received plus the INR 1,100 crores, so close to INR 4,300 crores, INR 4,400 crores is there. So are we not now expecting any further order inflow apart from L1 in the second half?

Management: No. Out of this -- these 3 L1 projects, one project is the Tata Memorial Hospital, which we are still not very sure, when the funding would be approved and when the LOI will be released to us. So the -- as I said, INR 1,000 crores likely increase. The two other projects, the total aggregate of that is about INR 150 crores. So I'm saying that we will get another INR 500 crores to INR 600 crores at least over and above the Tata Memorial of these three projects that we're talking about.

Shravan Shah: So currently, in terms of the overall bid pipeline, if you help us where are we looking at what's the total size or any big-ticket project? And what can stop us in terms of not taking bigger projects now. So...

Management: Look, just to give you an idea, pipeline is very robust as Satbeer said because there are a number of infrastructure projects like railway station development, airports, hospitals, which a

re coming

up. And as I said, we have been very conservative because the competitive intensity remains high. So there is a concerted push to try and push up our margins, which I had given the guidance during my last two calls that we'll get into double digits, we touch about 12%. So that is what we are pushing on.

And another thing is that while the competitive intensity increases in the public sector, what we are seeing is that the private sector is reviving. Residential projects are not a focus for us, but we are seeing in the education side, in the institutional side, the hospitals, we are seeing growth on the private sector side also. This is what we are focusing on now. But the focus remains on the margins for the next two quarters.

Moderator: The next question is from the line of Ashish Shah from Centrum Broking.

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Ashish Shah: Sir, my question is, again, on the margins, which you were just talking about. So we were probably looking forward to some sort of improvement in the run rate in the second quarter given that commodity had fallen. But still, we seem to be at close to around 10% only. So...

Management: 11%, Ashish. And sorry to pre-empt you, but I have a peer comparison in front of me. I think we've beaten the margins of some of my closest peers, smaller and bigger than us.

Ashish Shah: No, that I appreciate. I know, I mean, there are quite a few who would have not reached 10%, but more social...

Management: At 11%. And you can't discount and this is in spite of headwinds primarily on account of excessive rainfall, why our turnover is also a bit flat is because we've lost a lot of time due to excessive rainfall across the country. So in spite -- and that our overheads was impacted in spite of those impacts on the margins we have ramped up or we've got good numbers.

Ashish Shah: So basically, we are saying we are on track to go to a 12% targeted range, probably we'll exit the year at that level, around 12%?

Management: That's what we'd like to strive for, and we are maintaining that.

Ashish Shah: Sir, second is on the -- I mean, we did say that, of course, NCR is now not that big a proportion of our book, around 8% you mentioned, but...

Management: That increased in the last -- in this financial year, we won in the NCR, we won a couple of large marquee projects. So yes, it will contribute to the turnover in these two quarters now going forward.

Ashish Shah: So my question was on the ground situation as far as currently is concerned because again, there are the pollution-related issues there. So are we looking at another quarter where at least in the NCR-related projects, you may have a significant headwind? Or do you think it won't affect execution much. It's been allowed in that sense?

Management: Going forward, I don't think -- though we've lost about three weeks, 15 to 20 days. But I think going forward, this is behind us.

Moderator: The next question is from the line of Nikhil Abyankar from DAM Capital.

Nikhil Abyankar: Sir, when we are guiding for the EBITDA margin, are we including other income or excluding it?

Management: Yes. We are including it.

Nikhil Abyankar: So excluding other income, what can be a margin?

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Management: Yes because of the -- our other income may be improved as is written back and that kind of related to business income. So that's why it has been included in -- for the calculation was better.

Nikhil Abyankar: So sir, the second question is currently, our order book is majorly focused on government contracts. So what will be our focus going forward? Will we be focused on government contracts? Or will we try to ramp up our private order business?

Management: No, we will. I've been saying that over the last two or three interactions that

I've had with all of

you that we will ramp up our exposure to the private sector, though not for residential, private sector. And that's what we've been doing. We won a few private sector contracts with some of our existing and new marquee clients, and we will increase the private sector share of our total portfolio. It stands at 20% now.

Shravan Shah: Sir, just wanted to further understanding on the couple of the larger projects in terms of the status, where are we in terms of the execution front, what projects are likely to be completed in next 6 months to 12 months -- so if you can help us would be great.

Management: So our biggest project, Jammu will be completed in the next 12 months. We are looking -- the other hospitals that we are doing, Hamirpur and Chamba will also be completed in the next, say,

9 to 10 months. We have just started the BASU Veterinary University and Hospital project in NIT in Patna. So that will go on for about 2, 2.5 years. We are -- the Adani data center project will be completed in the next 12 months.

As far as other projects are concerned, we are -- the times, the Bennett university that will be completed in the next 12 months. The Muthoot Hospital that we are doing in Dwarka, which is now a Max hospital. Max is partnering that has moved in as an operator. That will be completed in the next 12 months. As far as the projects which will go on beyond that, Bharti, the commercial project that we're doing at Aerocity, that will continue beyond that. That's about 2.5 million square feet of commercial space that we've just started. So that the timeline is about 18 months. The Central University project, which we just started designing is going on. That will go on for about 2 years in Dharamshala. The Nepal project, the National Police Academy, that designing is happening. So that will go on for about 2.5 years. We should be completing our scope of work at the Sant Nirankari Hospital in Burrari in Delhi in the next 12 months. So does that answer your question?

Shravan Shah : And just in terms of the -- you mentioned that you will keep looking to increase the private exposure but not the residential. So not even in the south also, though we are hearing that the real estate is in the news, and it is continuously seeing a higher sale . So just trying to understand what's your view still, we are not comfortable.

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Management: So Shravan as you would know, we have now started or restarted in Bangalore, -- we have projects aggregating about INR 450 crores there. And we have started our first project in Hyderabad. So yes, Ahluwalia now fore into South. And we already have inquiries on projects, both from the private sector side, both for residential and commercial, but residential is something which we are very, very cautious on. Commercial, we're bidding residential at the moment, down south not very focused on that.

Moderator: The next question is from the line of today Vasudev from Nuvama.

Vasudev: So you said that we are L1 in 3 projects, one of them is the Tata Memorial Hospital, which...

Moderator: I would request you Vasudev to please check your line and rejoin the queue. In the meanwhile, we'll move to the next question, which is from the line of Uttam Kumar Simal from Axis Security.

Uttam Kumar Simal: Sir, what is our capex guidance for FY '23 and FY '24.

Moderator: I'm sorry to interrupt. Mr. Simal, please come on the handset mode, I think you're on speaker.

Uttam Kumar Simal: Yes, sir, I just want to know what is your capex guidance for FY '23 and FY '24.

Management: Yes. For FY '23, our guidance would be we've done about INR 33 crores. As Satbeer mentioned in his initial comments. It will be another INR 20 crores for the next 2 quarters? And as far as FY '24 is concerned, it would be in the range of about similar INR 50 crores to INR 60

crores.

Uttam Kumar Simal: And sir, in case of East projects, how the execution is going on since after change in government, is payments and all that has become normal.

Management: Which part -- with geographical thing are you talking about?

Uttam Kumar Simal: Bihar, sir.

Management: So look, the JDU continues to hedge the government, though RJD is a part of this now. Previously, it was BJP. So it's not only this quarter, but we've been facing payment issue. Cash flow has been an issue with the BR projects, especially the Bihar medical projects, the hospitals that we are doing. So that continues to be an issue. But we feel that maybe in the last quarter, it will improve because there seems to be an active push from the political leadership to complete the health care projects.

Moderator: The next question is from the line of Padmadevan, an individual investor.

Padmadevan I just have one question. This is based on your annual report. The annual report claims that there are legal clients worth roughly INR 900 crores filed by the company and about INR 1,800 crores filed against the company. It will be really helpful if you can provide some details about these

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clients in terms of nature of these clients? How old are they? Have you provided anything against these clients? It will be very helpful.

Management: So maybe we can get back to you. I can broadly give you the details. The major, as you know, you would understand this. I'm assuming that when we file a claim, the client for obvious reasons, files counterclaim. So the major one in this is the arbitration that is going on with Emaar MGF, for the games, village, Commonwealth Games, Village project that we had completed in

2010 before the Commonwealth Games.

Now our claim against them is to the tune of about INR 400 crores and about approximately INR 500 crores, and they have filed a counter claim about INR 1,100 crores. So this is, otherwise, there are a few of other clients, but those would be differed, virtually about 60% rest all the other details, you can reach out to our IR department or our CFO, we will be more than happy. It's in the public domain. The details should be there in our annual report.

Padmadevan: Just to clarify, these are all very old clients, at least 10-year-old clients?

Management: The major one is 10 years, the arbitration has been going on for the last 7 years. It is just that when it was reaching a culmination because of COVID, the arbitrator the presiding arbitrator was very old. He was 85 years old, he retired himself. He resigned actually. So it is actually going to start again. We are in the past approach the courts to get presiding arbitrator appointed a new one. But what I'm trying to lay stress on here is that the INR 1,800 crores figure of counter claims that actually most of it is baseless because when we go to go and file claim, the builder or the client has to file a counter claim.

Padmadevan: If I understood your answer correctly, the top climb alone accounts for 60% of the and authenticated clients, I'm right? Is there a need for providing for these clients? Is there a chance of this risk materializing in future?

Management: No, it's as per the new guidelines that have been given by the government of India, we have to mention this because of transparency, but the risk of this materializing is highly unlikely.

Padmadevan: The reason for this question was that only FY '21 and FY '22, the annual report talked about these clients actually, I could not find anything in the prior annual reports. That's the reason why we wanted to clarify...

Management: Our auditors insisted because they are now bound. There is, our CFO will tell you what the new guidelines are. They were bound to kind of state this, they insisted, our auditors insisted, that's why we've done it.

Moderator: The n

ext question is from the line of Sandip Sabharwal from Asksandipsabharwal.com.

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Sandip Sabharwal: Yes. My question was for some more clarity on the margin front, like you are at around 11% now. You have indicated a target of around 12%. So do you think that you'll be able to get to the run rate of 12% this year, by the end of this year and maintain it next year, or how you're looking at it?

Management: Yes. To both questions. Yes.

Sandip Sabharwal: That's it.

Management: No, you want for the clarification. You had a question when I'm saying yes to both. So you have a further question, kindly ask that.

Sandip Sabharwal: My question was that when you have guided for the margins, you're looking at a full year margin of 12%, or you looking at an exit run rate of this year of 12% and maintaining it next year?

Management: Yes, we are looking to maintain it next year. So logic is that a lot of our projects, we have a very healthy order book. And out of that order book, a lot of projects, which I named in response to an earlier question from Shravan, they are just going to take off now. These are design -build EPC projects where actual construction will begin on the ground in the next, say, a month or so. And expenses towards site mobilization and all have been done.

Moderator: The next question is from the line of Vasudev from Nuvama Wealth Management.

Vasudev: Yes. Sir, I was asking that we are L1 in three projects currently. One of them is the Tata Memorial Hospital project. So which are the other two projects?

Management: There is a convention center in Guwahati, the PWD there, which is about INR 260 crores. And there is a Lachit memorial coming up in Jorhat, Lachit was a renowned freedom fighter of Assam. So that is about INR 175 crores. This is in Jorhat.

Vasudev: So this is approximately around INR 400 crores, INR 450 crores. And then we are Tata...

Management: Tata Memorial was about INR 700 crores.

Management: We're targeting another INR 1,000 crores of order inflows for the second half?

Management: Yes.

Vasudev: And in terms of bid pipeline, you told that it's INR 5,000 crores, and we are looking at [technical difficulty 0:29:57]

Management: We lost you again.

Moderator: Mr. Vasudev, your line is breaking up again.

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Vasudev: So I was saying that our bid pipeline is INR 5,000 crores and you said that hospital is one segment that we are looking at. So which are the other segments that we are looking for?

Management: Hospitals, Railway stations, institutional buildings, campuses, commercial projects...

Vasudev: And in terms of the competitive intensity, you said that it is still high. So what's your outlook for the next, say, six months to one year that do you see competitive intensity coming down, or do you feel that will still remain high?

Management: It will remain high.

Vasudev: Yes. And just one last one, sir, what is the average cost of debt for us now?

Satbeer Singh: The debt is hardly on that is hardly INR 42 lakhs during this half year. So this is at approximately 8%, 8.5%...

Management: What Mr. Satbeer is saying, there is no debt, virtually zero debt.

Vasudev: Thank you.

Shravan Shah: Yes. Sir, just trying to get one aspect in terms of the working capital. So though it marginally increased in this one edge, but we will not see any significant further increase, or will it come down to the March '22 level. So core cash conversion days, if I look at inventory debtor payable currently is closer to 22 -odd days versus March, it was 15 -odd days. So I just wanted your view on that?

Satbeer Singh: Yes, I think so, Shravan, this is working capital is coming down. if you compare with the last, let say, 31st March '22, this is also asked about in the

last quarter, last quarter of 87 days, now it

is coming down to 71 days and before that You asked about 31st March 22, this is around 23 days. So that is I think at par with 31st March '22. That is normally coming down now.

Management: We have some other figures, maybe you are asking for some other metric. Shravan, can you repeat?

Shravan Shah: No, I'm just saying we will not see any increase in the working capital. It will remain or we will see a further marginal reduction in the working capital by the yearend?

Management: There will be no increase. There should be a reduction.

Shravan Shah: And just two things on the -- one is the real estate inventory, so how much is that? And when can we see to getting liquidated and Kota bus terminal projects or anything in terms of the monetization on that aspect?

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Satbeer Singh: Kota, this has been leased out approximately, this is ground, first and second floor, 82%, and we are basically trying for the rest third and fourth floor. And I expect that middle of the next year, we are expecting that approximately entire area -- 80% would be covered. And this is basically at present, we are trying to lease out the entire property.

And this year, at present, if you ask about the quarter 2, [00:34:12] this was fiscal year cash around 11 lakhs and but if you ask about half year, this is 36 lakhs in surplus which is cash surplus. Again, the accounting loss of this is INR 1.84 crore this quarter 2 and [inaudible 0:34:29] for the half year. So, but this, we are expecting that position by end of the year, accounting would be at par approximately.

Moderator: The next question is from the line of V P Rajesh, Banyan Capital Advisors.

V P Rajesh: Just had a follow-up question on the competitive intensity. Has it gone up over the last six months, how would you describe it? And is there a segmentation, meaning if the contract value is higher than a certain threshold then there is less competition. If you can just give a little more color on that?

Management: Yes. On the public sector contracts, the new contracts, the competitive intensity has increased. On the private sector side, there seems to be a greater discipline and the client want to be, there seems to be a conscious effort from the client side, at least large clients to go with proven contractors with proven track records. So what I'm trying to say is that the margins, we feel that the margins will start improving on the private sector side. And with RERA and other consolidation which has happened, we feel especially non-residential projects, they will be more attractive to us, of course, with more due diligence in place. As far as the public sector, this thing is concerned, for obvious reasons, you see more competitive intensity. On larger contracts, yes, the intensity is lesser, the number of bidders because the prequalifying conditions is lesser. But we see most of the contracts or a lot of contracts which are coming in the building segment are in the range between INR 300 crores to INR 700 crores. In this range, the intensity is high.

V P Rajesh: I see, and beyond INR 700 crores, you are seeing, it becomes less, right?

Management: Yes.

V P Rajesh: And that's very helpful. And my second question is you have been saying on this call, and I'm sorry, new to the company that you are avoiding residential. So given that RERA has really taken out all the marginal builders and most of them are getting corporatized. Why are we staying away from residential?

Management: So I'm not saying that we will never do residential even in the rest of this financial year, we will not do any private residential contracts. It's just that we burnt our finger. And since you're new to the investors, earlier investors and people who interacted with us in the past, no, not only us, Ahluwalia Contract

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but all the large contracting companies have burned their fingers big time with private developers. So we want to trade very cautiously more so when we are not very hungry. We've already met our inflow targets for the year. So that's why residential is not a priority for us as things stand. But going forward, we've always maintained that in the long term, we would like a 50-50 breakup between the public and the private sector. Once this discipline on the developer side increases, we would start looking at the residential side again.

Moderator: The next question is from the line of Uttam Kumar Srimal from Axis Securities.

Uttam Srimal: Just to request like other infra companies, can you also provide some kind of earnings presentation on quarterly basis, that will be very helpful for us.

Management: Sorry, Uttam, can you repeat your question again, please?

Uttam Srimal: Sir, I just want that the company to provide earning presentation on quarterly basis. That would be very helpful for people like us.

Management: Earning presentation on a quarterly basis.

Satbeer Singh: This will be uploaded just now.

Management: Satbeer is saying, we will be uploading this shortly today only.

Uttam Srimal: But if we did just before the con call, then it is really helpful to us. That's the request only.

Management: We'll do that. We'll keep that in mind. And from next time around, we'll publish it or upload it before the con call.

Moderator: The next question is from the line of Deepika Bhandari from PhillipCapital.

Deepika Bhandari: Sir, most of the questions have been answered. I just missed the segmental break up for quarter, intra, infrastructure and institutions. Can you repeat?

Management: Yes, Satbeer will just give it.

Satbeer Singh: Yes. Can you repeat your question, please?

Deepika Bhandari: Segmental breakup for quarter infrastructure and institutional?

Satbeer Singh: Okay. This is the institutional is 38.27%, and hospital, 32.04%, 13.24%, infrastructure 7.20%, commercial 8.35% and other 0.92%.

Moderator: Thank you. As there are no further questions in the participants, I now hand the conference over to Mr. Sharavan Shah for closing for comments.

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Sharavan Shah: Thank you, everybody. I thank the management, again, for giving us the opportunity to host the call. So with sir, do you have any closing comments?

Management: No. Thank you, Shravan. Thank you, everybody. So I hope to be talking to you again post our next board meeting. Thank you so much. Have a good evening. Bye.

Sharavan Shah: Thank you, sir.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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E-mail-On-line
Date: 17-02-2023
To,
Compliance Department
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National Stock Exchange of India Ltd.
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Sub: Out-Come of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 14-02-2023 at 4.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed out-come of Analyst/Institutional Investor Meetings. Please find enclosed out-come (Transcript and Audio) of Analyst /Institutional Investor Meetings held on 14-02-2023 at 4.00 p.m.:

Also Audio Link Information as under:
www.acilnet.com/wp-content/uploads/2023/02/ANA0220230214145978.mp3
The above details are also being made available on the Company's website at www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: As above
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"Ahluwalia Contracts Limited
Q3 FY 2023 Earnings Conference Call "
February 14, 2023

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS LIMITED
MR. VIKAS AHLUWALIA – WHOLE TIME DIRECTOR –
AHLUWALIA CONTRACTS LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS LIMITED

MODERATOR : MR. PREM KHURANA – ANAND RATHI SHARES AND
STOCK BROKERS

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Moderator: Ladies and gentlemen, good day, and welcome to the Ahluwalia Contracts Q3 FY '23 Results Conference Call hosted by Anand Rathi Shares and Stock Brokers. Please note that a copy of disclosure is available on the Investors section of website as well as the stock exchange. Please do note that anything said on this call, which reflects outlook towards future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star than zero, on your touchtone phone.

I now hand the conference over to Mr. Prem Khurana from Anand Rathi Shares and Stock Brokers. Thank you, and over to you, sir.

Prem Khurana : Thank you. Good afternoon, ladies and gentlemen. On behalf of Anand Rathi Share and Stock Brokers, I welcome you all to Ahluwalia Contracts Q3 FY '23 and 9 -month FY '23 post results con call. To discuss the current state of affairs and the way forward, we have from the management with us Mr. Shobhit Uppal, Deputy Managing Director; Mr. Vikas Ahluwalia, Whole Time Director; Mr. Satbeer Singh, Chief Financial Officer.

We will begin this call with opening remarks from the management, and then we'll follow it up with the interactive Q&A session. Over to you, sir.

Shobhit Uppal: Yes. Welcome, everybody . Satbeer, can you make the opening remarks?

Satbeer Singh: Yes, yes. Ahluwalia Contracts announced financial years of our quarter 3 financial '23. During the year quarter 3 financial '23, the company achieved turnover of INR 743.25 crores and PAT of INR 45.01 crores in comparable to turnover of INR 683.50 crores and PAT of INR 42.33 crores in quarter 3 financial year '22. EPS of the company for quarter 3 financial '23 is INR 6.72 compared to INR 6.32 in corresponding last quarter.

During quarter 3 financial '23, company's EBITDA margin is 10.53% as compared to 10.89% and PAT margin, 6.06%, as compared to 6.19% in the corresponding period. During the 9 -month financial year '23, the company achieved turnover INR 1,975.34 crores and PAT of INR 121.95 crores in comparison to turnover of INR 1,961.60 crores and PAT of INR 112.90 crores during the 9 months ended financial year '22. EPS of the company for 9 months financial year '23 is INR 18.20 compared to INR 16.85 in 9 months ended financial year '22.

During 9 months financial '23, the company's EBITDA margin is 10.86% as compared to 10.75%. And PAT margin is 6.17% as compared to 5.76% in the corresponding period. Net order book of the company is INR 8,113.14 crores to be executed in next 24 to 30 months. Total order improved during current year till date is INR 4,017.63 crores and we are all one project amounting to INR 663 crores.

And besides that, general information, this is -- our working capital days is 63 days. And cash position is INR 297.68 crores bank position is INR 158.83 crores. Retention money is INR

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193.27 crores, mobilization advance INR 283.96 crores , unbilled revenue INR 415.86 crores , inventory INR 231.21 crores . Debtors are INR 471.06 crores and retention money total INR 193.27 crores . Trade payable INR 662.76 crores. Interest bearing mobilization line 41%. Fixed price contract is 20%. And regarding order book, this is segment wise. Commercial 6.73%. Infrastructure 11.75%, Institutional 39.82%, Residential 11.56%, hospital 29.35%, hotel 0.79%. Regarding sector -wise, government 82.46%, private 17.54%. And region -wise, east 41.98%, north 35.82%, west 11.46%, south 5.30% and overseas 5.44%. And now you may proceed,

please.

Shobhit Uppal: We are ready to take questions.

Moderator: The first question is from the line of Mr. Mohit Kumar from DAM Capital.

Mohit Kumar: Congratulations on a very good set of order inflow, especially for the 9 months. My first question is on the revenue guidance. I think we were expecting some incremental Q-o-Q substantial jump, which hasn't happened in this quarter. Can we expect the Q4 to be slightly better? And are you still holding on to the margin of revenue guidance or you're revising it?

Shobhit Uppal: So yes, we are holding on to a revenue guidance of 10% to 15% year-on-year. If you see, we have jumped from last quarter, we have jumped more than 20%. And traditionally, the fourth quarter always -- run rate is the highest. So yes, we think we will cross INR 3,000 crores of the revenue in this entire financial year.

Mohit Kumar: And margin guidance of 10%, is that number right, sir?

Shobhit Uppal: Yes.

Mohit Kumar: Second question on the order inflow of -- we had a very good fiscal year to 9 months. How do you see Q4? And the large opportunities, which you would like to highlight?

Shobhit Uppal: The pipeline is good, but we are being conservative going forward. I think there is a competitive intensity continues to be high. So since we already have a good order book appetite, we are not that hungry. So -- but still, we are bidding. There are a few marquee private sector clients for whom we've submitted bids. Over the next couple of months, the focus is going to be more on private sector clients.

Mohit Kumar: And based on the current order book, sir, how do you see revenue for FY '24?

Shobhit Uppal: So I did say that there will be last time around that we would get target of 15% growth in FY '24.

Management: The next question is from the line of Mr. Shravan Shah.

Shravan Shah: Congratulations for strong order inflow for this year. Sir, just wanted to clarify, you said for this year, we are looking at more than INR 3,000 crores revenues. So that comes -- close to about 12-odd percent kind of a growth. So just trying to understand, sir, to achieve that, we need at least INR 1,000 crores plus kind of a revenue in fourth quarter. So are we confident...

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Shobhit Uppal: Yes, yes, that's what our target is. If you see, traditionally, fourth quarter this much would have increase. We've done about INR 750 crores in Q3. So with a 20% jump -- between Q3 and Q2, there was a 20% jump. And we feel we can get that 20% in Q4.

Shravan Shah: Okay. That's great. Secondly, just in terms of the EBITDA margin, I think you last time mentioned at 12%, including other income, and just kind of answer to the previous participant, you said 10%. So just wanted to clarify because until now in terms of -- including other income, it is 10.9%. So just trying to...

Satbeer Singh: It's about 11% where it stands as of now. So I am giving you guidance that it will be around that.

Shravan Shah: Okay, 11%. So even for the next year, will it remain at 11%? Or will it...

Satbeer Singh: No, it should go up. It should go up.

Shravan Shah: So closer to 12% that outflow that we are looking...

Satbeer Singh: Yes, yes.

Shravan Shah: Okay. Just to clarify on the INR 663 crores L1. So is it that Tata Memorial Steel L1 or this is a separate order?

Shobhit Uppal: This is only Tata Memorial, which is the same.

Shravan Shah: Okay. Previously, I think it was INR 710. So you mentioned INR 663. So I just wanted to clarify. And any update in terms of when it will be getting converted into orders?

Shobhit Uppal: We feel that maybe it may happen in this financial year -- towards the end of the financial year, end of March.

Shravan Shah: Okay. And in terms of the bid pipeline, what is it? And how much is the private and in terms of the central and state government? And do we see any further order inflow in 1.5 months?

Shobhit Uppal: Yes, there should be may be around INR 400 crores to INR 500 crores. My answer to Mohit's question. I did mention that we are now a little more focused on the private sector. So because we want to hedge our base as far as the Government is concerned.

Shravan Shah: Okay. So then the bid pipeline right now is how much and how much is out of that is private?

Shobhit Uppal: It's about INR 3,000 crores, and about 40% is private.

Shravan Shah: Okay, 40% is private. And in terms of the capex, how much we have done for 9 months? And what is left? And because last time, you guys are saying close to INR 50 crores, INR 60 crores this year and next year. So just wanted to reach out on that.

Satbeer Singh: Yes. So Shravan, this year is on a capex of about INR 80 crores because we have -- because of the sudden jump in the order book and a lot of new projects starting in new geographies like

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Bangalore, Hyderabad, Assam and also Maharashtra, we have exceeded our capex target. That is to be expected because of these new projects. So it's about INR 80 crores. And in the balance in the last quarter, it should be about INR 8 crores.

Shravan Shah: Okay. And next year, will it come down to INR 50 crores – INR 60 crores.

Satbeer Singh: It will come down. It will come down. .

Shravan Shah: Okay, okay. Satbeer, sir, if you can repeat how all the numbers -- actually, it was -- I was not able to write it up in terms of order book and the balance sheet numbers. So if you -- slowly, if you can speak up.

Satbeer Singh: Yes, please. This is -- working capital days is 63 days. And cash and cash equivalent is INR 297.68 crores; bank position is INR 158.83 crores; retention money, INR 193.27 crores; mobilization advance, INR 283.96 crores; unbilled revenue, INR 416.86 crores; inventory, INR 231.21 crores; and debtor is INR 466.76 crores; interest-bearing mobilization advance, 41%; trade payable is about INR 662.76 crores. Fixed price contracts are 20% . And besides that, you want order book also?

Shravan Shah: Yes, sir.

Satbeer Singh: Segment wise commercial, 6.73%, Infrastructure 11.75%; institutional, 39.82%; residential 11.56%; hospital, 29.35%; hotel 0.79%; and about sector-wise government, 82.46%; private, 17.54%. Region-wise, eastern region, 41.98%; north region, 35.82%; west, 11.46%, south, 5.30%; and overseas, 5.44%.

Moderator: The next question is from the line of Mr. Parvez Qazi from Nuvama Group.

Parvez Qazi: So a couple of questions from my side. First, what has been the payments from the trade government? Are we seeing some challenges, etc, there or they continue to be regular?

And second, on the bid pipeline, which are the segments that we are targeting? You mentioned that we are maybe looking at more private sector orders going ahead. So will these be in the institutional segment? Or are we open to taking orders even from private residential side?

Shobhit Uppal: So we bid pipeline out of that. As I said, we focused on the private sector. Private sector, we bid for a few hospital projects, have been and are bidding for a few hospital projects and some commercial projects. As far as the residential listing is concerned, we have slowly started looking at residential developers with proven track record. We are doing our due diligence, and we are not averse to taking up some jobs, but limited in number. What was your first question? I think I answered the second and the third one.

Parvez Qazi: Sir, about the payment from the state government.

Shobhit Uppal: Yes. Sorry. So yes, situation has improved. In this quarter, Bihar -- I'll start with Bihar. There is a substantial improvement. The financial closure for the Basu project has happened, and the concerned department has got the first tranche of payments, and we will be ge

ting live soon.

As far as the 2 hospitals that we are doing, Nalanda, our preliminary inauguration was done by

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the Chief Minister with an eye to completing the entire project by May-June. And we have got about INR 100 crores of stuck payment last month in that project.

Similarly, the Chhapra project, because that is the Chief Minister's constituency, we've been told funds will start flowing in that project also. So there's a substantial improvement in Bihar.

As far as Bengal is concerned, we have completed, we were doing two projects, three projects in the state government. The two projects are over, Milan Villa, where most of our payments have come in. As far as the auditorium is concerned, the bills are being certified. Our final bill is under check. That project is also complete. It's slated for inauguration in March. One project, housing project for HIDCO, that project is going on and payment does not seem to be an issue there. So that is as far as payments from state government is concerned.

Another, we made a foray in to Assam. We are doing three projects in the state there. There we have no cost for complaint.

Parvez Qazi: And apart from this, so you touched upon the project in these three states. It would also be great if you could touch upon some of our other major projects like the Jammu, the Mandale depot, and some of the hospital projects that you are doing.

Management: I should have mentioned Himachal also. We are doing two hospitals with the state government there. And when the elections were happening, I mentioned in my last call, there were cash flow issues, but funds have started flowing there also. The Hamirpur project in Himachal, we are targeting in August '23 completion. And the Chamba, we are targeting a completion by October-November.

As far as the Jammu Hospital is concerned, we are also targeting a completion by the end of this year. Based on that project, that is a central government project, funds have not been an issue there till now. As far as Mandale is concerned, work there is also progressing and if you've gone through the new order in detail, there is a INR 60 crores or INR 70-odd crores of

structural steel work that has been added obviously through a tender. So that project is proceeding fine now.

Parvez Qazi: Last question for Satbeer ji. Sir, do we have any loans or borrowings in a balance?

Satbeer Singh: No. Zero.

Moderator: The next question is from the line of Mr. Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So my question is on margins. It's almost 14 quarters now where we have not hit the double digit mark in terms of EBITDA margin. So even last quarter we said that second half we are looking to improve our margins in the range of 12% to 13% and now again we have downgraded it to 11%. Even third quarter has been weaker than first and second quarter in terms of EBITDA margin. So how do we read this EBITDA margin trajectory? Because we try to reiterate that things will be better in the coming quarters, but again, we actually are not able to improve on the margin. Now the commodity prices have actually reduced. Even then we are not getting that margin benefit.

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Management: Hi, Parikshit. First of all, let me correct you. We have double digit EBITDA margin.

Parikshit Kandpal: This quarter, 9.6% I think, margin.

Management: No, it's about as with other income, 10% and 9%.

Parikshit Kandpal: I'm seeing, excluding other income.

Management: Okay. So if you exclude the other income, then, it's at about 10%. And there have been factors, commodity prices, you mentioned commodity prices are yo-yoing. Again, the steel prices have gone up again. And so there is, so we have, as I said, at the end of the year, I've given a guidance of about 11%. And

if you do a peer comparison, I think we are much above our peers. I have a chart in front of me, if you look at the profit ratios or PAT ratios, we are much better off.

Parikshit Kandpal: But why? New orders which are coming in now, I assume that they are taken up?

Management: Design build orders. It's now that the first three to four months go in designing. It's now and the infrastructure costs and everything is there. It's only now the orders that we've got in the last two quarters. We would be, we have broken ground on some but on a large number of those projects will be breaking ground now.

Parikshit Kandpal: In terms of competitive intensities, I know in the building segment there are a handful of contractors who execute more than INR 300 crores or INR 400 crores projects. In a single project, I would say there will be a handful of contractors, maybe 7, 8, 5 to 6, maybe 5 to 10 maximum. But why the intensity still remains so high? So we know there are a few contractors who are largely positioned towards Southern India, large order books, and there are a few in Western, some are in North. But still we see that margin is much lower versus other EPC segments like roads and all where we see 13% -14% margin and where there are a lot of many, larger number of players present in those segments.

Why, in building segment we continue to see most of the developers, most of the players reporting only early double digit or high single digit kind of margins. So if you can give some color on competitive intensity because what we understand that demand continues to be very robust, private real estate is doing so strong, seems to be on an up cycle. All the factors seem to be falling in place, especially on the demand side.

Management: As I said last time, Parikshit, there is bound to be consolidation in the medium term here because of the fact that the competitive intensity is high. That is why we are being very, very conservative and careful. As far as the road construction is concerned, EBITDA margin may be high, but you see a lot of those players having cash flow issues and they are now trying to move to the building segment. Be it the Ashoka Buildcon of this world or other infra players like KEC. You see a lot of them, the Dilip Buildcon, coming and even picking up private sector jobs in the building segment.

So while I don't know, I'm not intimately involved with the road sector, but this is a pointer that obviously things are not hunky dory there. As far as we are concerned, or to answer your

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question about single digit margins or lower margins, I think to alleviate cash flow problems, people are bidding indiscriminately and trying to pick up more jobs to get at mobilization advances. We don't do that. In fact, if you've heard the figure that Satbeer said, that we have actually, the mobilization advances interest bearing is only 41%. So we have only availed interest-bearing advance on 40% of our jobs. Slowly but surely we are building cash reserves to ensure that we don't, in the next three years or so, our target is to absolutely stop availing the mobilisation, interest-bearing mobilisation advances from various clients. So that is how we

are consolidating. Another thing that we are doing is, today we are present in 16 states. That's a question that you asked me in the past also, why are we not going to a certain part of the country? We are there now. We moved to Assam also, so that we go into areas where the competitive intensity is less. The projects, three projects that we started in Assam, there, we feel our margins are going to be higher because proven and tried construction companies, there are lesser.

Similarly, we've started, piggybacked on one of our existing client, Amity, we started two campuses for them in southern part of the country, one in Hyderabad, one in Bangalore. So

that is why I say that in the coming quarters, our margin, the mid-term margin especially is going to go up.

Moderator: The next question is from the line of Mr. Sandip Sabharwal from ASK Sandip Sabharwal.com.

Sandip Sabharwal: Mr. Uppal, the good part obviously about Ahluwalia unlike other construction companies is your debt profile. You don't have any debt whereas other companies are loaded on to debt.

However, I think taking off from what the last participant asked, because this was a specific question I actually asked you in the last conference call on the quarter three margin. You said that from quarter 3 onwards it will be 12%. So now, the only question I want to ask is that when you talk about margins, how do you, is it a guesstimate or based on the projects you are doing, you estimate that because in three months, from what you said you will achieve, the actual margins are more than 1% lesser.

Shobhit Uppal: Yes, so Mr. Sabharwal, it's not a guesstimate per se, but there is a certain degree of guessing involved. But there are projections that are made on every project, quarter-on-quarter. And they are reviewed. But as you know, if you're tracking this industry closely, have you know, there are a number of factors which can't be planned for. I'll give you an example.

In the last quarter, there was a strike, raw material strike in Bangalore. It lasted for almost a month. So A, not only did it impact our revenues, but it also impacted the pricing. When the crushers restarted again, the transporters hiked their prices by 20%. One.

Secondly, you must be aware of when the work stops during the -- by when it stops in Delhi or NCR by the NGT. Now while that happens every year, this year it happened in fits and starts.

It was shut down for seven days and it started, shut down for 15 days, then it started, shut down for 10 days. So factors such as this can't really be planned. These do impact, or do impact margins and that is why and it's not only that they impact one company. They impact construction companies across the board.

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Sandip Sabharwal: So I think, all your points are very well taken and in fact if you could in the initial commentary also try to explain these issues then I think the doubt would go away as such. But I think you are right. It's a very good company and I hope you do well in the future.

Shobhit Uppal: Thank you. Thank you Mr. Sabharwal, and your point is well taken. We will, based on our projections and guidance, when we start off the call, we will bring all of you up to date on where we have been found lacking, on where we exceeded our guidance.

Moderator: The next question is from the line of Ms. Deepika from PhillipCapital.

Deepika: Congratulations on decent performance and strong order flow in this quarter. So my first question is regarding the order book. Now we see the most of the new orders are, as you said, are design and build, and the designing is going to take three to four months. So what percentage of order book is executable in quarter 4?

Shobhit Uppal: Sorry, Deepika, can you repeat that? You said what percentage of the order book is executable in quarter 4? Is that what you said?

Deepika: Yes, in terms of revenue, because when the designing is going on, it won't contribute in revenue and margins, right?

Shobhit Uppal: Yes, not much. The revenue is and margin is miniscule for designing. Though we do get some payments when we submit our drawings. It's not a large amount. So as I said, a large part of this [inaudible 0:30:37] happening in the large quarter. We should like to give you an example.

We won the redevelopment for Chandigarh and Panchkula railway station. So the designing has been happening for two months, 2.5 months. We should break ground in this quarter on that project.

Similarly, the Central University project in Dharamsh

ala and Dehra in Himachal that also

design and environmental approval are through. We should be breaking ground in the month of March there. So I think barring about INR 700 crores to INR 800 crores worth of projects where designing will happen in the last quarter and breaking ground will happen in the first quarter of next financial year, we are good to go on all the other jobs.

Deepika: So these new projects, again on margins, at what margins have you taken these new projects?

Shobhit Uppal: So as I mentioned in response to one of the earlier questions, in some of the newer states, we foraying into, for Bangalore, where we are piggybacking on an existing client, and Assam, the margins should be higher, but in other states, or in Delhi, the margins are roughly on the lines that we are declaring now.

Deepika: Now sir, most of the fixed-price contracts shall be getting over in coming quarters and the new projects will start. So where do we see margins for FY '24 and that's excluding other income?

Shobhit Uppal: So I did mention about 12%.

Deepika: Sorry, you said 12% right?

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Shobhit Uppal: EBITDA, yes.

Deepika: Just lastly, the status on NIT Patna and Adani Data center project, you can mention?

Shobhit Uppal: NIT Patna, as I said, this is one of the projects which we won in the last quarter. Design has been approved, we've broken ground, in fact we've started work on the structural package.

There are totally about 32 buildings. We have started work on 11 buildings. And the other one, which was the other project you asked about?

Deepika: Adani data center?

Shobhit Uppal: Adani data center is happening. And there, this is not a design-build project. This is just a core and shell project with some finishing items. This has been going on. And total value of our job here is about INR 210-odd crores and we have done a billing of about INR 60 crores. INR 50 crores - INR 55 crores I think.

Deepika: We shall complete this project by this year end?

Shobhit Uppal: Yes, the target is this year and it's proceeding fine. There is no, we've seen no listing from Adani side to slow down the project. All payments are coming in.

Moderator: The next question is from the line of Mr. Vishal Periwal from IDBI Capital.

Vishal Periwal: One question is on management profile and work location between Mr. Shobhit and Mr. Vikas. So how exactly the work is divided between you, sir?

Shobhit Uppal: So the management functions are handled jointly in terms of reviewing of the administrator functions and functions such as supply chain control and audits. All the digitization and such functions are controlled by Mr. Vikas Ahluwalia. As far as regional allocation or control are concerned, Mr. Vikas Ahluwalia is handling Maharashtra. He's handling Assam. And he's handling all railway infrastructure projects. We have won one, and we are bidding for a few others. As far as South is concerned, as far as East is concerned and as far as NCR is concerned, that I handle.

Vishal Periwal: And next is on -- I think there was initial commentary. It was mentioned fixed price contractor are 20% of the order book. Was that right now?

Shobhit Uppal: Satbeer, can you comment on that?

Satbeer Singh: I say 20% fixed price contract.

Vishal Periwal: And sir, will you have this number for -- I mean like in maybe 2, 3 quarters -- just trying to understand like how exactly the new order win has been if the number is available.

Satbeer Singh: At the end of the last quarter 20%. At the end of last to last quarter also, 20%. And quarter 1, this is 15%.

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Shobhit Uppal: Let me also -- and we will -- if you reach out to Satbeer separately, we'd like to clarify this further. Now fixed price contracts in a government or a public s

ector order means, like, say,

NIT Patna, which has just started, right? This is a fixed price contract where there is no escalation. So typically, fixed price in a government order means that there is 0 escalation. But in a private sector, fixed price -- like, for instance, we're doing a project with Bharti Aero City in Delhi. It's a fixed price contract. But for key materials, there are base prices.

Do you understand? So for cement and steel, where the prices are very volatile, either like in Bharti's case, steel is being supplied by them free of cost, right? So they bear the inflation.

Cement, there is a base price. So any upward or downward movement of pricing is a pass-through. So this happens typically with a lot of private clients. Say, for Amity, for instance, it's not only these two materials, but a host of other materials, such as tiles, marble, where the escalation in the pass-through.

Vishal Periwal: Maybe I'll connect with Mr. Singh. But when we say 20% of the order book, so this will have both private and public?

Shobhit Uppal: Yes, it would have both. That's why I clarified.

Vishal Periwal: And this is -- one more clarification, sorry, for harping on the same thing. I think the EBITDA margin is bearing in the range of 9.5, 10. we are saying it will be the same number, 9.5, 10, for

the full next year, 12%?

Shobhit Uppal: Yes. And we are aiming or hoping to close this year at about 11%.

Moderator: The next question is from the line of Nikhil Kanodia from HDFC Securities Limited.

Nikhil Kanodia: Just wanted to know what is the order book and order inflow?

Satbeer Singh: The order book is INR 8,113 crores, and the order inflow is INR 4,017 crores.

Nikhil Kanodia: Sir, can you repeat the order inflow?

Satbeer Singh: INR 4,017 crores for 9 months ended.

Nikhil Kanodia: What is the commodity guidance for the fourth quarter for order inflow?

Shobhit Uppal: About INR 500 crores.

Nikhil Kanodia: Okay, INR 500 crores.

Shobhit Uppal: Yes.

Moderator: The next question is from the line of Mr. Shravan Shah from Dolat Capital.

Shravan Shah: Shobhit, sir, just wanted to clarify, sir, what you are mentioning in terms of the EBITDA margin. I think you need to mention that it is including the other income.

Shobhit Uppal: Yes, it is.

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Shravan Shah: Yes, because the previous participant who has asked, they were looking at it without the other income because that's the number normally as the analysts will look at without other income.

So that's what even the -- even I think the Parikshit was also mentioning the same number, 9.6%. And you said that we, this quarter, had double-digit. So whatever that we are paying at 12% for next year for FY '24, that is including the other income.

Shobhit Uppal: Yes, it is. Satbeer, we need to clarify this. And whenever any investor reaches out to us, we should be clear. We should mention both actually. We'll try. Correct. Thank you.

Shravan Shah: Or maybe from the next quarter, you can talk about the margin without the other income and other income -- whatever if you want to separately want to mention you can mention.

Management: Also, our other income is also from our operations or related to operations, let me put it back. We don't have any other business. But anyway, I think your point is well taken, Parikshit. We will mention both separately. We will clarify this.

Moderator: The next question is from the line of an Uttam Kumar Simal from Axis Securities Limited.

Uttam Simal: Sir, my question pertains to Kota project that transfer project shaping up right now?

Shobhit Uppal: Vikas, you want to answer that?

Vikas Ahluwalia: Kota. Sorry. [Inaudible 0:42:08] I heard something Kota. Can you just repeat? I could not hear you properly.

Uttam Simal: Yes. This is about Kota project, how that has been shapi

ng up currently?

Vikas Ahluwalia: Kota is now -- we have a nearly 85% occupancy, and the rentals are now coming better. In fact, post COVID the sales at the stores have been much better. And it's picking up. I mean we -- for example, in December, January, we had the highest footfall at around 3.5 lakh people and even on 26th January, it was something similar.

In fact, we are now -- operationally, we have improved the margin. We are operationally profit. What do you -- if you -- it's operationally profitable. Depreciation, if you remove the depreciation from there, then yes, there is an operating profit. And the mall is not sustaining now, in fact.

Uttam Simal: And one question, Satbeer, please prepare adding presentation last time also, I requested for the earnings presentation. This time also, we have not got the earning presentation from your side.

Satbeer Singh: We have uploaded already. You can see that.

Moderator: The next question is from the line of Ashish Shah from Centrum Broking Limited.

Ashish Shah: Sir, my question is that while we have given some indication of the margins, in terms of the capital intensity of our business -- so we have a fairly light capital business. Our asset terms, gross asset terms are probably exceeding 6x. And so even at a margin of where we are, we do Ahluwalia Contracts Limited

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like 16% to 17% ROE. The question is that as we get into newer segments or newer states, is this a character of the business that will maintain or we'll tend to invest more in capex and probably become a little more asset savy, than what we have been in the past?

Shobhit Uppal: Right. Please go ahead, Ashish.

Ashish Shah: So sir, my question was that while you have indicated the level of margins to expect at the EBITDA level, but also on the capital intensity of the business, so we have a fairly high asset term. And despite the margin with us of 10%, we still manage probably 16%, 17% ROE thereabouts.

So do we -- as we diversify, as we get into newer states, as we get into newer segments, do we maintain this kind of capital intensity, a very light capital intensity business or incrementally, we'll have to invest more in terms of capex, more in terms of working capital as well? So even though our margins may go up, but the capital intensity in the business will actually increase. I mean how to look at it from a 2 - to 3-year horizon?

Shobhit Uppal: So yes, I did mention that the last quarter, we've invested close to about INR 400-odd crores because we forayed into newer geographical locations. And -- but I think this will slow down now. We will -- in the last quarter, it will be about -- in this Q4 that is I'm talking about be at INR 8 crores. And I think our geographical footprint will not increase as much.

Now going forward, we are already in 16 states. So you know we want to tread cautiously. So in the following year, to be specific, in FY '24, the capex will be lower than what we've done this year or what we're going to do this year.

Moderator: The next question is from the line of Mr. Rajat Setiya from I - Thought PMS.

Rajat Setiya: Sir, with regards to the Kota project, any thoughts about selling that project at whatever that you need and deploy at the same capital in our own business where we can generate return on capital, so 15%, 20%.

Vikas Ahluwalia: So we are not investing in Kota anymore. Again, like I said, depreciation is something that you consider, but now the mall is a self-sufficient. In fact, I would also like to state that we are probably the first mall in Kota where we are running all the common area electricity on solar. So our electricity bill, which is one of the highest consumptions of capital or bill or whatever it is, is coming down significantly. So that is also adding to the margin profit.

Rajat Setiya: Sir, I mean, economics is certainly improving, and

you are doing your well there, but we are --

at the end of day, we are not in the business of running them all. So how do you look at that aspect? I mean it's an asset in our books, which is completely non-core from the point of view.

Vikas Ahluwalia: Yes. That part, I agree. So sometimes back, we did try to operate off our balance sheet, but it could not happen. So probably, when the revenues start getting better, if there is a heavy interest from somebody, then we will look at the transaction.

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Rajat Setiya: And the second question is about the investment property are worth around INR 110 crores. I think some of that would be Kota project as well, right?

Satbeer Singh: Yes. It's only Kota.

Rajat Setiya: It's only Kota?

Satbeer Singh: Yes.

Moderator: Now we go to the last question from the line of Mr. Shravan Shah from Dolat Capital.

Shravan Shah: Satbeer, sir, wanted to know any progress in terms of the land monetization of 4.7 acres that we have in Kolkata. So we were looking at previously either force priority was to sell or then last was to develop. So any progress, anything we want to set?

Shobhit Uppal: At the moment, it's status quo. But once we get clearances, that something that moves at its own pace in this state of Bengal. We will, in all probabilities, develop it because the upside is going to be better that way. It's very strategically located now. You have a metro station. You have a mall, and you have a couple of large residential complexes along side. So at the moment, it's status quo.

Shravan Shah: But now we will look to develop ourselves and not to sell the land. So just trying to understand, so whenever...

Shobhit Uppal: So we did not summed up policy. We are -- we have started looking at how to get various approvals. But our initial -- this thing -- research shows that the margins are going to be much higher. Our returns are going to be much higher if we develop it ourselves. But it's not from that idea. The land is there. It is there. Okay.

Shravan Shah: Yes. True. But whenever we form up our decision to develop, then in terms of what broad -- in terms of the equity that we are looking at to invest...

Shobhit Uppal: We've not talked about it. There can be various models. As and when we firm up our cost purchases, when we can tie up to the developers, outright sale as we stand now because we don't really need those funds, I don't see outright sale attractive to us.

Shravan Shah: My concern was if we will go into that asset heavy model in terms of going from the pure construction to the developer also model, will it...

Shobhit Uppal: No, no. That is -- that we don't -- it's not that we will grow and become a developer and start developing projects. Since this is a land, which has appreciated significantly in value, we may, as a one-off, develop it either on our own or in partnerships with local development.

Moderator: That was the last question. I now hand the conference over to Mr. Prem Khurana for the closing comments.

Prem Khurana: Yes. Thank you. Thank you very much for giving us an opportunity to host you all. Shobhit, any closing remarks that you would like to make?

Shobhit Uppal: No, no. Thank you so much, everybody, for joining in and look forward to connecting with all of you again after the last quarter of this financial year. Thank you. Thank you so much.

Vikas Ahluwalia: Thank you. Thanks a lot. Have a great day.

Moderator: Thank you very much. On behalf of Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR) Regulations, 2015 held on 29-05-2023 at 1.30 p.m.

, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 29.05.2023 at 1.30 p.m.
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This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary/Compliance Officer
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Call: Aug 2023

Ahluwalia Contracts
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Engineering, Designing & Construction

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(Corporate Identification Number: L45101DL1979PLC00 9654)

E-mail-On-line
Date: 21-08-2023
To,
Compliance Department
BSE Limited.
25th Floor, P.J. Towers
Dalal Street, Mumbai - 400001 Compliance Department
National Stock Exchange of India Ltd.
5th Floor, Exchange Plaza,
Bandra Kurla Complex,
Bandra (East) Mumbai- 400051 Compliance Department
Calcutta Stock Exchange Ltd
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Kolkata, West Bengal – 700001

Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 16-08-2023 at 2.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 16-08-2023 at 2.00 p.m.

The above details are also being made available on the Company's website at
www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary/Compliance Officer
Encl.: As Above

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"Ahluwalia Contracts (India) Limited
1QFY2024 Earnings Conference Call "
August 16 , 2023

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

MODERATOR : MR. AMAR KEDIA – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the 1QFY 24 Earnings Conference Call of Ahluwalia Contracts (India) Limited hosted by A mbit Capital. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Amar Kedia from A mbit Capital. Thank you and over to you, Mr. K edia.

Amar Kedia: Thank you, Michelle, and good afternoon, everyone. Welcome to the 1QFY 24 earnings call of Ahluwalia Contracts (India) Limited. From the management, today we have with us Mr. Shobhit Uppal, Deputy Managing Director; and Mr. Satbeer Singh, CFO of the company. I now hand over the conference to the management team for their opening remarks. Post which, we'll open up the floor for Q&A. Thank you and over to you, sir.

Shobhit Uppal: Thank you. So welcome, everybody. Ahluwalia Contracts (India) Limited has announced their financial results for 1QFY24. During 1QFY24, the company has achieved a turnover of INR763.61 crores and a PAT of INR49.73 crores in comparison to a turnover of INR609.24 crores and a PAT of INR37.78 crores in the corresponding quarter of the last financial year. The company has registered a growth of 25.34% and 31.63% in turnover and PAT respectively during 1QFY24 in comparison to 1QFY23. EPS of the company for 1QFY24 is INR7.42 as compared to INR 5.64 in 1QFY23.

During 1QFY24, the company's EBITDA margin is 10.83% as compared to 9.94% and a PAT margin of 6.51% as compared to 6.20% in the corresponding period of the last financial year. Net order book of the company is INR11,779.64 crores to be executed in the next 24 months to 30 months. Total order inflow during FY '24 till date stands at INR4,377.41 crores. At present, we are L1 in one project amounting to INR2,840 crores. Thank you. We are ready for the Q&A.

Moderator: Thank you very much, sir. We'll take the first question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Congratulations on good set of numbers and particularly on the order inflow. So just to clarify. You mentioned you are in L1 in INR2,840 crores, this is which project?

Shobhit Uppal: This is the International Jewellery Park in Mumbai.

Shravan Shah: Okay. And where the LOA and the work ought to start in next two months - three months ...

Shobhit Uppal: Likely two months to three months, yes.

Shravan Shah: So now including this, we are having INR7,217 crore s order inflow. So how much more now we are looking at?

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Shobhit Uppal: How much more we are looking at? Maybe another INR2,000 crores, INR2,500 crores in this year. Look, the tendering activity is beginning to slow down a bit as the general elections come closer. So yes, another INR2,000 crores.

Shravan Shah: Okay. So in terms of the revenue that we were looking at 20% plus for this year and for even couple of years 20% kind of. So are we now revising upwards to kind of 30%?

Shobhit Uppal: No, at the moment we are sticking to that. There are expected to be -- as I said in our last call in the same point; as elections come closer, there is a degree of slowdown. So we are sticking to our original guidance on the revenue.

Shravan Shah: Okay. And then on the margin front, sir, two things wanted to understand. So on Q -o-Q basis though it is not a pure comparison, but still from last quarter we had a 12.8% margin , which is now 10.8%. So we are looking at 11% kind of margin. So there is one aspect in that is , the employee cost which has increased Q -o-Q si

gnificantly to INR66 crores odd. So is there any managerial remuneration onetime that is part of it and also this INR66 crores quarterly run rate is now the new run rate that one should factor?

Shobhit Uppal: So this is the new run rate that one should factor, one. Secondly, we have announced increments so that payout has happened, that is why this figure is higher. Thirdly, because of the large orders that have come in, we have also beefed up or increased our staff strength. That impact is seen in this. The execution on these projects will now happen over the subsequent quarters. So as a percentage, this figure will come down. But as an absolute number, this is the run rate or this is the quantum that we should be looking at now.

Shravan Shah: So at EBITDA margin level excluding other income, we should only look at 11%. So is there a -- once we are scaling up in terms of the execution, will this 11% EBITDA margin next year can one look at 11.5%, 12%?

Shobhit Uppal: Yes, we can. I had mentioned that last time, we can.

Shravan Shah: Okay. And couple of balance sheet item, Satbeer, sir, inventory, trade receivables?

Shobhit Uppal: Actually I am handing over to Satbeer. He will take you and everybody through the balance sheet or the financial numbers. And if you still have any questions after that, he will answer that. Over to you, Satbeer.

Shravan Shah: Sir, inventory, trade receivables, trade payables, mobilization, retention money and unbilled revenue?

Management: All I will tell you. Just inventory INR322 crores and debtors INR552 crores, retention INR244 crores, mobilization INR309 crores, unbilled revenue INR379 crores, there is mobilization advance of 44% and gross debt is INR7.42 crores. Here are the segment-wise order book: This is commercial 8.69%, infrastructure 31.56%, institutional 24.69%, residential 13.61%, hospital 21.01%. And sector-wise: private 25.35%, rest is Government. And region-wise: east 25.29%, north 13.69%, west 37.72%, south 2.76% and overseas 3.54%. And besides that, working capital days is 95 days and fixed price contract is 30%.

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Shravan Shah: Okay. And trade payable is how much, sir?

Management: Trade payable is INR638 crores and tax provision INR266 crores, bank provision INR280 crores including non-finance.

Shravan Shah: Sorry, bank is to INR280 crores?

Management: Yes.

Shravan Shah: Thank you, sir and all the best.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Gunit Singh from CCIPL. Please go ahead.

Gunit Singh: Hi, sir. Most of my questions have been asked. Who are our main competitors in this space?

Shobhit Uppal: L&T, Shapoorji Pallonji, Nagarjuna Construction, Kalpataru.

Gunit Singh: That's all from my side. Thank you.

Moderator: Thank you. We'll take the next question from the line of Ashish Narendra Shah from JM Financial. Please go ahead.

Ashish Shah: Thank you for the opportunity. Sir, first of all, I may have missed the initial guidance you gave on the revenue growth, etcetera. I'm not sure, the line wasn't very clear. So if you could just please repeat that?

Shobhit Uppal: So I gave no fresh guidance. This was the carry forward from my last call, of which you were a part. I maintain the guidance, which was given last time around of 20% growth.

Ashish Shah: Okay. All right. Also sir, if you can just update the status of maybe the Top 4-5 projects.

Some of the projects for example especially on the station redevelopment now, what is the progress? When do we expect to start booking the first revenue out of that project? As well as some of the older projects that we had, for example the AIIMS project and the Bihar Animal Science University, etcetera?

Shobhit Uppal: So the AIIMS Jammu project is slated for completion towards the end of this year last quarter,

November, December. So we are on track for that. As far as the Bihar Animal Science and Husbandry project is concerned, there construction is happening, it's picked up pace now. So we have about -- the total value is about INR890 crores. We have executed about INR75 crores, INR80 crores there and we expect to log a run rate of about anywhere between INR10 crores to INR15 crores every month.

In Bihar, the NIT project since this was also a design-build project, the designing phase is almost over and we are now logging there a monthly run rate of about INR15 crores to INR20 crores there also. The two hospital projects, the Rahui or Nalanda dental project in the Chief

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Minister's constituency, that will be completed in the next three months and the Chapra

hospital project will be completed in the next five months in December, in this calendar year. As far as the station redevelopment projects are concerned, we have now started. The revenue earnings have started from this quarter, say, July quarter for the Chandigarh project. As far as the CSTM is concerned, the revenue booking will start in about two months from now. Any other specific project that you have in mind?

Ashish Shah: Yes, sir. Just had the Sion Hospital one in mind because that was kind of an elongated construction duration. So just wondering ...

Shobhit Uppal: It is moving at its pace, the projected pace. We are logging a billing of about INR4 crores to INR5 crores there.

Ashish Shah: So INR4 crores to INR5 crores per month kind of a bill. Right? Just to further dwell on the CST station redevelopment. At what rate we expect we will commence the booking? What kind of a build-up, we should assume maybe this year, next year? If you could guide in terms of a monthly run rate, it will just help us to be a little more scientific in our estimation.

Shobhit Uppal: So, it will pick up pace in the last quarter of this financial year that is January, February, March. By then, we should be hitting a run rate of about INR30 crores to INR40 crores a month. Prior to that, since this involves intricate design work as also traffic management and other such issues; this quarter, as I said, billing is going to be weaker. Last quarter of the calendar year; that is October, November, December; we should be billing about INR10 crores to INR15 crores a month. Major billing will start happening in the last quarter and which will pick up in the next financial year.

Ashish Shah: Right. And would it be at peak in the next financial year and what would be that peak rate?

Shobhit Uppal: We should -- in the first half of the next financial year, we should be looking to bill at about anywhere close to INR60 crores to INR70 crores a month.

Ashish Shah: Right, sir. That helps. Thank you very much and all the best, sir.

Shobhit Uppal: Thank you.

Moderator: Thank you. We'll take the next question from the line of Kishan Toshniwal from Polar Ventures LLP. Please go ahead.

Kishan Toshniwal: Good afternoon. Congratulations on a good set of numbers. First of all, I have two to three questions. Basically you said that the unexecuted order book that you have is likely to get executed in the next two years to three years, right, if I've heard it correctly?

Shobhit Uppal: Yes.

Kishan Toshniwal: The second question is most of our projects basically from state government and central government or we are basically doing work with the government entities only?

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Shobhit Uppal: No. So we straddle both the sectors, the public sector as well as the private sector. The breakup of the public sector and private sector is 75%, 25%. And we work with both central as well as state governments.

Kishan Toshniwal: So 75% is towards government and 25% is towards private,

right?

Shobhit Uppal: Private, yes.

Kishan Toshniwal: Another question that I have. When you have such a healthy order book and you're expecting that we are going to grow by 20% year-on-year, should I assume that due to the election that is due in 2024, you are guiding on a very conservative basis or is it something else that I'm missing in the space?

Shobhit Uppal: No. Our guidance has always been conservative. If you attended our earlier call, that is how we've -- we are conservative in our guidance and we try and achieve what we target.

Kishan Toshniwal: So what is the difference that you see? Just being an election year, what is the difference that you see from the other years or what is your expectation? Just being the election year, what could be the difference that you think?

Shobhit Uppal: There is a bit of a slowdown especially. But since our order book is healthy and a lot of these projects the state and the central governments are looking to showcase. So that is why we feel that the guidance that we've given we'll be able to match.

Kishan Toshniwal: Okay. And what is the average EBITDA margin that we should assume in the business that you are? Does it have some cyclical in this business? There's some quarter cyclical in nature as such?

Shobhit Uppal: Look, infrastructure like other industries is always cyclical, but we seem to be riding a wave upward trend. And we feel because of our order book and because of the general state of the economy of the country, we feel that the next four years or five years, the growth should be good and we should be able to meet our target. So that is where we are at.

Kishan Toshniwal: And what is the EBITDA margin that we as an investor should look at?

Shobhit Uppal: EBITDA, we've given a guidance of 11% plus. We should be able to match that.

Kishan Toshniwal: Okay. Thank you.

Shobhit Uppal: Thank you.

Moderator: Thank you. We'll take the next question from the line of Vasudev from Nuvama. Please go ahead.

Vasudev: Thank you for the opportunity, sir. So if you can tell us what is the bid pipeline currently and are there any projects, where we've already bid and awaiting results?

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Shobhit Uppal: The bid pipeline is about INR2,500 crores. We have bid for a few projects. We bid for a couple of private hospitals. We have bid for a couple of data centres. We have bid for a couple of residential projects in the private sector.

Vasudev: Okay, sir. And next question is what is the capex that we've done in Q1 and our target for the entire year?

Management: Capex for Q1, that is INR24 crores.

Vasudev: Okay. And sir, what are we looking for the full year?

Shobhit Uppal: The run rate will remain the same for the subsequent quarters also because we are now looking at adding to our machinery bank and shuttering for the projects which we've been awarded in the last three months.

Vasudev: Okay. Got it. And sir, next what are your views on the competitive intensity right now?

Shobhit Uppal: The competitive intensity remains high, but we are -- as I mentioned earlier, there is a bit of a slowdown expected in the fresh tenders which are going to come out with this being the election year. Because we have a healthy order book, we are in a position to pick and choose.

Vasudev: Okay. And sir, lastly, if you can quantify that what is our total share of order book from the state governments and are we facing any issues in regards to payments from them?

Management: This is central government approximately 45% and state government 32%.

Vasudev: And sir, are we seeing any...

Shobhit Uppal: Since there is -- as far as we are facing a bit of an issue in Bihar. But that as I mentioned in response to an earlier question, both our Bihar medical hospital projects, they are slated to -- since they come in the Chief Minister and Deputy Chief Minister's constituency, they are

looking to complete them in this financial year. So we are expecting that our payments will also come through there. Otherwise for the Bihar animal husbandry project, university project; that the payments are now happening on time.

Vasudev: Okay, sir. That was helpful. I will join back in the queue for more questions. Thank you.

Moderator: Thank you. We'll take the next question from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Good afternoon, sir. Thank you for taking my question. Sir, I have a question on this Tata Memorial project. So it is in the order backlog, how about the execution? When do we start the execution?

Shobhit Uppal: The execution on Tata Memorial will begin in this quarter. We've actually broken ground there and we should be starting to generate substantial revenue in this quarter.

Jiten Rushi: We can safely assume around how much?

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Shobhit Uppal: It's difficult. What I'm saying is that, we'll start generating revenue. But in the third quarter of the financial year, we should be logging a run rate of about INR10 crores plus every month.

Jiten Rushi: Sir, and the other projects order backlog as the Arbour Project Gurgaon, the DLF one and the Dharavi Wastewater project. So these are also like new project, but any execution we are expecting from Q3 or how are we placed now?

Shobhit Uppal: It's already Q2. Arbour, Q2 revenue generation in fact has started. Similarly from Puri, The Aravallis, so that also. In fact Puri, we have already billed for two months. Which was the other projects that you mentioned?

Jiten Rushi: The Dharavi Wastewater Treatment.

Shobhit Uppal: Dharavi Wastewater Treatment, also Q2 revenue generation will start.

Jiten Rushi: And sir, in terms of the execution, have you faced any issues because of the heavy monsoon this year? So we see that the execution can get impacted or got impacted in July and Q2 can be a tough quarter. Any view on that sir?

Shobhit Uppal: Actually if you see if you've done a peer comparison, Q1 has been slightly slow for all construction companies. Monsoon is 1 factor, yes, but majorly the factor has been a slew of festivals, especially festivals which have affected the Muslim community. There were two Eids, which were there in the first quarter and since today 60% of our workforce is from the Muslim community, that has slowed down progress across the construction sector. As far as the impact of monsoon in the second quarter is concerned, yes, in July we have been impacted virtually across the country, so that will show. But Q2, I expect will definitely be better than

Q1.

Jiten Rushi: Got it. Sir, just last thing from Satbeer, sir. Sir, the cash you said INR266 crores and bank is INR280 crores, right sir?

Management: I said INR266 crores cash position and INR280 crores bank position.

Jiten Rushi: Is the bank position. And sir, fund-based and nonfund-based limit and utilization?

Management: This is just around -- limit is INR1,940 crores including fund-based and non-fund-based and out of which, around INR200 crores is unutilized.

Jiten Rushi: Okay. Fund-based will be hardly utilized, but your nonfund-based must have got utilized.

Management: Yes, hardly -- is INR7 crores just as I mentioned.

Jiten Rushi: Got it. So basically INR200 crores is unutilized from the nonfund-based?

Management: Yes. And we are also looking for enhancement of the limit that will be around might be INR2,100 crores, INR2,200 crores. That is in process.

Jiten Rushi: Thank you, sir and all the best.

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Moderator: Thank you. We'll take the next question from the line of Ashish Narendra Shah from JM Financial. Please go ahead.

Ashish Shah: Thank you.

Shobhit Uppal: Thank you for the opportunity again. Sir, I just wanted to come back to the gems and jewelry park L1 position that we have. So what is the kind of payment mechanism that we have? How sort of secure we are in terms of getting timely payments? What kind of BG's etcetera we need to give because this is a large project and tends to have different set of conditions? What's the time period of execution, etcetera? Any more details you can share, it would be really helpful, sir.

Shobhit Uppal: Ashish, since this is a project which is yet not been awarded and it's sort of a private project, I would be averse to sharing details about this project as things stand today. Once the project is awarded, it's not purely -- it's not a project though the government is involved in this project to the extent that they have allotted the land, but it's not purely an L1 project. So I would be averse to sharing details till such time that the project is awarded to us. I hope that's okay.

Ashish Shah: No. That's very fair. That's understood. Maybe we'll touch base on this next quarter.

Shobhit Uppal: Yes. Let it be awarded, we'll be open to answering all questions.

Ashish Shah: That's it from my side. Thank you and all the best.

Shobhit Uppal: Thank you.

Moderator: Thank you. We'll take the next question is from the line of Deepika Bhandari from PhillipCapital. Please go ahead.

Deepika Bhandari: Hi, sir. Thank you for taking my question. Sir, as you had mentioned in this call earlier that station redevelopment project, the Chandigarh project, Tata Memorial Hospital and Dharavi project have not been contributing in revenue in quarter 1. Is my understanding, correct?

Shobhit Uppal: Yes, it is.

Deepika Bhandari: Apart from this, any other projects on which the designing work was going on and they were not contributing in our revenue?

Shobhit Uppal: I mentioned that NIT, Patna.

Deepika Bhandari: NIT, Patna. Altogether of these five projects, what would be the combined value if you can share?

Shobhit Uppal: The combined values. Okay. So INR2,450 crores is the CSTM project, approximately INR500 crores is the Chandigarh railway station project, INR530 crores is the NIT, Patna project. Any project that I missed out?

Deepika Bhandari: Just the Dharavi project, what's the value?

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Shobhit Uppal: Tata Memorial INR750 crores and Dharavi Memorial INR550 crores. So that's 13, 18, 23, approximately INR4,800 crores.

Deepika Bhandari: Okay, sir. Got it. Just one more last question, sir. You said that our capex would be as per our usual range, but this year our order book is very strong and in next coming quarters, we'll be starting work on very big projects. So don't we see our capex to go up?

Shobhit Uppal: So part of that capex, we've already started building capacity as far as all these projects -- some of these projects are concerned. And as the designing starts getting completed, we'll add to it.

So the rate of the capex will remain as it was in this quarter, around that.

Deepika Bhandari: Sir, around INR100 crores for the FY '24?

Shobhit Uppal: No. We've done. About INR25 crores. Yes, about INR100 crores,

Deepika Bhandari: Okay, sir. That's it from my side.

Shobhit Uppal: Thank you.

Moderator: Thank you. We'll take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, anything on the land monetization of West Bengal? So we were previously looking at to jointly develop. So any update can need to happen this year?

Shobhit Uppal: No. I don't think, Shravan, anything will happen this year. While doing our base work, whatever steps we take will be in the next financial year.

Shravan Shah: But mostly we will be doing in JV, we will be developing?

Shobhit Uppal: I can't really say. I mentioned last time around that , if we get a good p

rice which we should,

we are not averse to disposing it off also. But whatever we do, we'll let the general electi ons get over and after that , we'll take a step on that. But we are in no hurry to sell it also.

Shravan Shah: Okay. Got it. And just though you have mentioned that , you will share details in next call on gems and jewel lery. But broadly in terms of the time line this will be a three year execution period?

Shobhit Uppal: It's a three year project, yes.

Shravan Shah: Okay. And then is there a renegotiation or any scope on that front and that's what we are slightly hesitant to share in terms of to start the proj ect? Is there any scope in terms of renegotiation or something like that?

Shobhit Uppal: Look, this is on the lines of the Surat Diamond Bourse or the diamond Bourse in Bombay where a group of jewel lers have come together and they are pooling in the money for the construction. So that's why I said it's not strictly L1, but there has been a stringent. There is a QCBS criteria also. They've evaluated each bidder's technical bid as well as financial bid. And Ahluwalia Contracts (India) Limited

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so chances are that , we will get this job, but I don't want to say too much till such time that we are announced as the successful bidder.

Shravan Shah: Okay. Thank you, sir.

Shobhit Uppal: Okay.

Moderator: Thank you . As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you.

Shobhit Uppal: Thank you, everybody. So we look forward to talking with you again post the second quarter Q2. Thank you once again.

Moderator: Thank you, members of the mana gement. Ladies and gentlemen, on behalf of A mbit Capital, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

Ahluwalia Contracts
(India) Limited
Engineering, Designing & Construction

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(Corporate Identification Number: L45101DL1979PLC00 9654)

On-line
Date: 18-11-2023
To,
Compliance Department
BSE Limited.
25th Floor, P.J. Towers
Dalal Street, Mumbai - 400001 Compliance Department
National Stock Exchange of India Ltd.
5th Floor, Exchange Plaza,
Bandra Kurla Complex,
Bandra (East) Mumbai- 400051 Compliance Department
Calcutta Stock Exchange Ltd
7, Lyons Range, Dalhousie,
Murgighata, B B D Bagh,
Kolkata, West Bengal – 700001

Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 15-11-2023 at 4.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 15-11-2023 at 4.00 p.m.

The above details are also being made available on the Company's website at
www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: As Above

"Ahluwalia Contracts India Limited
2QFY2024 Earnings Conference Call "

November 15, 2023

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING

DIRECTOR
MR. VIKAS AHLUWALIA – WHOLE TIME
DIRECTOR
MR. SATBEER SINGH – CHIEF FINANCIAL
OFFICER
MODERATOR : MR. VIRAJ SANGHVI – AMBIT CAPITAL

Ahluwalia Contracts India Limited
November 15 , 2023

Page 2 of 16 Moderator: Ladies and gentlemen, good day and welcome to the Ahluwalia Contracts India Limited 2QFY20 24 Earnings Conference Call hosted by Ambit Capital . As a reminder , all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Viraj Sanghvi from Ambit Capital . Thank you and over to you Sir!
Viraj Sanghvi : Thank you Yusuf and good afternoon to everyone. Welcome to the Q2 and H1FY24 earnings conference call of Ahluwalia Con tracts (India) Limited. From the management today we have with us Mr. Shobhit Uppal, Deputy Managing Director, Mr. Vikas Ahluwalia, Whole Time Director and Mr. Satbeer Singh, CFO of the company. I will now hand over the conference to the management team fo r their opening remarks after which we shall open the floor for Q&A. Thank you and over to you Sir.

Company Speaker : So we at Ahluwalia Contracts India Limited have announced our financial results for 2QFY2024. D uring 2QFY2024 , the company has achieved a t urnover of Rs.901.55 Crores and a PAT of Rs.55.30 Crores in comparison to a turnover of Rs.622.84 Crores and a PAT of Rs.39.16 Crores in 2QFY2023. T he company has registered a growth of 44.75% and 41.21 % in turnover in PAT respectively during 2QFY2024 in c omparison to 2QFY2023. EPS of the company for 2QFY2024 is Rs.8.26 as compared to Rs.5.85 in 2QFY2023. During 2QFY2024 the company's EBITDA margin is 9.96% as compared to 9.93% and a PAT margin of 6.13% as compared to 6.29% in the corresponding period . During 1HFY2024 the company has achieved a turnover of Rs.1665 .16 Crores and a PAT of Rs.10 5.03 Crores in comparison to a turnover of Rs.1232.0 9 Crores and a PAT of Rs. 76.94 Crores in 1H FY2023. EPS of the c

ompany
for 1HFY2024 is 15.68 as compared to 11.49 in 1 HFY2023. During 1H FY2024 , the company's EBITDA margin is 10.36% as compared to 9.94% and a PAT margin of 6.31% as compared to 6.25% in the corresponding period. N et order book of the company is Rs.1262 .20 Crores to be execu ted in the next 24 to 30 months. Total order inflow during FY2024 till date stands at Rs.5259.50 Crores. A t present we are L1 in one project amounting to Rs.2840 Crores. O ver to you for questions now .

Moderator: Thank you very much . We will now begin the question and answer session. We have our first question from the line of Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah: Thank you Sir and congratulations on great set of n umbers, particularly on execution front so just to revise the guidance so we last time have talked abo ut 20% plus kind of a number revenue growth for this year and 20% for FY2025 so considering the 35% plus Ahluwalia Contracts India Limited

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Page 3 of 16 kind of a growth in the 1H so how much upward are we revising our revenue guidance for this year and based on that how much one can look at the FY2025 revenue growth ?

Company Speaker: Thank you Shravan. L ook our guidance remains the same. It will be 20% or upward of 20%. We have to factor in the NCR and the NGT ban almost 18% of our order book is from NCR and those projects as you know have been at a sta ndstill now since before Diwali and we do not know for how many more days the ban will be there on construction so that is going to affect the run rate a little bit so our guidance to both topline and margins remain what I gave last time .

Shravan Shah: So just to dwell further so let us say for this quarter Q3 how one can look at in terms of the execution as the b rand is already there so one and a half month is already there so how one can look at this quarter growth ?

Company Speaker: Quarter -on-quarter there will be growth and we are hoping that post Diwali generally in a couple of weeks the situation should improve and we should hit the ground running as far as our projects in NCR are concerned so that is why I said that we maintain the 20% or up wards of 20% guideline as far as our to pline is concerned .

Shravan Shah: Sir I am saying this quarter in terms of the EBITDA margin it has come down so we were looking at 11% for this year and next year 11.5% to 12% so from the Q3?

Company Speaker : I had mentioned this last time also in the last two quarters the margin as well as the run rate will improve further .

Shravan Shah: Okay and in terms of the order inflow so definitely including the L1 is now Rs.2800 odd Crores so how much more are we looking at or what is the bid pipeline ?

Company Speaker : The bid pipeline stands at about Rs.2 500 Crores. I think we are in a position , other than the L1 order , we should get orders close to about Rs.1,000 Crores. We are not bidding aggressively .

Shravan Shah: Yes that I know that we are in a comfortable position and two aspects in terms of these two big projects one Gem & Jewellery and the second is CST and Mumbai Railway Station redevelopment so first the Gem & Jewellery when the LOA will be there and how much execution one can expect in this year and the next year and the same for CST this year and next Sir how one can look at the execution look ?

Company Speaker : So CST since that project is in hand in the Q3 we should start our billing cycle and we are expecting a billing of anywhere between Rs.150 Crores to Rs.200 Crores as far as Ahluwalia Contracts India Limited

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Page 4 of 16 CSTM is concerned. As far as Gem & Jewellery thing is concerned we may do a little bit of billing in the last quarter . As we mentioned last time they are looking to the bid though we are clearly the lowest . We are looking to reduce the budget the figure that we quoted is above their budget so

they are looking at redesigning a portion of the project so I think it will be at least another month and a half to two months before it is awarded .

Shravan Shah: Okay got it and Sir couple of data points on the balance sheet front? Mobilization advance, retention money, and unbilled revenue?

Company Speaker : Satbeer will take you through all those points .

Satbeer Singh: This is retention money Rs.263 Crores and debtors are Rs.686 Crores, mobilization Rs.435 Crores and trade Rs.691 Crores, unbilled revenue Rs.430 Crores, and tax position in April is Rs.197 Crores and bank position is Rs. 325 Crores and besides that gross debt is Rs. 32 Crores.

Shravan Shah: Yes sir that number we have because we have the balance sheet? Just to clarify this increase in other current seems to be primarily because of the increase in the unbilled revenue and slightly increase in the retention money and also debtor days have also slightly increased though it is still at a comfortable level , but how one can look at by end of March can we see some more reduction in the working capital ?

Satbeer Singh: Yes because we are expecting retention money realization also because that is Rs.263 Crores and this will come down and also this unbilled revenue Rs.430 Crores also will be certified because various projects are on the cusp of completion so that is why we are expecting that we will do it also.

Shravan Shah: Okay thank you and all the best Sir .

Moderator: Thank you. The next question is from the line of Laxmi Narayan from Tunga Investments. Please go ahead.

Laxmi Narayan: Thank you . Sir my question is that whenever you take a project be it L1 or non L1 being a private sector what is your minimum threshold in terms of various things like margins or financial closure, etc., and how do you think about it ? What are the two or three qualitative or quantitative parameters you have and has it changed in the last two to three years ?

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Page 5 of 16 Company Speaker : Okay first of all as far as the change is concerned if you maybe you were there on the last couple of calls . We primarily where our order book comprised of public sector contracts but over the last one year have signaled the shift in our thinking . Now that the private sector is reviving we want to maintain a healthy mix that is how you see over the past couple of quarters we have got orders from large private sector clients like DLF, Max, Benet so on and so on and forth right so that has been one change . Going forward we want to maintain a healthy balance between the two . Today the division in the order book is private sector is almost 30% and 70% is the government or the public sector . When we are bidding for the project there is a template through which we rate internally the client and also the project in terms of its geographical location, client in terms of their financial stability and the past track record with large construction companies so on and so forth . We are extremely wary of areas in which we are not going to areas where we are not geographically present and areas which have a stable

government that is something that we look at. As far as private sector clients are concerned having burnt our fingers during the last few sessions. Residential and private sector project is something that we only do with a few developers with proven track records. Have I answered your question?

Laxmi Narayan: Yes in terms of margin's threshold what is the thing you actually look for margins or return?

Company Speaker: So it depends. The margin also it can vary when we bid a job within a narrow bandwidth depending on the credibility of the client and the longevity of our relationship with the client. If we have been associated with the client for many years and we feel that the payments and the cash reserves of the client is good we may

agree

to work on a slightly lower margin also so generally we try and factor in double digit margins.

Laxmi Narayan: Got it and I think what I understand is the horizontal development versus vertical development? Horizontal development projects either have high interdependency with other agencies as well as the construction cost or the margins are lower than vertical high rises right so how do you think about it? Do you actually have a view that you would actually prefer vertical versus horizontal?

Company Speaker: Not really. Over the years we have built in an in-house capabilities to do disciplines other than core and shell also like electromechanical works, plumbing, firefighting works, finishing works and that has helped us as far as execution of EPC winning and executing EPC jobs is concerned. Having said that in residential project where we see a lot of high rises now being tendered out by developers in different parts of the country.

At the moment our focus is only core and shell because once we start doing the Ahluwalia Contracts India Limited

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Page 6 of 16 finishing or other services work, we are dependent or we are the last one out of the site. We have made to hand over to the end user. That is something which we feel drains ultimately hits our profit margins so it actually varies from project to project or client to client.

Laxmi Narayan: Got it and in terms of your growth you have almost doubled your order book in the last four to five years right? As an organization how do you think about scalability of the management and how you think where are the areas where you are actually concentrating to ensure that you can deliver projects consistently at high quality and high return ratios keeping the growth also intact?

Company Speaker: So Mr. Narayan I did mention this in the last call also the company has embarked on a digital transformation exercise which is being spearheaded by our director Mr. Vikas Ahluwalia and that is something which we feel now that the scale at which we have begun to operate that is something which is now mandatory. It is a must and not only are we totally transforming digitally but we are also building in-house capabilities as far as sprucing up or creating a very strong design cell, utilizing technologies like Autodesk and BIM to ensure that the inefficiencies that are an inherent part of a construction project are minimized. As far as scaling up our team is concerned, I did mention in the last two calls that is how our employee costs are going up a bit because we are continuously even through the downturn we were recruiting people, training people, and upskilling is an integral part of our day-to-day working now and we are recruiting close to 50 to 60 fresh engineers on a yearly basis from various campuses.

Laxmi Narayan: Got it. Sir one last question from my side, last time you called out that election time creates some kind of cardinals in the tender scheduling right and therefore how do you think about that from an order book point of view? Do you actually see it happening in terms of slowdown in orders?

Company Speaker: Yes I did mention it last time also that since we are well stocked up and over the next couple of quarters, there would not be the same rapid growth in our order book and that can be seen. The last couple of months I do not think we have won any significant order. As it is we are not bidding very aggressively. We are biting our time.

Laxmi Narayan: Got it. Thank you. I will come back in the queue.

Moderator: Thank you. The next is question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

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Page 7 of 16 Parvez Qazi: Good evening. Thanks for taking my question and congratulations for a good set of numbers so couple of questions from my side? Did I

hear it correctly you said that in

Q3 the revenue should be better than what we did in Q2?

Company Speaker : I did not say that . I said it would be better than the corresponding quarter of last year .

Parvez Qazi: Last year okay I just wanted to reconfirm . Thank you. Second, while answering the previous participant you mentioned that our share of private sector order book has gone to about 30 % odd so are we okay with this figure or do we want to take it up to 50 :50?

What is our thought process here?

Company Speaker : I mentioned last time I think 60:40 so we will hover in the short term that is what we are striving for .

Parvez Qazi: Sure and how are the payments from the state government now ? Have things become better ? Are they same ? How are things ?

Company Speaker : As far as Bengal is concerned our exposure to state government projects is almost negligible now and we have been able to get out most of our payments . Bihar there is an issue on the state funded medical hospitals project . There is a substantial amount of money which is stuck there . Himachal the money is coming through . Haryana

Government we have been able to do in the last quarter we have been able to get a

significant chunk of amount out so I think the only problem that I see is with Bihar.

Parvez Qazi: Got it and in terms of competitive intensity how are things? You did say that we are not bidding aggressively but overall how is the competition now ?

Company Speaker : High .

Parvez Qazi: And do you expect it to remain the same after elections or you think there will be ?

Company Speaker : I think over the next couple of years I expect it to remain high .

Parvez Qazi: Sure and last question what is the kind of capex that we will do in FY2024?

Company Speaker : So I think I mentioned about Rs.120 Crores in the last call . We have done a capex in H1 of about Rs.54 Crores so it should be there or there about.

Parvez Qazi: Sure thanks and all the best.

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Page 8 of 16 Moderator: Thank you. The next is question from the line of Mohit Kumar from ICICI Securities . Please go ahead.

Mohit Kumar: Good evening Sir and congratulations on another good quarter . My first question is Sir on the private orders you did mention we are looking to maintain 40 :60 ratio but my question is that are you getting private orders across the country or is it limited to NCR region?

Company Speaker : We are working in 16 states at the moment and wherever we are, we are looking to take private sector order provided the client passes through our template of our due diligence for the factors in which we evaluate the client.

Mohit Kumar: Understood Sir. My second question is on the station development ? Do we have appetite to bid for more station development and are there large amount of tenders available for bid as we speak ?

Company Speaker : Tenders are there but at the moment no, this is a new client for us . We are doing two large stations . We want to achieve significant progress and then look at other stations . I do not think we will be looking to be more precise in rest of this financial year I do not think we will be looking at any more station orders .

Mohit Kumar: But how do you see the revenue booking in this particular station orders can you just give us some indicative idea ?

Company Speaker : I did . I answered this . I think the first question that was put to me in CSTM we should be logging about a billing of about Rs.150 Crores to Rs.200 Crores in this financial year that means in the next two quarters because at the moment there is no billing there which has happened . As far as Chandigarh is concerned we should be doing a billing of about Rs.100 Crores.

Mohit Kumar: You said it is slow moving orders in this entire Rs.12000 Crores order s?

Company Speaker : In Rs.12,000 Crores orders I do not think there are any slow

moving orders .

Mohit Kumar: Okay understood Sir. My last question is Sir I think somebody asked you about the impact of election ? Are you seeing the impact of election on the finalization of tenders or some impact on the scaling of the revenues ?

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Page 9 of 16 Company Speaker : I think as we come closer to the December or January when the elections are likely to be announced the number of tenders which will start will reduce and we are already seeing some sort of an impact .

Mohit Kumar: Sir and anything on execution , execution of ramp up ?

Company Speaker : Execution sorry execution ramp up .

Mohit Kumar: Yes Sir in the sense let say the payments are slow so you slow down the execution

because the governments are busy in the election ? There is less money available ?

Company Speaker : Generally that happens maybe. I do not think this financial year there will be an impact . That generally happens a month or two before the election date . Elections will in all probability it will be in May somewhere so I do not think this financial year will be impacted as far as the operations are concerned .

Mohit Kumar: My last question do you see more private orders closing in next four months ? I think the private real estate is buoyant right now as we speak right ?

Company Speaker : Yes. Out of the likely inflow of orders of about Rs.1,000 Crores about 50% should be from the private sector .

Mohit Kumar: Understood Sir. Thank you and best of luck.

Moderator: Thank you. The next is question from the line of Ashish Shah from JM Financial . Please go ahead.

Ashish Shah: Good evening and thank you for the opportunity . Sir just one question given the profile of some big ticket orders like the CST or the Gem & Jewelry Park you think our capex intensity or working capital intensity would change materially from what it was in the past so because we in the past had very lean kind of a capital structure ? Now is there intensity of capital mode in these projects.

Company Speaker : As I said that capex to some extent as per as CSTM is concerned and for the Chandigarh Railway Station is concerned has already been done and we have done our capex of Rs.54 Crores in the first half of this financial year and we predicted about Rs.120 Crores so we are more or less what we had said . We will remain within Rs.120 Crores for CSTM. Then a few of our large orders are being completed also . Jammu we should be completing by December or January. Before CSTM was the largest order so couple of other such large jobs are also nearing completion .

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Page 10 of 16 Ashish Shah: Sir in terms of working capital let us say in terms of the milestone payments you think that the milestones are longer or a little more different from what we have been operating in terms of our other orders and hence you may see some bit of a temporary buildup of working capital or these are largely in line with the other orders that we have ?

Company Speaker : You are right . There may be a temporary build up because in item rate contracts generally whatever you execute you bill and you get paid a month on month basis . EPC you are generally paid as per milestones and payment schedule may not necessarily reflect the actual work on the ground in the first half of the project so yes I say you are right . EPC and is a new concept. All of us even the clients are still sort of feeling their way around though our experience not only ours but other construction companies given feedback to the clients and going forward even the contract , the payment terms are becoming more equitable .

Ashish Shah: Got it Sir. Thank you for your responses. Thank you .

Moderator: Thank you. The next is question from the line of Nikhil Kanodia from HDFC Securities . Please go ahead.

Nikhil Kanodia:

Yes Sir firstly congratulations on great set of numbers. Sir I have two questions on your Rs.12,000 Crores outstanding order book so number one is what percentage of it is on a fixed price basis?

Company Speaker : 24%.

Nikhil Kanodia: 24% right ?

Company Speaker : Yes.

Nikhil Kanodia: Sir what would be the projects wherein like you would have started to recognize the revenue but margin recognition threshold might have not been met yet ?

Company Speaker : Can you repeat that question please.

Nikhil Kanodia: Sir the projects wherein the margin recognition threshold might not have been met yet ?

Company Speaker : So if I understand your question correctly you are saying that the targeted margin is not met which are those projects is that what you are aiming to ask.

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Page 11 of 16 Nikhil Kanodia: Like we would have some threshold wherein we would start to recognize the margins as well like for example if we have a benchmark hurdle rate post that will the threshold that we have to recognize we would have started doing that so something on that front ?

Company Speaker : If this is question is related to our billing or you are talking about margins per se. I am sorry I am not getting your question so maybe what I am going to say may partly answer your question . In projects we do a monthly billing . The item rate contracts as I mentioned earlier whatever is physically built or executed that gets billed based on the

bill of quantities . In EPC contracts the billing is given monthly but there are milestones , monthly milestones based on which we bill. As far as margins are concerned the targeted margins there are maybe on an overall this thing a project we may have , when we tendered out and won the job if there is say a margin of 10% . In the first half of the life cycle of the project the margins are lower. In the second half the margins are higher . Am I clear ? Have I answered your questions ?

Nikhil Kanodia: Sir regarding the second part so like the projects wherein the projects that are not matching your margin threshold?

Company Speaker : The overall margin that we had plugged in a contract . Okay what happens is like we talked about CSTM. We talked about the Chandigarh Railway Station right . Maybe we will talk about the Bharati Project, the Aerocity Project since some of these projects are in their infancy. In the initial phases of the project they tend to take in more money right . It is only as we move along and as we come to the second half of the life cycle of a project the run rate is going up . That is when the margins also go up so some of these jobs yes CSTM , Chandigarh Railway Station, and Aerocity some of these jobs the margins are lower at the moment .

Nikhil Kanodia: Okay understood Sir and Sir one last question that I have is if I have heard you correct the monthly runway for CSTM project is around Rs.150 Crores to Rs. 200 Crores that you have mentioned ?

Company Speaker : Monthly run rate in the last quarter would be between Rs.75 Crores to Rs.100 Crores and which in FY 2025 will cross Rs.100 Crores.

Nikhil Kanodia: Okay and Sir similarly if you could give the amounts for your Gem & Jewelry Park and for Tata Memorial project as well ?

Company Speaker : Gem & Jewelry Park at the moment since the job is yet not awarded to us and as I mentioned it may take another couple of months for it to be awarded and the final budget will only be then known to us . It may not be prudent for us to give any run rate

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Page 12 of 16 on that job . As far as Tata Memorial is concerned in the last quarter we should easily be billing in excess of Rs.20 Crores every month .

Nikhil Kanodia: Okay. Thank you for responses Sir. These are my questions and all the best.

Moderator: Thank you. The next is question from the line

of Deepika Bhandari from Phillip

Capital . Please go ahead.

Deepika Bhandari: Thank you for taking my question and congratulations on great set of numbers. My first question is Sir you said on Bihar we have substantial amount stuck there so can you just tell me the Bihar receivable ?

Company Speaker : Bihar receivables are to the tune of about Rs.175 Crores.

Deepika Bhandari: Rs.175 Crores and did we receive some payment for Q2 say in October and November?

Company Speaker : In October and November yes we have received some payment in October.

Deepika Bhandari: Okay sir and my next question is Sir as on last quarter in Q1 around our five projects were I understand there are no more slow moving projects in the order book but in Q1 we were five projects that were not contributing in revenue so during Q2 and at the end of Q2 were there any projects that were not contributing in our revenue ?

Company Speaker : I did mention CSTM and Chandigarh Railway Station. I think out of our major projects these are the two which are not contributing .

Deepika Bhandari: Okay so Tata Memorial Hospital , Dharavi and NIIT Patna?

Company Speaker : Yes NIIT Patna now we are logging nearly Rs.20 Crores every month. Dharavi is also we are doing a billing of Rs.7 Crores to Rs.8 Crores every month .

Deepika Bhandari: Okay sir and Sir just last question would you want to give us update on few of our major projects ?

Company Speaker : I did mention earlier Jammu is nearing completion . Most of the job will be completed December end or January . We should be in a position to start handing over . CSTM I have already mentioned in the last quarter we will start billing in. Chandigarh we have already started billing . The veterinary hospital and University in Bihar which is an Rs.890 Crores project we are already billing close to Rs.15 Crores every month.

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Page 13 of 16 Aerocity Bharti Project we are billing close to Rs.15 Crores which post the NGT ban being uplifted we hope to cross Rs.20 Crores every month . The retail development there only at the Aerocity we have started billing there and we should be billing in excess of Rs.15 Crores again post the ban being uplifted . NIIT I have already told you we are billing more than Rs.20 Crores every month so these are some of the major jobs.

Deepika Bhandari: Okay Sir. That is it. I got it. Thank you so much Sir and all the best for the future.

Moderator: Thank you. The next is question from the line of Vaibhav Shah from JM Financial.

Please go ahead.

Vaibhav Shah: Thanks for the opportunity. Sir how has been the execution in the Nepal Police Academy project in the first half?

Company Speaker: Yes so Nepal is running slightly behind schedule because that being an EPC project and that being a project where both the Indian government from CPWD is involved and the client are local there. Coordination has been a bit of an issue but that project is now moving and we are about delayed by about two months there but I think we are on track to make up lost time.

Vaibhav Shah: So how do you see the execution in the second half in the project?

Company Speaker: Yes I think as I said execution is the way, the way the revenue the way our contract is structured a lot of our inflows or our share of the inflows or profits are linked to the advances so part of that advances come and our margins have also come so we have actually insulated ourselves from delays in that project to a large extent as far as our margins are concerned.

Vaibhav Shah: Okay Sir secondly you mentioned that we have around receivable of Rs.17.5 Crores from Bihar so it pertains to the Bihar Animal University Project largely?

Company Speaker: No that Bihar Animal Husbandry Project was a slow moving project last quarter because there are a lot of old heritage building. It is a 400 acre campus. The

campus

already exists. Now this is being modernized. The old buildings are being raised to the ground and new buildings are coming up so there was a delay in handing over the old buildings being handed over to us for demolition so that most of it is behind us. 60% of the area has been handed over to us and whatever we build the receivables are coming from that particular department. Most of these receivables that I said are from the Bihar Medical the two hospitals that we are doing. One in Chapra and one in Nalanda.

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Page 14 of 16 Vaibhav Shah: Okay and Sir how would be the execution in the second half for the City Project? Can it cross around Rs.60 Crores to Rs.70 Crores per quarter?

Company Speaker: Yes it will.

Vaibhav Shah: Okay. Thank you Sir. Those are my questions.

Moderator: Thank you. The next is question from the line of Dishmith Naik from RW Advisor.

Please go ahead.

Dishmith Naik: If I understood it correctly order execution will be slightly weak post-election is that correct?

Company Speaker: Yes rightly before elections also. It may be affected a bit and post-election also for some time yes.

Dishmith Naik: And this trend we have seen in past two elections as well?

Company Speaker: Correct.

Dishmith Naik: Okay and if you can just talk about the margin expansion levels Q-o-Q around 10% to 11%? Is it only coming from other expense operating leverage?

Company Speaker: Sorry come again. You are talking about and you are asking about the increase in margin that I am projecting is that what asking about.

Dishmith Naik: Yes?

Company Speaker: Yes traditionally the second half of the year especially the last quarter the March ending quarter is always the one which has the maximum run rate as both for the topline as well as the margins and I feel that it will be the case this year also which will drive our margin upwards and most of these jobs where a lot of expense has already been done once the designing is complete be it for CSTM and it is substantially complete for the Chandigarh Railway Station, for NIIT. Now the run rate will increase driving the margin upwards.

Dishmith Naik: Understood. Thank you.

Moderator: Thank you. We have our next follow up question from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Page 15 of 16 Shravan Shah: Hi, Sir. Just wanted to clarify, the third quarter, this running quarter when we say it will be better on Y-o-Y. So the ban last year if you look at in terms of the number of days where NCR pollution ban versus this also how many days last time that the ban was there. Because what I can see is given the last time also we have done a Q-o-Q growth in the third quarter and but you mentioned that we can see our marginal growth on Y-o-Y and not Q-o-Q. So that is the one I need a clarification.

Company Speaker: Yes, because Q2 this time we received a decent run rate. So what I am trying to say that is why I said year -on-year there will be a growth in the quarter . It may be difficult to grow Q -on-Q for maintain the same run rate especially keeping this 30-40 day break in mind. Another thing which is there in this quarter is even if over the next 5 -7 days the ban is lifted, there is Chatt Pooja. Now the labor almost all the labor has been disbanded. It has gone back to Bihar, to Jharkhand. As you know 80 %-90% of skilled workforce comes from these two states. They have all gone back to shut Pooja. So they will only be coming back maybe end of this month or maybe first week of December. So that is a major hit that we are going to take.

Shravan Shah : And in terms of fund based, non -fund based limit, so last time we were looking at to increase to 2100 , 2200 Crores from 1900 Crores . So have we done it and whatever the current?

Satbeer

Satbeer Singh : Yes, we have been sanctioned additionally 100 Crores more and that is now 2040 .

Documentation for 100 crores is to be done .

Shravan Shah : Sorry Sir, 2040 Crore is the limit now.

Satbeer Singh : Yes, right now.

Shravan Shah : And how much is utilized?

Satbeer Singh : This is around out of this you can say 325 Crores is unutilized.

Shravan Shah : 325 Crores non -utilized, okay got it, and that West Bengal land the stand is the same.

So we want to monetize, but it will be post FY2025.

Satbeer Singh : Yes.

Shravan Shah : Got it sir, and thank you and all the best.

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Page 16 of 16 Moderator : Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Shobhit Uppal : Thank you everybody. Look forward to seeing you at the end of next quarter. Have a good day. Thank you.

Moderator : Thank you very much. On behalf of Ambit Capital, that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

Ahluwalia Contracts
(India) Limited
Engineering, Designing & Construction

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(Corporate Identification Number: L45101DL1979PLC00 9654)

Date: 17-02-2024

To,
Compliance Department
BSE Limited.
25th Floor, P.J. Towers
Dalal Street, Mumbai - 400001 Compliance Department
National Stock Exchange of India Ltd.
5th Floor, Exchange Plaza,
Bandra Kurla Complex,
Bandra (East) Mumbai- 400051 Compliance Department
Calcutta Stock Exchange Ltd
7, Lyons Range, Dalhousie,
Murgighata, B B D Bagh,
Kolkata, West Bengal – 700001

Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 14-02-2024 at 4.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 14-02-2024 at 4.00 p.m.

The above details are also being made available on the Company's website at
www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: As Above

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"Ahluwalia Contracts India Limited 3QFY24 Earnings
Conference Call"

February 14, 2024

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
MR. VIKAS AHLUWALIA – WHOLE TIME DIRECTOR
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER
MODERATOR : MR. VIRAJ SANGHVI – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Ahluwalia Contracts India Limited 3QFY 24 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Viraj Sanghvi from Ambit Capital. Thank you and over to you sir.

Viraj Sanghvi: Thank you. Good afternoon, everyone. Welcome to the 3QFY24 Earnings Conference Call of Ahluwalia Contracts India Limited.

From the Management today we have with us Mr. Shobhit Uppal – Deputy Managing Director, Mr. Vikas Ahluwalia – Whole Time Director ; Mr. Satbeer Singh – CFO.

I will now hand over the conference to the Mr. Shobhit Uppal for their “Opening Remarks ,” after which we shall open the floor for Q&A. Thank you and over to you sir.

Shobhit Uppal: Thanks. Good afternoon, everybody. We Ahluwalia Contracts India Limited a construction EPC Company have announced our Financial Results for 3QFY 24.

During 3QFY 24, the Company has achieved a turnover of 1026.47 crores and a PAT of Rs.70.66 crores in comparison to a turnover of 743.25 crores and a PAT of Rs.45 crores during 3QFY 23.

The Company has registered growth of 38.11% and 57.02% in turnover and PAT respectively during 3QFY 24 as compared to 3QFY23 . The EPS of the Company for 3QFY 24 is Rs.10.55 as compared to Rs.6.72 in 3QFY 23. During Q3 FY24, the Company 's EBITDA margin is 10.90% as compared to 9.61% and the PAT margin 6.8 8% as compared to 6.05% in the corresponding period .

During the nine months of FY 24 the Company has achieved a turnover of Rs.2691.64 crores and a PAT of 175.69 crores in comparison to a turnover of Rs.1975.35 crores and a PAT of Rs.121.95 crores during nine months of FY 23. EPS of the Company for nine months FY 24 is Rs.26.33 as compared to Rs.18.20 during the nine months of FY23. During nine months FY 24 the Company 's EBITDA margin is 10.56% as compared to 9.82% and the PAT margin is 6.53% as compared to 6.17% in the corresponding period .

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The Net order book of the Company is Rs.11,246.83 crores to be executed in the next two to two and a half years. Total order inflow during FY24 till date stands at 5833.86 crores. At present we are L1 in two projects aggregating Rs.3229.87 crores .

We are ready to take your questions now. Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: So, just rechecking definitely in terms of the guidance. So, in nine months, definitely we have done a superb 36% revenue growth and we were looking at last time we guided + 20%. So, now for the fourth quarter how one can look at , is it fair to assume that we should at least be able to grow at least 8%, 10% on Q -o-Q so, that means closer to 1100 crore kind of revenue in the fourth quarter ?

Shobhit Uppal: Yes, we are targeting that , we should achieve about 1100 crores in the fourth quarter.

Shravan Shah: That's, great. And then considering so, first just a clarification this L1 of 3229 so, one is the Gem & Jewellery of 2840 odd crore and what was the other order?

Shobhit Uppal: The other is the sports complex in Assam , it's a stadium and a sports complex in Assam, Guwahati .

Shravan Shah: Okay . So, for Gem & Jewellery , we were expecting LOA by this January , February. So, when we are likely to get the LOA?

Shobhit Uppal: We should , we are h

opeful of getting it in this financial year , within a month .

Shravan Shah: Okay . So, then considering this our order bouquets order influence 9663 odd crore so, how much more are we looking to still expect to get in this year and how one can think of for the next year in terms of the order inflow ?

Shobhit Uppal: As far as this year is concerned, we should get in addition to the se L1, we should get at least 200 to 300 crores more . This is by virtue of extension of certain existing contracts with existing clients and maybe one other project in which we are negotiating with a private client. As far as the next financial year is concerned, this year has been good, going forward we are actually there is going to be a bit of a slowdown as elections around the corner. So, maybe going forward in the coming y ear, the order inflow may not be as much and we are also not aggressive, we are also awaiting what will happen post elections in terms of effect on prices and other things. So, maybe the order inflow our target is around 5000 crores .

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Shravan Shah: Okay. So, the similar in terms of the (+25%) kind of acquisition or the revenue growth one can now expect at least for FY 25-26-month couple of peers that should be the given the kind of inflow that we have already received and the order book ?

Shobhit Uppal: I would say more likely 20% because, as I said the year a couple of months are bound to be affected by elections.

Shravan Shah: Okay . And then in terms of the margin will this now, we are looking at 11 .5% to 12% in FY 25. So, can we start seeing that (+11%) from the fourth quarter onwards ?

Shobhit Uppal: You are already seeing that Shravan, it's improved significantly, almost a percentage point. And for the nine months, we have come to about 10.56% this will further go up in the fourth quarter.

So, yes, in the next financial year, we will definitely be above 11%.

Shravan Shah: Okay. And just a couple of balance sheet data points. So, inventory, trade receivables, trade payables, mobilization advance , retention money and unbilled revenue ?

Satbeer Singh: Retention money 291 crore, mobilization 414 crore, unbilled revenue 450 crores , inventory 342 crores , debtors 650 crores and trade payables is 746 crores.

Shravan Shah: And cash balance is how much sir?

Satbeer Singh: Cash balance, cash is 236 crores and bank 350 crore.

Shravan Shah: And the gross debt 32 crore which was there in September so, that same number ?

Satbeer Singh: Gross debt is around 42 crore.

Shravan Shah: Okay. And then in terms of the CAPEX , how much we have done and how one can look at in the fourth quarter and FY25?

Satbeer Singh: This quarter we have incurred around 31 crores and total nine month is 86 crores and we are expecting 12 0 crore already .

Shravan Shah: And next year also similar run rate or will it increase?

Shobhit Uppal: No, it won't increase.

Moderator: Thank you. Next question is from line of Mohit Kumar from ICICI Securities . Please go ahead.

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Mohit Kumar: Sir my first question is that some of the clarification was the current order book, what is the current order book . And are there any slow -moving orders in this current order book or there is a delay in getting the appointed date and what is the status of the Mumbai CST project?

Shobhit Uppal: So, m ost of the projects are now underway. I don't think there are any slow -moving orders , as regards CSTM . Now, we have clearances on certain portions of the design of sub buildings. And we will be seeing, while we have broken ground, but excavation or billing will start in right earnest from next financial year.

Mohit Kumar: Okay . So, are you booking any revenue from CST project now or is it most likely in FY 25?

Shobhit Uppal: In this particul

ar quarter or in the month of March we will book a billing of about 50 crores .

Mohit Kumar: Okay , understood a nd what is your current order book?

Shobhit Uppal: The net order book is about 11, 246 crores net , gross is 18,647.

Mohit Kumar: And plus you are L1 in 3200 odd crore, is that right understanding?

Shobhit Uppal: Yes.

Mohit Kumar: Can you please give a clarification ; can you just reinstate the order inflow of nine month. I know that the order inflow has been fabulous for this fiscal and last fiscal was great .

Shobhit Uppal: No, the order inflow till date is 5800 crores .

Mohit Kumar: Understood sir. My last question is given the fact that, of course the next nine to 12 months, the government sector orders w ill be slightly, they will slight slowdown in terms of finalization of tenders. But how do you think about the private sector we have not seen any private sector order materially last nine to 12 months are you seeing , do you expect this distribution to increase in terms of order inflow especially in the next fiscal ?

Shobhit Uppal: Yes, as I've mentioned in my last call, during the last investor call, we are slowly raising up our exposure to the private sector. Because as all of you are aware, the private sector CAPEX is increasing. And a lot of blue-chip clients who we consider a safe bet, are also coming up with large projects and they are looking at , on the short term we are seeing competitive intensity lesser in the private sector and more in the public sector. That is why you have seen that our private sector share of the total pie has also increased. For the long term, we would like to maintain an equitable mix between the two.

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Mohit Kumar: What is the share right now private sector in the current order book?

Shobhit Uppal: It's about 30%. If we see how it has moved up in the last one year, in Q1 23 it was 19% and today it stands at 30%. We aim to make it 50 :50.

Moderator: Thank you. Next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, is there any chance that Gems & Jewellery Park project value would be a bit lower than 2840?

Shobhit Uppal: Yes, it will be, as we had mentioned during our last call, as regards as an answer to a specific question which you guys had raised . That, the budget, our bid was more than their budget. So, that's why this has got delayed because they have been looking how to prune down the cost by reading using certain area. So, yes, that is what the exercise is happening, but it will be lesser.

Vaibhav Shah: So, it could be maybe 10 %, 20% lesser ballpark?

Shobhit Uppal: It's still being worked out. That's why I said it will take another month or so, for the letter to come in. It totally depends on the client , but yes it will be substantially lesser.

Vaibhav Shah: But it will come to us only that is for sure ?

Shobhit Uppal: Yes, everything is almost finalized.

Vaibhav Shah: Okay. And sir s econdly, how would you see the execution to pick up in the CST project in FY 25 and 26?

Shobhit Uppal: As I said, we will take off in real earnest in the next financial year and so it will take about two years for us to complete it so, '25-26 is right .

Vaibhav Shah: So, we will be complete. So, around 40% execution we can build in for the CST project in 25?

Shobhit Uppal: Yes.

Vaibhav Shah: Okay. And sir lastly what is the status for the Bihar animal husbandry project . So, over there how do you see the infusion being ramped up in Q4 in next year ?

Shobhit Uppal: So, the total value of the order is 890 crores we have built about 140 crores. And now, the major reason for lesser billing was that a lot of area was not handed over to us because existing old

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buildings, functional buildings were there . No

w 70% of the area has been handed over to us and

again, the project is moving at full speed. We are looking to complete it by the end of this year .

Vaibhav Shah: In FY 25 you will continue the Bihar project?

Shobhit Uppal: Yes.

Moderator: Thank you . The next question is from line of Amit Khetan from Laburnum Capital Advisors.

Please go ahead.

Amit Khetan: So, I had a couple of slightly longer -term questions. So , if we compare ourselves to some of our larger peers, like say L &T and Shapoorji . Where are we organizationally in terms of systems , processes, management , bandwidth, and the kind of people we hire , what are the gaps that you have closed over the last five years , what are the gaps that exist today and how are we planning to close those gaps . Also, in this context it will be very helpful if you can highlight how involved is the promoter family in managing various aspects of the business today, versus what it was say five years ago?

Shobhit Uppal: I didn't catch your name. Sorry ?

Amit Khetan: Amit.

Shobhit Uppal: Amit , hi. First of all, I would like to sort of take an objection to the first part of your question. It sounded as if, we are in some way inferior to our larger peers.

Amit Khetan: I didn't mean that.

Shobhit Uppal: Let me complete, we are smaller, but in no way inferior. In fact, that is why , we have our own homegrown systems. We have our own homegrown talent. That is why in spite of being so much smaller in size to them, we continue to punch above our weight, and we continue to compete with them , on some of the largest projects in the country , that's first part . The second part as regards the management bandwidth. I mentioned , we have homegrown talent, we continue to groom youngsters, we have a succession plan in place for every critical post. That is why today we are working in 17 states and have become a pan India Company in spite of doing just

buildings and factories. Secondly, to answer your question, what was the second or third part of your question could you repeat that . Promoter involvement , Yes there are three promoters who are fully involved and hands on. One is the Founder and Chairman and Managing Director, Mr. Bikramjit Ahluwalia , one is his son Mr. Vikas Ahluwalia , third is me Shobhit Uppal as promoters, we continue to be totally hands -on and involved in the day to day functioning of the Company . Anything I missed out .
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Amit Khetan: No. My second question would be you have talked about a bit of a slowdown around the elections. But if you were to take a slightly longer -term view, what are the risks and challenges you see both for yourself and for the sector in terms of both winning new orders as well as executing them. And how are we addressing those challenges?

Shobhit Uppal: So, Amit while yes the infrastructure industry is booming, and it is expected to continue to boom , because in all probability there is going to be continuity in the government post the general elections, there will be a bit of a slowdown as a part of the election process and how it impacts its order But we are insulated, because we have had a very robust order inflow as far as this financial year is concerned. So, we are insulated from that risk. And as I mentioned earlier, in response to one of the questions, most of our projects are well underway, there is no slow -moving portion of the order book. So , the only sort of hitch that I see is that, at the time of the election, just a month prior and month after when the new election, new government is to take shape or take over, there would be a bit of a slowdown in terms of payments. But we would hope to counter that through internal accruals in our internal funding.

Moderator: Thank you . The next question is from line of Suyash Sabo, Individual Investor . Please go ahead.
Suyash Sabo:

Sir, my questions have already been answered with the previous participants. But I would like to congratulate you on a great set of numbers. Thank you.

Moderator: Thank you very much. Next question is from line of Vishal Perival from IDBI Capital . Please go ahead.

Vishal Perival: Sir on the standalone and consol . So, there is one line item which only differs is the loss from associate so can you give some clarity though it's a small number, but what exactly this line item about ?

Satbeer Singh: This is basically quota. Only segment loss, so this is Nepal project, that's at an initial day. That's a disclosure of loss of Rs.40 lakhs during this quarter.

Vishal Perival: Okay . And this is what EPC work ?

Shobhit Uppal: It's an EPC work, where we have a joint venture with a local player and this project is in initial stages.

Vishal Perival: Sure. And then, you did mention on the CST project, so just correct me if I am wrong. So, next year we are targeting monthly run rate of billing in the range of like 100 , 150 and do you see this?

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Shobhit Uppal: (+100) crores every month.

Vishal Perival: Okay . And when do you see this project get concluded , in terms of the timeline which is there in the contract?

Shobhit Uppal: About two and a half years.

Vishal Perival: Okay. And maybe one industry specific question. So, in generally retention money which get blocked with a client, so is there any concept of interest that we get on them or ?

Shobhit Uppal: No, there is no interest on the retention money .

Moderator: Thank you. Next question is from line of Mohit Kumar from ICICI Securities . Please go ahead.

Mohit Kumar: Sir my question is on the pipeline of station redevelopment projects, are we looking to bid for the new project and as I understand there was a Delhi station which was up for bidding and that's the question sir.

Shobhit Uppal: At the moment, we are not focused on further station redevelopment projects.

Mohit Kumar: But is it fair to say that there are also smaller projects which are available, where we can ?

Shobhit Uppal: So, there are number of projects which have been coming out and will come out for bidding. But at the moment, we are not, that is not a focus area for us.

Mohit Kumar: Understood sir. My second question is, of course you spoke about the election and the delay in tenders finalization. But sir for the state government side, there should be enough activity, right.

There were enough state government tenders?

Shobhit Uppal: Look, whatever we may say, this is the general election where the state machinery also gets involved. And there are a number of other permutations and combinations which come into play so effect is there everywhere.

Moderator: Thank you. Next question is from line of Laxmi Narayan from Tunga Investments. Please go ahead.

Laxmi Narayan: Couple of questions. So, if you look at cumulatively the last five years projects you have actually executed, how many projects where there was a delay in execution, just to get a sense of proportion in terms of how many targets delayed which were in your control and how much has been delayed because of external factors?

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Shobhit Uppal: If you were to strictly go by the timeline, which are there in the tender, almost all projects there is a spillover, as far as timelines are concerned, if I was to be truthful. But what has happened is that, once the CPC regime or EPC mode of tendering has come into play, the delays which earlier on used to be mostly on account of, say drawings and details not being provided in time, those delays have been mitigated to some extent, not all. Because there are other factors also like you say for instance, if you look at NCR projects, you would have the NGT than coming into play which

with every progressive year, the impact is only increasing. Then there could be other political factors which come into play, there could be factors relating to funding, say for instance in some states, I would not like to name them, projects get delayed, because the state is facing a cash crunch. So, there are a number of factors, having said that, in all the projects that we have executed in the history of this Company the timelines whatever extensions, there have been, they have been granted to us by the client, thereby certifying that there have been no delays from our side. But yes project time overruns are there in almost all the projects.

Laxmi Narayan: Got it. The reason I am asking this question, if I was just going to the pre req qualification for one of the AIIMS projects, which has already been awarded and one of the pre req that they actually say that the person to whom we are contracting it, should be PAT positive for the last three years, should not have had any delays, et cetera. So, what was puzzling for me is almost every contractor will have these delays. So, then how do you even get qualified for these things, is it like a go no go something, how do you?

Shobhit Uppal: No, it's not that when they say that there should not have any delay what they mean, it's actually specified delay which is attributable to the contractor that's what I mentioned in my answer to your earlier question is that the time overruns are there strictly speaking, but in every contract, there is an extension of time which is granted, and the delay is a portion. If there is no delay to the contractor, the contractor is not penalized. You get my point, there is no liquidated damage, which is put on the contractor. That's what I mentioned, as far as we are concerned, it's never been put on us. And, generally when these qualification comes out, they check it for the last five to seven years. That's what the clause says, so whosoever has been awarded say we would have been awarded this contract that you are talking about, we could have been awarded because we have not had any penalty.

Laxmi Narayan: Got it, so it's subjective, it is very clear that, there is a process where the delay is attributed not to the contractor clearly.

Shobhit Uppal: Yes, there is a C PWD template, which is used to submit the contractor tells the client periodically that these are the delays which have occurred in a contract which is not attributable to us. And then, the client depending on which client it is, either periodically, they grant extension of time,
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or they keep the record and they keep granting provisional extension. And before closure of the contract, they grant a full-fledged extension.

Laxmi Narayan: Got it. And if I look AIIMS alone, there were a lot of AIIMS that were actually either constructed or yet to be constructed. But if you look at it, I see that only one we have actually won and recently L & T has actually won the Rewari one, just want to understand, why didn't we bid or did we bid and we lost just what to understand why because only one end amongst us several names that got bid out.

Shobhit Uppal: No, so let me first give you more accurate information. We have completed in the last two years we have completed two AIIMS projects one is AIIMS Kalyani, one is AIIMS Nagpur. The third AIIMS which is AIIMS Jammu which probably are referring to as the one which we won, which is one of the largest AIIMS or the largest AIIMS that is near in completion the Prime Minister is slated to inaugurate it by the end of this in the third week of this month, February. So, that's the third AIIMS that we will be completing in a period of two years. Prior to two years, we have done two large blocks for Delhi AIIMS the mother and child block and the OPD block. Those also aggregated about 600 crores,

prior to that say six years ago, we did an emergency block for about it was about 400 crores for the Safdarjung Hospital in Delhi. So, there are a slew of AIIMS projects that we have done as far as Rewari is concerned and one more Madurai. We were qualified for both these jobs. But as a part of our due diligence, we were not very comfortable with certain parameters in the contract. That's why we decided not to bid .

Laxmi Narayan: Okay, fair enough.

Shobhit Uppal: Yes. In fact for the Madurai project, in that one project they followed for the Madurai project. In that one project, they followed the PQ , pre-qualification route, where three contractors were only qualified one was us, one was Larsen and Toubro and one was Nagarjuna.

Laxmi Narayan: Got it. One last question may I squeeze in?

Shobhit Uppal: Yes, please.

Laxmi Narayan: So, if you just look at last five years, what has been our write offs or penalty which we have actually paid cumulatively and where have you ?

Shobhit Uppal: No penalties, Ahluwalia has not incurred any penalty .

Laxmi Narayan: Okay, all the retainer ship money we get , we have not lost any ?

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Shobhit Uppal: No, nothing . Just for your information, if you don't already know is that the general condition is that retention , half of the retention generally retention is 5% , half of which is released to us on completion and rest is released to us after the completion of the defect liability period which generally is 12 months post completion of the project.

Moderator: Thank you. Next question is from line of Priyesh Babariya from Max Life Insurance. Please go ahead.

Priyesh Babariya: So, first question is that just wanted to understand in terms of ordering environment , especially from private sectors, from a long-term perspective, which all sectors are actually contributing in the same which gives us that kind of confidence that our private share will go up from 30 % to 50% as such?

Shobhit Uppal: Obviously, the main driver in the private sector is the residential market. You look at DLF launched four months ago, five months ago they launched Arbour , wherein they had collected 9000 crores in three days. Subsequent to that, about a month, month and a half ago, they launched another project which they are calling Mini Camellias , where they have again garnered about Rs.7000 crore sales in about three days. So, you see this activity down South also , you see it in Mumbai also. So, private residential sector growth is there for all to see, we are also seeing that now after COVID after a prolonged period now, the commercial office space is also seeing a bit of a upswing , one is seeing a major investment in in hospitals, we have won three projects for Max, two are won in the last quarter , one in this quarter we have one. So, hospitals or healthcare is also seeing increase investment, retail is seeing increased investment, we are also seeing pockets of investment in hotels, four- and five -star hotels. Does that answer your question?

Priyesh Babariya: Yes, sir thank you .

Shobhit Uppal: And also one other sector education, that continues to sort of grow, we have started couple of new campuses for our existing clients Amity , Bennett is our clients. So, they continue to grow their university in Greater Noida, so on the education side also we see investment happening.

Priyesh Babariya: Sure, thank you . Sir are we thinking to foray into other than buildings or especially in non - government side and what new verticals are we looking to diversify here?

Shobhit Uppal: So, at the moment we would continue to focus on sectors around our core competence of buildings and factories, but we bid in this quarter , in the last month and a half, we bid for three airport projects. So, that could be counted as urban infra , but it's focused around the buildings only,

we are bidding for some metro projects, we have picked up a project which is an STP , the civil works for STP, which we are doing for Welspun, this is for Dharavi . So, these are the areas where we would look at some organic growth around our core competence.

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Priyesh Babariya: Okay. Sir, third question is that the tender pipeline as of now, since on the last call you had mentioned that our tender pipeline was around 2 500 crores so as of now, how the tender pipeline is working like?

Shobhit Uppal: It's robust, tenders continue to flow in the last financial year we have bid for tenders around if we were to look at an aggregate around 26,000 crores. So, the order win has been an excess of about 20%. So, this year it may be , the number may be as I said slightly lower than this on account of elections, this being an election year. But the order pipeline is healthy. We are being conservative in terms of bidding now, at least for the next three to four months.

Moderator: Thank you. Next question is from line of Uttam Shrimant from AXA Securities . Please go ahead.

Uttam Shrimant : Sir my question pertains to this fixed price contract. So, what is the value of fixed price contracts

in our current order book ?

Shobhit Uppal: 23%.

Uttam Shrimant : Okay. Sir you said that we will be bidding more for private contracts and private contracts have also increased to 30% and you want to go to about 50%. So, these private contracts are giving more better margins than government contracts or how we should look at it?

Shobhit Uppal: The competitive intensity in the government projects has increased. So, in the short term, at least over the next year, year and a half we feel that the margin on the private side will be better .

Moderator: Thank you. Next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir just a clarification. In terms of so currently is there any value of projects that we have bid and our bid is yet to open?

Shobhit Uppal: Yes. We have bid for Varanasi Airport , we have bid for Darbhanga Airport , off the top of my head. And we have bid for a project in Assam for PWD Assam.

Shravan Shah: Okay. Broader, in terms of Varanasi Airport, Darbhanga Airport the value would be how much sir, 300, 500 crore?

Shobhit Uppal: No, these are big projects, Varanasi is big, and Darbhanga is smaller than Varanasi so their aggregate value will be 2000 crore.

Shravan Shah: Okay, and the Assam one should be 300, 500?

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Shobhit Uppal: Yes.

Shravan Shah: Okay . And this Mumbai Gem & Jewellery when we say but definitely the abilities still the client has to work out finally in terms of the deduction but broadly, is it fair to say so, if I if I just do a 30% math , so it comes lesser than a Rs.2000 so, will it even much lower kind of 40 %, 50% kind of a lower that the client is looking?

Shobhit Uppal: No.

Shravan Shah: So, the range could be 20 %, 30% reduction could be the maximum possible?

Shobhit Uppal: Shravan keep asking one by one 10 to 20 questions. I have indicated it earlier around what it would be.

Moderator: Sir the line for the participant dropped , we move on to the next question. Next question is from line of Vaibhav Shah from JM Financial . Please go ahead.

Vaibhav Shah: Sir, are we facing any payment issues in any state?

Shobhit Uppal: Yes, we have been facing issues I mentioned in my last fall two states Bengal and Bihar . Bengal we have almost concluded our government assignments, only one project which also is the CM s focus project. So, there we are not facing any problems. Bihar yes, Bihar medical projects, we continue to face problems. But hopefully now with a new government in place. The signals that we are getting is that post the general ele

ctions there should be some alleviation and cash flow issues.

Vaibhav Shah: Okay. Sir s econdly the revenue for Nepal project comes standard alone or it comes only in consol ?

Shobhit Uppal: Repeat that question please ?

Vaibhav Shah: Sir the Nepal project since it's a JV so it's doesn't reflect in standalone book right ?

Satbeer Singh: So, revenue is around basically 30 crores per month, consolidated.

Vaibhav Shah: Okay. And sir lastly, what is the share of residential private in the overall order book?

Satbeer Singh: This is residential 11.80% , commercial 7.62%, hospital 24.69% .

Shobhit Uppal: I think your question was residential private ?

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Vaibhav Shah: Correct, so what is the private part?

Shobhit Uppal: Total is about 12%, so total value is 1327 crore o ut of which the government there are two government projects one is Gardanibagh and one is HIDCO, the value remaining here is about 200 crores. So, about 1100 crores is the private sector residential.

Vaibhav Shah: Okay. Sir for FY25 you valued for 5000 crore of inflows, so you expect majority of that coming in the second half next year ?

Shobhit Uppal: Yes.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions . On behalf of Ambit Capital Private Limited, we conclude this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

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Date: 04-06-2024

To,

Compliance Department

BSE Limited.

25th Floor, P.J. Towers

Dalal Street, Mumbai - 400001 Compliance Department

National Stock Exchange of India Ltd.

5th Floor, Exchange Plaza,

Bandra Kurla Complex,

Bandra (East) Mumbai - 400051 Compliance Department

Calcutta Stock Exchange Ltd

7, Lyons Range, Dalhousie,

Murgighata, B B D Bagh,

Kolkata, West Bengal – 700001

Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR) Regulations, 2015 held on 30 -05-2024 at 4.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed Transcript of Analyst /Institutional Investor Meetings held on 30.05.2024 at 4.00 p.m. and Audio Recording Link:

<https://cc.reservations.com/recordings/data/AMB0920240530153458.mp3>

The above details are also being made available on the Company's website at www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)

Company Secretary/Compliance Officer

Encl.: As under

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"Ahluwalia Contracts (India) Limited
4Q & FY24 Earnings Conference Call "
May 30, 2024

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

MODERATOR : MR. VIRAJ SANGHVI – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Ahluwalia Contracts (India) Limited 4Q and FY24 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Viraj Sanghvi from Ambit Capital. Thank you and over to you, sir.

Viraj Sanghvi : Thank you. Good afternoon, everyone. Welcome to the 4Q and FY 24 Earnings Conference Call of Ahluwalia Contracts (India) Limited. From the management today, we have with us Mr. Shobhit Uppal, Deputy Managing Director; and Mr. Satbeer Singh, CFO of the company. I will now hand over the conference to the management team for their opening remarks, after which, we shall open the floor for Q&A. Thank you and over to you, sir.

Shobhit Uppal : Ahluwalia Contracts (India) Limited, an EPC company has announced financial results for 4Q FY24 during 4QFY24, the company has achieved a turnover of INR11,63.66 crores. and PAT of INR199.85 crores in comparison to a turnover of INR63.05 crores. And a PAT of INR72.21 crores during 4QFY 23.

The company has registered a growth of 34.83% and 176.76% in turnover impact, respectively, during 4QFY 24 and in comparison to 4QFY23. EPS of the company for 4QFY24 is INR29.83 as compared to INR10.78 in 4QFY23.

During 4QFY24, the company's EBITDA margin is 8.96% as compared to 12.77% and a PAT margin of 17.17% as compared to 8.37% in the corresponding period. During FY 24, the company has achieved a turnover of INR3,855.29 crores and a PAT of INR375.55 crores in comparison to a turnover of INR2,838.39 crores and a PAT of INR194.16 crores during FY 23. EPS of the company for 9MFY 24 is 56.06 as compared to 28.98 during FY 24.

During FY 24, the company's EBITDA margin is 10.48% as compared to 10.72% and a PAT margin of 9.74% as compared to 6.84% in the corresponding period. Net order book of the

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Company is INR11,179.93 crores to be executed in the next 2 to 2.5 years. Total order in flow during FY 24 till date stands at INR65,36.81 crores. At present, we are L1 in four projects amounting to INR3914.28 crores. Sorry, there was an error in one of my earlier statements. EPS of the company for FY 24 is 56.06 as compared to 28.98 during the last year.

Yes, that's all. So we are ready to take questions now, thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah : Thank you, sir. Sir, first is on the margin front. So this quarter, we have seen a 9% EBITDA margin. In the last conference call, we were confident that we can do for more than what we reported in the third quarter that is 10.9%. So any specific reason? And now how do we see the margin for FY25 and possible for FY 26?

Shobhit Uppal : Look, in the last month of the year the slowdown had started on account of the impending elections. So that has impacted. Plus in March, there was March and then subsequently in April and May, there was a huge scarcity of labor. So that impacted our productivity. So that has led to reduce margins while our turnover has grown, but it could have been more if the

labor scarcity was not there.

Going forward, what we had projected. What I said in the last call that FY '25, the margins will grow up because our order book is healthy and with the new government also coming in now, I think the pace of projects even execution will pick up. And traditionally come May, the labor also starts coming back. At the moment, we are operating at about 60% to 70% on our project side over the last 3 months or so.

So all these things when we take into account these have impacted our margins. So going forward, whatever guidance I've given for FY '25 last time, we are confident it will be a double digit, more than 10%.

Shravan Shah : Yes, sir. Definitely Sir, I was saying last time, we have spoke about more than 11% EBITDA margin for '25, '26, but now we are saying more than 10%?

Shobhit Uppal : We are confident. As I said, it all depends on how quickly we are hearing various things about what's going to happen. So your guess is as good as mine as far as the new government is concerned. So on fourth of June, I think things will be clear how quickly the new government takes charge and how quickly the pace of work gets back to what it was 3 to 4 months ago.

That is why I'm being little conservative but we are -- I think we are better placed because a lot of our contracts are central government contracts. I don't think 80% or 75% of the contracts are free from escalation worries they are not fixed contracts. So while I'm also qualifying that we will stick to the guidance that I had given in just being a little conservative.

Shravan Shah : Okay. And on the order inflow and revenue growth for FY '25 '26 how now we are looking at?

Shobhit Uppal : 15% to 20%. And these orders, we are L1 in approximately INR4,000 crores worth of project these are four projects. So I think this will also happen in June or July. We were only held up because of elections so this should also happen. And going forward, we feel the order pipeline is also healthy.

Shravan Shah : So additionally apart from this INR3,949 crores, L1 4 projects, how much more are we looking at to bag in FY '25?

Shobhit Uppal : Another INR2,500 crores to INR3,000 crores.

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Shravan Shah : And so considering the bid pipeline now stands at what ?

Shobhit Uppal : It's at about INR4,000 crores.

Shravan Shah : Okay. It is just a INR4,000 -odd crores bid pipeline, but -- and also when we are saying 15% to 20% revenue growth. Does that mean that in FY '26, then we can have even more than 20% kind of growth?

Management: I did say 15% to 20%. So FY '26, let's see.

Shravan Shah : Okay. And a couple of, sir, just the balance sheet data points, mobilization advance returns money, unbilled revenue?

Management : Hi Shravan, mobilization advance is INR528 crores, retention money INR322 crores, unbilled revenue INR395 crores.

Shravan Shah : And working capital days has increased particularly debtor has increased and payable has decreased. So closer to 38 days working capital day from the last quarter it was around 25 days. So how do we see -- will it come back or will it sustain at these levels?

Management: Basically working capital days has increased due to debtors, we have to receive the funds from the Emaar MGF that is a major money of around INR 125 crores. That's why working capital has increased. Otherwise you will see inventory days has been reduced and also WIP days has been reduced so all has been reduced.

Shravan Shah : Okay. And then the capex guidance will remain the same INR100 crores, INR120 -odd crores for FY '25?

Management: This year we had basically INR110 crores.

Shravan Shah : For FY '25 INR 110 crores, you are saying?

Management: Correct approximately.

Shravan Shah : Okay. And sir Gems & Jewellery anything in terms of the scope reduction as it were finalized?

Shobhit Uppal : As I said this will get finalized in June and July. It will end up on account of -- since the land is allotted by the government. There were certain formalities which were not completed on

account of the election time. So it should happen now.

Shravan Shah: Okay got it sir. All the best.

Moderator: Thank you. The next question is from the line of Samrat Sarkar an Individual Investor. Please go ahead.

Samrat Sarkar: Sir I just want to know the reason behind the high subcontracting charges. I guess it's about 2% higher than the last quarter?

Management: So Basically this is subcontracting which just include manpower supply subcontracting and labour work sub contracting and is not specific to work back to back with material subcontracting. That's why basically I feel that is very high .

Samrat Sarkar: Okay. And going forward this will come down in line with our earlier guidance?

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Shobhit Uppal : If you see -- yes it's one this along with the next listing employee benefit costs this have to be read in conjunction. It would be about a percentage point higher.

Samrat Sarkar: And sir hello am I audible now.

Shobhit Uppal : And this also did get impacted due to an extended NGT period in January, February this year.

Samrat Sarkar: Okay. And sir, I want to know also about the breakup of the government and the private orders in your entire order book. What is the ratio of government orders as well as private?

Management: This is

private 34.85% rest are government.

Samrat Sarkar: That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities Limited. Please go ahead.

Mohit Kumar : My first question is on the Chandrapati Shivaji Maharaj Terminus redevelopment project at Mumbai and what is the kind of execution you can expect in FY25 and FY 26 from this particular project?

Management: So this project now is starting off now . There were certain issues with growing accruals because there has been -- there have been some changes from the initial tender drawing provided to us necessitated by the client requirements and local authorities. So all that is behind us now. So we have broken ground and construction has begun. So going forward we are looking at in the rest of the year we are looking at doing a turnover about INR 800 crores in this financial year which is FY25. And in FY 26 it will be to the tune of about INR 1,200 crores.

Mohit Kumar : So are there any other slow -moving orders in the order book right now?

Shobhit Uppal : There are a couple of slow moving orders in Bihar which we expect which are near in completion actually the last 30% into medical colleges is left which we feel that post-election the pace will pick up. They are held up on account of funding issues.

Mohit Kumar : And is it possible to share the L1 position I'm talking about the details of the L1 order position.

Management: Yes, we are L1 in INR 3914.28 crores 4 projects.

Mohit Kumar : Is it in the -- from the government side or private side can you just...

Shobhit Uppal : These are all three are government sites and gem and jewelry park that can be classified as a private contract.

Mohit Kumar : Understand, sir and the last question sir as the order for FY '25 where do you see the new government for the new government formation, do you think that there will be more opportunity if you can throw some color on that?

Shobhit Uppal : I think it is -- it's all a matter of conjecture, but general consensus seems to be there that the NDA will come back to power and the infrastructure growth will continue. Having said that we are relatively secure because we have a healthy order book and with the INR 4,000 crores worth of projects coming in which we expect to come between June and July. We would have achieved 70% of inflow what we achieved in FY 24 which was as it is very healthy. So as far as the order book is concerned we are relatively secure.

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Mohit Kumar: Unders tood sir. Thank you and all the best.

Moderator: Thank you. Th e next ques tion is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Sir apart from Bihar in a ny other state you are taking some payment issues.

Shobhit Uppal : No Bengal all our projects are over except for one which also will be completed in the next 2 months. So other than that we don't have any major issues.

Vaibhav Shah : So we have slowed down the execution for Bihar and Bengal projects given the payment issues.

Shobhit Uppal : As I mentioned earlier two projects in Bihar . Actually it's a problem with one particular department. We are majorly executing projects for two departments there. One is they are building a construction division where this veterinary hospital is going on. That's going on time and there's a residential housing projects for senior officers w hich is also nearing completio

n. It's the hospital t hat we are doing for the Bihar M edical Services Cooperation where the projects are stalled virtually on account of funds a nd these are two projects where 70%, 75% work is already done.

So we are hoping that once the pol itical combined comes to power, NDA comes to power I think funds will start flowing in, b ut at the moment the project has fallen.

Vaibhav Shah : Okay. And sir what about the Mumbai Sewage Disposal Project and how do you see the execution because in Q4 we have seen a strong execution. So we expect t he momentum to continue?

Shobhit Uppal : Yes it will.

Vaibhav Shah: Few odd crores per quarter.

Shobhit Uppal: It will t he first quarter again of FY 25 because of elections as I mentioned earlier . May is the results may be a little sluggish but and then t his is the monsoon season also, b ut FY 25 overall should be good.

Vaibhav Shah : Okay. And sir what about Bihar Animal Science University project. So what is your targeted revenue for '25 '26 ballpark?

Shobhit Uppal : So out of the t otal value of that is about I NR890 crores and we have executed till day. We have executed about 100 – unexecuted is around INR680 crores is unexecuted. A s I had mentioned in my last call that for some building or old buildings are being demolished to make space for the new one. So all those are handed ove r to us barring one. So the pace now is moving on at high speed.

Vaibhav Shah : So earlier we had guided we are targeted to complete it in '25 ? so will it...?

Shobhit Uppal: Over the next 15 months.

Vaibhav Shah: Okay. And sir, lastly, fo r the Gem & Jewellery Park, what is the amount that we have considered in the INR4,000 crores L1 position?

Shobhit Uppal: INR2,350 crores.

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Moderator: The next question is from the line of Hetan Jain from Avendus Spark. Please go ahead.

Hetan Jain: My first question is on, sir, if you can share us the adjusted PAT number for FY'24 and quarter?

Management : Please repeat your question, what you're saying?

Hetan Jain: Adjusted PAT without the exceptional item.

Management : Exceptional item, that is basically the settlement with the Emaar MGF. This is INR197 crores. This is -- as we have shown in this. Total 218 crores, including GST. And out of this, we have received INR90 crores.

Shobhit Uppal : Adjusted PAT without the exceptional item. He is asking that. That's INR140 crores.

Management : INR140 crores.

Management: INR144 crores.

Management : Basically, the tax amount 25.1% tax.

Hetan Jain: Okay. 25.1%. My next question is, sir, as per your strategy where you want to increase the composition of private orders, what type of developers -- which developers are you looking to work with? Or do we have any agreements with developers?

Shobhit Uppal: There are no agreements per se. But as you can see from the order book, we are working with DLF now. We are working with -- on the private side, we are working with Puri. We have bids for Godrej. We have bid for Birla, Century Real Estate. Bharti, we are already working with. So certain clients of certain pedigree, right, and with deep pockets, we want to work with them.

And then there are a few clients who are longstanding clients, or we are their longstanding contractors, like Amity, Bennett Coleman, you know, who we have been working with for a number of years. Then some hotel chains, we are doing a JW Marriott. So we are not working with, and Brookfield is a client. So such private sector clients we want to

work with. And our

order book, as we mentioned earlier, is at 65 -35 approximately. So, in the long run, we want to make it 50 -50.

Hetan Jain: Understood. And also, sir, how are these contracts awarded? Are these privately negotiated or...

Shobhit Uppal: We are also working with Foxconn on their plant and we are working with Adani. So, you know, pedigree clients, private sector clients.

Hetan Jain: Understood. These are privately negotiated contracts, right?

Shobhit Uppal: These are privately negotiated, yes.

Hetan Jain: Okay. Just one last question on depreciation. Sir, why has depreciation increased, high depreciation in the quarter?

Management: Basically, this quarter we have impaired Kota mall with INR14.91 crores, that's why...

Hetan Jain: Around INR15 crores. INR15 crores, right? Am I right?

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Management: Yes, INR15 crores.

Moderator: The next question is from the line of Uttam Srimal from Axis Securities.

Uttam Srimal: Sir, how do you see the opportunity in data center creation?

Management: I think I did -- I was asked this question during the last call also. It is not something that excites us.

Uttam Srimal: So one question in regard to what is our cash and cash position, including FDR currently?

Management: Cash and cash equivalent is INR334 crores. And basically bank position is INR445 crores.

Uttam Srimal: That is cash and bank?

Management: That appears on the face of balance sheet.

Moderator: The next question is from the line of Parikshi from HDFC Securities. Please go ahead.

Parikshi: So my first question is on the margins again. So you said that March, there was a problem of labor and it still continues -- you think that it will continue even in May and June. So we are also -- so same way, are we looking at Q1 being again a soft quarter in terms of margins?

Management: I did mention that, yes.

Parikshi: So could it be worse than Q4?

Management: Not only -- labor is one and then elections, of course.

Parikshi: But can we go below 9% because in this quarter, there was only one-month impact and now on Q1, we'll have more impact of two months or maybe three months. So can it go below 9% as well?

Management: I don't think so, no.

Parikshi: So is the bottom -- so 9% would be the bottom margin revenue which you recorded in Q4?

Management: Yes. I said yes.

Parikshi: Okay. My second question is on the settlement with Emaar MGF. So how much is the total cash inflow expected from this transaction -- from the settlement and how much have you realised in Q4?

Management: That amount has been settled INR218 crores and including GST. And out of this, we have shown with INR194 crores basically basic amount. And this would attract 25.17% tax and INR90 crores received so far. Balance INR125 million within 2 tranches, basically August and January.

Parikshi: August and January, okay. And your total INR140 crores per share overall, right?

Management: Rest is basically INR128 crores.

Parikshi: No. I'm saying out of INR194 million, excluding the taxation, you will have realization of about INR140 crores total cash inflow for the company, right?

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Management: Yes.

Parikshi: Okay. Got it. And just last thing, sir. You said the L1 is -- can you please again tell me what is the total L1 amount?

Management: INR3,914.28.

Parikshi: INR3,914?

Management: INR3,914.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities Limited. Please go ahead.

Nidhi Shah: The only question I had was on the exceptional item that was listed in this quarter, the arbitration between a customer and you. So could you give more details about the arbitration and whether the settlement amount has been received? If not, then when can you expect that?

Shobhit Uppal: So this was the long timing dispute on the Commonwealth Games Village project with Emaar MGF. So the settlement amount is INR218 crores, the award, which has come to us, out of which INR90 crores has been received. The balance will be received over two tranches, one in August this year and the other one in January.

Moderator: The next question is from the line of Ruchi Jain from Asit C Mehta Investment Limited. Please go ahead.

Ruchi Jain: My first question is how much you have an outstanding order book as on 31st March 2024 on the executed order book?

Management: INR11,179 crores.

Ruchi Jain: INR11,179 crores, okay. And we may expect that this to be executed around next 18 to 24 months?

Management: 24 to 30 months.

Ruchi Jain: 24 to 30 months. And my second question that, as you have mentioned, as far as expected order inflow is concerned, in FY'25, though there is an election around the corner, but can you give some numbers that can be possibility or your target for FY'25 as a new order inflow because the way the infra push is still there and the way we are seeing that in a new budget, our government may further increase their capex target maybe around possibility of further more some chances are there. So can you give some bit of an idea, these are the numbers that can possible as expected order inflow in FY'25?

Shobhit Uppal: So as I said, INR4,000 crores is something which -- in which we are lower, 4 projects, aggregating INR4,000 crores. That should happen in the next 30 -60 days. The award was held up on account of elections. So that should happen in the next 1 -2 months. Other than that, there is an order pipeline in the short term of INR5000 crores. But for the entire year, in addition to this INR4,000 crores, we have given a guidance of about another INR2,500 or INR3,000 crores.

Ruchi Jain : So we may expect somewhere close to INR7,000 crores, there can be a possibility order

guideline an inflow for the FY '25 nutshell? right? My understanding is correct?

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Management: Your understanding is correct yes.

Moderator: The next question is from the line of Laxmi Narayanan from Tunga Investments. Please go ahead.

Laxmi Narayanan : I just want to understand, you look at the entire year, what has seen our win loss ratio? And is that something which you track that so much of projects you have bid and takes you yourself with you and why you lost some kind of a number? I just want to understand what -- how that is planned in the last 1 or 2 years.

Management: So it's -- we are at about 17% in our analysis as to be submitted and the project 1 last year. So this is a total number. Other than that, what we are seeing is that there is increased competition on the government sector side.

Laxmi Narayanan : 17%?

Management: Yes, 17%.

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Shobhit Uppal Moving on, we are reducing our bids if I may say so in the public sector side, we are becoming more selective only bidding on large jobs where competition is relatively better and increasing our exposure to private sector because that is picking up speed continues to pick up speed. And on the larger projects with market developers, they are only looking at pedigree contractors. So we feel margins there would be higher or higher.

And there, it's very difficult to calculate for the number because it's not L1. You can calculate the number of consultants, success percentage in an L1 bid, right? .

Laxmi Narayanan : Got it. So the 83% where it did not get to is it all because of cost related issue?

Management: Yes, it's all. Cost because on jobs where we don't qualify, we don't even bid then, no?

Laxmi Narayanan : And then second , in terms of the total number of proposals you are working on the private side. How that has actually increased in the last -- when you ended last year, let say, you're working on x volume of projects worth in private sector. What is that volume now right now as we speak, how many -- what the total time price you are actually working on the private side in terms of cost?

Shobhit Uppal As Satbeer mentioned earlier in response to an earlier question, our order book, just to give you an idea, out of a total order book of, say, about INR11,000 crores, 35% is the private sector side. So that would amount of about INR4,000 crores. If we were to go back, I don't have those numbers with me. But if memory serves me right, last year, the private sector was about 17% our order book also like order book was also competitively lesser in amount. I think it was about INR8000 crores , right?. So say from about INR1,000 crores, this number has gone up INR4,000 crores in absolute numbers.

Laxmi Narayanan : Got it. Sir, the question is slightly different. It's not the order book about the total let's say, you are actually working actively on ex crores sort of proposal in the private sector. I just wanted to put a how large is the opportunity we are currently working on and submitting proposals. It's not the 1 which has converted into order book?

Management: Okay. So out of, say, the order pipeline that I mentioned about INR5,000 crores. The pipeline on the private sector side should be about 50% of that, about INR2500 crores.

Laxmi Narayanan : And this number would have been much lesser last year?

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Management: Much lesser. So just to give you an idea, even the scale like the project that we're doing for DLF, that project is about INR744 crores, right?

So the project that we bid for Godrej, two projects we bid they were about INR500 crores each.

The project that we have recently bid Birla, that's also about INR500 crores. The project that we bagged with EM AAR I forgot to mention that earlier, that's in excess of INR400 crores.

Welspun, we are doing a project with Welspun that's in excess of INR500 crores.

And mind you, these are all core and shell packages. So at the moment, on all these projects that I named, these are not including the other verticals, MEP or facade.

Moderator: The next question is from the line of Abhishek an Individual Investor. Please go ahead.

Abhishek: I wanted to know about the cost of material consumed that has gone up in quarter 4 by about 1.59% year-on-year. So can you throw some light on that? Is it a year-end phenomenon?

Management: Year-on-year, it seems to have the figures that I have in

front of me it's reduced 0.2%

Abhishek: Yes, for the whole year, it has reduced. But for -- specifically for the quarter 4, it has gone up by 1.5%. So especially in quarter 2. So what's -- just wanted to know the reason for the same

Management: So if we see successive quarters, it is the same. If we see Q4, 48.75% if we see Q3, it is 48.15%.

Abhishek: I'm not saying quarter-on-quarter, but year-on-year, that is correspondingly of the previous year. On the previous financial year. For comparing for financial year '22, '23 comparing it?

Management: You are comparing quarters of successive years. Is that what you're saying? But you can't really -- these are things which tend to average out -- if you see year-on-year, it's almost same.

If you see quarter to the last quarter, it's almost same. But yes, there is a difference in in the quarter of the 2 years, same quarter of 2 years, there is a difference of about 1.5%. Yes, we'll need to take a look at that. But as I said, overall, you see tend to average out.

Abhishek: Okay. And sir, I wanted to know about the margin in private sector and the government sector.

Where we are having the EBITDA margin is the highest whether it is in the private sector or the government sector, can you throw some color on the

Management: -- and one other thing I was just thinking about your question. One other reason why I said it can average out or does average out is it depends where are -- in the life cycle of a project, -- the structural package, say, the labor cost is lesser and material costs are higher in the finishing packages, it's the other way around. Finishing items is the other way around it.

So it totally depends on in the last quarter of the last financial year, what were the items or what were the kind of items that were being executed in the projects which were under execution time.

So it's not a very substantial difference. So repeat your last question again, please? .

Abhishek: Yes. And sir, what about the margin in the private sector and the government sector. What kind of margin we are having operating margin?

Management: As a generalized statement, I've always said private sector is the going is all right, the margins are always better. But it is all a factor of its change from time to time. But generally, because government tenders are L1 tender. Right? -- there is intense competition. Private tenders are awarded more on -- there is a bit. They try and equate various bids, but it's a relationship

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driven largely -- so -- and obviously, in the private sector, what we are seeing today, because of the high demand in terms of timely delivery and delivering a quality project, all the large developers are looking at only for 4 or 5 pedigreed contractors.

So that's why the margins are more. There is a difference of about percentage point between a percentage or percentage of 1.5% between the public sector and private sector. If I was to generalize but it also depends on the pedigree of the developer and the type of projects that is being executed. The more complex project, obviously, the competition is lesser.

Abhishek: And sir, my next question is that how much fixed price contract and variable contract, what is the mix in the total order book?

Management: It is yes, 70%, 30% -- 29% is fixed price.

Abhishek: That is from my side. Thank you, sir.

Moderator: Thank you. The next question is from Raj Shah from Marcellus Investment Managers. Please go ahead.

Raj Shah: My question is

regarding. Sir, you can update us with the progress that has been made on SAP Implementation.

Management: Can repeat it, you were not clear.

Raj Shah: Sir, my question was regarding the update on SAP implementation. If you can update us?

Management: Yes. We have engaged PwC to we are implementing SAP. We engaged with them a month ago. They have started and targeted in the next 9 months to 12 months, the entire operation for all our projects and our head office and regional offices will be on SAP.

Raj Shah: Okay. And will this affect our financials in any way in the next few quarters?

Management: No, not really. In fact, after 9 months or so, we have kind of why we -- I mentioned in my last investor call also, we are embarking on a digital transformation exercise. So maybe a year from now, efficiency should increase.

Raj Shah: And last question is on this Kota bus terminal project where you have taken an impairment of INR15 crores, what is this impairment regarding and what we can expect in future?

Management: Again, you repeat your question.

Raj Shah: What is this impairment cost explain the impairment?

Management: This is according to accounting standard and according to discounted cash flow method. So basically, last year, whatever we have projected that couldn't materialize. That's why -- and whatever the both cash inflow and outflow would be there according to that has been discounted and impaired around INR14.91 crores.

Raj Shah: Thank you. That answers my question.

Moderator: Thank you. The next question is from the line of from Samrat Sarkar, an Individual Investor.

Samrat Sarkar: I just want to know, in the segment result the heading investment properties for this Q4, there is a loss of INR15.25 crores -- can you just elaborate on that same?

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Management: Already answered this question. And as we have replied that, this is basically impairment for Kota Mall, that's INR14.91 crores. That's why investment properties have been depreciated with higher rates.

Samrat Sarkar: Okay. And sir, again, congratulations for great execution, whatever with the margins, I understand due to the labour issues and all but congratulate for great execution of sales this year.

Management: Thank you so much.

Samrat Sarkar: Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Vasudev Ganatra from Nuvama Wealth. Please go ahead.

Vasudev Ganatra: So sir, my question is on the bid pipeline of INR5,000 crores. So which are the segments that you are currently focusing on here?

Management: On the private sector side, it is residential and in commercial and retail. On the government sector side, it is institutional and education and health care.

Vasudev Ganatra: Okay. And sir, in the last call, you said that we have bid for 2 airport projects also where to open. So are they open? And are we L1 in those? Or it's still pending?

Management: Yes. We are L1 in 2 projects. One is the Varanasi Airport, which is about 900 crores, and one is the Darbhanga Airport, which is about INR572 crores. These are, as I mentioned earlier, these are part of the INR4,000 crores worth of L1 projects, which should be awarded in the next month or so.

Vasudev Ganatra: Okay. And lastly, sir, are there any other projects where we have bid but the bids are yet to open?

Management: There is a university project, state university, large project in Odisha, where the top 4 companies in the country have bid. So wh

ere the bids are yet to be open. And there are a few kind of type where negotiations happen.

Vasudev Ganatra: That's it from my side. Thank you.

Moderator: Thank you. As there are no further questions, I would like to say on behalf of AMBIT Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Ahluwalia Contracts India Limited 1QFY 25 Earnings
Conference Call "

August 16, 2024

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING
DIRECTOR , AHLUWALIA CONTRACTS INDIA LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER ,
AHLUWALIA CONTRACTS INDIA LIMITED
MR. VIKAS AHLUWALIA – WHOLE -TIME DIRECTOR ,
AHLUWALIA CONTRACTS INDIA LIMITED
MODERATOR : MR. YASH JAIN – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Ahluwalia Contracts India Limited 1QFY25 Earning Conference Call hosted by Ambit Capital.

As a reminder, all the participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yash Jain from Ambit Capital. Thank you and over to you, Mr. Jain.

Yash Jain : Thank you. Good evening, everyone. Welcome to 1 QFY25 Earnings Conference Call of Ahluwalia Contracts Limited .

From the Management today, we have Mr. Shobhit Uppal – Deputy Managing Director and Mr. Satbeer Singh – CFO of the company.

I will now hand over the conference to the Management Team for their "Opening Remarks " after which , we shall open the floor for Q&A. Thank you and over to you, sir.

Shobhit Uppal : Thank you so much. Ahluwalia Contracts India Limited Construction Company has announced Financial Results for 1QFY25.

During Q1 FY25, the company achieved a turnover of Rs. 919.35 crores and PAT of Rs. 30.60 crores in comparison to a turnover of Rs. 763.61 crores and the PAT of Rs. 49.73 crores during Q1 FY24 . The turnover of the company increased by 20.39% during Q1 FY25 in comparison to Q1 FY24. EPS of the company for Q1 FY25 is Rs. 4.57 as compared to Rs. 7.42 in Q1 FY24 . During Q1 FY25, the company 's EBITDA margin is 6.58% as compared to 10.83 % and the PAT margin of 3.33% as compared to 6.51% in the corresponding period .

Net order book of the company as on 30th June 2024 is Rs. 13,143.72 crores to be executed in the next 2 -1/2 to 3 years. Total order inflow during FY25 till 30th June Rs. 2,727.93 crores from 1st July till date Rs. 2,217.61 crores , so total order inflow during FY25 till date is Rs. 4,945.54 crores.

Thank you. We are open for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

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Mohit Kumar : My question was on this margin in the quarter was 6.5% if I am not wrong , can you just tell us why there was such a low margin this particular quarter and how do you think the balance here

to pan out, if I remember correctly, I think we had guided for 11% margin for FY25?

Shobhit Uppal : So, Mohit, there are a couple of reasons, 3-4 reasons for reduced margins. 1 primarily is reduced turnover in this quarter. We have been impacted first by the elections. Then pretty much May and June have been heavily impacted, reduced manpower on account of election. Then the CSTM project that for a variety of reasons, the turnover that we had anticipated or planned for has not happened. We have done a turnover of about Rs. 30 crores from CS TM in this quarter. That is on account of design finalization from the client or a lot of changes because the design which was given or the concept which was given was not as per the bylaws that had to be totally revamped. And then there were tree cutting issues in the buildings which were Greenfield buildings there. Then June has been a write-off, especially in Mumbai on account of rain, July also now, even in the rest of the country. So, these are a few reasons and then our increased staff cost which is due to the fact that to execute the projects that we have in hand, we have obviously incorporated or taken in more staff, so that has led to an increased staff cost. So, these are the reasons and then there are a couple of write-offs totaling Rs. 6.20 crores where couple of our clients have been taken

on to NCLT. So, we have had to put in those write-offs. So, the sum total or aggregate of all these reasons has led to reduced margin. Did I answer your question?

Mohit Kumar : Yes, you did, sir partly, what do you think about the entire fiscal year?

Shobhit Uppal : So, I think I did do remember mentioning last time also that quarter 1 will be impacted by elections and quarter 2 to some extent by monsoons. H2 is something Q3 and Q4 is something traditionally where the run rate is higher and the margins are also higher. So, we still anticipate that we will cross double digit margins in the full financial year. Q2 is also expected to be muted because monsoons have played havoc as I said, not only in Mumbai or Maharashtra, but July has been quite muted in other states also.

Mohit Kumar : My second question is on the labor issue, are you facing labor issues because we have heard from various developers that they have labor issue due to elections, the labor issues has got over or you didn't face any challenges as far as the labor availability is concerned?

Shobhit Uppal : No. Two parts, I will answer this question. Yes, elections impacted labor in a big way. As I said May and June, we were virtually working at about 40% labor across pan India bases. This obviously now has improved the situation. But we expect that labor is going to be or labor shortage or skill shortage is going to be a perennial problem with so many projects having been launched and continuously developers are launching new projects. Infrastructure pace picking up once the new government is formed. Labor shortage is here to stay, so we will have to find Ahluwalia Contracts India Limited

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out ways and means to combat this collectively. All the constituents of the ecosystems will have to come together to see how we can mitigate this problem.

Moderator : Thank you very much. The next question is from the line of Sunny Roy, who is an Individual Investor. Please go ahead.

Sunny Roy : I just wanted to know the reason for the high subcontract work charges, it is about 40% year-on-year increase against a 20% increase in revenue, so what led to that high subcontracting work charges?

Shobhit Uppal : So, this is again primarily, part of the subcontracting work, this has two parts. One is subcontract with material and the other is subcontract which we give on labor rate, pay for it to shuttering contractors or bar mining contractors or stone contractors which is labor. So, part of this includes the labor also, and due to the reduced turnover, that is why this cost is higher.

Sunny Roy : So, you expect this to normalize going forward?

Shobhit Uppal : As I said in H2, it will. This will continue to be a little higher in Q2 because as I said, 50% of this quarter has already gone and monsoons have impacted us quite badly. But we expect that this will go down to normal levels in the second part of the financial year.

Sunny Roy : And given the labor shortages and labor issues, do you think when the way we are bidding aggressively for the projects and all we should get to the double EBITDA margin going forward for the future?

Shobhit Uppal : We think we will. Based on the order book in hand as also the rates that we have managed to get, we factored in the increased parts cost and these new projects that we won, say about Rs. 4,500 -Rs. 5,000 crores in this financial year, I think in Q3 and Q4, these projects will take off and will contribute to an increased margin.

Sunny Roy : And sir, what is the thinking view regarding the future bidding for the future projects? Should we bid aggressively now that we have already backed 4,000 plus in this financial year orders, so how are we bidding, will we bid aggressively or will be much more conservative?

Shobhit Uppal : We are not bidding aggressively. Even in this quarter, we have not bid aggressively. Mode

rator : Thank you. Next question is from the line of Rohan Shah from Dolat Capital. Please go ahead.
Shravan : Shravan here. Sir, just to confirm, when we say that Q2 will also be muted due to monsoon , so can we see similar kind of a margin or it would be close to 8 %-9% kind of a number ?
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Shobhit Uppal : We anticipate the margin will go up because as I said May and June were almost total write -offs on account of election and rain. So, elections are behind us now. Labor position has started going up. So, we anticipate our turnover to go lightly . And in this quarter, July has been a write -off, but I think September CS TM also the progress should pick up substantially. So, there will be an increase , but not a substantial increase in the margin , but H2, I think we will see a substantial increase.

Shravan : So, in H2 then we should have a 10.5% to 11% kind of a margin , so will that run rate?

Shobhit Uppal : 11% in H2

Shravan : So, then that run rate will continue for FY26, so for FY26, so how one can look at?

Shobhit Uppal : It should, because in an answer to the earlier question, we are not bidding aggressively . Our focus , which I mentioned last time, has shifted more to the private sector. There is greater demand for timely delivery , quality delivery. There are only a handful of contractors in the private sector side. The competition is less. The rates that we are able to get are far better than the government projects, so I am quite hopeful that this run rate which we are expecting in H2 will continue to FY26 also.

Shravan : And in terms of the revenue guidance, we maintain the same 20% kind of number for FY25?

Shobhit Uppal : 15% to 20%.

Shravan : And for FY 26 also , similar run rate can be maintained ?

Shobhit Uppal : Yes.

Shravan : And then inflow, how much more now we are looking at so far? What is the bid pipeline and so Rs. 4,950 odd crore we have received , so how much more now we can look at?

Shobhit Uppal : I think we can look at about Rs. 2,500 -Rs. 3,500 crores .

Shravan : And the pipeline remains the same for Rs. 5,000-Rs. 6,000 crores kind of a pipeline ?

Shobhit Uppal : Yes.

Shravan : Sir, some balancing number , I needed , inventory , debtors, creditors , mobilization advance , unbilled revenue ?

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Satbeer Singh : Yes, debtors is Rs. 811 crores. Retention is Rs. 327 crores including non -current. Mobilization advance is Rs. 541 crores .

Shravan : Mobilization advance?

Satbeer Singh : Rs. 541 crores.

Shravan : And trade payable?

Satbeer Singh : Trade payable Rs. 706 crores , inventory Rs. 354 crores, unbilled revenue is Rs. 489 crores.

Shravan : And gross debt?

Satbeer Singh : Rs. 100 crores.

Shravan : And cash and cash balance ?

Satbeer Singh : Cash and cash balance is Rs. 248 crores and bank balance Rs. 456 crores.

Moderator : Thank you very much. The next question is from the line of Vaibhav Shah from J M financials. Please go ahead.

Vaibhav Shah : Sir, I wanted an update on few big-ticket projects , so for Gem & Jewellery when do we expect to start the work?

Shobhit Uppal : Work will be started in about 3 months' time .

Vaibhav Shah : And what kind of revenue are we targeting in the first year? In FY25 ?

Shobhit Uppal : In FY25, we are targeting the revenue of about Rs. 125-Rs. 150 crores.

Vaibhav Shah : And it should be a material number in FY26 ?

Shobhit Uppal : Yes.

Vaibhav Shah : And sir, this project for CSMT, so given the muted 1st Quarter and also the first two months of second quarter, what would be we will be targeting for FY25 and FY26 from there?

Shobhit Uppal : In FY25 , we are targeting between Rs. 450-Rs. 500 crores. And in FY26 , we are targeting about Rs. 1,000 crores.

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Vai

bhav Shah : And sir, earlier you were talking about run rate of around Rs. 100 crores per month from second half. So, that is also not the case in FY26?

Shobhit Uppal : Yes, that will be from FY26 in this. As I mentioned earlier on in the call , virtually the entire design had to be revamped because the client had hired an international agency to do the concept and they had not taken into account the local bylaws. So, that we had to redo it to tally with the client has now accepted, and work has just taken off on the ground. But rains have impacted June and July. So, as I said in H2, the progress would be substantial almost to the tune of about more than Rs. 50 crores every month. And yes, run rate to about Rs. 100 crores in FY26.

Vaibhav Shah : Just for this redesigning, does it impact our cost or margin of the project?

Shobhit Uppal : No, we have tried to optimally design the project keeping in mind the various parameters or various items that were there in the original design . If at all , some specifications are changing , for that the client will pay it as an extra item.

Vaibhav Shah : Sir, and the animal husbandry project, the execution was a bit softer in the 1st Quarter . So, earlier we were targeting to complete it by next year's 1st Quarter . So, now does it get delay ?

Shobhit Uppal : Yes, we have now the almost 95% of the land because in this project already university existed. So, buy and buy they were vacating the old building, which we were dismantling and which we have to dismantle and construct new buildings , so almost 90% area has been handed over to us , so progress there also will pick up now. It has already picked up, but it will pick up substantially.

Vaibhav Shah : Any payment challenges from particular states given the election ?

Shobhit Uppal : So, yes, there were challenges, but now there is movement in Bihar also. I think funds from the center have also started flowing. So, we expect, with BASU Project with veterinary projects, the funding has not been an issue till now also, but we have seen funding issues on their medical colleges and hospitals, which the feeling on the ground is that maybe in a month, month and a half time our stuck payments will start coming in and there is only about 10% of these jobs left , Chakra and Nalanda , which we should complete in this financial year.

Vaibhav Shah : And sir, lastly on Darbhanga and Varanasi airport, which you have won recently, when will the work start for those two ?

Shobhit Uppal : So, both the projects , designing is happening. Our interaction of our design team with AI has started and we hope to break ground on both the projects in about two month's time.

Moderator : Thank you very much. The next question is from the line of Raj Shah from Marcellus Investment Managers. Please go ahead.

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Raj Shah : Sir, my question is regarding this labor shortage problem. As you mentioned, it is the current year problem is you have to stay. So, the question is in two parts, the first in our existing orders have at the time of bidding , we would have expected ex cost of labor cost and now it has been going up. So, how do you make up for it? And second for the new projects, how do you factor in this labor shortage issue?

Shobhit Uppal : It is a good question . Out of the existing projects, some projects , labor factor or labor cost is definitely going up, right has gone up. So, that has impacted our margin. Labor shortage has also impacted our margin . In the existing jobs that we have in hand as a part of our portfolio, some jobs have escalation even for labor , so which are covering these costs . But some jobs do not have this labor escalation clause. So, yes, that is what has impacted our margin . Going forward , when we are calculating our pricing or doing our pricing and submitting our bids , based on the in

crease that we have seen over the past one year , we are extrapolating that and building that into our prices .

Raj Shah : One last question was regarding this, I heard somewhere that large hospital is being redeveloped in Mumbai and we have been one of the bidders over there, can you confirm? Sion hospital Mumbai ?

Shobhit Uppal : We are doing Phase-1 and yes, we have bid for the Phase-2 also.

Raj Shah : And will this be a large contract, sir, so in out of Rs. 1,000 crores?

Shobhit Uppal : It is a large contract, yes.

Moderator : Thank you very much. The next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari : I had couple of questions. First was in terms of the target that we are concentrating from public sector to private sector contract , so how much margin difference does it make to go for a public to private PAT margin?

Shobhit Uppal : How much margin? If all goes well, there is a difference of a couple of percentage points given today's scenario where we are seeing increased competition in the government sector and private sector, the contracts being more complex with high rise buildings coming into play with limited competition there. As things stand today, over the next one year, I feel that there should be a couple of percentage points.

Rishi Kothari : And we do have the technology and capability to execute complex contracts in private sector, right ?

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Shobhit Uppal : We were already doing it. We have done it in the past. We are doing it now.

Rishi Kothari : And my second question is, I read somewhere in one of the industry reports that we as a company are also involved data center segment. Is it true or and if yes, what exactly are we looking at?

Shobhit Uppal : It is true, we are doing data centers. Adani, Google, RBI, some of the larger data centers in the country, we are doing. But I mentioned in my last call that this is not a focus area for us.

Rishi Kothari : So, that is not a focus area eventually also ?

Shobhit Uppal : Not really, it takes up a lot of bandwidth. We feel that the margins are not commensurate that we focus or develop this segment especially. Having said that, one-off or the other data center, we will continue to do if it comes our way, but it is not a focus segment for us.

Rishi Kothari : And in terms of the private segment we are on the position of what around 40 %-50% in between. So, what is the target of getting that private sector more increase from public sector contract?

So, any target that we have in mind?

Shobhit Uppal : In the long run 50 -50.

Moderator : Thank you very much. The next question will be from the line of Uttam Kumar Simal from Axis Securities. Please go ahead.

Uttam Kumar Simal : Sir, what is the fixed price contract in our current order book currently?

Satbeer Singh : 24%.

Uttam Kumar Simal : And sir, given this order book of Rs. 13,000 crore, this includes the current Rs. 4,900 for that we have owned, this is separate from that?

Shobhit Uppal : No. So, this Rs. 13,000 odd crores is still 30th of June. So, if you were to add these jobs of Rs. 2,200 crores which have come after that, our total order book will be about Rs. 15,500 crores.

Uttam Kumar Simal : And sir, any L1 currently where you are in terms of bidding and all, any L1 order?

Shobhit Uppal : No, because the bid which has been bumped in over the last couple of months, these are primarily private sector bids.

Uttam Kumar Simal : And sir, all these buildings have been done in the range of, EBITDA margin in the range of 11 %-12% or less than the new orders that you are bidding for?

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Shobhit Uppal : Yes, the last 3-4 months, the EBITDA margin, that is what the target is.

Moderator : Thank you very much. The next question

is from the line of Prem Khurana from Anand Rathi.

Please go ahead.

Prem Khurana : Sir, I had three questions. Sir, the first question was, when I look at our order backlog today, we have two very large orders in order backlog exceeding Rs. 2,000 crore s each. Would you say I want a conscious decision to kind of try and scale up an average project size so as to try and consolidate number of size and also to address this labor issue that you spoke about because you won't be required to spread too thin across number of sites, so does any of these opportunities available when you went and paid for these or am I all the conscious decision to consolidate number of sites ?

Shobhit Uppal : We want to consolidate. We want the average ticket size to go up. And this has been a conscious decision and we have been kind of building towards it over the last 4-5 years. We have built in in-house capabilities that an EPC company has to have or should have. We have different disciplines where we have developed expertise other than core and shell also and that has led us to being able to qualify for larger jobs both in the government and the private sector. So, yes, it has been a conscious decision.

Prem Khurana : Sir, in terms of finding the risk profile, so how do you differentiate between, let us say smaller order, multiple orders wherein even if one site stops, I mean you still have 3 -4 sites still continuing and giving you some numbers. So, do you tend to build higher contingencies when you get to have these sort of larger size projects and also because of the fact theoretically, at least the competition also should be lower for this sort of larger projects ?

Shobhit Uppal : So, there are a few factors that we focus in when we bid for a job aggressively or otherwise if you were to track growth of our company's geographical footprint, you would see that it has been a bit of an organic planned growth and we have tried to hedge our risks precisely by doing what you said, having multiple projects in a particular geographical location, right, so that is how in each of the states that we are working in, 17 states that we are working in, we have multiple projects and if I were to give you an example of, say, even Haryana or Gurgaon or NCR within a radius of about 15 to 20 kilometers, we would be doing nearly 20 million square feet. So, obviously the overheads can be spread, the cost can be reduced. So, it is a conscious decision, yes and there are a few steps that we take to bring them up.

Prem Khurana : Any thoughts on distribution to shareholders, we have Rs. 700 crore s plus sort of cash balance on our balance sheet and our operations continue to generate positive OCF which essentially

would keep on generating more funds, any thoughts on, do we have any number in mind wherein
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if the cash balance was to cross that number, you would start distributing? I know we always are giving out dividends, but then the number is still very small?

Shobhit Uppal : Yes, you know I explained last time that the company to build up its inherent capabilities is spending money by way of increased mechanization. Also we have undertaken digital transformation exercise, one part of which is implementing SAP along with certain other IT initiative. So, all this will entail in expenditure. We are trying to make the company ready for a quantum jump, right. So, we would continue to be a dividend paying company. We haven't thought beyond that as far as distributing funds to the shareholders is concerned.

Prem Khurana : And Satbeer sir, how much are we planning to spend towards CAPEX this year and how much is already spent in Q1?

Satbeer Singh : CAPEX is Rs. 54 crores.

Prem Khurana : How much more are we planning to spend this year, sir, Rs. 54 crores what you already spend right in Q1?

Shobhit Uppa

I : In addition to this, we would be spending about Rs. 120 crores.

Prem Khurana : And just one last small clarification, we were supposed to receive some money from Emaar towards that settlement in the month of August, so has that money come or it is?

Shobhit Uppal : That date is 31st of August, so I am not in a position to comment, but yes, it is a signed and sealed agreement.

Moderator : Thank you very much. Next question will be from the line of Mr. Sunny Roy who is an Individual Investor. Please go ahead.

Sunny Roy : I was just seeing your unexecuted order book and the contribution from the hotels is only about 1.5% or Rs. 195 crores. So, is it this a conscious decision, not to focus on this hotel sector much or it is just like that?

Shobhit Uppal : It is because what the hoteliers are doing, the size of the projects that are coming doesn't excite us. Secondly, the hoteliers are cannibalizing these projects. So, it all comes down to scale. We feel that it takes up a lot of bandwidth, so we are not looking at this segment very favorably.

Sunny Roy : And sir, lastly, given the buoyancy in the residential real estate market, don't you think this 13.7% in the residential market is when we can go much higher or you want to keep it like around this only under less than 15%?

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Shobhit Uppal : No, it will go up. It will cross 20%. As I said, the private sector, the share of the total pie will also go up to about 50%. That is what we are targeting and hoping to maintain an equal balance between private and public. So, yes, today the focus is on residential and commercial. So, yes, this will also go up.

Moderator : Thank you very much. The next question is from the line of Ketan Jain from Aventus Spark. Please go ahead.

Ketan Jain : Sir, my question is on working capital, with big ticket size bids going forward which will come, are you looking at any working capital issues or how are you planning for working capital?

Shobhit Uppal : No, we are not looking at it. I don't think there is going to be any working capital issues. As I said we now focus more on the private sector. So, with the demand and RERA coming into play, some of the developers that we are working with blue chip developers, cash flows don't seem to be an issue and I think all the projects that we have taken on and are bidding for, they would need, as per RERA they would have to be handed over in about 3 to 3-1/2 years. So, there is a robust demand for these residential units or commercial units? So, I don't see a working capital issue plus the reserves are healthy. So, we are focused on not sort of, it is virtually a 0 debt company, whatever debt is there, little debt is there, we are focused on reducing it, not increasing it if that answers your question.

Moderator : Thank you very much. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Sir, you have indicated that the CAPEX would be around Rs. 175 crores for the entire year FY25. So, this should further grow in 2025, or it may come down given the sharp growth in FY25?

Shobhit Uppal : In FY 26, it will come down.

Vaibhav Shah : Any ballpark number, around Rs. 120-Rs. 130 odd crores?

Shobhit Uppal : So, it should be. Earlier on, I projected about Rs. 125 crores yearly. So, it should be in that ballpark for FY26.

Vaibhav Shah : And sir, secondly, out of a mobile advance of around Rs. 540 odd crores, what would be the interest bearing portion of it?

Satbeer Singh : 54%.

Moderator : Thank you very much. The next question will be from the line of Parikshit from HDFC Securities. Please go ahead.

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Parikshit : My first question is on this gems and jewelry project. So, I just wanted to understand who is funding this project and

is the financial project achieved in this project?

Shobhit Uppal : So, this is on the lines of the Bharat Diamond Balls, the BDB project. It is a conglomerate of the gems and jewelry people, I think Vikas is connected on the line. Vikas, would you like to take this question?

Parikshit : Sir, my question was who is funding the gems and jewelry part, because in the past we have seen BDB has faced challenges because the project was funded by selling the real estate shops and other things to the association members?

Vikas Ahluwalia : No, this is an autonomous body under the Ministry of Economic Affairs. And the project is funded by a group of wealthy jewelers in India basically based out of Gujarat and some of them are from South. And there is some portion of equity with the Government of India also and the state government is also participating. So, it is an autonomous body, but it has a board. So, there is a board member from the state, there is a board member from the center and rest is.

Parikshit : So, it does not involve like the money coming in is not contingent to the sales of the units in this market?

Vikas Ahluwalia : No.

Parikshit : Irrespective of that, you will keep getting your payments like typically.

Vikas Ahluwalia : No, it is dependent on the board how much board pays us and by some things like that.

Parikshit : Sir, my second question is on the southern markets again, which I keep asking every time. So, we are not seeing any significant ramp up in that market in terms of private orders, so what is the thought process right now? Because you did allude that the RERA is now there in place and looking to ramp up. So, how do we see the pickup happening in the southern markets in terms of new order flow coming in?

Shobhit Uppal : So, we have recently bagged a contract from Birla Realty. It is the company of the Kumar Mangalam Birla. We have a couple of private bids which have gone out. I would not name the developers, not like to name them, so we are slowly growing in the southern market. Also our focus areas are Bangalore where we have a regional office and Hyderabad.

Parikshit : Because the issue is that since I tracked that sector, so what I hear from the entire supply chain or developers that they want someone who will stick around. So, in terms of business development, what kind of commitments you are giving and more of a long term presence in

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South now because you are making a comeback, it used to be there in the past, so how much confident the developed community will stay here for long term?

Shobhit Uppal : So, that is reflected by the order win that we have got now, Birla. Birla has a significant presence there. They have acquired large tracts of land and it is one of the few corporatized real estate development company and we have obviously in the private sector, they invite you to bid, so we are bidding for three or four other large players there. We have also bid for a couple of private sector hospital projects, large projects, but from our end, we also don't want to grow indiscriminately given our experience there. The last time that we were around, we feel that it is better to take a cautious approach more so, when our belly is full, more so when we have a healthy order book.

Parikshit : Question on the margin. So, in every quarter we talk about double digit and some of the other factors impact us performance this quarter, there was I think one-off plus most of other reasons which you gave and you also said that new orders are better margins, the competitive intensity is reducing, which is still not reflecting in margins. We used to historically 12 to 13, we are now on high single digit and we have been like every quarter the margins have been very volatile and even in this year you said that maybe you will end up with clo

se to about double digit margins

and next year 11%. So, what gives you confidence that worst is behind and then either in terms of pricing, in terms of execution, so when do you think you will be confident that you can say now we are there and now probably these are the bottom margins?

Shobhit Uppal : So, our healthy order book, this will start reflecting in increased margins and this is not something I am saying now. I said it since during the last concall also that H2 traditionally, both the margins, the turnover, the topline as well as margin is always higher. And I had predicted

what if everybody had said elections are going to impact both the productivity and the margins that is what happened. Monsoons have also impacted our production in the last couple of months. CSMT I mentioned the reason if you were t here on the call earlier.

Parikshit : Yes.

Shobhit Uppal : So, all this now seems in the second -half of this financial year, we should have put this behind us. Labor while the position on the ground is improving, it is always better in H 2, but that will continue to be a bit of an issue in terms of because there is a skill shortage , right, but now that is something which the entire ecosystem is aware . What the contractors have been saying for the last couple of years that this is an epidemic waiting to happen now while we struggle with labor on the ground. This is something which the developers and the clients have realized. The government is also beginning to realize , so the ecosystem, all the constituents are coming together to try and work together to mitigate this problem by standardizing design , by the clients
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also, especially in the private sector, agreeing to compensate for escalation. So, all this will we feel yield results going forward, but labor shortage is here to stay. Let me qualify that.

Parikshit : Sir, just last question , I think you mentioned about some NCLT you have taken a couple of plans to NCLT and I think you mentioned about Rs. 7.2 crores of oneoff , but what does it need ? Rs.

7.2 is the number?

Shobhit Uppal : Rs. 6.2.

Parikshit : So, what is the nature of this NCLT? Any more negative surprises to come in from one off, so the rest of the other book or you have provided everything now?

Shobhit Uppal : Look, we can't really say what happens is that if out of the blue client is taken to NCLT, right. I had mentioned in my last call also that there should not be any more surprises, but this is a surprise if there are certain clients who we feel are going to pay off, but if one or the other of their creditors takes them to court or takes them to NCLT, then we have to put this in our , make a provision in our balance sheet. Some of them, in the long run, we still feel will honor their commitments, but we have to make provisions.

Moderator : Thank you very much. The next question is from the line of Ketan Jain from Aventus Park. Please go ahead.

Ketan Jain : Sir, just one follow up question, the MR receivables which you receive in FY25, will it be booked as other income or how it will be recognized?

Management : That regarding Emaar , you are asking about ?

Ketan Jain: Yes.

Management : That has all in exceptional gain that has been recognized in financial year 24.

Ketan Jain: So, there are no other additional items to be recognized in FY25?

Management : Now , at present , basically that amount is Rs. 124 crore is reflecting in outstanding. That is including debtors basically.

Moderator: Thank you very much. The next question is from the line of Gaurav Gandhi from Glorytail Capital Management. Please go ahead.

Gaurav Gandhi: Sir, the government 's efforts are towards Make in India developed country. So, there will be lot of state -of-the-art construction buildings or structures will be on focus to build. How big do you
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think this opportunity will be because there is a lot of work to be done for modernizing the infrastructure , so can you share your thoughts about this and I understand that we are taking a major growth approach, but if conditions warrant more growth, are we looking for higher order inflows than currently projected?

Shobhit Uppal: So, I will not be able to give a specific answer. I will give you a couple of general replies. Yes, buildings are becoming more complex. Based on our expertise of having delivered large building projects and continuing to deliver projects, we feel we are in a unique position to handle such projects. So, like say for instance, we have done high rise buildings in Mumbai , now you see every other launch in NCR , in Gurgaon , especially ours is a project which is in excess of 40 -45 storey. So, with our experience of having executed these jobs, we are continuing to build on this experience. We are continuing to take on more mechanization and as I mentioned earlier, the digital tools that are available to us wherein we can go to the client and offer an entire bouquet of services. We are doing that. So, yes, we are in a unique position and we continue to develop our company to be able to handle more and more complex jobs. Does that make sense? Have I answered your question?

Gaurav Gandhi: Yes, the second part was if the conditions warrant for more growth, are we looking for higher order inflows than currently projected? We are just more Rs. 3,000 crore s orders you are

expecting during the year. So, if conditions warrant for more order, let us say, Rs. 7,000 -Rs. 8,000 crore do we have capacity or are we looking for such kind of things then?

Shobhit Uppal: At the moment, we are proceeding with the degree of caution, especially keeping in mind that we have a healthy order book. We feel that all the efforts that the various constituents are making of this ecosystem to overcome the labor issue, but it will still take some time. So, we are proceeding cautiously.

Gaurav Gandhi: And just for clarity, do you think this India Jewellery Park project in Mumbai is politically sensitive project? Do you see any possibility of slow execution if the state government changes?

Shobhit Uppal: Mr. Vikas Ahluwalia will answer this question.

Vikas Ahluwalia: No, this is not a political quest. This is not a per se political driven project. It has really no influence of politics on it. Like I said, it is an autonomous body, and largely the members of this body are private.

Gaurav Gandhi: I think one of the Deputy CM's post this project a lot. So, that is why I was asking that if slow execution in the government changes, but that is fine.

Vikas Ahluwalia: That is because this project is scheduled to create at least 40,000 jobs in the area or maybe more so, that is why they must be doing that.

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Moderator: Thank you very much. The next question is from the line of Parvez Kazi, who is an Individual Investor. Please go ahead.

Parvez Kazi: Sorry, I joined the call a little late, so please pardon me if you have answered this question.

Earlier, we had alluded to facing payment issues in some of these states like Bihar etc., now after the election, what is our thought process about taking state government funded projects, whether in Bihar or in other states?

Shobhit Uppal: So, our thought process continues to be the same Parvez, we had this interaction before. We are very off states which are at loggerheads with the center and are cash strapped. That is why we do not have any new government projects in Bengal. Bihar, the project, we were waiting and watching, now with the same government being there at the center and being a part of the state government, the fund position seems to be improving. So, while over the la

st one year or so we

had not bid very aggressively which in fact not bid at all state government projects there, but we are open now. So, we see the position improving in Bihar. Assam has been a focus state for us. We have projects in excess of about Rs. 2,000 crores and the fund position there also seems to be okay since both at the state and the center, the same government is there, so it is pretty much the same policy that we are taking forward.

Parvez Kazi: And your views about bidding for projects in Andhra, especially the Amravati capital city?

Shobhit Uppal: Not a focus for us. I did mention to one of the participants who had asked this earlier as to what our approach down South here, we are more focused on the private sector there. That also we aim to grow cautiously, our past experience being what it was last time around. Government projects down South are not a focus area.

Parvez Kazi: And beyond the near term issues on the margin, labor availability front over the medium term, let us say FY206 and FY27, where do we expect our EBITDA margins fully?

Shobhit Uppal: Double digit.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now have the conference over to the management for closing remarks.

Shobhit Uppal: Thank you everybody for participating. Whatever questions, the follow up questions are there, we will be willing to take them or you can write to us. Thank you so much and talk to you again for the next quarter. Thank you. Bye.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Nov 2024

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Engineering, Designing & Construction

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Date: 21-11-2024

To,
Compliance Department
BSE Limited.
25th Floor, P.J. Towers
Dalal Street, Mumbai - 400001 Compliance Department
National Stock Exchange of India
Ltd.
5th Floor, Exchange Plaza,
Bandra Kurla Complex,
Bandra (East) Mumbai - 400051 Compliance Department
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Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 18-11-2024 at 3.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 18 -11-2024 at 3.00 p.m.

The above details are also being made available on the Company's website at
www.acilnet.com

This is for your information and record please.

Yours faithfully,
for Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: as above

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"Ahluwalia Contracts (India) Limited
2QFY25 Earnings Conference Call "
November 18, 2024

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. VIKAS AHLUWALIA – DIRECTOR – AHLUWALIA
CONTRACTS (INDIA) LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

MODERATOR : MR. DHRUV JAIN – AMBIT CAPITAL

Ahluwalia Contracts (India) Limited
November 18, 2024
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Moderator: Ladies and gentlemen, good day, and welcome to the Ahluwalia Contracts (India) Limited 2QFY25 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital. Thank you, and over to you, sir.

Dhruv Jain: Thank you. Hello, everyone. Welcome to the 2QFY25 Earnings Call of Ahluwalia Contracts (India) Limited. From the management side today, we have with us Mr. Shobhit Uppal, Deputy Managing Director; Mr. Vikas Ahluwalia, Director; and Mr. Satbeer Singh, Chief Financial Officer. Thank you, and over to you, sir, for your opening remarks.

Shobhit Uppal: Thank you, Dhruv. Good afternoon, everybody. Ahluwalia Contracts (India) Limited has announced financial results for 2QFY25. During this quarter, the company has achieved a turnover of INR1,011.48 crores and a PAT of INR38.36 crores in comparison to a turnover of INR901.55 crores and a PAT of INR55.30 crores in 2QFY24.

The company has registered a growth and degrowth of 12.19% and minus 30.63% in turnover in PAT, respectively, during 2QFY25 in comparison to 2QFY24. EPS of the company for 2QFY25 is INR5.73 as compared to INR8.26 in 2QFY24. During 2QFY25, the company's EBITDA margin is 7.25% as compared to 9.96%, and a PAT margin of 3.79% as compared to 6.13% in the corresponding period of the last financial year.

During the 1HFY25, the company has achieved a turnover of INR1,930.83 crores and a PAT of INR68.96 crores in comparison to a turnover of INR1,665.16 crores and a PAT of INR105.03 crores in 1HFY24. EPS of the company for 1HFY25 is INR10.29 as compared to INR15.68 in 1HFY24. During 1HFY25, the company's EBITDA margin is 6.93% as compared to 10.36%, and a PAT margin of 3.57% as compared to 6.31% in the corresponding period of the last financial year.

Net order book of the company as on 30th September 2024 is INR16,193.45 crores to be executed in the next 2 to 2.5 years. Total order inflow during FY 25 till 30th September 2024, INR6,699.70 crores from 1/10/2024 till date, INR1,094.67 crores. So total order inflow in this financial year till date is INR7,794.37 crores. Thank you. We are ready to take questions.

Moderator: We have the first question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just to recheck on the guidance front. So now for this FY '25 in terms of the revenue growth and for FY '26, how much growth are we looking at? And also possibly on the margin front given the margin was very low in the 1H. So in the second half, how much margin are we looking at? And in FY '26, will it again go back to 11%?

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Shobhit Uppal: So as far as our top line growth is concerned, we are seeking a guidance about 15% growth. As far as our margin is concerned, we feel that we'll have to moderate it a bit. It will come below double digits now. It will be around 9%.

As far as the next financial year is concerned, since our order book is healthy and a lot of our

design build projects we feel will be in full swing in the next financial year, we should cross the double-digit margin barrier in the next financial year, that is FY '26.

Shravan Shah: Okay. And in terms of the revenue, will it be in FY '26, can we see more than a 20% kind of a

growth?

Shobhit Uppal: Yes, it should be between 15% to 20%. We are targeting a 20% growth.

Shravan Shah: Okay. Got it. And in terms of the order inflow, now already we have received a significant INR7,800 -odd crores, including the recently one. So now how much more are we looking at by March? And if possibly, if you can share in terms of the bid pipeline and over our long-term vision was to have a 50-50 private government, which we are already there. So how we want to now go ahead?

Shobhit Uppal: Yes, that is what I have been mentioning in our last 2 or 3 calls that we would like to maintain it at this level, at the 50-50 level. And going forward, we are actually consolidating.

So in the rest of the 3, 4 months of this financial year, we're not bidding very aggressively, maybe another INR1,000 crores inflow. And going forward, in the next financial year, maybe anywhere between INR5,000 crores to INR6,000 crores new orders.

Shravan Shah: Got it. And currently, the bid pipeline would be?

Shobhit Uppal: Currently, the bid pipeline as it stands, is about INR5,000 crore.

Shravan Shah: Got it. And just a couple of data points on the balance sheet front, mobilization advance, retention money and unbilled revenue.

Satbeer Singh: Yes, mobilization advance is 542 and unbilled revenue is 598 and retention is 335.

Shravan Shah: 335. And just on the capex front, so already INR92-odd crores and so on...

Satbeer Singh: Capex till 30th September, INR101 crores has incurred.

Shravan Shah: So for full year, how much now we are looking at?

Shobhit Uppal: Given a guidance of about INR130 crores, I think.

Satbeer Singh: INR175 crores.

Shobhit Uppal: And then the rest of the financial year, it should be about another INR30 crores to INR35 crores. That also we are revising it downwards.

Moderator: We have the next question from the line of Amit Khetan from Laburnum Capital.

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Amit Khetan: So we have a good order book currently, but if I were to look out over the next 2 to 3 years, what are the segments or areas you're most bullish on in terms of incremental new orders? Are there going to be new areas that we will participate in? Or is it going to be the current segment that we are in?

Shobhit Uppal: So Amit, we are -- as you would be aware, we are present in the entire spectrum of the building industry. So there are areas over a period of time, which we had not focused on because there was not much activity. We are now refocusing on industrial activity.

We've recently won an order with BALCO also. Airports is something which we continue to be bullish on. The government is continuing to spend on airports. So we already are executing 2 airports, which are in design build stage -- designing stage as we speak. And there are a couple of orders in the pipeline, which we are bidding on.

So that is another area that we are looking at. Commercial and retail activity is something that also excites us. We are focusing on that. So these are the areas. And residential activity, there is a lot happening, but we are now being a little wary. We already have a healthy exposure as far as residential projects go. So we are bidding sort of conservatively going forward as far as residential is concerned.

Amit Khetan: Got it. Got it. And this industrial sector that you talked about and airports, right, what are the typical order sizes like are these in the similar ticket size range of INR500 crores to INR1,000 crores? Or would it be much larger?

Shobhit Uppal: No, they are in this range only. As far as office in

infrastructure goes, the government is also

coming out with larger orders for government office building using alternative technologies, they are INR1,000 -plus crores. That is an area which is of interest to us.

Amit Khetan: Understood. Understood. And secondly, in the last couple of quarters, you've been talking about a shortage of labour and things like that. Has that eased? Or do you see that continuing for the next few quarters?

Shobhit Uppal: No, that is continuing on account of various factors. As the country continues to be permanently in election mode, that's what we've been seeing since the general elections preparation for the general election started. So this labour problem continues as labour comes from a few areas geographically. And this continues then NGT issues such as NGT and rain, this continues to affect labour supply. So we feel that this will -- throughout this financial year, at least, and even in the first quarter of next year, this problem will continue to be there.

Amit Khetan: Got it. And would this also be a factor in margin contraction? Or is that just a function of operating leverage?

Shobhit Uppal: No, no, it's a huge factor.

Moderator: The next question is from the line of Lakshminarayan from Tunga Investments.

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Lakshminarayanan: A few things. See, when you started the year, you actually alluded to a particular margin and then we stand at this point in time at a slightly lower margin level, right? Now what has actually passed -- I mean what has negatively surprised you when you actually grew up your budgets at the start of the year? And whether things have become a little unpredictable now than earlier? And how do you think it's becoming a little more predictable going forward?

Shobhit Uppal: So look, while one of the things which has surprised us in the past is the volatility in material cost, that we had catered for by building in escalations in our contracts. But a, on some of our larger order book -- larger contracts, which we have won in the last year or so, there are various factors which have hit us, which would not sort of within our control.

One is, of course, the prolonged monsoon across the country. Some of our biggest projects are in, say, places like Mumbai or Odisha or Bihar, right, where -- Assam, where the monsoons this year have been exceptionally heavy.

The turnover has been affected there. Then as I mentioned in my answer to the earlier question about the last 5, 6 months, the country has been in election mode. That has impacted the labour force availability on site. So this was something which was not expected. Thirdly, on some of our large contracts, the design part, approval, so to say, have been delayed for no fault of ours, which were beyond our control, CSM T being one such project, which is our largest project till date.

That has impacted our margins because our fixed overheads have continued to be there, and we've not been able to execute on the ground. So these are factors which have impacted our margin. And fourthly, some of these factors are generic or general to the industry, if you were to compare our margins with our peers, actually, we have done better than most of them. So we managed our cash flows better.

So -- but the industry, as such, has been affected and beset by some of these margins. Going forward, hopefully, in the next financial year, I don't think there'll be so much focus on electioneering, a lot of state elections would be behind us. Most of our large projects, the design is nearing completion. Approvals are mostly going to be in place. So hopefully, we'll have a clear run, and our margins would be on the upswing again.

Lakshminarayanan: Got it. And in the last call, you mentioned that there has been a spurt in the subcontractor expenses as well, I think our employee expenses are both

of them. Now -- and you said that

only some of your contracts have a pass-through, you can actually pass these expenses. So right now, what kind of situation we are in? Has there been any changes in the contract that you have passed on these expenses or how situation is looking now?

Shobhit Uppal: So most of our contracts now have built-in escalation clauses one way or the other. As far as the government -- most of our fixed price contracts are -- have been completed or are nearing completion. As far as the ongoing contracts are concerned, the government contracts, they have a built-in escalation clause, or a standard clause based on wholesale price index.

As far as the private contracts go, all the volatile materials, the basic pricing is there for cement, for steel, for grit, stone aggregate, so on and so forth, even the finishing materials like Ahluwalia Contracts (India) Limited

stone, wood, etcetera. So as I said earlier, the volatility in these material is covered. And because we have a healthy order book, to a certain extent in the private sector, we are able to dictate terms in having a more balanced contract agreement and plugging in these.

Lakshminarayanan: Got it. Now if I just look at your current assets in the balance sheet and the trade receivables are something like INR625 crores. Can you just tell me how do you classify these current assets? How much of them are payable within 6 months? Can you -- I mean, receivables within 6 months? If you can just throw some light on what is the aging of the receivables in your current assets?

Satbeer Singh: What I could understand that there is basically INR625 crores debtors that are current receivables. And that we are expecting within our normal days, the operational days that's coming around 60 days, 60 to 75 days that we are expecting to receive that.

Shobhit Uppal: One second, we'll give you.

Satbeer Singh: And this is non-current, this is hardly INR33 crores. I think so, which expecting realization of...

Lakshminarayanan: Anything with the current assets, sir?

Satbeer Singh: Yes, please.

Shobhit Uppal: Current assets.

Lakshminarayanan: I think in the current assets, INR625 crores. I just want to understand how much of your trade receivables are within 6 months and how much is beyond 6 months to 1 year? Less than 6

months and 6 months to 1 year?

Satbeer Singh: This is INR625 crores -- out of INR625 crores, we are expecting around might be INR100 crores more at upper side, just more than 6 months.

Lakshminarayanan: And the rest INR525 crores will be within 6 months?

Satbeer Singh: Yes, yes, within 6 months. Yes.

Lakshminarayanan: Okay. Okay. Sir, 1 more question regarding your -- you talked about fixed costs are slightly escalated. If I just look at your expenses, which are the ones are variable in nature. So if you look at it, the subcontract work is completely variable in nature. And how about the employee benefit expense, how much is variable and how much is fixed?

Shobhit Uppal: Variable as far as employee cost is concerned, variable is very less. As far as the variable is concerned, it's only for the top maybe out of a total employee strength of about 3,500, variable component would be only there for about 20 people who are -- who are the top level of management in the company.

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Lakshminarayanan: Because your employee benefit expenses have actually kind of gone from around INR70-odd crores for the first quarter, and to that almost INR89 crores. So I just want to understand how - what actually led to a substantial increase in the employee benefit expenses?

Shobhit Uppal: So two things. One is our employee cost includes labour -- labour cost also. So this is the labour, which is -- which the company is spending directly on. So there are 2 components to

the labour. One is labour, which is under the subcontractor. And as a part of this INR89 crores, there is labour which the company is directly spending on. Part of this increase is due to the increase in revenue and part of the increase is also...

Management: Out of employee benefit, 22% labour.

Shobhit Uppal: Yes. So that's what I'm saying. And the other thing is we have increased -- we have paid arrears to the staff increments. Our staff increments, we put those increments in the last quarter and the arrears have been paid, right? This was due from 1st of Jan, but the process was delayed.

So part of that increase is due to that. And thirdly, obviously, the number of people, the number of staff has also increased to cater for our increased order book, where we are going to be executing the work over the next, say, 2, 2.5 years.

Lakshminarayanan: Got it. Got it. And any idea what is the band one should expect? Because this is like a one-off arrears, which has been taken into consideration.

Shobhit Uppal: So just to give you an idea, our staff cost per se, only our staff cost, if that is helpful to you is in the region of -- it varies from about 6.8% to 7.1%. And this is where it's been kept at over the past, say, 2 to 3 years.

Lakshminarayanan: Got it. And this is part of the employee benefit expense?

Shobhit Uppal: Yes. This is a part of the employee benefit expenses. Are you there?

Lakshminarayanan: Yes.

Management: Okay. So you asked about specifically a question about the trade receivables, right? So our trade receivables are about 60 days as Mr. Satbeer said, right, which is one of the lowest in the industry today, right? I mean it goes on up to about -- so we have reduced also -- our net working capital days have reduced from 117 in the last quarter, that's Q1 of '25 to 93 days in the current quarter. That's an additional information for you.

Moderator: The next question comes from the line of Parvez Qazi from Nuvama.

Parvez Qazi: So a couple of questions from my side. As you rightly said, historically, our staff expenses have been between 6.8% to 7.1% whereas if one looks at H1 numbers, they are at about 8.8% or so something. Now clearly, part of the reason is because of operating leverage. As you rightly said, some of our projects because of various reasons haven't progress at the pace at which we would like.

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So maybe part of the reason is also because of the industry-wide labour shortage. Now going ahead, do you think we should pencil in slightly higher than historical average for this? Or do you think this will normalize and come back to the 7%, 7.5% March, maybe 1 year down the line, 2 years down the line? Just wanted to get your thoughts on that.

Shobhit Uppal: We aim to get it down to anywhere between 7% to 7.5%. That is what our internal -- our planning is. But as I mentioned earlier, and you also sort of alluded to that, it all depends on our revenue, on our actual execution on the ground. Other than the factors that I've mentioned earlier, which have affected our work on the ground or production on the ground, one factor which will continue to impact us in this quarter, the ongoing quarter is the NGT, right?

So all of you are aware of what's happening in NCR. So now GRAP -IV is in place and -- so that is another thing, which is going to impact this quarter. That's why I've kept the margin guidance muted for the rest of the year, because we have a lot of large projects in NCR, especially Gurgaon.

Parvez Qazi: Sure. My second question is, I mean, you said that for the CST redevelopment project, there are design issues, and which hopefully will get resolved going ahead. But if I look at some of our other major projects like the Tata Memorial Hospital in Parel or the DLF Arbour Project, there also, the quarterly execution run rates

seem to be somewhere around INR25 crores, INR30-odd crores only.

So you -- I mean, and in these projects also, are there some design issues or some other issues?

And when do we expect a pickup in the pace of execution for these larger projects?

Shobhit Uppal: As far as the DLF Arbour Project goes, we are -- we actually -- we executed about INR11 crores to INR12 crores per month. Or last month, we achieved that run rate. And this month, we were on a target to achieve -- to double that. And then going forward, maintain about INR25 crores every month.

But this quarter, as I said, now it will be impacted by NGT, but we are out of the ground there now. The design issues of design was not in our scope. It was in the client's scope, but there were a few issues there and labour shortage was there. But we -- I think as far as DLF goes, once the NGT issues are behind us, we are ready to take off. As far as Tata is concerned, there, yes, there were design issues. But that also, I think within a month or so, we should be taking off on that project also.

Vikas Ahluwalia: Was the Tata Cancer Hospital is nearly on target now? I mean whatever time we have lost is because of the monsoon. So whatever were the design issues, they were more to do with the foundation part of it, which the Tata Memorial people had to redesign or do a little bit of changes because we encountered a certain blocks which was not there. That will be, otherwise Tata per se is on track.

Parvez Qazi: Sure. My second question is, I mean, the overall industry -- I mean when we talk to real estate developers, they do highlight that there is a shortage of good quality contractors in India. Are you as well as some of your other peers in the building contracting space? Clearly have lifetime high order book. There is no shortage of order intake. So then the question is, I mean, Ahluwalia Contracts (India) Limited

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in the previous cycle, 2002 to '08, we had seen a similar phase and all of you as well as your peers had seen significant expansion in EBITDA margin. Why do you think the similar situation is not playing out this time?

Shobhit Uppal: It's too early to sort of say whether those kind of margins will happen or not happen. All we can say is or to give you the reason for why they have not happened up until now as far as this financial year is concerned. I did mention all those reasons. Prolonged monsoon, electioneering, right? And all of a sudden, the infrastructure growth is upon us, and this kind of growth is unprecedented.

This was not even there in the last upturn. So labour shortage, the kind of labour shortage that we are seeing now, I mentioned in my last 2 calls that this is virtually an epidemic, which is waiting to be upon us.

So the government has to wake up and do something about upskilling of labour force, do something or change just the NREGA laws. So labour shortage until the government steps in, I don't think anything much is going to happen. So that is a major contributor to works not proceeding on schedule. And that, in turn, is affecting our not only our revenue -- projected revenues but also our margins. The industry is suffering, it's not only us. That's why I mentioned. If you see the results of all construction companies, all these factors have contributed.

Parvez Qazi: Yes. Absolutely, sir. Last question to Satbeer Ji. Sir, what would be our gross debt level?

Satbeer Singh: This is INR9 crores.

Moderator: We have the next question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: EBITDA margin guidance for FY '25. What's the number?

Shobhit Uppal: About 9%.

Vaibhav Shah: Sir, what will drive that improvement in the second half, the margin improvement?

Shobhit Uppal: As we mentioned, some of the factors which have affected us till now, they are behind us. One is -- I think other than NCR, we should have

seen a clear run execution, no monsoons are there.

Once the Maharashtra elections are over, that sort of hold back should also not be there.

As far as NGT is concerned and NCR, this month or maybe December maybe a washout, but the last quarter, we should see a good run rate. We have -- most of our contracts have taken off

now.

And out of our total order book, almost 30% comes from NCR. And our bigger projects like CSTM and Tata, as Vikas mentioned, the design phase is almost over. So we are looking for healthy revenue from these projects also. The 2 airports that we are doing, Varanasi and Darbhanga there also design phase is nearing completion. So in the last quarter of this financial year, we should see a good run rate from these projects also.

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Vaibhav Shah: Okay. Sir, secondly, out of our total order book, what would be the share of fixed price contracts?

Satbeer Singh: This is 15%.

Vaibhav Shah: And this should be completed by March, largely?

Shobhit Uppal: You can see -- yes, largely, this should be completed by March, almost totally, it will be over by H1 FY '26.

Vaibhav Shah: Okay. Okay. And sir, lastly, on a few projects. So for CST, now what would be our guidance for FY '25 in terms of revenue, and earlier, you were targeting completion of June '26. So would we be revising the numbers?

Shobhit Uppal : Vikas, do you want to answer that?

Vikas Ahluwalia: Come again, please.

Vaibhav Shah: For CST project, what would be your revenue guidance for the next couple of years? And you were targeting a completion of June '26 earlier. So are we maintaining that target?

Vikas Ahluwalia: So the project is actually about 3.5 years. And I mean, the execution time will probably remain the same. I mean, whatever time we lost, last 6 months, 8 months, because of design and approvals from the railways is lost, is lost. But it is going to be compensated for that. That is for sure.

Vaibhav Shah: Okay. So what revenue are we targeting for '25 and '26 from this project?

Vikas Ahluwalia: You can take an average run rate of about INR80 crores. So some months it's going to go up, some months is going to come down. So on average, run rate is about INR70 crores, INR80 crores.

Vaibhav Shah: That should start from fourth quarter onwards, INR70 crores, INR80 crores, right?

Vikas Ahluwalia: That should start from, yes, somewhere in the -- in January, February, it should start.

Shobhit Uppal: So to specifically answer your question, as far as this financial year is concerned, we are looking at a turnover of about -- we're targeting a turnover of about INR300 crores. And as far as the next financial year is concerned, as Vikas just said, INR70 crores to INR80 crores per month would be an average. That's about INR800 crores give or take a few crores here and there for the next financial year.

Vaibhav Shah: Okay. And sir, when do we expect to start the work on Jewellery Park?

Vikas Ahluwalia: Jewellery Park, we have not yet got the notice to proceed. But we are expecting it in the month of December, we are expecting the notice to proceed. And then again, it will go into the design stage. So let's be fair and square not to expect much from this financial year itself.

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Vaibhav Shah: So revenues will start flowing in from next year, second half?

Vikas Ahluwalia: Yes, next year second half.

Vaibhav Shah: Okay. Sir, any broad guidance for -- in terms of revenue from the project for FY '26?

Vikas Ahluwalia: Maybe about INR50 a month. You see, by -- what will happen in this is that by the time the design is going to get complete, rains are going to set into Mumbai, Maharashtra next year. So that is what is going to happen in this case. I mean very honestly. Maybe next year, again, an average run rate

of about INR30 crores to INR50 crores in the first few months. Then again, it is going to go up to that level of INR70 crores, INR80 crores.

Vaibhav Shah: Okay, sir. And lastly, any issue on the working capital side from any particular states?

Shobhit Uppal: So as I mentioned during the last call, Bengal, Bihar were 2 states. Bihar working capital has actually improved. All our dues have been certified, and we should see them being cleared in this financial year, rest of the financial year. Bengal, we are not executing any government jobs as we speak. So -- and all the earlier jobs have been finished.

Moderator: The next question is from the line of Samyak Jain from Marcellus Investment.

Samyak Jain: Sir, I understand that you are maintaining your revenue guidance at 15% for FY '25 but bringing down the capex guidance for the year. So just wanted to understand how will you maintain the pace of execution for this financial year?

Shobhit Uppal: It's an internal reworking that we've done. Some of our larger projects have gotten over. And as I mentioned earlier, we become -- we are conservative as far as new order inflow is

concerned. So as a part of cost-cutting exercise that we have gotten into, once we've realized that the margins were down for the reasons as enumerated earlier by us.

So we are looking to reduce our capex expenditure as far as equipment and shuttering go. We are looking at -- as far as shuttering goes, we are looking at maybe going the rental route on some of our projects where we feel which are fast-track projects where we can use rented shuttering a quick in and out. So as a part of the overall strategy to cut costs.

Samyak Jain: Understood. And if the renting increases, will that further impact the margin? Or it will remain in the -- remain in the guided range?

Shobhit Uppal: We have an internal -- you can say the way we work out which projects can take renting where the profitability will not be impacted, which are fast-track projects, right. There, the projects which are to be finished in about a year, 1.5 years, at least the structured bit. So there we go the renting route.

Moderator: The next question is from the line of Sunny Roy, an Individual Investor.

Sunny Roy: So I just wanted to know that since we are targeting a 50-50 between the private and the public sector for our orders, what is stopping us from bidding for the private sector more than 50% given that the terms and conditions are much better and the trade receivables and the other Ahluwalia Contracts (India) Limited

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margins and all and competitive intensity is much better against the public sector. So why aren't we increasing the private sector part in the order book?

Shobhit Uppal: Nothing is stopping us, but other than the scars of the last downturn. Earlier when the downturn hit the private sector, we -- a lot of contractors got waylaid. They lost -- actually companies got finished. So we don't want to put a lot of eggs in one basket. And while the going is good today, we -- as an infrastructure company, we are always at the forefront of cycles, be it upward cycle or downward cycle. So we're just being cautious.

Sunny Roy: Right, right. And sir, lastly, I mean like -- as mentioned by the previous caller that regarding the earlier cycle of 2002 to '08, if we compare that to this. So where are we in that cycle? Are we in the starting point? Are we in the midway? Where do you feel even though it's not comparable, where do you feel from the industry standpoint, we are -- the construction industry is compared to the last cycle? Is it in the midway or in the starting point now?

Shobhit Uppal: I think we are somewhere between the starting point and midway, but it would not be right to do a strict comparison because when the last cycle was there, the geopolitical situation was something else. Today, the world is flat

er. What happens in America impacts us immediately.

So it would not be fair to do a direct comparison.

If you would have asked me this question 1.5 months ago, I would have said we are just at the starting of this cycle. But today, I would like to say we are somewhere between starting and the midpoint. So we have to be cautious. That's what I'm saying.

Anybody who's not cautious, who throws caution to the wind and indiscriminately plans to grow, that's what actually we are seeing. There is a plethora of issues, which are coming out from construction -- for construction companies and in the real estate sector. So we don't agree with that line of thought. I think one has to be cautious going forward.

Sunny Roy: Sir thank you for the strong execution and the prudential approach. I've always been a long-term investor. So I wish you all the best, sir.

Shobhit Uppal: Thank you so much.

Moderator: We have the next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my question is on the Emaar settlement. How much of the money is received and yet to be received?

Satbeer Singh: I think it's INR56 crores to be received now.

Shobhit Uppal: Total.

Satbeer Singh: Total, INR218 crores. Out of this, INR56 crores is to be received down.

Ketan Jain: INR56 crores is pending.

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Shobhit Uppal: The tranche that was to be received in this quarter has been received. That has been received so that the payment is happening as per schedule.

Ketan Jain: And how much in this quarter, is it?

Satbeer Singh: This is INR70 crores.

Ketan Jain: INR70 crores. So it will get done by FY '25?

Shobhit Uppal: Yes, next tranche is due in January, the last tranche.

Ketan Jain: Okay. Okay, sir. Sir, my second question is on -- so I was just seeing your P&L in FY '19, '20 and '21. We have had a big bad debt provision -- bad debts written off in FY '20 and FY '21

worth of INR42 crores and 53 crores. If you could tell us what does it pertain to? Which client does it pertain to?

Satbeer Singh: That is also related to Emaar also. That time, we have taken a provision of INR47 crores and various other parties was at that moment, like Krish or various parties are there.

Ketan Jain: Okay. So it's largely Emaar and other parties?

Satbeer Singh: Largely Emaar, yes.

Moderator: Ladies and gentlemen, we have no further questions at this time. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Shobhit Uppal: Thank you so much, everybody, for joining in. See you soon in about 3 months' time. Thank you. Thanks so much.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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"Ahluwalia Contracts India Limited 3QFY 25 Earnings
Conference Call"

February 12, 2025

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING
DIRECTOR , AHLUWALIA CONTRACTS INDIA LIMITED
MR. VIKAS AHLUWALIA – DIRECTOR , AHLUWALIA
CONTRACTS INDIA LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER ,
AHLUWALIA CONTRACTS INDIA LIMITED
MODERATORS : MS. MARGARET MISHRA – AMBIT CAPITAL

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Moderator : Ladies and gentlemen, good day and we lcome to the 3QFY25 Earnings Conference Call of
Ahluwalia Contracts India Limited hosted by Am bit Capital.

As a reminder, all participant lines will be in the listen only mode and there will be an
opportunity for you to ask questions after the presentation concludes . Should you need any
assistance during the conference call, please signal an operator by pressing *, then 0 on your
touchtone phone.

I now hand the conference over to Ms . Margaret Mishra from Amb it Capital. Thank you a nd
over to you, ma'am.

Marg aret Mishra : Good afternoon. On behalf of Ambit Capital, I thank the Management of Ahluwalia Contracts
India Limited for the opportunity to host your 3QFY25 Earnings Call.

We have the following members of Management with us today , Mr. Shobhit Uppal - Deput y
Managing Director ; Mr. Vikas Ah luwalia - Director and Mr. Sa tbeer Singh - Chief Financial
Officer.

I will now hand over the call to the Management , Mr. Sho bhit Uppal - Deputy Managing
Director, to walk us through the quarter. Thank you all and over to you, sir.

Shobhit Uppal : Thank you, Margaret. Good evening, everybody. Ahluwalia Contract s India Limited, an EPC
Company , has announced the Financial Results for Q3 F Y25.

During Q3 FY25 , the Company has achieved the turnover of Rs. 951.95 crores and a PAT of
49.39 crores in comparison to the turnover of Rs. 1,026.47 crores and a PAT of Rs. 70.66 crores
during Q3 FY24. The Company has registered a negative growth of 7.26% and 30.10% in
turnover and PAT respectively during Q3 FY25 in comparison to the corresponding Q3 FY24 .

EPS of the Company for Q3 FY25 is Rs. 7.37 a s compared to Rs. 10.55 in Q3 F Y24.

During Q3 FY25 , the Company 's EBITDA margin is 8.86% as compared to 10.90% and PAT
margin of 5.11% as compared to 6.82% in the corresponding period of the last financial year .

During the 9-months of FY25, the Company has achieved a turnover of Rs. 2,882.79 crores and
a PAT of Rs. 118.35 crore s in comparison to a turnover of Rs. 2,691.64 crores and a PAT of Rs.
175.69 crores during the corresponding 9-months of FY2 4.

EPS of the Company for 9-months FY25 is Rs. 17.67 as compared to Rs. 26.23 during the 9-
months of FY24 . During the 9 months FY25, the Company 's EBITDA margin is 7.57% as
compared to 10.56% and PAT margin of 4.05% as compared to 6.47% in the corresponding
period. The Net order book of the Company as on 31 /12/2024 is Rs. 16,258 .44 crores to be
executed in the next 3 years. Total order inflow during FY25 is Rs. 7794.37 crores.

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We are ready to take questions now. Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session. Anyone who wish es to ask a question may press '*' and '1' on the ir touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and '2' . Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles . The first question is from the line of Shravan Shah from Dola t Capital. Please go ahead.

Shravan Shah : Thank you. Hi, sir.

Shobhit Uppal : Hi, Shravan.

Shravan Shah : Sir, couple of questions, s o obviously first on guidance front, so 9 month we have done 7 .1% revenue growth , so w e were looking at a 15% kind of a number for this year. So, how one can look at the full year or maybe the 4th Quarter if you can help us how one can look at the 4th Quarter growth and also at the same time for next financial year, how one can look at because we w ere looking at 20% , can we now start looking at 25% kind of a number?

Shobhit Uppal : Shravan, while our o rder book continues to be very healthy as far as this quarter and this fi nancial

year is concerned , we have been hit as along with our other peers by the NGT bans in Delhi, 33% of our order book now comes from the NCR region and what I had mentioned in my last call also that we had expected that the NGT ban would hit us, but we had not expected that they would hit us so ba dly. That is the reason for this sort of degrowth . I had given guidance of about 10% growth. We should be around that, we would be about 8 .5%-9%. The 4th Quarter is always the best quarter in terms of performance . As far as the guidance for the next year is concerned, it would be about 15%.

Shravan Shah : Sir, I understand that this quarter or this year is a low number, but next year, I think last time we have talked about close to 20% odd and now we are saying 15%. So, are we seeing a slowdown in the execu tion or the big projects still have not picked up as expected?

Shobhit Uppal : In fact, we feel, and I am reiterating what I had said last time that next year we would be 15% plus. Order book is healthy, and the slow -moving orders also are behind us now or our larger projects like CSM T, the design issues should be behind us by the end of this last quarter. And from April , we should be logging a steady turnover, even in some of our larger projects. So, I think we are looking quite good to have not only a 15 % plus growth and also a double -digit margin what I projected last time , but that will happen in FY26.

Shravan Shah : So, coming to the margin , so in the 4th Quarter also, can we look at the double -digit kind of a margin ?

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Shobhit Uppal : Fourth quarter, we ar e expecting a growth in the margin, but we must keep in mind that January also has been badly hit on account of NGT. I t is only now that the work has started in real earnest in February. In fact, the ban got lifted around the 3rd or the 4th of February, so the first month of the last quarter has also been affected, but the margins will d efinately be better, and we feel that the topline at the end of the year would have grown by about 8 .5%-9%.

Shravan Shah : So, next year also, on the max side, we are lookin g at 10%, i s there a possibility that we can even clock 10 .5% or maybe close to 11%?

Shobhit Uppal : We may , if you compare our results, if you compare the quarter -on-quarter r esults of Ahluw alia with our peers , if you leave L &T aside, we are the only Compan y other than Larson and Toubro where our EBITDA margin has grown quarter -on-quarter. W e have grown at 15%, whereas in most of the other construction companies, there has been a degrowth in the EBITDA margin . Our net profit has grown by 28%, right. So, we are hopeful that the last quarter will be good a nd next year, our margin should increase.

Shravan Shah : Got it. And are we L1 in any of projects and in the 4th Quarter , how much more order inf low can we look at in for FY26?

Shobhit Uppal : We have quoted for a few government projects and a few private projects, the government projects bids have not yet been open ed, so we can't comment whether we are L1 or not L1 or where we stand. And we are actively negotiating with a couple of private sector cli ents for finalization. So, yes, there will be some order inflows. I can't peg the number, but there will be some inflows in this quarter.

Shravan Shah : For next year?

Shobhit Uppal : Next year , our order inflow this year has been close to , I think it stands at about Rs. 7,800 crores. So, next year , we are looking at a similar number.

Shravan Shah : Got it. Lastly, sir, balance nu mbers, if you can, Satbeer Singh sir can help, inventory, trade receivable , payable, gross debt, cash, retention mo ney, mobilization advance and unbilled revenue ?

Satbeer Singh : Just cash position is Rs. 246 c rores and the bank balance is Rs. 489 crores. Retention Rs. 351

crore s. Mobiliza

tion Rs. 621 crores . Unbilled revenue Rs. 572 crores. Inventory Rs. 324 crores including Rs. 36 crores real estate inventory. Debtor Rs. 772 crores.

Shravan Shah : And trade ?

Satbeer Singh : And trade receivable is Rs. 882 crores.

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Shravan Shah : Rs. 882?

Satbeer Singh : Yes.

Shravan Shah : Got it, sir. All the best and thank you.

Shobhit Uppal : Thanks, Shravan.

Moderator : Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Thanks for the opportunity, sir. Sir, the first question is what are the levers available to us to ensure that the margins will increase next year? Why am I asking this question because the NGT issue and the G RAP issue in Delhi will be a regular feature now, right , every year ?

Shobhit Uppal : Yes. So, specifically talking about levers, I assume you are asking not for the industry per se, you are asking for us . Now, as I said, some of our larger projects , CSMT being the bigger one or the biggest one, design issues are now slowly getting behind us and by the end of this quarter, we are seeing now that most of the approvals from the client would be in place. So, we would be taking off as far our execution on that project is concerned; secondly, most of our slow moving projects would have finished by the end of this quarter ; thirdly, all the expenses if you see , if you do deep dive on our numbers, our staff expenses are high , they have gone up to nearly 9% on account of the NGT ban and the slow moving orders , but now when the projects will pick up, this number as a percentage will come down . What I am trying to say is we are well stocked in terms of order book ; we are well stocked in terms of staff and now the turnover will go up and the margins will increase. As regards NGT, now with BJP being the ruling party in the entire NCR , we are hoping that there would be concrete measures put in place which would reduce the disturbance on account of NGT . While we don't expect it to go away , but this year was exceptionally bad in terms of the Supreme Court stepping in , the work happening and stopping in fix and start. We think that this will not be repeated next year. The industry is also coming together, making representations to the various governments. Now , the government at the center and the state being the same , we are hopeful that the industry voices will be heard, and the work may not be impeded as much during the period from October till January.

Mohit Kumar : Understood, sir. My second question is, is there a cost escalation because of NGT issue or is it just purely the loss of revenue and are there recourse available for us in this contract ?

Shobhit Uppal : Look, NGT, though, it has been going on for the last few years, it is not something which had been taken very seriously by our clients or by the government authorities. It is only this year that the various stakeholders have started to sit together and try and find out ways and means to combat it. So, some clients of ours have started compensating for the labor which has been idle

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during this period, primarily from the point of view to prevent the labor from going back home . So, there are measures which various stakeholders are thinking of. That is why I said maybe before the season sets in , the winter season sets in next year, there would be more concrete and granular measures in place which would help us combat this problem in a better fashion. But escalation as far as this delay is concerned, other than the general escalation clause, there are no other specific escalation clauses.

Mohit Kumar : Understood, sir. Thank you and all the best.

Shobhit Uppal : Thank you.

Moderator : Thank you. The next question is from the line of Ra

jat from iThought PMS. Please go ahead.

Rajat : Hi, sir, thanks for the opportunity. What is the labor availability now ?

Shobhit Uppal : Labor continues to be in short supply and that is a phenomena which is something that again as I said the stakeholders have started to sit together and see how they can combat this, maybe by more standardization , maybe by more mechanization, but it is not a problem that is going to go away in the short term. This is something which the government will have to look at. They will have to look at upskilling labor . They will have to look at making this profession more attractive , so that more people come in from their hometowns to work in the large cities , Tier 1 and Tier 2 cities , but it is the problem which is here to stay.

Rajat : And sir, our labor cost is up a lot this time in single -digit I mean there is labor shortage as well

as hike in labor cost, both put together, is that the reason why our labor costs is up more than the revenues?

Shobhit Uppal : The primary reason for the labor cost being up, I won't say it is labor shortage. The primary reason is on account of NGT. As I mentioned in my opening remarks and in answer to the first question, that 33% of our order book is now in the NCR region, which has been very badly affected, so idle due to NGT. So, the idle labor has also contributed to our labor percentage going up.

Rajat : Sir, our finance cost is also up more than basically other percentage of sales it has gone up so any particular reason?

Shobhit Uppal : Finance cost, it has not gone up quite a bit, but it is primarily on account of the mobilization advance, which is interest bearing and again due to one project which is the CSMT where the work has been very less and the mobilization recoveries consequently have also been less. So, that has contributed to this minor uptake in the interest cost or the finance cost.

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Rajat : Sir, do you imagine next year again, our margins would take a hit because of the gains the NGT thing?

Shobhit Uppal : No, I did, if you heard my answer to your predecessor's question, the margins, we are very confident the margins will go up because as I said, the slow moving projects are behind us, larger projects are now taking off and all the extra expenses that we had done in anticipation of these projects taking off, we don't see any addition to those expenses and obviously the NGT, we are hoping that period, October to January next year would also be handled in a much better fashion by all the stakeholders, including the government.

Rajat : What is the cash flow from operation for the 9-months?

Shobhit Uppal : Sorry, come again?

Rajat : Cash flow from operations for 9-months.

Satbeer Singh : That I think that is not available right now, but that cash position as told earlier Rs. 246 crore and bank balance is Rs. 488 crores.

Rajat : So, broadly Rs. 730 crores?

Satbeer Singh : Right.

Rajat : And in terms of, we are expecting, I think in the last project, we are expecting, for FY 26 we were expecting in close Rs. 5,000 -Rs. 6,000 crores, however, in the previous call you had said that the same level of the inflow which means we are very bullish on the next year. So, what is driving that bullishness or which sectors in your view will contribute to this boost?

Shobhit Uppal : As I said, this year we had an inflow about Rs. 7,800 crores and maybe a few Rs. 100 crores in the last quarter. And we think that this run rate should continue or this inflow run rate should continue in the next year because we don't see any slowdown in the private sector side and government also, I guess with the budget behind us and now the focus on the next round of elections, Bihar, where elections will be held in the end of this year, towards the end of this year. There is going to be a

focus on infrastructure growth there, which we can see that and since we are present there, we are present in Assam, we are seeing activity, the growth continuing. So, we feel our order inflow would be on similar lines.

Rajat : So, you expect private mix to be substantially higher next year in the inflows compared to the?

Shobhit Uppal : Yes, we hope to maintain, or our plan is to strategically maintain an equitable distribution between the public and the private sector. This is what I have been mentioning for the last three

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investor calls and we have got there. We are at about; I think we are equally divided between the two sectors now. We would maintain a 50 :50 ratio.

Rajat : Understood. Thank you so much for patiently answering.

Shobhit Uppal : Thank you.

Moderator : Thank you. The next question is from the line of Amit Khetan from Laburnum Capital. Please go ahead.

Amit Khetan : Hi, thank you for taking my questions. So, my first question is, our scale of individual projects has gone up over the last few years and most of our projects are now like at least the major ones are over Rs. 1,000 crores. I just wanted to understand, do the larger projects come with better margins and/or working capital terms or would they be similar to the smaller projects?

Shobhit Uppal : That is an interesting question. Conventional logic says that the larger projects should come with better margins. But in the short term, the projects because they are becoming larger, they are also becoming more complex. The timelines are getting shrunk and the skill set or the skill level in the labor force on which we continue to remain dependent to a large scale is dwindling, so it

is a bit of a tightrope walk . In the long run , yes, the margin from the larger scale projects we feel would be higher, but in the short term I think that will not be the case. That has not been the case, and that will not be the case going forward. The government, as I said earlier, being a major stakeholder in the infrastructure development, will have to step in as far as the skill upgradation measures are concerned and standardization measures are concerned. Once that happens, then of course , the margins will be higher. Have I been able to answer your question?

Amit Khetan : Yes, and working capital would be similar ?

Shobhit Uppal : No, working capital requirements are much more now because obviously mechanization is much more , the projects are becoming taller as I said, more complex , more projects are now EPC projects. Even the private sector is trying to embrace the E PC model or trying to at least look at it. So, mechanization costs are higher. Staffing costs are going higher as you can see from the numbers of our balance sheet in these 9-months . So, yes, it is more working capital intensive. But again, in the long run would make the entry barrier higher , so it may lead to , it will lead to, not may , a better margin for established larger players.

Amit Khetan : Understood. And secondly, we have a significant order book right now compared to the scale of our current revenues. As we scale up and execute these orders , what sort of organizational changes do you foresee that you require?

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Shobhit Uppal : The changes in the organization had already started . In fact, I have been continuously mentioning in all our investor calls that Ahluwalia is nimble footed and we had embarked on a digital transformation drive 3-4 years ago, which is hemmed by our Director , Mr. Vikas Ahluwalia and we are now as a part of that exercise, we are now well into SAP implementation we are going live in a month or so, and this comes with slew of other measures where the Company is now more data -driven , there are more analytics . So, this had been

started 3-4 years ago and going

forward we would be using AI also to look at various areas of operation and the results are there for us to see now also . As I mentioned earlier, our profit and EBITDA margins have gone up as compared to the last quarter of this financial year and then we are investing in training and up -skilling of our existing staff , there is a succession planning being done for every level , new talent is being groomed , so these are some of the measures that we have undertaken.

Amit Khetan : Got it. And last question would be what would be our fixed rate versus variable rate proportion and related to that in case of variable rate contracts, are there process for escalation of labor costs as well or is that only for material costs?

Shobhit Uppal : So, there are different cost escalation formulae which are there in different contracts . In the government contracts, most of the contracts have the wholesale price index and the labor index , minimum wage index, based on which the escalation is paid. Almost all our government contracts, the escalation clause is there other than one project that we are executing for NB CC, which is a fixed price contract which is also nearing completion. As far as the private contracts go, all volatile materials like cement, steel , raw materials like aggregate , sand, blocks, most of the private clients now have started putting in base rates based on which, the cost escalation or de-escalation is a pass through to the client. Maybe to put a ballpark figure, 50% of contracts, the labor escalation is also paid , 50% it is not paid . Private sector I am talking about.

Amit Khetan : Got it. So, it would be 100% for the government and 50% for private ?

Shobhit Uppal : Yes, you can say that. But the volatile materials are covered .

Amit Khetan : Got it. And what would be our current mix of variable versus fixed in the order book?

Satbeer Singh : 13% of fixed price contracts .

Shobhit Uppal : So, 87% variable and 13 % fixed price.

Amit Khetan : Great. Thanks a lot and all the best.

Shobhit Uppal : Thank you.

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Moderator : Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Thanks for the opportunity. Sir, firstly, on the margin side, so we said that next year could be a double -digit margin. So, could it be very closer to 10% or we can even expect somewhere around 10.5%-11% as well?

Shobhit Uppal : I think it should exceed 10%.

Vaibhav Shah : And sir, secondly, for Q4, we have mentioned that the entire year growth should be somewhere around 9% odd . So, it impacts around 15 % odd growth in Q4. So, what we do to this uptake in the 4th Quarter given that the Jan also has been impacted by NGT ?

Shobhit Uppal : So, what we have seen starting February, there has been a considerable upswing in our

production across projects in NCR , right. And as I mentioned, some of the clients paid for us to hold our labor on site, even when the projects were closed . So, we could just hit the ground running on 3rd or 4th of February when the NGT ban was lifted. So, we are seeing that or we feel that if we extrapolate our work now in the first week of February or from 3rd till 10th, we feel that the revenue will go up considerably as compared to the last quarter, which would lead to a better margin.

Vaibhav Shah : So, Q4 also would be not double -digit margin, it should be between 9 %-10%?

Shobhit Uppal : Should be, yes, it should be about 10%.

Vaibhav Shah : And sir, secondly on some few bigger projects. So, when do we expect to start the work on Gem & Jewellery , earlier you were targeting somewhere around June ?

Shobhit Uppal : Yes, we are expecting that they will give us notice to proceed in the next 1-2 month. So, that is why I mentioned that starting next financial year

ear work on Gem & Jewellery , the actual work on the ground will begin because we have to start designing also. So, maybe towards the end of first quarter , actual work on the ground will begin, but in April, work on CSMT will be going on in earnest . We would be working on the number of buildings there parallelly and a substantial uptake on the monthly progress out of CSMT . Sorry , you said something.

Vaibhav Shah : Yes. So, we were earlier targeting closer to Rs. 300 crores of revenue for FY25 from CSMT. So, that looks a bit difficult ?

Shobhit Uppal : No, that will not happen . We are looking at anywhere between Rs. 80 -Rs. 100 crores. That is something which is set us back in terms of our revenue guidance for FY25.

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Vaibhav Shah : Rs. 80 -Rs. 100 crores in Q4, right?

Shobhit Uppal : No, in Q4, as far as CSMT is concerned , about Rs. 80-Rs. 100 crores in Q4.

Vaibhav Shah : And for FY26 ?

Shobhit Uppal : FY26 , we are looking at about Rs. 750 crores.

Vaibhav Shah : Is it a similar figure for Gem & Jewellery Park for 26 and 27, at least for 26 ?

Shobhit Uppal : Gem & Jewellery Park should be lesser because as I said, the first 2-3 months would go in designing and approvals and then it will take off. So, maybe it will be about Rs. 500 crores.

Vaibhav Shah : So, do we expect a similar , could it happen that similar issues may come up and design and that can lead to maybe a delay in execution , like we saw in CSMT for Gem & Jewellery, or we are confident that it could proceed on a pace ?

Shobhit Uppal : Look, there can be delays, but not to the extent that we have experienced in CSMT. CSMT , A is a much more complicated project. It is a live station. B , it is hemmed by a nodal agency, which is comparatively new as compared to more established PMCs like NBCC and CPWD. Thirdly, the Gem & Jewellery Park project is not as complex. These are basically large sites or offices where the Gem & Jewellery workers have to work, though it is bigger in scale , but it is not as complicated. So, we foresee fewer problems there.

Vaibhav Shah : And lastly, on interest cost, it should be a similar number in Q4 as well, at around Rs. 14-Rs. 15 odd crores?

Shobhit Uppal : Yes.

Vaibhav Shah : Thank you, sir . I will come back in the queue.

Shobhit Uppal : Thank you.

Moderator : Thank you. The next question is from the line of Shravan Shah from Dola Capital. Please go ahead.

Shravan Shah : Thank you, sir for opportunity again . Sir, our gross debt would be the similar Rs. 10 odd crores?

Satbeer Singh : Net working capital that is Rs. 5.93 crores and in total including term loan is Rs. 11 crores.

Shravan Shah : So, Rs. 13 odd crores working capital plus Rs. 11 crores long-term debt?

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Satbeer Singh : Yes, long-term debt.

Shravan Shah : So, close to Rs. 24 odd crores . Got it.

Satbeer Singh : Total is Rs. 11 crores.

Shravan Shah : Got it. And in 9-months , how much CAPEX we have done and in the 4th Quarter , how much ?

Satbeer Singh : Total in 9-months , Rs. 154 crores.

Shravan Shah : Rs. 154 crores?

Satbeer Singh : Yes.

Shravan Shah : And in the 4th Quarter , how much we are looking at?

Satbeer Singh : That is Rs. 175 crores .

Shravan Shah : Rs. 175 crores, so next year also , can we see the similar kind of CAPEX ?

Shobhit Uppal : It will be lesser . It will not be as much . As I said, projects, CSMT , DLF, all the other larger

projects, the CAPEX are slow which will take off now, the CAPEX has already been done. So, I think it should be about Rs. 125 crores.

Shravan Shah : Sir, you mentioned that you have bid for couple of government projects and also having a discussion with the private. So, any ballpark number in terms of how many projects a

nd the

broader value combined put together everything ?

Shobhit Uppal : Shravan, it will be very difficult because as I said, the government projects, the bids have yet not been opened. So, we don't even know where we stand. On the private sector side, the opening is not in the public domain and the decision is not necessarily L1, so negotiations or discussions are happening. It will be very difficult for me to say right now or give an indication right now.

Shravan Shah : No, I was just trying to understand, both put together, government, private in terms of will it be the value that we have bid from our side would be Rs. 1,000-Rs. 2,000 odd crores kind of a number or the other combined ?

Shobhit Uppal : In terms of the projects that we bid should be, I think it should be easily about Rs. 4,000 crores, maybe even Rs. 5,000 crores. Yes, I think from the top of my head, the project that has been bid till now and not decided would be close to Rs. 5,500 crores.

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Shravan Shah : Got it. And further in terms of by March, how much more are we looking at considering, will it be also Rs. 4,000-Rs. 5,000 odd crores that are looking to bid ?

Shobhit Uppal : Yes, at least Rs. 3,000 crores.

Shravan Shah : And sir, this both the airport one, there also the execution when ?

Shobhit Uppal : Both projects, the execution has started. In fact, I think at Varanasi, we have already clocked about Rs. 40 crores, at Darbhanga, we clocked about Rs. 20 crores.

Shravan Shah : And then even the Signature Global Business Park also, there also the execution has started ?

Shobhit Uppal : Not totally. The client has to hand over the towers to us after excavation, so they barely handed over 10% of the site to us. That is why I am saying that all this, starting from the next financial year or the first quarter of next financial year, all these projects will take off.

Shravan Shah : So, that is what actually I was trying so if almost all the projects will start kicking in, we should be having, of course, even more than a 20% kind of a growth next year, but you are expecting yourself to 15% plus ?

Shobhit Uppal : You know me, we are always conservative. Yes. Otherwise you hold us. That is why I am confident that our margins will also go up and we will be having double-digit margins next year.

You can already see the results. Though there has been corresponding quarter-to-quarter degrowth, but if we compare to the last quarter of this financial year, we are extremely bullish.

We can see that our margins have increased significantly.

Shravan Shah : And sir, the last installment of MR of Rs. 56 odd crores that have been received ?

Shobhit Uppal : Yes, it has been received, yes.

Shravan Shah : Got it, sir. Thank you and all the best.

Shobhit Uppal : Thanks, Shravan.

Moderator : Thank you. The next question is from the line of Samir Jain, an Individual Investor. Please go ahead. Mr. Jain, your line is unmuted. Please go ahead with your question.

Samir Jain : Sir, one question I had on C SMT was, there was a newspaper report that end of December, they mentioned a 15% completion of the project and they are quoting some railway authorities. Now, obviously that is very different from the revenues that we have booked. So, what would be the

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difference between how the railway thinks of project completion versus how much we book in terms of revenues?

Vikas Ahluwalia : So, let me answer that Sobhithji.

Shobhit Uppal : Yes.

Vikas Ahluwalia : You see what is happening is that because now the designs are getting finalized, so a lot of fabrication work of structural steel is happening which is say about 40% is off site and 60% is on site. So, if you consider that which is actually the work not done,

it is not being billed yet, it

is a while to start billing it. So, if you take that figure and 15% work done also in their definition means that a lot of area has been taken up, which is now, we are doing the ground preparation like removing the age-old services, 100-year-old services, which are running under the station. So, that work is taking a lot of time and like we have been saying from day one we passed day one of the things like 5 months. We designed it taking a lot of time because it is a very complex system. You are integrating a new building with a 100-year-old infrastructure. That is what is

going . To really speak , our current sort of structural steel, nearly 5000 -6000 metric tons of structural steel is under fabrication or fabricated and it is aside. So, those numbers, if you go by, I can't put 15%, but yes, there are considerable amount of work which is going on .

Shobhit Uppal : And to add to what Vikas has said, 15% would tantamount to about Rs. 270 odd crores. If you take out the GST value, the project value is about Rs. 1,800 crores. It is tantamount to Rs. 270 odd crores and we have already billed, acknowledged and agreed billed figure with client is close to Rs. 150-Rs. 60 crores and the rest of say Rs. 100 odd crores what Vikas has said is work done , but unbilled because a lot of fabrication has already happened . So, maybe when they say 15%, this is sort of an intangible number. When they say 15%, they may be taking work in progress or stalking to account.

Samir Jain : Right. I understand that. Thank you. My second question may be Satbeerji can answer this , from a revenue recognition point of view , let us say, if we have completed 5% of the value of the work at the site, do we recognize revenue to the extent of 5% or is there a minimum threshold we wait for before the revenues are booked?

Shobhit Uppal : No, the revenue is booked when the client passes a bill.

Satbeer Singh : What work has been agreed that also includes revenue includes also unbilled revenue also.

Vikas Ahluwalia : But that has been as and when whatever work is completed. There is no minimum threshold. Let us say we will start recognizing only at a certain milestone or a certain percentage completion, even if it is 1%, then client approve something we book revenues.

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Shobhit Uppal : No, he is not asking about escalation. Please repeat your question.

Vikas Ahluwalia : What happens in these EPC contracts , there is a stage wise payment. So, this stage has to come , then it can be billed also.

Samir Jain : So, the stage is after the 5%, then you book only at 5% , if the stage is at 1% , then revenue booked, then 1% stage is completed , right ?

Shobhit Uppal : That is the way to.

Vikas Ahluwalia : It is not on stage on the work. There is the mathematical formula to this . So, perhaps if you come to the office, we can.

Samir Jain : And sir, lastly in the subcontracting cost if we compare this quarter with the last two quarters and then some part of the reduction made in the percentage revenues. Does this have anything to do with the availability of labors or any other metrics because it is counterintuitive that in cases of labor shortage, subcontracting has come off a little bit ?

Shobhit Uppal : So, your question was not very clearly audible at our end. Could you repeat it please?

Samir Jain : Sir, on subcontracting costs right now, if I look at the previous two quarters, we were at about 31%-32% of revenues. This quarter we are at about a little over 28%. So, what would explain this slide reduction versus the first quarter, especially in the light of shortage of labor continuing ?

Satbeer Singh : Basically , subcontracting cost is coming out 31%. If not, basically you can say in technical terms of subcontracting . It also includes manpower supply and also

labor contract. That is why that is the amount that you have and for certainly high.

Vikas Ahluwalia : He is asking why has it reduced?

Shobhit Uppal : Subcontracting, petty contracting , labor supply , this keeps on interchanging depending on the nature of the work. So, in one quarter, if the subcontracting number is say 31% as you said, then some subcontracting and contractors' parlance is work which includes material also, right. Say for instance, if we outsourced lift installation or escalator installation or air con works right , this is wood material , so in the preceding quarter, maybe such outsourced works with material may have been slightly higher. So, this number needs to be actually looked at in conjunction with the labor supply and with material. That is why this figure needs to be looked at.

Satbeer Singh : I think you should compare EBITDA on it in our case.

Samir Jain : So, that is it. Thank you so much.

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Moderator : Thank you. The next question is from the line of Hetan Jain from Avendus Park. Please go ahead.

Hetan Jain : Thank you. Sir, my first question on the NGT ban, so since when was the ban implemented?

Shobhit Uppal : It started in end October, November, around Diwali time that is the time that the air quality index starts worsening in Delhi and NCR and it has gone on till as late as the first week of February and this time because Supreme Court also got involved , the ban was introduced, revoked , introduced, it happened in fits and starts , so there have been multiple stoppages from say October till about February first week.

Hetan Jain : Understood. Otherwise, what could have been an end date like now it is going to actually --

Shobhit Uppal : It is now dependent totally on the air pollution, the air quality index . As per the graph guidelines ,

there are different thresholds when different levels of graph guidelines kick in. So, it is more or less automatic when the AQI say , crosses a certain level , one level of restrictions come in. It crosses , it jumps up further, another level, more stringent restrictions kicking. So, when it crosses 300, the entire construction machinery comes to a standstill . The supply chain comes to a standstill because the trucks cannot enter the NCR region. And then once these guidelines are sort of revoked, then there is a logjam of trucks or materials at the borders. So, it takes time for the pace to pick up again. Are you understanding ? Have I clarified?

Hetan Jain : Yes. Just to compare, last year when was it like over the ban?

Shobhit Uppal : Just to compare, this year, because they were, if you see the number of stoppages starts and restart so far more , so it is sort of the effect on the supply chain all around has been much worse , so to say, while the end-to-end duration may have been the same, but overall the impact on construction work at ground as well as the supply chain has been far worse.

Hetan Jain : Understood. Next question is on, number for projects bid , the value of projects bid, you mentioned around Rs. 5,000 crores, sir, any flavor on what type of segment, which segment is this, is this residential, commercial or any such flavor would be helpful ?

Shobhit Uppal : Residential, commercial, healthcare , yes.

Hetan Jain : So, it is a cross all of those segments ?

Shobhit Uppal : Yes.

Hetan Jain : Understand. Sir, my last question is on, are you seeing any slowdown in payments from states?

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Shobhit Uppal : Not really. As I mentioned in the investor call at the end of the last quarter , I think the slow moving payments , this thing Bengal, our government projects are over. Bihar, we are seeing an improvement since the BJP and JDU government has come to power and Assam continues to be okay for us because the

same government is there at the center and the state. So, that is where we are.

Hetan Jain : So, no material change ?

Shobhit Uppal : No.

Hetan Jain : Thank you, sir .

Moderator : Thank you. The next question is from the line of Vasudev Ganatra from Nuvama Wealth. Please go ahead.

Vasudev Ganatra : Thank you for the opportunity. Sir, can you give us what is the status of the DLF Arbour project and the Tata Memorial project?

Shobhit Uppal : DLF project is now well underway, and it had taken up prior to the NGT ban coming into play, but post that DLF is one of the clients where they have compensated the labor for staying back , so when the ban was revoked and the work started I think on 3rd of February , we hit the ground running and in this month we have already done close to 4000 cubic meters of concrete layer. So, that project is we see that seeing ourselves clock a healthy run rate there in the rest of this quarter as well as next financial year. We have done a total billing there already in excess of Rs. 200 crores . And which was the other project that you asked for ?

Vasudev Ganatra : Tata Memorial?

Satbeer Singh : Rs. 110 has been executed so far.

Shobhit Uppal : Tata Memorial Rs. 110 crores have been executed.

Vasudev Ganatra : And sir, for next year, what is the kind of bid pipeline that we are looking to bid or like which segments and if you can quantify that?

Shobhit Uppal : Residential , healthcare, commercial and total pipeline should be in the region of about Rs. 25,000 crores.

Vasudev Ganatra : Sure, sir. That is it from my side. Thank you.

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Moderator : Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Sir, at the mobilization advance of Rs. 620 odd crores , what would be the interest bearing portion?

Satbeer Singh : This 43%.

Vaibhav Shah : And what was the mobilization advance as of September?

Satbeer Singh : With Rs. 621 crores .

Vaibhav Shah : As of September?

Satbeer Singh : As of September.

Vaibhav Shah : I didn't get you.

Satbeer Singh : You are asking absolute number ?

Vaibhav Shah : Mobilization advance as of September.

Satbeer Singh : This is Rs. 542 crores .

Vaibhav Shah : Sir, do we expect this number to reduce next year, or it should be in similar range ?

Shobhit Uppal : It should be in the similar range. It is going forward , as I said, we are increasing our private sector order book. There the mobilization is interest -free. So, the Company policy is to take that as far as wherever there is interest sharing advance, we would try and work without the advances.

Say for instance, the two airport projects we have not availed of the advance . We are funding it from internal accruals. So going forward, we are working to reduce the finance cost which is primarily on account of interest -bearing mobilization advance.

Vaibhav Shah : And sir, recently you have bids that you have won on the residential side of Rs. 1,100 crores each from the De-luxe DXP and a second that of composite Steel Structural Works , so those when do we expect to start?

Shobhit Uppal : Those projects, as I said, will take off in the next financial year. While some little work has started on the ground, but as I mentioned in answer to an earlier question, DXP, Signature Global, the work fronts which the client has to hand over to us, has not been done , barely 5% - 10%. So, they are a little slow off the blocks. We think they will start in the next financial year.

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Vaibhav Shah : Thank you, sir . Those are my questions.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Shobhit Uppal : Thank you so much everybody f

or your insightful comments and questions and look forward to seeing you again at the end of this financial year our next investor call. Thank you so much. Bye.

Moderator : Thank you. On behalf of Ahluwalia Contract India Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

Ahluwalia Contracts
(India) Limited
Engineering, Designing & Construction

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Date: 05-06-2025

To,
Compliance Department
BSE Limited.
25th Floor, P.J. Towers
Dalal Street, Mumbai - 400001 Compliance Department
National Stock Exchange of India
Ltd.
5th Floor, Exchange Plaza,
Bandra Kurla Complex,
Bandra (East) Mumbai- 400051 Compliance Department
Calcutta Stock Exchange Ltd
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Murgighata, B B D Bagh,
Kolkata, West Bengal – 700001

Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR) Regulations, 2015 held on 02-06-2025 at 4.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed Transcript of Analyst /Institutional Investor Meetings held on 02-06-2025 at 4.00 p.m. Q4 FY 2024-25.

The above details are also being made available on the Company's website at www.acilnet.com

This is for your information and record please.

For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: As Above

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"Ahluwalia Contracts India Limited 4Q & FY2025
Earnings Conference Call "

June 02 , 2025

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING
DIRECTOR , AHLUWALIA CONTRACTS INDIA LIMITED
MR. VIKAS AHLUWALIA – DIRECTOR , AHLUWALIA
CONTRACTS INDIA LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER ,
AHLUWALIA CONTRACTS INDIA LIMITED
MODERATOR : MR. SAMEER THAKUR – AMBIT CAPITAL PRIVATE
LIMITED

Ahluwalia Contracts India Limited
June 02 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Ahluwalia Contracts India Limited 4QFY25 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Thakur. Thank you, and over to you, sir.

Sameer Thakur: Good evening. On behalf of Ambit Capital, I thank the management of Ahluwalia Contracts India Limited for the opportunity to host your 4QFY25 earnings call.

We have the following members of Management with us today ; Mr. Shobhit Uppal – Deputy Managing Director; Mr. Vikas Ahluwalia – Director; and Mr. Satbeer Singh – Chief Financial Officer.

I now hand over the call to the Management , Mr. Shobhit Uppal – Deputy Managing Director, to walk us through the quarter. Thank you all, and over to you, sir.

Shobhit Uppal: Thank you so much. Good evening, everybody. Ahluwalia Contracts India Limited has announced its Financial Results for 4QFY25.

During 4QFY 25, the c ompany has achieved a turnover of Rs. 1,215.84 crores and a PAT of Rs. 83.16 crores in comparison to a turnover of Rs. 1,163.66 crores ; and PAT, excluding exceptional items , of Rs. 54.91 crores during 4QFY24. The company has registered growth of 4.48% in turnover and 51.44% in PAT, excluding exceptional items during 4QFY25 in comparison to 4QFY24.

EPS of the company for 4QFY25 is Rs. 12.41 as compared to the EPS of Rs. 8.20, excluding exceptional items in 4QFY24. During 4QFY25, the company's E BITDA margin is 10.17% as compared to 8.96% in 4QFY24 and a PAT margin of 6.74% as compared to PAT margin, excluding exceptional items, of 4.67% in 4QFY24. During FY 25, the company has achieved a turnover of Rs. 4,098.62 crores and a PAT of Rs. 201.51 cror es, in comparison to a turnover of Rs. 3,855.29 crores and a PAT excluding exceptional items of Rs. 230.61 crores during FY 24. During FY 25, EPS of the company is Rs. 30.08 as compared to an EPS of Rs. 34.42 excluding exceptional items in FY 24. During FY 25, the company's EBITDA margin is 8.34% as compared to 10.08% . And the PAT margin is 4. 85% as compared to 5.93% in FY 24. The net order book of the company as on 31st March 2025 is Rs. 15,775.08 crores to be executed over the next two to two and a half years . Total order inflow during FY 25 stood at Rs. 8,436.69 crores and the order inflow during FY 26 thus far is Rs. 396.50 crores ; sorry, this order inflow is till 31st March. At present, we are L1 in two projects aggregating Rs. 1,796 crores.

Thank you. We are ready to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Thank you, sir. A couple of questions. So, sir, first on the execution front , so now how one can look at the exe cution growth for this year FY 26? And also , if you can specify this Rs. 1,796 crores L1 orders, which are this? And how much order inflow are we looking at fo r the entire year of FY 26?

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Shobhit Uppal : Hi, Shravan . Your second question first . Rs. 1,796 crores, these are two orders. One is a university in Bhubaneshwar, Odisha with the state government , this is about Rs. 1,000 crores.

And the other is the MIDC project in Mumbai, which is about Rs. 700-odd crores. As regards to your third question, the targeted order inflow should be on the similar lines, about Rs. 7,000 crores to Rs. 8,000 crores in this financial year. As regards the r

evenue guidance, about 15%.

Shravan, I have answered your question. Anyt hing else?

Shravan Shah: Yes. Sir, in terms of the EBITDA margin, so this quarter definitely we have done 10% plus.

How one can now look at for FY --

Shobhit Uppal : As I said in my last con call, our slow -moving orders are behind us. Almost all projects have taken off, and we have a healthy order book. So, there will be a double -digit margin in this financial year.

Shravan Shah: Okay. Got it. And also a couple of data points. First, mobilization advance, retention money and unbilled revenue?

Satbeer Singh: Yes. Mobilization advance is Rs. 639 crores and retention is Rs. 387 crores and debtors are Rs. 812 crores.

Shravan Shah: Unbilled revenue?

Satbeer Singh: Rs. 390 crores.

Shravan Shah: Rs. 390 crores unbilled revenue?

Satbeer Singh: Yes, yes, yes.

Shravan Shah: Okay. And capex for FY 26 is?

Shobhit Uppal : About Rs. 200 crores.

Shravan Shah: Okay. Okay. So, any specific projects where we are likely to see a higher CAPEX , and that's why we are saying a Rs. 200-odd crores?

Shobhit Uppal : So, we have signed recently a lot of orders for high -rise building. So, there is this aluminum or specialized system shuttering , that will involve a CAPEX . And plus , there's going to be a large CAPEX on the projects, these such high res like the ones we have signed for DLF, the specialized machinery like cranes are going to be deployed. That is why a higher CAPEX . In this year also we have done a CAPEX of about Rs. 190 crores , so it will be on similar lines.

Shravan Shah: And lastly, the Gems and Jewellery Park and the CSMT railway station , so last time you said we are looking close to Rs. 500 crores in FY '26. And particularly the Gems and Jewellery where have we started work and how one can look at the revenue in FY '26?

Shobhit Uppal : No. In CSMT, we are looking at a target of about Rs. 400 crores to Rs. 500 crores in this year. As far as Gems and Jewellery Park is concerned, we are still awaiting clearances from the department to break ground.

Shravan Shah: So, when it will start?

Shobhit Uppal : We are still not clear. Probably it will be in Q3 FY '26.

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Shravan Shah: Then the revenue should be on the lower side , and despite that so if I remove this then we have to do a significant uptake in terms of execution for other projects to reach a 15% kind of a growth.

Shobhit Uppal : As it is in our projection of revenue, we have taken just about Rs. 150 crores from Gems and Jewellery Park, which even if it begins in Q3 , in H2 we should be able to meet that.

Shravan Shah: Thank you and all the best, sir.

Shobhit Uppal : Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please proceed.

Jainam Jain : Thank you sir for the opportunity. Sir, my first question is on the update , is there any update on Delhi NGT issues?

Shobhit Uppal : No, there is no specific update . But we are hoping that with the same ruling party , both at the state and the center, this time the pain should be considerably lesser , more so because the state government has already started taking steps to curb pollution. So, we are hoping that unlike last year when we lost approximately two to three months, two months in Q3 and nearly a month in Q4 of FY '25, this year the pain will be considerably lesser. So, the impact on our production should be much lesser.

Jainam Jain : Okay, sir. And sir, my second question is , what is sort of bid pipeline which we are seeing in FY '26? Like are there any major opportunity in terms of projects which is sort of going to help us in increasing our backlog?

Shobhit Uppal : So, the bid profile and pipeline is similar to what it was in the second half of last year. We are seeing a substantial growth in residential projects, high -rise residential projects in various parts

of the country, especially metros, even in Tier 2 cities like, say, Bhubaneswar, Patna, etc. So, that is one area. Secondly, airports is another area for us. And then housing also on the government side and educational projects, both on the government side and the private sector side.

Jainam Jain : Okay, sir. And sir, my last question is , despite having a strong book -to-bill ratio of 3.8x, like we are still looking at a revenue growth of 15%. Sir, what is actually stopping us from achieving a higher number at that end?

Shobhit Uppal : Two things. One, we are being cautious , as we always are, primarily because labor is an issue . And it's just becoming more and more of an issue, especially in and around the festive season,

which traditionally is the best construction period. But our experience over the last couple of years is that labor goes back home, it depletes. Then a lot of this labor, especially skilled workforce comes from Bihar, which the state is going to go for election in the month of October. So, that will impact project performance across the country because most of the skilled workforce comes from Bihar.

Jainam Jain : Okay, sir. That answers the question. Thank you so much. All the best.

Shobhit Uppal : Thank you.

Moderator: Thank you. The next question is from the line of Lakshminarayanan K G from Tunga Investments. Please proceed.

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Lakshminarayanan K G: I have a few questions. See, one is , if I just look at the current assets, the trade receivables have increased from Rs. 604 crores in FY '23 to almost Rs. 784 crores in FY '25. So , you classify these trade receivables as current assets. Two questions, why there has been a quantum jump in that? And then , over what period these receivables can be got, like what is the policy the company has under current assets trade receivables?

Satbeer Singh: I think debtors are Rs. 785 crores in current assets in comparison to 31st March '24, this was Rs. 746 crores , I do not think so there is a quantum jump .

Lakshminarayanan K G: No, no. I am just comparing from FY '23, it was Rs. 604 crores to almost Rs. 784 crores in the last two years. So , is it in line with your expectation?

Shobhit Uppal : Yes, it is . What Satbeer is saying that if you see FY '24 and FY '25, it is almost similar. Rs. 740 crores to Rs. 785 crores, right? And there has been a corresponding jump in turnover also. So, it is in line with our expectation.

Lakshminarayanan K G: And the second question is that what percentage of our order book, excluding the CSMT is item rate and how much is EPC?

Shobhit Uppal : Before the end of this call, we will get back to you. We do not have that as a ready number, right , if we exclude CSMT, what is the EPC. So, to give you an accurate answer, give us some time. Before the end of this call, we will get back to you.

Lakshminarayanan K G: Got it. And the third question is that what percentage of , I mean , I see that around Rs. 180 crores of CSMT work has been done. And in your own I think you have mentioned that there has been a delay due to various agencies issues. Now , when do you think this project will get over because we are already having a delay ? So, I just want to hear your thoughts on that.

Shobhit Uppal : So, as I mentioned in my answer to I think Shravan's question, we are looking at doing an output of about Rs. 400 crores to Rs. 500 crores this year, this financial year. So, the total value is around Rs. 2,000 crores. So, I think totally it will take anywhere between two to two and a half years to complete this.

Lakshminarayanan K G: So, maybe FY '28 or '29, it would end?

Shobhit Uppal : I think , yes, if you take two years from now its '28, FY '28.

Lakshminarayanan K G: Got it. And question pertaining to the same project. Since it's

an EPC project and what kind of cost escalations you have actually built in ? Because it's an L1 project , so I just want to understand how we have ring fenced risks in terms of delays and in terms of cost overruns, what kind of mitigation we have done there?

Shobhit Uppal : So, our investments on the project in terms of machinery and other significant resources has already been done. Secondly, we have like , say, significant raw materials like stone, chips and sand. We have bought a quarry, which we are using to feed this and other projects in Mumbai. Thirdly, we have set up our own fabrication units near the execution site, which are helping us control the expenses, not only the timely delivery, but also expenses. So, we have put in place a slew of measures which will help us mitigate most of the escalations , rest we have factored in our projections.

Lakshminarayanan K G: Correct. Thank you for the clarity. I will get back in queue and I will wait for your number.

Shobhit Uppal : Yes, thank you Lakshmi. Thank you.

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Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Sir, firstly on the CSMT project. So, over the last time we had guided for Rs. 750 crores of revenue for FY '26 , so what is stopping us from achieving that number for this year? And are the design issues back now and design is clear now or still there are some lingering issues?

Shobhit Uppal : Most of the design issues have been resolved. But in a project as complex as this, as I had mentioned last time, it's very difficult to get all issues resolved , more so when the nodal agency, RLDA, is also a comparatively new agency, unlike the CPWDs and the NBCCs of this world.

That is why while the construction has begun in right earnest on the ground, but there continue to be issues. This is a large project which not only involves structure, but it also involves finishing items. While structural issues have been, to a large extent, concluded, but a lot of finishing items or design issues still remain. So, we are working on that.

Secondly, work or productivity on the ground or production on the ground is dependent on as and when closures or block closures are given to us. This year, substantially, we are looking to work on the greenfield aspect of the project where new buildings are coming up, whereas the stations and concourses, that will be taken up in the latter half of this year and the majority of that will be done in the next financial year. Hence, a bit of a downward trend on the revenue guidance that we are giving on this project for this financial year.

Vaibhav Shah: So, as far as this number is concerned, Rs. 400 crores to Rs. 500 crores, that should be largely secured now or still there is some risk to that number as well for FY '26?

Shobhit Uppal : So, that's largely secured.

Vaibhav Shah: Okay. Sir, secondly, on the margin front, so we saw a good margin in Q4 at around 10.2%. So, what drove that margin? Any one-offs or what drove that?

Shobhit Uppal : No, no. If you recollect, during my last con call, I had mentioned that most of the slow-moving projects were behind us, NGT was behind us. And we signed the fresh orders at decent margins.

And I had projected that we would be henceforth looking at double-digit margins. And this should continue through this year.

Vaibhav Shah: Okay. Sir, secondly, on the medical college at Chapra, so has there been any change in scope because it was earlier, I think order book was zero, now it is around Rs. 160-odd crores.

Shobhit Uppal : Sorry, repeat your question. You are saying ?

Vaibhav Shah: Medical college in Chapra, in Bihar, earlier the order book was zero and now there is a Rs. 160 crores order book as per the presentation, so has there been any change in scope? And also the value of

the order has increased, earlier it was around Rs. 450 crores, Rs. 470-odd crores, now this Rs. 600-plus crores ?

Shobhit Uppal : So, there were certain government approvals awaited. There were extra works, which were being added. So, that came during the last quarter. That's why the size of this order has gone up.

Vaibhav Shah: And that should be completed in this year, FY '26, the remaining work ?

Shobhit Uppal : Yes, it will be completed in the next six months.

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Vaibhav Shah: Okay. Sir, lastly, on the working capital side. So, any issues in particular state or any authority where payments are being stuck or have been delayed?

Shobhit Uppal : Not to my knowledge. No. This time around our two states were worrying us, which was West Bengal and Bihar. Bihar, the issues were cleared, last time around I had mentioned that. And West Bengal also, at the moment we are executing no government projects there. Our projects have been completed. And most of our payments have been received.

Vaibhav Shah: So, working capital should be a similar number in FY '26 as well?

Satbeer Singh : It is at 88 days.

Vaibhav Shah: Ahead also it should be similar, going ahead ?

Satbeer Singh : That has to be similar.

Vaibhav Shah: Okay. And sir, lastly, of the mobilization advance you mentioned, what would be the interest-bearing portion?

Satbeer Singh : It's 40%.

Vaibhav Shah: Okay, okay. Thank you, sir. I will fall back in the queue.

Moderator: Thank you. The next question is from the line of Aarohi Gourisaria from Kredent Family Office. Please proceed.

Aarohi Gourisaria : All right. Sir, I am new to this sector, and I had a couple of questions. Sir so firstly, I was seeing that unlike your peers you do not diversify into long gestation projects like building tunnels or dams, irrigation facilities, underground metro, etc. Basically, you are primarily focused on buildings. So, could you please explain why you have never thought of diversifying?

Shobhit Uppal : Our skill set has been developed around buildings and factories. And people who follow our company know that we are risk averse. We want to grow conservatively, and that's what we have been doing all these years. We want to continue to remain a zero-debt company. And that is primarily what is preventing us from going into higher risk areas.

Aarohi Gourisaria : Alright, sir. Thank you. And secondly, in the past con calls, we have emphasized on reducing our dependence on mobilization advance and instead utilize our internal accruals better.

However, your mobilization advance has grown by 21% Y-o-Y from Rs. 528 crores in FY '24 to Rs. 639 crores in FY '25. So, could you please explain the rationale behind this growth?

Shobhit Uppal : No. So, if you look into the fine print, what I have been saying in my last few calls is that the mobilization advance from the public sector side on government projects is interest-bearing, which we are continuously reducing our dependence on. The increase in mobilization advance

which you see is from the private sector side, which is interest -free. Have I answered your question?

Aarohi Gourisaria : Yes, sir.

Shobhit Uppal : We have said , only 40% of our total mobilization advance is interest -bearing, right? If our public sector order book is close to 41%, right , and on most of those projects or newer projects we are not availing the mobilization facility which the client is offering us because it is interest -bearing.

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Those projects, like, say, Varanasi airport, we are funding from internal accruals. And if you see our interest cost, our finance costs have also come down.

Satbeer Singh: Interest bearing mobilization advance . was 58% last year , now this is 40%.

Shobhit Uppal : What Satbeer is saying , last year interest -bearing a

dvance was 58% , now it is 40%. So, it's come down, and it will come down further.

Aarohi Gourisaria : Okay, sir , thank you . And sir, just one last question. There's a trade receivables write -off of approximately Rs. 14 crores , so could you please let me know which party this is in regard with?

Satbeer Singh : Repeat your question, please?

Aarohi Gourisaria : Yes, sir. So, sir, there's a trade receivable write -off of approximately Rs. 14 crores. So, could you please explain which party this is in relation with?

Satbeer Singh : I think the receivable write -off is from Logix and JP, two of our clients, where the companies have been taken to NCLT.

Satbeer Singh: It should be a larger number?

Satbeer Singh : Rs. 12 crores.

Aarohi Gourisaria : Tlright. Thank you so much. All the best.

Shobhit Uppal : Thank you.

Moderator: Thank you. The next question is from the line of Agastya Dave from CAO Capital. Please proceed.

Agastya Dave : Sir, I used to follow this company like 20 years back. And even as recently as five, six years back, just before corona, you guys used to be 12%, 13% EBITDA margins. So, now it's very heartening to see that you are guiding for double -digit margins. But when will we go back to those historical numbers of 12%, 13%? Is it, sir, do the business circumstances prevent us from reaching those levels? Or is it just a matter of time?

Shobhit Uppal : The world has moved on. It's changed a lot pre -COVID, post -COVID , I do not see 12%, 13% margins happening in the near future. It's taken an enormous amount of effort to even get back to double -digit margins, right? While t he industry is sort of booming, if I may say so, becau se now we are seeing both private sector and public sector CAPEX happening. But there are myriad problems which afflict this industry, primarily our overdependence on labor, right? That continues to be the case, and labor is in extremely short supply.

So, I do not think we are going to reach 12%, 13% margins till such time that there is greater standardization and greater dependence or greater use of industrial techniques in what we do on our project side. That I do not think is going to happen in the short term. But I am confident that now with Ahluwalia being a preeminent name and especially in the private sector there being limited player s, we should be able to sustain a double -digit margin right through.

Agastya Dave : Understood, sir. Sir, the second question is also a related one. So, if I look at the last three years, so '23, '24 and '25, if I look at the employee expenses, they have gone from Rs. 200 crores to Rs. 351 crores and other expenses from Rs. 47 crores to Rs. 85 crores. So , can you point out what are the biggest reasons for that? So, FY '24, I understand you had extremely high growth that

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year. And last year, there was obviously the problems that we know. But still the costs jumped quite a bit. So, were th ere any particular reasons behind this? Or was it just that because you lost so much time because of the NGT issues and other issues that the costs are looking big because of the absence of revenue growth? How should I understand this, sir?

Shobhit Uppal : So, primarily the costs were looking big. As you see, our staff costs in this quarter has come down because revenue has gone up, right? Secondly, because we were well stocked up, the order inflow was large. So , we had correspondingly also increased the staff to execute the order backlog of about Rs. 15,500 crores. So , now going forward, as we pick up speed, this cost in terms of percentage of revenue is further going to come down, pushing up our profits.

Agastya Dave : Sir, what are our capabilities in terms of handling execution for years? So, peak execution that we can handle, assuming no interruptions, no elections, nothing , how much can we execute in a year? As

suming , again, a theoretical scenario where all permissions are on board, like everything is there , how much can we execute, sir, based on the current cost base that we have?

Shobhit Uppal : It's a totally new question. You have me kind of at a loss for words because such a situation will never occur. But as I said, I have projected 15% growth. This can go up to, in an ideal circumstance where there is no inertia, be it at the state level or at the central level, and we are totally well stocked up as far as labor is concerned, we can do nearly 30% growth.

Agastya Dave : Okay. Okay. Okay. And sir, in terms of these cost items, sir, how much should we , so 15% revenue growth I understand , variable cost obviously will scale up with the execution. But the fixed costs, sir, what kind of inflation are you seeing in those?

Shobhit Uppal : So, when you say fixed cost, you are talking about ?

Agastya Dave : Employee expenses and other expenses, sir.

Shobhit Uppal : So, employee expense, last year also, even though we were hit by slow -moving projects, there the average increments or increase for staff cost was about 15%. And going forward, if this industry continues to boom and seeing the skill shortage or shortage in even engineers for engineers and managers, I think this will go up by another couple of percentage points.

Agastya Dave : Right, right, right. So, I hope this starts reflecting in the pricing for you guys, right , sooner or later you will have to pass this on.

Shobhit Uppal : We are passing it on already. If we would not have passed it on, how would we have achieved a double -digit growth in our profits. This is the time to pass it on. As I said in my answer to the earlier question, that there is a paucity of good construction companies, especially on the private sector side where the focus on quality and safety is very, very high. Not only us, the entire ecosystem is demanding international standards. Even the buyers want the end product to be at par, especially in the metros , to be what they see when they travel abroad to the Western countries. So, there are only a handful of contractors who are equipped to do that.

Agastya Dave : Great, sir. Thank you very much, sir, for answering all the questions. And I wish you all the best, sir. Let us hope for a non-industrial year.

Shobhit Uppal : Thank you.

Moderator: Thank you. The next question is from the line of Samyak from Marcellus Investment Managers.

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Samyak Jain: Thank you, sir, for the opportunity. A couple of bookkeeping questions. First is, I see that the other income has substantially increased in FY '25. So, if you could just help us understand with what are the main components of other income in FY '25?

Satbeer Singh : Other income majorly increased due to , basically, it consists of interest on FDs, that is Rs. 45 crores. And besides that, Rs. 8 crores we have written back to suppliers outstanding.

Samyak Jain: Got it, sir. And secondly, could you help us with the interest on mobilization advance, the interest amount for FY '25?

Satbeer Singh : Interest on mobilization advance, this has been increased from Rs. 18 crores to Rs. 24 crores this year. This year it's Rs. 24.91 crores .

Samyak Jain: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please proceed.

Shravan Shah: Yes, thank you sir for the opportunity again. Sir, this L1 Rs. 1,796 crores when we are likely to get the LOA ?

Shobhit Uppal : I think it will take about 30 to 45 days.

Shravan Shah: Okay. So, considering the Godrej project that is Rs. 397 crores and plus this L1, so around Rs. 2,200 odd crores that we have already received. And just if you can specify the overall how much value of projects that we have already bid and where bid is yet to open?

Shobhit Uppal : Shr

avan , I do not have that handy with me. We will get back to you with that figure. Satbeer will separately give you that figure . As I mentioned , the order pipeline is healthy. And just to kind of reiterate my point, which I made in my earlier answer, is that we expect a similar order inflow as we had last year to the tune of about Rs. 7,000 crores to Rs. 8,000 crores. So, going forward, maybe another Rs. 5,000 crores in this year in addition to this Rs. 2,000 crores or Rs. 2,100 crores.

Shravan Shah: Got it. So, that's what I just wanted to understand , is there a possibility that we can even do a Rs. 10,000 crores plus kind of order inflow? So, just trying to see where we can see a further uptick in the growth in execution maybe in FY '27, '28? So, just trying to understand that.

Shobhit Uppal : Let me not give you a number, but let me tell you that , at the moment, order booking is not an issue. We are being aggressively wooed by clients , because as I said earlier, there is a paucity. There are only a handful of large construction companies who are capable of delivering complex large -scale projects across the spectrum of the building industry. So , I think the order inflow should be healthy enough in this year.

Shravan Shah: Yes. Sir, order pipeline currently would be Rs. 25,000 crores around?

Shobhit Uppal : I think the order pipeline should be about Rs. 15,000 crores.

Shravan Shah: Okay. Got it. And sir, is there a way that currently we are having a significant cash flow is there, Rs. 900,000 -odd crores. We are saying that we will not use for government projects the interest-bearing mobilization advance. Also, is there a way that we can even start reducing the subcontract expenses, which as a percentage of revenue, if I see, is close to 29%, 30 % odd. So, just trying to understand, is there a way that we can even inch up maybe 0.5%, 1% margin?

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Shobhit Uppal : I do not think it would be accurate to say that we can use our cash reserves to get down the subcontractor percentage. But what we are actively looking at is using our reserves to better control the supply chain, both in terms of pricing and timely delivery, which consequently will help the margins only.

Shravan Shah: Okay. And also , currently the private is close to 58% of order book, although our aim is to have a 50%, 50% government and private. So, it is just the timing gap and that's why it is, but that stand remains? Or is there a possibility that we may see maybe government share would be 40%?

Shobhit Uppal : See, Shravan, you have seen us in the past. Right now, we are focusing much more on the private sector because in the government sector the margins are comparatively lower , even on big ticket orders. So, our focus over the next year or two years will remain on private sector. So, I think 60-40 will be there, at least in the short term .

Shravan Shah: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi. Please proceed.

Bhavin Modi : Hello, sir. Thank you for the opportunity. Sir, my first question is with respect to the order inflow this year. Do you have a breakup of how much is the new additions and how much is the change in scope? Would it be possible to provide that number?

Shobhit Uppal : No, it would not be possible. We will have to get back to you on it. New orders and change in scope is going to be very little , Bhavin . If you heard the earlier question , there is an increase in Chapra (Inaudible) 40:57 . This order inflow is a new order inflow.

Bhavin Modi : Okay, sir. Sir, second is how much of your order addition has come from the private sector?

Shobhit Uppal : Our total order book is 58% towards the private sector. As far as the percentage of the new order inflow, we will get back to you before the end of this c

all . Out of Rs. 8,400 crores new order

inflow in this financial year, how much is private sector , is that your question?

Bhavin Modi : Yes, sir. Yes, yes.

Shobhit Uppal : Yes, we will get back to you.

Bhavin Modi : Second thing, I may have missed on this topic, but I just wanted to understand out of this order book, which is there, sir, how much is the fixed price contract and how much is cost plus contract where we can get the benefit of escalation?

Satbeer Singh : Fixed price contracts are 11%.

Bhavin Modi : And sir, in case of escalation embedded contracts, what are the pace that is available in escalation like labor cost, material cost, any percent age that you can give us?

Shobhit Uppal : Government contracts, there is a formula or there are two formulae , one is for material, one is for labor. These are standard formulas , and there is a base price or base index which is mentioned for material as well as labor. And the escalation is paid based on the periodic indices which are released by the government , be it states government. On the private sector e scalation on volatile materials , there is a price like cement, steel, aluminum, block matter, there is a base price, RMC, there is a base price which is provided in the tender. Any variation from that base price is a pass-through. We get compensated for that. As regards labor on some contracts, even in the private

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sector, the labor escalation is calculated based on the index, which is published by the government.

Bhavin Modi : Okay, sir. Got it. And sir, the last question , since we have the project of railway station redevelopment, so are we looking for new opportunities first? And second is, sir, since now we are NCR and the government is now focusing on Yamuna Cleaning opportunity , so are we looking for some projects from that side?

Shobhit Uppal : It would not be prudent for me to comment on our bidding capacity or how we are looking to increase our business going forward. Let me leave you with the thought that what we have been doing for the past few years, we will continue to do that. Since we are present in the entire spectrum of the building industry, whichever segment of this industry does well, be it industries like we are seeing a bit of an uptick in industrial growth, we will look to focus on that. We are already doing airports. If we see large value airport projects coming up , we will bid for that, be it private sector or public sector. At the moment, there is a lot of focus on residential. So, we are

looking at adding residential projects to our portfolio.

Bhavin Modi : Okay, sir. Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Vasudev from Nuvama. Please proceed.

Vasudev Ganatra: Sir, can you just give us some updates on the DLF project, Tata Memorial and the Signature Global project?

Shobhit Uppal : So, we are doing two projects for DLF. One is the housing project in Sector 623 in Gurgaon, which is well underway. We are logging in a run rate of close to about Rs. 25 crores to Rs. 30 crores every month there. And we are slated to complete that project by September, October '26.

As regards the commercial project, about 6.5 million square feet commercial project that we are doing on Delhi -Gurgaon highway, that we have just begun construction because they had gone into redesigning mode based on new provisions. So, we have just begun construction. And starting next month, we should be logging a run rate there of about Rs. 25 crores to Rs. 30 crores there also every month.

As regards the Signature Global project, that also the site has been handed over to us. And since last month, we are doing a turnover of about Rs. 15 crores to Rs. 20 crores every month. Going forward, this will be maintained in this year.

As regards Tata Memorial project, that project is also moving

fine, and we are doing a billing of

close to about Rs. 8 crores to Rs. 10 crores, which is expected to be ramped up to Rs. 15 crores to Rs. 20 crores starting next month.

Vasudev Ganatra: Sure, sir. And sir, how is competitive intensity looking like in the private and the public spaces?

Shobhit Uppal : Public sector intensity is high. Private sector, as I mentioned earlier, there are only a handful of contractors for large jobs. When I say large, I mean Rs. 400 crores, Rs. 500 crores plus.

Vasudev Ganatra: Okay. Sure, sir. That's it from my side. Thank you.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings.

Nirvana Laha : Thanks for the opportunity, sir. Given that you are looking at 15% revenue growth and you mentioned, I think, Rs. 200 crores of CAPEX, just wanted your thoughts on how interest cost

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and depreciation could look like for the next year? Because last year also, I mean, this year we did significant CAPEX, and the depreciation has sort of remained flat Y-o-Y. So, some light on that.

Satbeer Singh : Depreciation is flat because last year impairment also and investment in property so that's why there is a flat because earlier this is including impairment value, but this year the impairment value has been reduced and that's why depreciation cost has flattened. And finance cost. Finance cost has basically this is Rs. 48 crores to Rs. 58 crores basically due to increase in mobilization advance. Increased mobilization advances and interest has been increased from Rs. 18 crores to Rs. 24 crores.

Nirvana Laha : Sure. So, the component of interest cost for you guys is ?

Shobhit Uppal : Basically one is interest on mobilization advance, and another is if you know about IndAS 116 that's unwinding of interest on license fees to R SRTC and other rights of use of including all this interest is around Rs. 5.64 crores. And another is basically the bank guarantee charges and other working capital interest is around Rs. 22 crores.

Nirvana Laha : So, if revenue grows by 15% and the mobilization advance component remains at 40%, the interest-bearing part, the interest cost will grow slower than 15% you estimate? Or will it track the revenue?

Satbeer Singh : That's why, because last year we have taken the advance in the last February, March, like CSMT project. That's a major advance, which is Rs. 200 crores, that we have taken in February, March.

That's why the interest cost has been increased in this year.

Nirvana Laha : Okay. And sir, you mentioned that there was a write-back of Rs. 8 crores in other income, right?

Other than that, everything was interest income related ?

Satbeer Singh : Yes.

Nirvana Laha : Okay. So, Rs. 48 crores of other income was in the normal course of operations, right?

Satbeer Singh : Other income is basically --

Satbeer Singh: Sorry.

Satbeer Singh : Total Rs. 55 crores other income includes Rs. 45 crores.

Shobhit Uppal : That's what he is saying, Rs. 45 crores is interest on FDs, yes.

Nirvana Laha : Okay, alright. Thank you and all the best.

Satbeer Singh: Thank you.

Moderator: Thank you. The next question is from the line of Rajat Setiya from iThought PMS. Please proceed.

Rajat Setiya: Thanks for the opportunity. Sir, with regards to CSMT, what is the deadline to complete this project?

Shobhit Uppal : As I said earlier, it will take about two, two and a half years to complete this job.

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Rajat Setiya: Okay. And sir, is this the original time line or it has already been extended ?

Shobhit Uppal : No, it's an extended time line. As we have been mentioning, there have been delays on account of design and design approvals.

Rajat Setiya: Okay. And sir, if there are any additional costs because of this delay, I mean, delay has already

happened and it may happen again in the future given the complexity of the project, will we be compensated for any additional costs that happen because of the delay ?

Shobhit Uppal : It's too early to say. Obviously, we will be. As we are moving along, we are keeping the department informed. But as it happens in public sector contracts or government contracts, these are issues which are generally resolved towards the last stage of the project. At the moment, we are focused on getting our design approval so that we can march full steam ahead.

Rajat Setiya: Sure. And by when do we expect regular run rate of clocking any --

Shobhit Uppal : No, I did mention, if you heard my answer to a few earlier questions, this year, we are targeting a Rs. 400 crores to Rs. 500 crores output from this project.

Rajat Setiya: Yes, sir, I heard that. But I think my question is, by when do you think we are going to begin clocking some monthly run rate on this project?

Shobhit Uppal : So, it's already happening. It's already happening. And as I said, the greenfield aspect of the projects, the approvals are in place now. And this month onwards we should be doing a billing of Rs. 15 crores to Rs. 20 crores, which will keep increasing. And the whole year, it will be anywhere between Rs. 400 crores to Rs. 500 crores.

Vikas Ahluwalia : You have to understand one thing, Vikas Ahluwalia over here, that it's a very complicated project, given the nature of it that it's one of the largest running railway stations of the country and the footfall is immense here. So, frankly speaking, my friend, it would be wrong to expect that it is going to get some huge monthly turnovers because it has taken us a while also to understand this that the permissions will come in phases. Although we have planned for the whole thing, the design is getting approved for the whole thing, but it's like one platform at a time.

And it is wrong to also expect, you guys are for Bombay, for example, it's wrong to expect that if we shut down four platforms, you understand what the chaos it will be. But yes, I am not going to say that the railways is holding back or anything, they are doing maximum. I am not going to say that. But the greenfield portion, as Shobhit ji said, that is now moving full steam ahead.

Rajat Setiya: Understood, sir. Thanks for this detailed explanation. And in terms of margins on this project, do we expect similar margins in double digits as for the company? Or you think it will be a different kind of a project in terms of margin?

Vikas Ahluwalia : It will be different. I mean, let's not try to. While giving you guys projections, we have factored in a slightly lower margin for this job.

Rajat Setiya: And sir, is it possible to share, I mean, we were L1 here, what would have been the L2 gap?

Vikas Ahluwalia: It's there in the public domain. It's been talked about often. So, the gap was sizable. Yes, it was sizable.

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Rajat Setiya: And sir, did we talk about the Edition 66 project that was in the previous quarter's presentation, but not in this one, I think.

Shobhit Uppal: Sorry, come again?

Rajat Setiya: There was a Project Edition 66 in the previous quarter's presentation, but it was not mentioned in this quarter's presentation.

Vikas Ahluwalia: I am surprised it's a part of our order book. It's a sizable, it's the smart-moving project. It's there. It should be there. It's a part of our total order book, and we have a substantial portion of that job still left. So, it's there.

Vikas Ahluwalia : No, but he's saying it's not there in the presentation.

Shobhit Uppal : In presentation he's saying is a summarized presentation. If you go through the detailed order book list, it will be there.

Rajat Setiya: Sure. And what's the status on that?

Shobhit Uppal: So, that is roughly, if memory serves me

right, is an Rs. 600 crores job, and we have done, I

think, Rs. 70 crores to Rs. 80 crores worth of billing there. As I said, a substantial portion of that is moving fine.

Rajat Setiya: Okay, understood sir. Alright. Thank you so much.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stockbroking.

Vishal Periwal : Yes, sir. Thanks for the opportunity. Sir, I think based on our monthly construction schedule,

we have given guidance of almost like 15% for this year. So, how the numbers look like for FY '27 for us?

Shobhit Uppal : FY '27 ? Too far ahead . Do not make us look so far ahead, but it will be similar.

Vishal Periwal : No. Sir the reason why I am saying is like initially you mentioned the order book that we have, it's almost like two, two and a half odd years. So, which means like annually it could be like Rs. 6,200 crores, Rs. 6,300 crores sort of revenue. But yes, 50% of our orders are still in the initial stage, so some bit of pickup and then probably a peak of it in '27. So, given that scenario, probably 25%, 30% sort of revenue growth or maybe like Rs. 6,000 crores sort of thing for FY '27, is it achievable or not?

Shobhit Uppal : As somebody asked , one of the questions that was asked was , if everything goes well there is no slowdown from any government state or center, there is no labor shortage, what do we expect to grow at? I said 30%. So, yes, if the industry keeps on moving forward , there is no cash shortage, there is no sort of international event which impacts our economy, there is no reason why we should not be eyeing Rs. 6,000 crores in the subsequent year, FY '27.

Vishal Periwal : Okay. So, sir, for this perquisite it could be like 15% if we are achieving, then probably that could be the number for '27. I mean, yes, then probably a pickup is happening in each of our orders ?

Shobhit Uppal : Yes.

Vishal Periwal : Okay, got it. Yes. That's all from my side. Thank you.

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Moderator: Thank you. The next question is from the line of Anil Chaurasia from SMIFS. Please proceed.

Anil Chaurasia : Thank you for the opportunity, sir. Just one clarification I need. In between, I think somebody asked about that write -off of advances to the tune of Rs. 15 crores. Just wanted to know whether all the outstanding advances from those two clients have been provided for? Secondly, whether there is any scope to recover this amount? And third, during which quarter have you provided for this, sir, if that is possible to share?

Shobhit Uppal : We have written off in this quarter. This is around Rs. 12 crores we have written off and there Rs. 2 crores is a provision on ECL basis. And out of this, majorly we have told that the Logix and JP projects are there. But still, we are looking to legal remedies and might be , not might be, it may be there.

Anil Chaurasia : Okay, sir. Thank you so much.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for the day. And I would now like to hand the conference over to Mr. Sameer Thakur for closing comments. Over to you, sir.

Sameer Thakur : Thank you all. I will hand over the call to Mr. Shobhit Uppal for any closing remarks. Over to you, sir.

Shobhit Uppal: Thank you. Thank you, everybody. Thank you for joining in . And look forward to speaking to all of you in a few months' time. Thank you so much.

Moderator: On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines .

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Date: 21-08-2025
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Sub: Transcript of Conference call under Regulation 46(2) of the SEBI (LODR)
Regulations, 2015 held on 18-08-2025 at 3.00 p.m.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed
Transcript of Analyst /Institutional Investor Meetings held on 18-08-2025 at 3.00 p.m.
Q1 FY 2025-26.

The above details are also being made available on the Company's website at
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For Ahluwalia Contracts (India) Ltd

(Vipin Kumar Tiwari)
Company Secretary
Encl.: As Above

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“Ahluwalia Contracts India Limited 1QFY26 Earnings
Conference Call ”

August 18, 2025

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August 18, 2025

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MANAGEMENT : MR. SHOBHIT UPPAL - DEPUTY MANAGING DIRECTOR ,
AHLUWALIA CONTRACTS INDIA LIMITED
MR. VIKAS AHLUWALIA - DIRECTOR , AHLUWALIA
CONTRACTS INDIA LIMITED
MR. SATBEER SINGH - CHIEF FINANCIAL OFFICER ,
AHLUWALIA CONTRACTS INDIA LIMITED
MODERATOR : MR. SAMEER THAKUR - AMBIT CAPITAL PRIVATE
LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Ahluwalia Contracts India Limited 1QFY26 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone.

This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Thakur. Thank you and over to you, sir.

Sameer Thakur: Good afternoon. On behalf of Ambit Capital, I thank the management of Ahluwalia Contracts India Limited for the opportunity to host your 1QFY26 Earnings Call.

We have the following members of Management with us today; Mr. Shobhit Uppal – Deputy Managing Director, Mr. Vikas Ahluwalia – Director and Mr. Satbeer Singh – Chief Financial Officer.

I will now hand over the call to the Management, Mr. Shobhit Uppal – Deputy Managing Director, to walk us through the quarter. Thank you all and over to you, sir.

Shobhit Uppal: Thank you so much. Good afternoon, everybody. Ahluwalia Contracts India Limited has announced its Financial Results for 1QFY26.

During 1QFY26, the company achieved a turnover of Rs. 1,004.88 crores and a PAT of Rs. 51.11 crores in comparison to a turnover of Rs. 919.35 crores and a PAT of Rs. 30.60 crores during the corresponding quarter, 1QFY25. The Company has registered a growth of 9.3% in Ahluwalia Contracts India Limited

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turnover and 67.03% in PAT during 1QFY26 compared to 1QFY25. EPS of the company for 1QFY '26 is Rs. 7.63 as compared to EPS of Rs. 4.57 in 1QFY25. During 1QFY26, the Company's EBITDA margin is 8.59% as compared to 6.58% in 1QFY25 and a PAT margin of 5.01% as compared to a PAT margin of 3.29% in 1QFY25. The net order book of the Company as on 30th June 2025 is Rs. 16,582.09 crores to be executed over the next 2-2.5 years. Total order inflow during FY '26 till date is Rs. 3,889.06 crores. At present, we are L1 in two projects amounting to Rs. 1,796.00 crores.

Thank you so much. We are ready to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit from ICICI Securities. Please go ahead.

Mohit: Good afternoon, sir and thanks for the opportunity. My first question is, can you please help us with the progress on the CST and India Jewellery Park project? And any color on the contribution in the top line in this fiscal and next fiscal in your opinion?

Shobhit Uppal: Your voice is not very clear. Your first question, you are asking CST. Then what?

Mohit: My question was on the CST and India Jewellery Park, the two largest projects which are there in our order book. My question is, how has the progress been on those two projects, and how do you see their contribution in this fiscal and next fiscal, in your opinion?

Vikas Ahluwalia: Hi, Vikas here. So, with the CST project, the progress is better now compared to the last two quarters. Better in the sense, we have a lot of clearances now with respect

to design and it's a

complex project. And the railway station itself is a very complex environment, the CST especially. So, there are a lot of clearances that are now coming in. And we have already done about 350 to 400 something work. The total work done at site is about 17% to 20% which has been built. There is a lot of unbilled work which is happening, it is not yet built. So, this year we are expecting it to do better. I mean, we are now moving towards getting the project in sync to achieve a good run rate of about 60 crores to 70 crores per month. But it will still take some time. Because like I will again repeat that it is a complex environment.

Mohit: And the Indian Jewellery Parks, any progress?

Vikas Ahluwalia: Jewellery Parks, so now the project, the client has received the environmental clearance finally

in paper. So, there are certain compliances that they have to do, which they would do or they are doing now. In another two months ' time, I think we should be breaking ground. We are waiting , also now, the rains in Mu mbai are insane. So, it will take some time to settle down. But in two months ' time, we should be breaking ground.

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Mohit: Understood. My second question is on the Gurgaon project, which you won from DLF. When do you expect the work to commence? And is it fair to expect that this will be a Rs. 500 crore project, Rs. 500 crore kind of revenue from FY '27 onward?

Vikas Ahluwalia: I guess you are referring to The Dahlias project?

Mohit: Yes.

Vikas Ahluwalia: Yes, that is roughly about Rs. 2000 crores. It is to be completed in about 40 months. So, yes, about Rs. 500 crores revenue. But that depends on, there are eight towers. The total built up area is 7.3 million square feet. They are doing the D-wall, the client is doing the D-wall as well as the excavation. So, we are expecting that we will break ground from our side in September. That is when they start handing over. So, ye s, that's where we are at as far as that project is concerned.

Mohit: Understood , sir. That's very helpful. T hank you, sir. All the best.

Shobhit Uppal: Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, we have seen some softness in terms of margins in the first quarter. We are targeting a double digit margin for the entire year. So, can we expect a better margin in 2Q or the improvement will happen in second half?

Shobhit Uppal: Where is the softness, Vaibhav? If you see, as per my open ing remarks, quarter -on-quarter, there is an increase. There is an increase of close to 42.7%. As far as EBITDA is concerned, a net profit by 67%, when we compare quarter -to-quarter . You know, t his is very funny. When succeeding quarter to preceding quarter, we show an increase, then you compar e with a corresponding quarter. When corresponding quarter, we show an increase, then you compare with a preceding quarter. But having said that, that was said on a lighter way, but I think we are going ahead on projected lines. I had told you that this year, in the last conference call, we had said that this year, there will be double digit margin. And we are well on our way to that. Q1, traditionally, is a very slow quarter for all construction companies. And if you were to compare our results, now most of the companies, almost all of our peers have declared their results. Our performance is much better than all of them. You may have done a comparison. And most of our slow moving orders are out. Other than CSMT, which Vikas explained, also now we are tak ing off on that project too. So we are projecting a double digit EBITDA margin as far as this whole financial year is concerned, FY '26 is concerned.

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Vaibhav Shah: And sir, gui

dance on revenue for FY '26?

Shobhit Uppal: Same, 15 % to 20% growth.

Vaibhav Shah: Okay. Sir secondly, on the project specific side, so we had mentioned last time that from CSMT project we are targeting revenue of 400 crores to 500 crores and from Gems and Jewel lery around 150 odd crores for FY '26. So we stick to those guidance?

Shobhit Uppal: Yes, it will be as far as CSMT is concerned, as Vikas just mentioned, we should be doing 400 plus in this financial year from that project. As far as Gem and Jewel lery Park is concerned, we are still not very clear. It all depends on the notice to proceed which we are awaiting from the client. They are working on some clearances. But we deliberately, that's why I kept the contribution from that project to the top line low. And we've since we've got other projects , I don't think that's going to, even if that project is slow to take off from the starting block, I think we have more than enough in our kitty, which will help us achieve the 15 % to 20% topline growth.

Vaibhav Shah: Sure. Once the Gems and Jewel lery Park project starts and what could be an annual run rate once the execution picks up? It should be around Rs. 400 crores to Rs. 500 crores per year?

Shobhit Uppal: We would not like to comment on that at this point in time. It's a large project as all of you know, it's Rs. 2,000 crore plus projec t. And the timeline is about 4 years. So yes, it should be about Rs. 400 crores to Rs. 500 crores, but it would not be prudent for us to commit to that as of now, till the project really takes off.

Vaibhav Shah: Okay. And so lastly, on the Chapra project, so we have added the order book of Rs. 160 crores due to some change in scope. So has the work began over there?

Shobhit Uppal: Yes, it's continuing. It was, as I mentioned in my last call, due to funds issues from the government, the project had slowed down, but those funds have come in now and they've actually increased the scope of work and we will complete that work in this financial year.

Vaibhav Shah: Okay. And so lastly, on the Bihar Animal University project, we have seen some softness in terms of execution in first quarter. So do we expect to complete the project this year or it should spill over to next year?

Shobhit Uppal: In the last, in the month of July, we've actually done a billing of Rs. 50 crore plus. So that project is racing along.

Vaibhav Shah: So that should complete in this year?

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Shobhit Uppal: Yes.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

Shobhit Uppal: Thanks.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi. Good afternoon. Thanks for taking my question. So a couple of questions on the L1 side. I mean, these projects are the same where let's say we were L1 at the time of previous call, one from MIDC and I think one was from University in Bhubaneswar?

Shobhit Uppal: Yes.

Parvez Qazi: So by when do we expect some progress here?

Shobhit Uppal: Hopefully in this quarter, both the projects should come through.

Parvez Qazi: Sure. And our order intake has been very strong in the first 5 months. So year as a whole, you think we should be more or less same as what we did last year?

Shobhit Uppal: I had projected about the same figure around Rs. 8,000 crores in the last call. We should be achieving that.

Parvez Qazi: Sure. And with regards to The Dahlia project, I mean, we understand the overall project size is quite large. So is there a scope that in future we might get some more work here in terms of maybe in a new phase, etc.?

Shobhit Uppal: We are now DLF's premier contractor. We are doing projects worth nearly Rs. 5,500 crores with them, totally gross value I'm talking about. And the first one of these projects, which we started about a year ago,

the Arbour, which will be substantially complete in maybe February-March calendar year '26. So we hope to strengthen our relationship with them further by picking up more projects with them.

Parvez Qazi: Lastly, a question for Satbeerji. Sir, what was the capex, which we did in Q1 and also what is the overall borrowings and the cash reserve? Thank you.

Satbeer Singh: We are expecting the CAPEX this year is about Rs. 500 crores. First quarter, is Rs. 62 crores.

Parvez Qazi: Okay. And what is the borrowings and the cash reserve?

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Satbeer Singh: Borrowing is hardly Rs. 2 crores.

Parvez Qazi: And cash including all the liquid investments, etc.?

Satbeer Singh: This is Rs. 920 crores.

Parvez Qazi: Sure. Thanks and all the best for future. Thank you so much.

Moderator: Thank you. The next question is from the line of Amit Khetan from Laburnum Capital. Please go ahead.

Amit Khetan: Hi, sir. Thank you for the opportunity. So my question was when we do marquee projects like The Dahlia or CST, do these come at margins which are similar to company-level margins or do we have to end up bidding a little more aggressively here to secure these projects?

Shobhit Uppal: So on the private sector side, and this I've repeatedly mentioned in all my interactions, on the private sector side, the margins are higher because the competition or competitive intensity is lesser. On the government sector side, the intensity is more. So CSMT, the margins are lower, though it's a large project, prestigious project. On the private sector side, The Dalihis is equally prestigious, but margins will be higher.

Amit Khetan: Understood. And secondly, you mentioned that you've got the exposure of Rs. 5,500 crores in terms of order book with DLF. How do you think about single client exposure risk in the private sector? Where is the limit where you're more comfortable taking it to?

Shobhit Uppal: So this level Rs. 5,500 crores -Rs. 6,000 crores, that too with a client like DLF, because DLF is the premier developer in the country. There is DLF and then there are others. So and even in the past, we've worked with them and we feel they are the most organized and cash rich of all developers. So we aim to maintain a similar level of our exposure to them going forward.

Amit Khetan: Got it. And lastly, this quarter saw some unseasonal rains because of which execution was slow at some of our peers. Would that be the and how much would be roughly the impact of that?

Shobhit Uppal: You're talking about Q2, is it?

Amit Khetan: Q1.

Shobhit Uppal: Look, Q1, we feel that we've factored in all these issues when we had made our projections. And I think Q1, we've done fairly all right. In fact, we've done better than what we had expected. What I had mentioned in our last call was that Q1 and Q2, which traditionally H1 is

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always lower than H2. H2 we do, this industry performs much better because the labor shortage season is over; the monsoon is behind us. So we are on track to get that 15 % to 20 % growth in our topline.

Amit Khetan: Okay . All right. Thank you.

Shobhit Uppal: Thank you.

Moderator: Thank you. The next question is from the line Lakshmi Narayan from Tunga Investments. Please go ahead.

Lakshmi Narayan: Thank you. I just want to understand that we need a lot of slowness in demand for residential projects offtake , especially in NCR and especially on the high end. Now, just want to understand how are we de-risking ourselves if there is some kind of an issue in the residential because our mix is now tilting more towards residential. I just want to understand what is the de-risking part you have or whether my commentary seems to be right or wrong ?

Shobhit Uppal: Look, while there is talk of slowdown, but

we have not seen this on the ground as far as our interaction with our clients, primarily the developers for whom we are doing residential projects is concerned. Having said that, we are at about 40% of our total order book, which is residential at the moment. We have slowed down in our intake of projects in this sector. As far as slowdown is concerned, we are actually there are a lot of clients existing or otherwise who are after us to take up their jobs and we are virtually refusing a job a week. So if projects are being launched, slowdown, maybe there is a slowdown in the pricing in the sense that pricing is not nose-dive or come down, it's plateaued off. But there doesn't seem to be any slowdown on the projects being executed on the ground. That's one. Just to clarify again, we at the moment are not looking to add to the residential portfolio. We are now looking at commercial, retail, institutional, which has always been our forte and, also looking at bidding for marquee large government jobs.

Lakshmi Narayan: Got it. And if I look at your order book, I mean, what is the mix of item rate and what is this? How much is EPC? And particularly in CSMT, what is the mix we have?

Shobhit Uppal: So what's happened is that, due to our focus now or we've refocused on the private sector for the last 1.5 years, which is primarily item rate , today, now 55% of our order book is item rate and 45% is EPC.

Lakshmi Narayan: Got it. So if I look at , last year, whatever you have concluded, what is your revenues, which was a mix of item rate and EPC?

Shobhit Uppal: Yes, it was. So you're asking me the percentage?

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Lakshmi Narayan: Yes, last year. The reason is that I believe that the item rate gives you higher margins. And if so, is that mix changing with respect to the last year full revenues?

Shobhit Uppal: It is. It flipped. If you see, now the exposure of our private sector versus public sector , if you do a comparison with last year, it flipped, both in terms of item rate versus EPC and public sector versus private sector. Today, nearly 63% of our order book comes from the private sector. And this has been a conscious effort. If you attended some of our previous investor calls, which I think you have, we've had some interaction with you. And we've been maintaining this. This is a conscious direction that we took about two years ago, to start moving from public sector to private sector, because we foresaw that there would be increased competition in the public sector. And so now today, 63% of our order book comes from the private sector . And as I said, 55% is item rate.

Lakshmi Narayan: And typically, between the item rate and the EPC rate, what is , if you take 100 as an index of EPC, how much is usually the item rate from a margin point of view?

Shobhit Uppal: As compared to EPC? Is that what you're asking?

Lakshmi Narayan: Yes, I mean, with respect to, you know, if item rate is 100%, 100, as a margin, how much would EPC be like, what is the...

Shobhit Uppal: So you're saying how much would EPC be lower by?

Lakshmi Narayan: Lower by, that's right.

Shobhit Uppal: I think it would not be, again prudent for me to put a general number that way. I'll give you an example. On the private sector side, we are doing two EPC contracts for, for a healthcare company, right? Where our margins are at par with item rate margins on some of our private sector clients. So it is only on government contracts that EPC margins are lower. That also because there is intense competition. Government now, the qualification criteria in their wisdom, various government departments have diluted the qualification criteria. So what happens is, say for a Rs. 500 crore contract on the private sector side, there would be, the client would be hard pressed to find three large bidders, qualified bidders to bid, go

od bidders to bid.

Whereas on a similar size contract on the public sector side, there'd be 15 bidders.

Lakshmi Narayan: Got it. Thank you. I'll come back in queue.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital . Please go ahead.

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Shravan Shah: Hi, sir. A couple of things to clarify. Before that, just a request that every time for this concall, I have to ask for the diamond pass link . Don't want to waste the time in that. It actually saves the time of all the investors. So it's better if you can upload the same on the BSE exchanges with a Diamond link would be better. Now moving to the question , so in terms of the EBITDA margin front, do we expect from Q2 itself, can we start seeing the 10% EBITDA margin? Or maybe a third and 4th Quarter can see a 11% plus, then that's why we are confident to have 10% as a blended level for full year?

Shobhit Uppal: Yes, third and 4th Quarter , as I said earlier, would be the ones where we'd really be taking off. Q2 would be similar to Q1 because rains have been unusually heavy this time, especially in NCR. So that has impacted our performance, especially in the month of July and August.

Shravan Shah: Got it. And second, then is it still a fair that we will still even for next year also, we can be expecting the double digit or it can be a 11% kind of a margin EBITDA level is possible in FY'27?

Shobhit Uppal: Shravan, you ask me that question every time we talk. So we feel confident we'll be able to do double digit margin.

Shravan Shah: Got it. And sir currently the bid pipeline is how much and how much value of orders we have bided where bid is yet to open?

Shobhit Uppal: As I told you, on the government sector side, our focus is diluted. So there are really no, from the top of my head, I don't think there are any unopened bids on the government sector side.

On the private sector side, there is negotiation happening on contracts to the tune of about Rs.

1,000 crores and the bid pipeline is to the tune of about Rs. 5,000 crores.

Shravan Shah: Got it. And second sir, couple of balance sheet data points, inventory, trade receivable, trade payable, mobilization advance, retention and unbilled revenue?

Satbeer Singh: Yes, retention is Rs. 397 crores and debtors are Rs. 623 crores, mobilization Rs. 675 crores, trade payables Rs. 821 crores and inventory Rs. 380 crores, unbilled revenue Rs. 557 crores.

Shravan Shah: Okay. And in mobilization, how much is the interest bearing, sir?

Satbeer Singh: This is 35%.

Shravan Shah: Okay. And for full year, how much CAPEX we are looking at and is there a similar run rate will be there for next year also or will it be lower ?

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Shobhit Uppal : So, this year, the CAPEX is going to be higher. It's going to be about Rs. 500 crores. Next year, it will be lower.

Shravan Shah: Will it be around closer to 200 crores or...?

Shobhit Uppal : Yes, it will be about 200 next year.

Shravan Shah: Okay. Sir, in terms of depreciation, can we start seeing the uptake in the depreciation from third and 4th Quarter itself or..?

Satbeer Singh : Yes, because this quarter we have spent around Rs. 62 crores, but rest of the quarters we are expecting rest of the amount. So that's definitely depreciation will be going above from the just level from 3rd Quarter and 4th Quarter .

Shravan Shah: Okay. And sir, this CSTM, though we are saying that Rs. 400 odd crores plus revenue, we will be doing this. So next year also similar Rs. 400 crores -Rs. 500 crores or is there a possibility that we can do even Rs. 650 plus crores kind of revenue?

Shobhit Uppal: It will increase next year, Shravan. Because work done and next year the higher value items will kick in. So the billing will increase.

Shravan Shah: Okay.

Got it. Shobhit sir, is there a possibility that for next year also we will be on a topline front at a blended level similar 15% kind of growth is possible?

Shobhit Uppal: Yes, definitely it's possible.

Shravan Shah: Okay. Thank you.

Shobhit Uppal: It's about 18,000 crores. So we, and this is to be executed over the next two and a half years and the order pipeline is good. Yeah, there will be a 15 % to 20% growth next year also.

Shravan Shah: Got it. Thank you, sir. All the best.

Shobhit Uppal: Thank you.

Moderator: Thank you. The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: Thank you. So first of all, clarification in the presentation you have uploaded the unexecuted order book says it's from 31st March 25. So should we read this as 30th June or is number different?

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Shobhit Uppal: That is correct. That number is, so there's one table that gives the unexecuted level annually. So what number you need to be reading actually, so if you go on page on the presentation Slide #3, you will have the unexecuted order book as Rs. 16,582 crores. And then when you go into the, maybe with the segmental wise, as well as segment for the type, the client profiling wise, so everywhere this number of 16,582 is up here. Those are all till June. If you, what you are referring to actually Slide # 13, right? There is an order inflow of Rs. 2,089 crores. So you can add that to the figure of Rs. 16,582, you will get the unexecuted order value till end of July. So the one you are referring on the Slide # 13, I think that's what you are referring to when it's March 25.

Salil Desai: Referring to the number on Slide # 3, you're saying that is not the number to look at. I should add the Rs. 2,089 crores to this number to get the?

Vikas Ahluwalia : As of the present day that we are talking about. So as of the present day, that is as on 30th of June '25, because this is a quarter presentation for that quarter.

Salil Desai: I get it. Because if I try to do some math, what the backlog was at the end of March and the order inflows, what you have got for this quarter and then the revenues, then the number comes to a slightly higher number. So I was just figuring out, trying to figure out if there is an order cancellation or something that's been done?

Shobhit Uppal: Absolutely. So what you need to do is that you have to, what you are doing, you are seeing the Slide # 13, right? We have unexecuted order book of 1,57,751, right? Let me just clarify. There has been no order cancellation and our order book till date stands at 18,671 crores. Did you get that?

Salil Desai: That is fine. Thank you.

Moderator: Thank you. The next question is from the line of Lakshmi Narayan from Tunga Investments. Please go ahead.

Lakshmi Narayan: Thanks again. Sir, we got this Birla Trimaya in Bangalore, which is a Rs. 325 crore project or something, right? So are we developing for all the towers or how is it? And secondly, how does it work? Because let's say there are multiple Birla projects that are going on across the country, whether we are in a better position to actually bid for those things? Just want to understand your point of view there.

Shobhit Uppal: Yes, we have in the past bid for their projects in different parts of the country. We are doing Phase -I and Phase -II here on this particular project, which is Trimaya. At the moment, as I mentioned in response to one of the earlier questions which were asked is that, we have taken a step back from residential construction. So that's why we have sort of refused a job in Gurgaon

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with Birla. So going forward, once this project reaches a substantial completion stage or an advanced stage, then we look at other projects

s with that.

Lakshmi Narayan: Got it. Thank you so much.

Shobhit Uppal: Thank you.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, thanks for taking my follow up question. Just wanted to get your views on the competitive intensity. I mean, you're saying that maybe we are refocusing towards retail and traditional commercial sites. So how is the competitive intensity there and also the difference between public and private sector projects in terms of competition? Thank you.

Shobhit Uppal: So Parvez, as I said earlier, public sector continues to be extremely competitive. And we are bidding on jobs if the public sector is reduced substantially. Having said that, we are still

looking to bid at large marquee projects where we feel the competitive intensity would not be as high. As far as the private sector is concerned, there are only a handful of players who large private developers are calling to bid, be it for their residential projects or their commercial projects or their hotel projects, hospitality projects. So that is where our focus continues to be there.

Parvez Qazi: Sure. Thanks and all the best. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Shobhit Uppal: Thank you so much, everybody and Ambit Capital for joining in and look forward to seeing you for three months down the line. Thank you so much.

Moderator: Thank you. On behalf of Ahluwalia Contracts, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Earnings Conference Call "

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MANAGEMENT : MR. SHOBHIT UPPAL - DEPUTY MANAGING DIRECTOR ,
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MODERATOR : MR. SUDEEP BORA - AMBIT CAPITAL PRIVATE
LIMITED

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November 17, 2025

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Moderator : Ladies and gentlemen , good day, and welcome to the Ahluwalia Contracts (India) Limited 2QFY'26 Earnings Conference Call hosted by Ambit Capital Private Limited .

As a reminder , all participant s' lines will be in listen -only mode, and you will have an opportunity to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Sudeep Bora from Ambit Capital Private Limited. Thank you, and over to you, sir.

Sudeep Bora: Good day to all. And on behalf of Ambit Capital, I thank the management of Ahluwalia Contracts (India) Limited for the opportunity to host your 2QFY '26 earnings call.

We have the following members of the management with us today ; Mr. Shobhit Uppal – Deputy Managing Director, Mr. Vikas Ahluwalia – Director ; and Mr. Satbeer Singh – Chief Financial Officer .

I will now hand over the call to Mr. Shobhit to walk us through the quarter. Thank you all, and over to you, sir.

Shobhit Uppal: Thank you so much. Good afternoon, everybody.

Ahluwalia Contracts (India) Limited has announced financial results for 2QFY '26. During 2QFY '26, the company achieved a turnover of Rs. 1177.30 crores and a PAT of Rs. 79.45 crores in comparison to a turnover of Rs. 1,011.48 crores and a PAT of Rs. 38.36 crores in 2QFY '25. The company has registered a growth of 16.39% and 106.07% in turnover and PAT, respectively, during 2QFY '26 in comparison to 2QFY '25.

EPS of the company for 2QFY '26 is Rs. 11.80 as compared to Rs. 5.73 in 2QFY '25.

During 2QFY '26, the company's EBITDA margin was 10.92% as compared to 7.25% and a PAT margin of 6.63% as compared to 3.75% in the corresponding period.

During the 1HFY '26, the company has achieved a turnover of Rs. 2182.18 crores and a PAT of Rs. 130.16 crores in comparison to a turnover of Rs. 1,930.83 crores and a PAT of Rs. 68.96 crores in 1HFY '25.

EPS of the company for 1HFY '26 is Rs. 19.43 as compared to Rs. 10.29 in 1HFY '25.

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During 1HFY '26, the company's EBITDA margin is 9.85% as compared to 6.93% and a PAT margin of 5.88% as compared to 3.53% in the corresponding period of the last financial year.

Net order book of the company as on 30th September 2025 is Rs. 18,057.60 crores to be executed

in the next 2.5 years. Total order inflow during FY '26 is Rs. 4521.06 crores. At present, we are L1 in 2 projects aggregating Rs. 1,620 crores.

Thank you. Over to you for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: A couple of questions, sir. First, this L1 Rs. 1,620 crores is the same as Bhubaneswar University and MIDC of Mumbai, because it was Rs. 1,800 crores last time?

Shobhit Uppal: No, the MIDC tender has since been cancelled. OTR, Bhubaneswar University, in Rs. 1,620 crores, OTR is about Rs. 1,000 crores. And about Rs. 570 crores or thereabouts is the RML Hospital in Delhi. Ram Manohar Lohia Hospital in Delhi.

Shravan Shah: So, now, given that in 1H, on the execution we have done for the full year, sir, how can we get the, given Rs. 6,000 crores, if I include the L1, Rs. 6,000 crores kind of inflow is there. So, meaning for 4.5 months, more order inflow are we looking at?

Shobhit Uppal: So, our target was, as I had explained last time, similar to last year, about Rs. 8,000 crores. We are confident that that is where we will end up, around that figure, new orders.

Shravan Shah: And in terms of revenue for the full year, how much can we look at now?

Shobhi

t Uppal: I had given you a projection of 15% to 20%. We are maintaining that.

Shravan Shah: So, that range in the second half actually leads to a decent 17% to 26% kind of growth. So, that is what I wanted, maybe a narrow range.

Shobhit Uppal: Narrow range. Look, H2 traditionally is more remunerative, both in terms of revenue as well as, consequently, in terms of our earnings. So, I think we are going to maintain that. It is not possible, as you know, (Hindi language 00:06:40).

There is a degree of uncertainty there. And today, since approximately 40% of our order book comes from NCR, that is a factor that will hit, but we are confident of our earlier projections being met. There are two projections that I had given during the last call, which are 15% to 20%

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top-line growth and double-digit EBITDA margins. We are well on our way to maintain, to get there.

Shravan Shah: So, that is what I wanted to ask about the NCR ban. In terms of the last time, it also got impacted. So, how severe it is, and obviously, it is difficult to predict how long it will continue and how it will impact. Still broadly wanted to know how does it (Inaudible)

Shobhit Uppal: So, you see, we feel that there are some measures which have been taken both by clients and us to mitigate the impact because the entire ecosystem is impacted when the work is shut down totally. So, this time, the laborers are not being allowed to go back to their native place. In fact, post-elections in Bihar, the labor has started coming back. Even when there is no work, the clients have agreed to pay them, even when they are on site. So, as and when the work restarts, the time will not be wasted on getting the labor back from their native place or other locations. So, we feel the impact this time around should be less.

Shravan Shah: And the margin now, can we see a 10.5% kind of a margin going forward, or maybe 11% going forward as the scale improves?

Shobhit Uppal: Shravan, I am sticking my neck out and saying that we will maintain what I had projected last time. And we have done that. For this quarter, we have crossed 10%, we are nearly at 11%, and we are nearly at 10% for H1. So, I think overall, it will be more than double-digit. Let me just say that for the entire year.

Shravan Shah: And now, private sector-wise, it is close to 6%-9% in the order book. So, we wanted a 60%. So, how do we see? So, now, going forward, we would be more for government orders, and do we see competition there?

Shobhit Uppal: Yes, at the moment, there is a lot of competition. So, our focus by design has only been on the private sector. But in the long run, becomes 60-40. We see now with NDA coming with a majority, even stronger in Bihar, we see development picking up there. We now see development again picking up in states like Assam. We see some private sector development. We bid for a couple of IT campuses in Bengal. So, we see all-round, well-rounded development happening both across public and private sector in states in which we are already present. So, going forward, that is why I said, our target of new order inflow, I don't see a challenge in meeting that. They will drive our earnings going forward. Continue to drive.

Shravan Shah: True. So, next year onwards also, can we see a similar Rs. 8,000-odd crores kind of order inflow and 15% plus kind of revenue growth?

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Shobhit Uppal: I think so. I think so. I don't think there is going to be any slowdown. There is no slowdown on

the horizon. At the moment, actually, to sort of give you the correct picture on the private sector side, we are actually refusing work every month because we don't want the ratio to be skewed too much. So, I don't see a problem. I don't see a challenge in maintaini

ng the growth of 15 % to 20% even next year.

Shravan Shah: Sir, this quarter, the employee cost has jumped significantly. Rs. 121-odd crores versus Q1, it was Rs. 91 crores. So, any specifics in the third quarter, how can one look at the staff cost on a quarterly basis?

Shobhit Uppal: So, in H2, this will taper off slightly. This quarter, it has gone up because we have declared increments and paid arrears. Because our increment, they start from the calendar year, which is 1st January. This time, we were delayed in implementing. We were studying, doing our due diligence on what is happening in the industry. So, we paid the arrears in this quarter, Q2. That is why this figure is higher. As our high-volume projects, value projects, sorry, start like Dahlias and Downtown, they pick up steam, and this figure will come down slightly.

Shravan Shah: I have more questions. I will come back to the queue.

Moderator: The next question is from the line of Mahesh Patil from ICIC Securities. Please go ahead.

Mahesh Patil: First of all, congrats on a very good set of results. First question is on the pipeline, sir. What is the bid pipeline currently? If you can quantify where the bids are open and where you expect them to open in the next five to six months.

Shobhit Uppal: So, the bids that have opened in which we are L1 that I mentioned in response to Shravan's question to OUTR in Bhubaneswar and Ram Manohar Lohia Hospital in Delhi. As far as the order pipeline is concerned, at the moment, it is about Rs. 6,500 crores. I would not like to give out the names of the projects that are under bidding at the moment, but let me say it is a healthy mix of private and government sector projects.

Mahesh Patil: And sir, just one clarification. The figure that is mentioned in the PPT in terms of order inflow, around 4,374 CR, is this till YTD or for H1?

Shobhit Uppal: No, this is till late.

Mahesh Patil: And sir, what is the figure for H1?

Shobhit Uppal: H1, I think this is H1. In the last month or so, we have not got any new orders. Basically, it is H1, and YTD is the same.

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Moderator: The next question is from the line of Lakshminarayanan from Tunga Capital Investments. Please go ahead.

Lakshminarayanan: I have one question. We are becoming larger, and I believe in the next couple of years, there will be 2x or even more. Want to see, want to understand, how are you building up for scale in terms of either leadership, I mean, not leadership alone, but in terms of systems, and how do you ensure that you are able to deliver at scale as we become much, much larger?

Shobhit Uppal: So, primarily, if I understand your question correctly, you are talking about us scaling up in terms of staffing, in terms of...

Lakshminarayanan: Yes, I mean, we are looking for a much larger order book, right? And as we become bigger, we will have a different set of challenges. It could be exponentially higher. For example, getting the engineering talent or ensuring that the cash flows are managed, the systems are in place. I just want to understand, how are you thinking about that aspect, if at all, that is a thing that you are actually spending a lot of time on?

Shobhit Uppal: No, no, it is a valid question. But I think we started preparing for this a few years ago, two, three years ago. One, and we have mentioned this in, both me and Vikas have mentioned this in our interactions with all of you either one-to-one or during investor calls.

The company, a couple of years ago, embarked on a digitization drive. And it is an ambitious drive that is handled by Vikas himself. And as a step one, we have implemented SAP. PwC has done that for us. We have gone live. The process of this is being refined continuously as we speak. And this is the first step. The use of IT tools, be it too

Is developed by Autodesk, virtual

modeling, digital twins, or financial software, is something that the company is doing very, very aggressively. And as I said, this is an ongoing process.

Secondly, as you all know, our CAPEX has increased. We are heavily investing in machinery, getting in new machinery from outside, getting in new shuttering systems so that our efficiency...

Lakshminarayanan: May I ask you what kind of machinery you are actually spending on?

Shobhit Uppal: So, a lot of projects that we are doing now are going up vertically. They are high-rise buildings, right? So, we are investing in heavy-duty machinery. Traditional cranes have given way to heavier cranes, where these cranes can be used not only to do RCC buildings, but also to do structural steel buildings. A lot of buildings that we are doing now have pre-engineered or designed using pre-engineered techniques or using structural steel.

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So, we are importing heavy-duty cranes. We are using larger and larger batching plants so that we can make higher grades of concrete, and these are all electronic batching plants so that we can make higher grades of concrete capively. Because all these buildings, high-rise buildings, are now using traditionally, the highest grade of concrete, which was used five years ago, was M30, to give you, to put things in context. Now we are manufacturing our own grades, going up to M80. Right? So, that is why we are using more and more sophisticated machinery. Then the CAPEX is also towards using more refined shuttering systems or system shuttering, so to speak, so that we can mitigate the skill shortage in terms of carpenters. We are using machinery, CNC machines, to do bar cutting or the fabrication of reinforcement steel. So, these are some of the measures.

And then, as far as the other aspect of skill shortage, which is tough. Ahluwalia Alualia, for the last few years, even prior to COVID, has been investing in fresh talent. We go to campuses. Every year, barring the two or three years where COVID has impacted the industry, we recruit 50 to 60 fresh engineers and we train them. So, our investment in training is going up now. So, these are a slew of measures that we have taken to sort of prepare for the growth that is on the anvil.

Lakshminarayanan: For example, since you have so many parallel running projects, do you have visibility of whether your procurement is actually optimized? So, for example, you may be buying a lot of scaffolding. In some places, there may be an inventory shortage. In some places, you may be using more. Is that something that you are actually able to track now, given the digitization, exactly on a daily basis? What is the planned target? What is an achieved target? Is your procurement getting centralized? I mean, all those things I am just trying to understand. On a journey of one to ten, in your own assessment, where are we? And when do you think we would be in a much comfortable position? Again, as per your own aspiration.

Shobhit Uppal: So, let me answer the easier bit first. On a journey of one to ten, I think we would be at four, if I were honest. Having said that, we have always, say over the last 10 years or so, we have used some homegrown software that has sort of helped us keep in touch with what has been happening on the ground as we have multiplied our geographical locations. Now, that is why we are using more and more tried and tested software now.

SAP, I gave you an example. We are using tools like Power BI now, now that SAP is operational, or we have gone live to provide various kinds of dashboards to people at different levels of hierarchy in the company. So, I don't think it is a myth, if anybody says, or it is a fallacy, if anybody says that decisions are based anywhere in the world on a daily basis based on a s

et of
figures, that is not happening anywhere.

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But yes, from doing due diligence every quarter, I think the top management of the company is now looking at dashboards on a monthly basis, and our intuition is coupled with more accurate or hygienic data, which is coming to us or flowing to the top management, which is helping us take decisions, even for projects where we are unable to sort of hit the ground ourselves.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, firstly, a bit on the gems and jewelry project.

Shobhit Uppal: Vikas, would you like to answer that?

Vikas Ahluwalia: Yes. So, we have received the environmental clearance for the project. And some ground clearance and excavation work is being done, but that is in the scope of the client. So, while that is happening, we have now started with the engineering side of it, design, and other things. I think in another two months' time, some work should start on the ground.

Vaibhav Shah: So, any guidance on how much revenue we are targeting for FY'27? I believe '26 would not be much of a revenue on account of the initial work going on.

Shobhit Uppal: Of the total order value, the first year is usually where things take shape. So, maybe about 30%-35% of the order value.

Vaibhav Shah: In FY'27?

Shobhit Uppal: Yes.

Vaibhav Shah: Sir, secondly, on the working capital side, are we facing any challenge in any of the states? Or is it smooth across?

Shobhit Uppal: No, I don't think there is anything untoward to sort of report as far as the working capital challenge is concerned on any of the projects.

Vikas Ahluwalia: Already, working capital has been improved in this quarter. This is 87 days approximately from 95 days as on 30th June.

Shobhit Uppal: There is only one challenge , which is on a broader this thing , I don't think it is something which is very challenging, but some money is stuck up in Maharashtra and Assam on account of GST revisions. But that is a statutory increase. It is just a matter of time when it will come.

Vaibhav Shah: But not sizable?

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Vikas Ahluwalia: It is around Rs. 70 crores, approx.

Vaibhav Shah: Sir, secondly, on the CST station re development , we have seen improved execution in the second quarter. So, going forward, we should maintain this run rate in the second half. And how do you see '27 shaping up?

Shobhit Uppal: So, we see now, finally, things have started to move. The design is finally getting closed. And we started the first round of work above the track also. Up till now, we were not doing work above the track. And the greenfield buildings, the biggest one is now out of the ground. And the progress is now better. We are expanding our structural steel fabrication capacity , also. We are doubling it now in the next two to three months because now the clearances have come. So , now it makes sense to expand .

Vaibhav Shah: Is there any revenue guidance for '26 and '27 from the project?

Shobhit Uppal: Pardon?

Vaibhav Shah: Revenue guidance for the project in '26 and '27.

Shobhit Uppal: About 40% of the order book or the order value.

Vaibhav Shah: In '27?

Shobhit Uppal: Yes.

Vaibhav Shah: And sir, lastly, any challenge we are facing on the labor side?

Shobhit Uppal: Yes, labor is a continuous challenge. It is the biggest challenge that we are facing. In addition to the labor, there being a skills shortage, there is also an impact on account of events such as, or festivals such as Diwali, Chhath , and then elections now, which just got over in Bihar. En masse, a lot of skilled workforce has gone to Bihar, especially this year , because of the implementation of the FIR. So, yes, that challenge is there. That

is why I mentioned in response to Shravan's

question, the first question that was asked, that we are trying to reduce our dependency on labor or mitigate this problem by investing in higher mechanization.

Vaibhav Shah: And sir, lastly, what would be your mobilization advances and the interest -bearing portion?

Vikas Ahluwalia: Mobilization was right now , this is Rs. 708 crores on 30th September .

Vaibhav Shah: And the interest -bearing portion?

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Vikas Ahluwalia: Pardon?

Vaibhav Shah: Interest -bearing out of this?

Vikas Ahluwalia: Interest -bearing is around 33%.

Vaibhav Shah: Those are my questions.

Moderator: The next question is from the line of Aditiya Sahu from HDFC Securities. Please go ahead.

Aditiya Sahu: I wanted to understand the other two major projects that we have apart from the jewelry one. On the CSMT part, so I think we, as you have mentioned to the previous individual, the execution has started over there. Correct me if I am wrong. And since we were in designing phase till now, and the revenue that we are expecting is 40% in '27 of the order value. How much are we expecting in '26?

Vikas Ahluwalia: '26, we don't have much expectation. We are about another Rs. 400 crores in the next..

Shobhit Uppal: Actually, yes, what Vikas is saying is totally . We have given a projection of about Rs. 400 crores for the entire year, for the entire FY'26 . And so the balance in H2 will be about Rs. 250 crores.

Aditiya Sahu: And same for the gems and jewelry. 30 % to 35 % of the order value is what to be considered as revenue potential for '26 also.

Shobhit Uppal: No, no, no. '27. 30 %. 30% to 35 %, FY '27.

Aditiya Sahu: On the Dahlias project for Gurgaon , I just wanted to check on the execution phase since we were expecting the execution to begin by September '25. So, has that, like, are we on track on that part?

Shobhit Uppal: We are slightly delayed, but DLF has handed over two towers to us where work has begun. It just began prior to the rains . Because of the heavy rains in September, they were delayed in handing over the towers to us. Out of eight towers, they have handed over two towers, and the third tower will also be handed over now that the work has stopped due to graft. That's why it's been delayed. But on the two towers, we started work on the ground, and we are expecting to pour concrete as soon as the graft is lifted.

Aditiya Sahu: Same question on this particular project. Revenue potential for '26 and '27 on this project?

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Shobhit Uppal: So, for '26, we are looking at a revenue of about Rs. 100 crores to Rs. 125 crores. And for '27, the revenue will be between Rs. 300 crores and Rs. 350 crores.

Moderator: The next follow-up question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, the inflow that we received last year, the second half, especially on the private side, so how do you see the momentum picking up in those projects?

Shobhit Uppal: Which one did we pick up last year?

Vaibhav Shah: Yes, in the second half.

Shobhit Uppal: So, yes, DLF Downtown, it is picking up now. We were on the verge of taking off. In fact, we have been logging a billing of anywhere between Rs. 15 crores and Rs. 20 crores. This will be ramped up by about 20% to 30%. And the other projects that we picked up last year, I think Signature Global was another sizeable project, which is also picked up now. We are out of the foundation stage there. And Varanasi Airport and Darbhanga Airport are running full stream. In fact, we are logging a billing of close to Rs. 25 crores to Rs. 30 crores on each of these two projects. So, Whiteland was a project that was always slated to begin in December. And that is what it will begin in December

or now.

Vaibhav Shah: Sir, particularly for the two airport projects, so they are 24-month and 36-month deadline projects. So, for '26, are we on track to maybe at least to 30% odd?

Shobhit Uppal: Yes, yes, we are on track. In fact, no, you are saying FY'26.

Vaibhav Shah: Yes.

Shobhit Uppal: Yes. So, we are looking at 30%. Yes, we are on track to do that. One project is about Rs. 650 crores. 30% would be close to Rs. 200 crores. We will touch on that. We will cross the figure of 30% in both projects.

Vaibhav Shah: And it should be even higher in '27?

Shobhit Uppal: Yes, both projects will be completed. In fact, Varanasi, our stipulated date of completion is June or July '27. The client is trying to, because of elections, somewhere in March, in UP, on March 27th. The client is pressing us to squeeze the timeline. We are on track. And Darbhanga will be completed on October 26.

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Vaibhav Shah: Sir, so payments also are not a challenge in either of the projects since it is rebooked by the client?

Shobhit Uppal: No, not at all. No challenge. In fact, on both projects, I don't think we have taken mobilization advance also.

Vaibhav Shah: Sir, typically, on an average, what would be the interest cost on the mobilization advances?

Vikas Ahluwalia: It is basically a major; it is out of this interest-bearing, this is the CST project. It is around Rs. 250 crores. That is the bearing, 7%.

Shobhit Uppal: No, are you asking the percentage that the client charges us?

Vaibhav Shah: No. The interest rate that we pay on the mobilization advance?

Shobhit Uppal: Yes, so the interest rate is about 8% to 9%.

Vikas Ahluwalia: 7% to 8%.

Shobhit Uppal: 7% to 8%.

Vikas Ahluwalia: Yes, exactly.

Vaibhav Shah: And sir, lastly, what would be our CAPEX target for '26 and '27?

Shobhit Uppal: For '26, we had given a guidance of about Rs. 500 crores in the last call. It will be less than this only. And for '27, it will be less because the equipment that we have invested in in the last cycle will become free. A lot of projects will get completed. And so FY '27, it should be about 20% less.

Vaibhav Shah: So, it should be around 400, 450 for '26.

Shobhit Uppal: Yes, about Rs. 400 crores.

Vaibhav Shah: And for '27, it will be around 300.

Shobhit Uppal: Yes.

Vaibhav Shah: So, sir, we have seen that on the depreciation side, on a quarterly basis, this is still in a similar range of around Rs. 20-odd crores for the last couple of quarters. So, when do we see it moving up? In the second half or in the next year?

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Vikas Ahluwalia: Just we are planning to increase our CAPEX this year , maybe around Rs. 350 crores to Rs. 400 crores . And depreciation will be moved according to that also.

Vaibhav Shah: And what was the CAPEX in the first half of this year?

Shobhit Uppal: Rs. 137 crores.

Vaibhav Shah: Those are my questions.

Moderator: The next follow -up question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, retention money and annual revenue as of September ?

Vikas Ahluwalia: Just retention money , including non -current, is Rs. 418 crores . And unbilled revenue...

Shravan Shah: Sir, retention , you said Rs. 118 crores .

Vikas Ahluwalia: Rs. 418 crores .

Shravan Shah: Okay, Rs. 418 crores . Okay.

Vikas Ahluwalia: And unbilled revenue is Rs. 552 crores .

Shravan Shah: Rs. 552 crores . Sir, a couple of things I just wanted to understand first. Sir, if I actually read the annual report for '25, there was close to Rs. 25 crores land that we have purchased. Just wanted to understand where and why we purchased the land , and whether you are going to sell it immediately?

Shobhit Uppal: No. This is the land that we procured to build

our own office in Okhla. Our present office is in

Okhla. We are spread across two buildings. One building is our own . One is on rent. This land, we will consolidate our offices. And this is the land which we procured for that purpose.

Shravan Shah: So, for the office, broadly, how much will we be spending on our office in terms of the CAPEX ?

Shobhit Uppal: At the moment, we are doing our planning. This is a 1 ,300 square yard plot. We will be building up close to about 30 or 1 ,000 square feet. So, let's see. Our planning is happening at the moment.

I will be better able to answer this during the next quarter call.

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Shravan Shah: And this year, the Rs. 350-400 crores , the CAPEX that we are planning to do, so this is primarily on the plant and machinery and shuttering material?

Shobhit Uppal: Yes.

Shravan Shah: So, broadly, because as per the calculation, if I look at the number, accordingly, roughly 16 %-17% normally, that is the way we depreciate shuttering materials over a six-year period . So, how can one look at the depreciation at least in the next year, FY'27 ?

Vikas Ahluwalia: I will get back to you about that.

Shravan Shah: And another thing, sir, just wanted to understand . So, let's say...

Shobhit Uppal: A lot of this, no, let me further clarify. Let me clarify. While Satbeer will answer this question in detail later, a lot of investment in shuttering is in aluminum shuttering, right? So, the life of which , at times, is more than the standard depreciation formula that is used. I just wanted to clarify that. Yes. Go on. You were asking something.

Shravan Shah: Yes, that is what I wanted to understand. So, how, whatever the Rs. 300 crores, if we are spending, multiply into, let's say, 15 %-16%. So , that's the way one can look at or how one can look at the depreciation ?

Shobhit Uppal: It is actually Rs. 300 crores , not totally on shuttering. A large chunk of this is machinery. And machinery is also a different kind. While a crane has a life that is much more than six years, a batching plant would have a life that is maybe less than six years. So, you cannot give a standard answer. Then shuttering, different kinds of shuttering have different lifespans.

Shravan Shah: And another thing is, sir, Rs. 18,000 crores is the order book as on September. And the top 10 projects that we have given in the PPT are close to Rs. 11,400 crores. So, balance Rs. 6,600 - 6,700 crores , that is kind of spread over 33 -odd projects. And out of that also (Inaudible) 39:45 projects would be at Rs. 200-300 odd crores. So , a balance close to maybe Rs. 4,500 odd crores would be spread over maybe 28 -odd projects. So, we see the remaining value most likely will be completed by FY'27 ?

Shobhit Uppal: You can't say that because in this smaller value projects, there would be some projects which would be, say, MEP projects, standalone projects, where our company is doing MEP works also , right . So, yes, but if not, FY'27, by the middle of FY'28 , these smaller value projects should get over.

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Shravan Shah: And just wanted to check, is there any update on the West Bengal, Kolkata land? So , previously we were thinking either to sell it or to do a joint venture, real estate development. So , anything, any progress there ?

Shobhit Uppal: Progress, as I said last time, we are working actively to get the necessary approvals to make the

land free. I wouldn't say free from encumbrances ; it is already encumbrance -free, but to make it ready to build. Whether we do that ourselves of that nature or we sell it outright, that is something to be decided at a later date.

Shravan Shah: And the flats that we are having, I don't remember, maybe 40, 50, 60 -odd crores , the old one , so is there any thought that when w

e will be able to sell it up and clear it out?

Vikas Ahluwalia: This is now Rs. 35 crores . And we are basically looking for that.

Shobhit Uppal: This value is also reducing. We have no intention of retaining it on our balance sheet. As and when we feel that we get a good price, we liquidate the inventory one by one.

Shravan Shah: Yes, because the time, it is with us for since long, so that is what I was asking. Has it kind of in the next six months, one year , can we sell it off?

Shobhit Uppal: Depending, because a lot of this inventory is in, say, Noida, lots of changes are happening in the laws there, and some of this inventory is in projects where the client has gone into NCLT. While our inventory, which is there on our balance sheet, is secure, we feel that in some of these locations, we will get a better price once the project, per se, is sort of secured and electrical connections and so on issues such as these are resolved. So , we are waiting. We are in no hurry to sell. Whenever we feel we get a good price, we liquidate.

Shravan Shah: And last, just this Whiteland, so the last quarter it was Rs. 821 crores outstanding order book , and now it was Rs. 1,065 crores . So, whatever Rs. 244-odd crores , that is the increase in scope that we have. So , that is the value of the project ; now we will be executing.

Shobhit Uppal: Yes.

Shravan Shah: And then this would be the execution , most likely starting from FY'27 there.

Shobhit Uppal: White land, yes, FY'27 , you can say that.

Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.

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Ashish Shah: So, sir, just one question. What do we think about the cash that is on the books? I think the sizable amount now is Rs. 1,000 -odd crores. So, any strategic moves we want to make in terms of either acquisitions or maybe augmenting the size of the company by maybe getting into some adjacencies, et cetera?

Shobhit Uppal: So, a part of this is being used to fund our CAPEX , especially because we have made a policy that on government projects where the advances are interest -bearing, we are trying to avoid taking the advances, right, to reduce our finance costs.

Second, we are using this to reduce our procurement costs, right, to get better bargains from our suppliers and better maintain or control our supply chain.

Thirdly, as we move along and as our base becomes larger, we are obviously studying sectors around our core competence to sort of diversify and maintain the growth rate going forward. So , what we are building now will come in use two to three years down the line , when we may look at getting in new technologies, tying up with foreign partners, or even looking at acquisitions. But let me clarify, acquisitions are not something that is on the anvil in the near future.

Ashish Shah: Just on that point again, how much is the retention out of this Rs. 1,000 crores ? Sorry, not retention, my bad. Restricted cash?

Vikas Ahluwalia: About Rs. 419 crores .

Ashish Shah: So, about Rs. 600-odd crores should be free in this Rs. 1,000 crores .

Vikas Ahluwalia: Yes, Rs. 615 crores .

Moderator: The next question is from the line of Shravan Shah from D olat Capital. Please go ahead.

Shravan Shah: Yes, I thought time is there, so le t me try one more. Sir, on the residential part, so now obviously the 44% odd order book that we have in residential, if you can also specify how much is the private , I mean to say , private real estate developer, per se. But there, we don't see any kind of risk. So , sir, the simple point is, do we see any kind of write -off in terms of the extra provision on debtors going forward?

Shobhit Uppal: No, if you were to go through this, the pedigree of the clients, the private sector clients that we have, you will see about Rs. 3,500 crores, Rs. 3

,300 crores is DLF, which is the largest and the financially most stable and strong of all the developers. Then we have Signature Global. Again, a party that is financially stable. So , we have done it, we have Smart Worl d. We have MR. Right? And then we have Brigade Down South.

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So, these are all we have done our due diligence post the last downturn. And we have always maintained that we have to do very strong , we have to be very strong on our due diligence when

we take on a private sector client.

Secondly, residential real estate, I don't think there is any sort of downturn which is on the anvil. I feel that over the next three to four years, the runway seems clear.

And thirdly, we have built in the safeguard with some of the newer clients, like Whiteland, and others, where we are not giving any bank guarantees. What I am trying to say is that we have negotiated the contract in such a fashion that our financial liabilities are considerably reduced, we have de-risked ourselves, so to speak. So, have I answered your question, or anything I have missed out?

Shravan Shah: No. Perfectly. So, that is the only thing because the exposure is increasing. So, structurally, even if one project goes on or maybe half on the wrong track, then it will also have a decent issue for us. So, that is the only thing, just wanted clarity there.

Shobhit Uppal: Yes. And like I mentioned, White land, the project will begin in December, as I said, but we have already got some mobilization advances from the client, right, which are interest-free. Similarly, with a few of our other private sector clients, clients like DLF, say, for instance, while they are also very, very strong on their due diligence, they only work with three or four contractors across India, but they are funding our CAPEX, right? So, our exposure there is also considerably less if there is a slowdown in the project. And when they fund our CAPEX, that is also interest-free. That funding is interest-free.

Moderator: Thank you. As there are no further questions from the participants, I would now hand the conference over to the management for the closing comments. Over to you, sir.

Shobhit Uppal: Thank you, everybody, for joining in. Look forward to seeing you again or talking to you again after three months. Have a good evening. Thank you so much.

Moderator: Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Ahluwalia Contracts (India) Limited
3QFY26 Earnings Conference Call "
February 16, 2026

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR –
AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. VIKAS AHLUWALIA – WHOLE -TIME DIRECTOR –
AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

MODERATOR : MR. SUDEEP BORA – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Ahluwalia Contracts India Limited 3QFY26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star the zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudeep Bora. Thank you, and over to you, sir.

Sudeep Bora: Good afternoon, everyone. On behalf of Ambit Capital, I thank the management of Ahluwalia Contracts India Limited for the opportunity to host the 3QFY26 earnings conference call to discuss the results, I'm

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pleased to welcome Mr. Shobhit Uppal, Deputy Managing Director ; Mr. Vikas Ahluwalia, Director ; and Mr. Satbeer Singh, Chief Financial Officer. Now I invite management to discuss key highlights of the quarter, post which we'll open up for Q&A. Thank you, and over to you.

Shobhit Uppal: Hi. Good afternoon, good evening, everybody. Ahluwalia Contracts (India) Limited has announced its financial results for 3QFY26. During 3QFY26, the company achieved a turnover of INR1,060.72 crores and a PAT of INR54.02 crores, compared with a turnover of INR951.96 crores and a PAT of INR49.39 crores during 3QFY25.

The company has registered a 11.43% growth in turnover and a 9.38% growth in PAT during 3QFY26, compared to the corresponding quarter FY25. EPS of the company for 3QFY26 is INR8.06 compared to INR7.37 in the corresponding quarter FY25. During 3QFY26, the company's EBITDA margin was 9.05%, up from 8.86% in 3QFY25, and its PAT margin was 5.02%, down from 5.11% in 3QFY25.

During the 9 months of FY26, the company achieved a turnover of INR3,242.90 crores and a PAT of INR184.18 crores, compared to a turnover of INR2,882.79 crores and a PAT of INR118.35 crores during the corresponding 9 months of the last financial year, FY25. EPS of the company for the period of 9 months FY26 is INR27.49 as compared to EPS of INR17.67 during the period of 9 months FY25.

During the 9 months of FY '26, the company's EBITDA margin is 9.59% compared to 7.57% in the 9 months of FY '25, and its PAT margin is 5.6% compared to 4.05% in the 9 months of FY '25. Net order book of the company as on 31st December 2025 is INR18,679.50 crores to be executed in the next 2.5 to 3 years. Total order inflow in FY '26 year -to-date is INR9,562 crores.

Thank you. We are open to take questions now.

Moderator: The first question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: So firstly, given the margins and the execution in 9 months, so how do you see the annual revenue for FY '25 -- for FY '26, you're targeting around 15% to 20% kind of growth.

Shobhit Uppal: No, more like anywhere between 10% to 15%. Margin projection is what I had given last time. It will be double digit. But December, January have been impacted by NGT and project closures in Delhi. And as nearly 44% of our order book comes from Delhi, that's impacted the top line a bit. And we are expecting

slight disruption in March also this time because Holi is earlier this time. So yes, anywhere between 10% to 15% top line.

Vaibhav Shah: Sir, and for next year?

Shobhit Uppal: Next year, it will be 15% to 20%...

Vaibhav Shah: Okay. Sir, given the very strong order book and you mentioned that the orders are to be executed in roughly 3 -odd years. So can the growth be even higher? Are we being conservative for '27?

Shobhit Uppal: Vaibhav, you asked me this every time. We are being slightly conservative. Yes, the order book is —it was healthy last time around. It's healthier now. We've given a projection of about INR8,000 crores worth of order book in this inflow -- fresh order inflow in this year. We've crossed that. It's at about INR9,500 crores. So yes, we are being conservative when we are saying 15% to 20%.

Vaibhav Shah: Okay. Sir, secondly, on a few key projects. So, when do we expect to start work on the Gem & Jewellery Park?

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Shobhit Uppal: We will start it in Q1 FY '27. I mentioned last time around also in April, I said we'll start -- the drawings -- approvals are coming in now, and the client is in the process of handing over a part of the site to us. There was an overburden of earth, which was to be removed by the client. They have already done that substantially. And 30% to 40% of the area, they are in the process of handing over to us, which should

happen in the next month, and we should start the work.

Vaibhav Shah: Any target that we look for this project in FY '27 in terms of revenue?

Shobhit Uppal: Definitely. Gem and Jewellery Park, definitely. As I said, work will start in 1QFY27. Actual billing will start.

Vaibhav Shah: Can you do this 30%, 35% kind of execution which you are targeting earlier for '27?

Shobhit Uppal: Sorry, come again, 30%, 35%, what? Sorry?

Vaibhav Shah: For FY '27, what kind of revenue are we targeting from this project?

Shobhit Uppal: Of the total value of the project, I think it would be to the tune of about 20% -- 20% to 25%.

Vaibhav Shah: Okay. And sir, secondly, on CSMT, we have seen some weakness in execution in Q3 compared to the month -- quarterly run rate of last 4 quarters. So how do you say for the entire year and for next year?

Shobhit Uppal: I think totally, we had projected that we will execute in this financial year, we would be executing anywhere between INR300 crores and INR350 crores worth of work on CSMT. And we are confident we will be doing that. The work progress has picked up there. And so we should be meeting that target. As far as the next financial year goes, we should be doing a work of about INR700 crores there.

Vaibhav Shah: Okay. And sir, lastly, one data point. So order inflow number is INR9,562 crores. So of this, what would be the value ex of GST?

Satbeer Singh: Out of this INR9,562 crores, INR603 crores.

Vaibhav Shah: INR603 crores GST value?

Satbeer Singh: GST value.

Shobhit Uppal: Yes.

Moderator: The next question is from the line of Lakshmi Narayanan from Tunga Investment.

Lakshmi Narayanan : See, when we had a call in the third week of November, we were confident of growth of around 15% to 20%. And did you anticipate that this would actually get toned down to 10% to 15%? Or what actually happened in the last 5 to 6 weeks of Q3? That is my first question. The second question is that one of our key accounts, Signature Global, they called out some bit of slowness in their projects, particularly the Sector 37D Sarvam. I don't know whether we are working on the DLX...

Shobhit Uppal: We are working. Yes.

Lakshmi Narayanan : Sarvam DLX we are working?

Shobhit Uppal: We are working on DXP, Deluxe. Signature 37D, not the new one. New one is the name that you took, we are not working on that.

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Lakshmi Narayanan : Okay. Okay. And also...

Shobhit Uppal: I think what they -- sorry to interject, but this is Sarvam -- what was the name that you said?

Lakshmi Narayanan : Yes. They talked about the Project Sarvam, which was launched in December 2025.

Shobhit Uppal: They are talking about a slowness in sales there. I don't -- so that's why we are not associated with that job, nor have we bid for that job.

Lakshmi Narayanan : Got it. And also a larger question because we have -- DLF is also a large, important client. And what is your sense of the entire market? I think last time also, you said that we are somehow ring-fencing ourselves from any particular slowdown or any particular cash issues with any of the developers.

Can you just elaborate a bit more on that? So these are my 2 questions. One is what happened between November 17 and December end, which led to seemingly underwhelming guidance from where you started. Is there something that really happened? And then the second is in terms of the Gurgaon stuff?

Shobhit Uppal: Yes. So first question, this -- as I mentioned to Vaibhav in response to the question that he asked, the NGT impact this year has been -- has been more prolonged, so to say. Since 44% of our order book is from NCR, December and January have been impacted. Even the first week of February was impacted as far as the project closure on account of pollution was concerned. And this time, March, the Holi festival is in the first

week of March. So generally, what we've seen in the past is that 3 or 4 days before the festival, the labor force starts going back to their hometown, and then it takes about a week for them to come back. So March is also going to be impacted. That's why we have reduced our projection by 2, 3, 4 percentage points as far as the top line is concerned.

As regards ring-fencing or our exposure to the slowdown as far as sales of residential buildings or projects is concerned, I had mentioned last time around that we have now slowed down as far as bidding for further residential projects is concerned, we feel that out of our total bouquet of projects, residential is quite a bit. So we are now focusing on institutional projects, airports, hotels, or commercial projects.

Residential is not a focus area for us, especially in NCR. Having said that, the projects that we are working on, be it with DLF, as you mentioned, we have not seen any sort of issues with payments. DLF is obviously the premier development company in the country. Even with the likes of SmartWorld or Emaar, all the projects that we are executing were launched more than 2 years ago, RERA being in place, I don't see -- we've not felt any financial issues with all the clients that we are working for on these residential projects in NCR.

Lakshmi Narayanan : Got it. So just to understand, so the RERA ensures that the cash flows are restricted to that project and it is

not actually taken out for any other things, right? So it...

Shobhit Uppal: Yes. In fact, it also puts pressure on the developer to sort of ensure that the projects are delivered in time.

So we continue to face those pressures from developers to execute faster and build faster. And as I said, we've not faced any cash flow issues from these developers.

Lakshmi Narayanan : And just on the NGT thing, right? And it seems to be a recurring phenomenon every year, right? So if that

is the case, is it that -- how do we build in, in our growth expectations internally? I mean, how do you realign yourself because this is happening maybe consecutively for the second or maybe third year also.

And I mean, we have 44%, 45% in NCR region, and that's something which will be there for the next 2, 3 years also. So is it fair to assume that that's something which is a given -- and I mean, is there any way in which you can address this?

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Shobhit Uppal: So you're right, it's pretty much become a part of the annual calendar, especially the third quarter of the financial year. But having said that, because it's become a part now, all the constituents of the ecosystem have become alive to it.

And we are all constructively brainstorming as to how to mitigate the impact of this, how to sort of sensitize the powers that, be it the courts or the government, be it the state governments or the central government, the impact that this is having on the livelihoods of the workers involved with our industry. And we are reasonably hopeful that in the coming years, this impact is going to be mitigated with the measures that we are taking on the projects to ensure that our -- we are not contributing as much to pollution as the popular notion is.

We are sensitizing the governments to this fact also. And the most important point is the -- all of us, be it the developer or be it the contractor or be it the bureaucracy, we seem to be getting aligned on this point. So we are hoping that in the coming year or years, the disruptions are not going to be as much as they have been in the last 2, 3 years.

And this year has been a little more peculiar in the sense that right from the festive season, onwards, the disruption started. So -- and now wholly, as I said, is also earlier. So this impact starting from Diwali from October till January, January end has impacted our top line performance.

Lakshmi Na

ayanan : Just one more question. See, sometime back, maybe a year back or maybe 3 quarters back, you mentioned that there's a nonavailability of workers and especially post elections, you couldn't get them assembled, etcetera.

Now I mean, how have you taken -- I mean, have any steps have been taken by the industry or by yourself so that we have -- we will have some UP elections coming next year and so on and so forth. So, how do you ensure that the labour availability at the right time, at the right amount, is actually taken care of? Or it's still that's a lurking issue at your end?

Shobhit Uppal: It's actually a full-blown issue. It's not a lurking issue. And -- but again, the slight advantage of this becoming such a large issue is that, again, all of us are aware of this fact now. It's not -- in the day, it's gone by, it was only the contractor who used to grapple with this issue. Now everybody is aware. More importantly, the clients are aware of this. The governments are aware of this.

And so what is happening is that there is -- this is leading to greater standardization, wherein we can do a

lot of work offsite, use more mechanization to reduce the impact on -- or reduce the dependency on labour . And then training is also something that we've started, but that's in a very nascent stage. Have I answered your question?

Moderator: The next question is from the line of Parvez Qazi from Nuvama.

Parvez Qazi: So first, I mean, on this NGT issue, assuming, let's say, if it had not been there, what kind of execution would we have done in Q3?

Shobhit Uppal: What kind of execution -- we would have stayed on course for a 15 -plus percent growth in our top line.

Parvez Qazi: Sure. Secondly, on -- I mean, on the payment , etcetera, how do you see things now, especially from the government departments in some of the other segments of infra, we have seen a slowdown in payments in FY '26. So , how is the situation in your government -funded projects?

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Shobhit Uppal: We really -- a lot of our -- or most of our government -funded government projects are central government projects. We are not really seeing much of a problem there. Other than in the odd project here and there, like we're doing a central university project in the state of Himachal Pradesh, which is partly funded by the state and partly by the center. So , there we are, facing some challenges. That project is nearing completion. We are hoping to complete it in Q1 of FY '27.

So there is a bit of a challenge there. We completed another hospital for the center and state government in, again, Himachal. The final payment has been stuck for a while. So yes, with the state of Himachal, there is a bit of an issue. And we are also seeing some issues with the state of Assam. I think that's also due to the fact that the machinery there has slowed down a bit on account of the impending elections.

Otherwise, we don't -- we haven't seen. All our other slow -moving projects, be it for the state of Bihar or other states, they are okay now. We've got our payments.

Parvez Qazi: Sure. And a couple of data points that I needed from Satbeer -ji. What is our current gross debt level, I mean, gross borrowings?

Satbeer Singh: Gross borrowing is INR22 crores , approximately.

Parvez Qazi: What would be the cash level that we have currently?

Satbeer Singh: Cash balance is INR253 crores , and bank balance is INR587 crores.

Parvez Qazi: What is the capex that we have done in...

Satbeer Singh: In 9 months, we have incurred around INR193 crores.

Parvez Qazi: Okay. And apart from this order book, are we L1 in any other project?

Satbeer Singh: Yes, we are L1 in four projects. This is amounting to INR2,485 crores approx.

Parvez Qazi: Sure. Last question, what is the status of the Chandigarh station redevelopment project? Has work picked

up there? Or I mean , what is the status now?

Shobhit Uppal: So Chandigarh station is nearing completion. We are targeting to complete it in Q1 FY '27. The 2 stations, Panchkula and Chandigarh , have already been completed, and we have offered the client to take them over. And the platform work is also substantially underway. And as I said, in somewhere by May, we should be completing it.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: Sir, my first question is on the DLF Dahlias project. I think last time we guided for more than INR100 crores of revenue in this fiscal and around INR3 billion to INR3.5 billion next year. So are we on track for that for this year?

Shobhit Uppal: No. This year, it will be about 40% of that because new earthquake codes were put in place , and DLF has redesigned or is in the process of redesigning or doing the structural design again. So that is why a lot of work had to be redone, obviously, at the client 's cost. So that is why our target is going to be -- our turnover is going to be lesser by March end. But we should be -- post Holi, we should be in a position to take up the work in real earnest. The designs are coming in as we speak.

Mahesh Patil: And sir, what is the estimate for FY '27 from this project?

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Shobhit Uppal: From Dahlias for the next financial year, it remains what we had said last year.

Mahesh Patil: Okay. And sir, this pollution issue, are we facing any challenges in the current month as we II, or -- because I think the last...

Shobhit Uppal: You're not very clearly audible. Repeat that, please?

Mahesh Patil: Sir, I was asking in the last con call in November, we highlighted that till that date, we were around 11% of margins. So apart from this GRAP issue, anything else that impacted our revenue and margins this quarter?

Shobhit Uppal: Primarily it was GRAP only, as I said.

Mahesh Patil: Yes. And sir, was there any impact of this issue in the base quarter last year, Q3?

Shobhit Uppal: The impact of GRAP you're talking about?

Mahesh Patil: Correct -- in the last year.

Shobhit Uppal: It was there, definitely, but it was lesser since our exposure now has increased to the NCR market.

Mahesh Patil: Okay. So you mentioned around 40% of the order book is...

Shobhit Uppal: Yes, more than 40% is now from NCR.

Mahesh Patil: And sir, for next year, if I may ask, what would be our revenue estimate from this NCR region for FY '27? Any ballpark number?

Shobhit Uppal: We are in the process. It should be about 40%...

Mahesh Patil: 40% of revenue estimate -- okay.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, a couple of questions and clarifications. So in the fourth quarter, how much are we looking to do kind of revenue, INR1,400 -odd crores kind of a revenue that we are looking at in this fourth quarter?

Satbeer Singh: Yes, exactly. It would be 10% to 15%.

Shobhit Uppal: Yes, about INR1,400 crores, yes.

Shravan Shah: Okay. And next full year, then we should be doing 20% to 25%?

Shobhit Uppal: I said 15% to 20% earlier.

Shravan Shah: But some recoup should be there in the FY '27, given the inflow is also on the higher side, sir?

Shobhit Uppal: Yes, it should be. I had also mentioned that this is a conservative estimate, that I think the recovery, what we've sort of lost out 3, 4 percentage points, should be made up in the next financial year. That's why I said 15% to 20%.

Shravan Shah: Okay. And the margin for fourth quarter...

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Shobhit Uppal: In our project -- just to put things in context, more so with the Central Vista project, which has come in, which is a fast -- which is a fast-moving project, will be a fast

-moving project. And that is one project

which the Central Vista projects are insulated from the GRAP impact. So that should also contribute substantially to our turnover next year.

Shravan Shah: Yes. So I was about to ask that only. So this out of this...

Shobhit Uppal: I know you well. That's why I preempted you.

Shravan Shah: So roughly, how one can look at -- so the overall timeline for Central Vista is 24 months, and in FY '27, can we see kind of a 40 -odd percent of this INR2,600 crores?

Shobhit Uppal: Yes, that's what -- initially, there is -- time is going to be taken by designing. It's a large project. It's a very complex project. So designing has already started. We are awaiting clearance from the authorities. These are important buildings that have to be demolished. They have not yet been vacated. So we should be billing at least 30% plus this year.

Shravan Shah: Okay. Got it. And in terms of the margin, Q4 and next year, 10% is doable, or we can see even...

Shobhit Uppal: Definitely doable.

Shravan Shah: Okay. Okay. But a possibility towards 10.5% is there for next year?

Shobhit Uppal: That's 6% to 10%.

Shravan Shah: Okay. Okay. And just to clarify, this INR9,500 crores plus order inflow, so this is excluding the GST you're saying?

Shobhit Uppal: GST is included in that INR603 crores.

Shravan Shah: INR603 crores.

Shobhit Uppal: Yes, is included in the figure of INR9,562 crores.

Shravan Shah: Okay. Okay. So if you remove that, and broadly INR8,900 -odd crores.

Shobhit Uppal: Yes.

Shravan Shah: Okay. And the L1 that we said INR2,485 crores, so that is also excluding GST or including?

Satbeer Singh: That is also including GST because most of that government projects and that including GST.

Shravan Shah: Okay. And so these are 3 projects. So last time we were having the 2 projects, Bhubaneswar University and RML Hospital, Delhi.

Shobhit Uppal: These are 4 projects.

Shravan Shah: Can you sir name it, all these 4 projects?

Shobhit Uppal: One is RML, one is Odisha University, one is Assam Judicial Complex, and one is Kota Airport.

Shravan Shah: Okay. And lastly, sir, balance sheet details, inventory, debtors, trade payable and mobilization retention and unbilled...

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Satbeer Singh: Debtors are INR638 crores, retention program INR431 crores, mobilization INR729 crores, and creditors INR738 crores.

Shravan Shah: Sorry, INR738 crores is what?

Satbeer Singh: Creditors.

Shravan Shah: Creditors, INR738 crores, yes.

Satbeer Singh: And Inventory INR359 crores, and unbilled revenue INR639 crores.

Shravan Shah: INR639 crores. In terms of the capex in the fourth quarter, how much more -- INR193 crores we have done, how much more we will be doing...

Satbeer Singh: In this quarter, we have incurred INR55 crores.

Shravan Shah: INR55 crores more.

Shobhit Uppal: About INR100 crores. INR100 crores.

Shravan Shah: Okay. total. So around INR300 crores for the entire full year.

Shobhit Uppal: Yes.

Shravan Shah: And next year also similar INR300 crores?

Shobhit Uppal: Yes. Next year also similar. It's similar. It should be lesser actually because the order inflow that we've had now, we more or less -- by the end of March, we would have catered to the capex for those projects.

Shravan Shah: Okay. And sir, this L1 most likely will be converted into LOA by this March, this INR2,485 -odd crores?

Shobhit Uppal: I can't say on all these jobs. Really, it's very difficult because, as we've seen, sometimes with government projects, especially state government projects, it takes a long time.

Shravan Shah: Okay. So next year, then apart from this, the prior, if I have to look at, can one look at INR8,000 crores, INR9,000 crores, similar run rate in terms of inflow for FY '27?

Shobhit Uppal: As I said, we are picking and choosing our p

rojects. We have focused on -- residential is not there. So I think logically speaking, next year, the inflow will be slightly lesser.

Shravan Shah: INR5,000 crores, INR6,000 crores?

Shobhit Uppal: Yes. Because our focus is going to be on increasing our efficiency and increasing our margins, and delivering on the p rojects that we have bagged in this year and last year.

Moderator: The next question is from the line of Sandip Sabharwal from ASK Investment.

Sandip Sabharwal: I just wanted to find out about this new Labour Code provision. So most companies actually put this as an extraordinary expense. You have, I think, included it in the labour salary and wages. So ex of that, if we have to see what would have been the margins in the PAT, have you done some calculations?

Satbeer Singh: INR1.31 crores that have been factored during these 9 months due to the introduction of the Labour Code.

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Shobhit Uppal: Satbeer is saying the impact till December is INR13.1 crores.

Sandip Sabharwal: It's INR1.31 crores. It's not INR13 crores.

Shobhit Uppal: No, INR1.31 crores.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, what would be our bid pipeline as of now?

Shobhit Uppal: Bid pipeline as of now is about INR7,000 crores.

Vaibhav Shah: Okay. And sir, in your guidance, INR5,000 crores to INR6,000 crores of inflow, does it include the L1 orders as well, of around INR2,500 crores?

Shobhit Uppal: Yes, it does.

Vaibhav Shah: So likely conversion would be in next year?

Shobhit Uppal: Yes.

Vaibhav Shah: Okay. And sir, secondly, on the Bihar Animal Husbandry project, so when do we target to complete the project?

Shobhit Uppal: In FY '27.

Vaibhav Shah: The run rate has dropped down in last 2 to 3 quarters.

Shobhit Uppal: Yes, because the area -- it's an existing campus. So the new buildings are coming up as and when they are handing over or vacating existing old buildings. They are being demolished, and the new ones are being constructed. So in the last 1.5 quarters, the vacation of these buildings has slowed down. But this will definitely be completed in FY '27 because part of the complex in this quarter has been inaugurated by the honorable CM, and he's announced a date for completion of the entire campus. So we are reasonably confident that in the next year, it will be completed.

Vaibhav Shah: Okay. And sir, lastly, on Gem & Jewellery. So when do we -- what is the timeline of -- what is the tenure of construction, and when do we intend to complete the project?

Shobhit Uppal: I think the timeline -- Vikas is on the call. Vikas, are you there? Do you want to answer this question?

Moderator: Sir, Vikas sir, is not online.

Shobhit Uppal: Okay. Never mind. The period for the completion of this job is about 3.5 years, if memory serves me right. And as I mentioned earlier, we are going to start billing in Q1 FY '27. The work will start on the ground.

Since this is an EPC job, engineering is already happening.

Moderator: The next question is from the line of Rajat from iThought PMS.

Rajat: Sir, with regards to CSMT projects, is there any delay relative to the original timeline?

Shobhit Uppal: Yes, there is a delay. There is a huge delay. And so we've -- as I had been explained in the earlier calls, the entire design of this project had to be redone because the design -- conceptual design, which was given by

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the tender , was not tenable. Certain aspects of that design were not tenable on the ground. That designing is complete, work is now moving at a fast clip there. That's why there's a delay.

Rajat : So, can that result in any cost overruns for us, like lower margins in this project for us?

Shobhit Uppal: So yes,

there has been an impact on the cost. But as we move along, we are hopeful that some of these costs will be mitigated either through extra work or through an extra claim.

Rajat : Okay. And can there be any synergies as well?

Shobhit Uppal: No, we've got the extension of time owing to the delays till now, which are not attributable to us , and have been granted.

Rajat : That has been amicably agreed upon?

Shobhit Uppal: Yes. What happens in all government contracts is that there is a hindrance register, which is maintained and which is jointly signed off, which helps establish the delays, which are not attributable to the contractor. Generally, these are finally quantified towards the end or the last stage of the project. But in this project, since the delays have been quite large and very obviously not attributable to us, up until now, the extension of time has been granted.

Rajat : Sure. And the margins on this project were the same as company -level margins going into the project, or since it was a marquee project, we went at a lower margin?

Shobhit Uppal: No. These were similar to the company -wide margins that we target. In fact, because the competition on this job was lesser since because of the scale of the job, only the larger players were there. So we had bidding with the same margin that we keep for other projects or other blue -chip projects. I think have I answered your question or something left?

Rajat : Yes. Yes, sir. And one more related to this. Given it's a very complex project and a lot of traffic at the station, so do you envisage any delays in execution because of that reason in the future?

Shobhit Uppal: You are right because while the buildings, the greenfield buildings, the DRM or the node -- the building or the other buildings, they -- we don't envisage any delay, further delay. But platforms or doing them up for the concourses, that depends on the shutdown, which is given to us. So it's very hard to predict. But yes, generally, going by our experience at Chandigarh railway station, there may be some delays there.

Rajat : Okay. And those delays, I mean, can again cost overruns , or has that been budgeted in? Or how is that?

Shobhit Uppal: Those have been budgeted in to some extent.

Rajat : Okay. All right. And sir, you just mentioned that Gem & Jewellery will start from April , and the original timeline was probably 2.5 years to 3 years. So that timeline will begin from April, or it has already started from the time...

Shobhit Uppal: It will begin from April. It will begin from April.

Rajat : It will begin from April. Okay. Okay. Understood. And one last one. Given the pollution -related construction ban in Delhi has been happening for the last 2, 3 years, and it is affecting our top line growth and the guidance that we give, we need to revise its downward, now my question relates to the next year where we are seeing -- where we are saying 15% to 20% growth. So do you think that we might have to Ahluwalia Contracts (India) Limited

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again revise its downward or we are budgeting in 10 or 9 months of construction activity only in Delhi, while we give this guidance for FY '27?

Shobhit Uppal: No, no, we are not budgeting in only 10 or 9 months of this thing. What I had said earlier was while some impact will be there, but we are hopeful that this year or next year, because the entire ecosystem is totally sensitized and much more aware about this issue, every constituent of this ecosystem is working to mitigate its effects. So we are hopeful that this time around, the effects will be lesser, much lesser.

Rajat : Sure, sure. I hope so. And that's the case because we were hoping that FY '26 will also have much lesser impact, but it turned out to be the opposite. So just...

Shobhit Uppal: You're right. And it's not only impacted the top line. It's also impacted our profitability because while we

bagged a lot of large orders and to execute those large orders, our overhead costs had also gone up. So in the short term, our profitability has been hit. But the silver lining is that now going forward, not only are we well stocked on our order book, but we are also well equipped every which way to ramp up our execution speed. So hopefully, next year, we will make up -- we are very optimistic that we'll make up the shortfall that we've encountered this year.

Moderator: The next question is from the line of Ankit, an Individual Investor .

Ankit: So I just wanted to check on -- while I see the results for this quarter, I see a subcontract work as well as other expenses are substantially high, almost 30% year -on-year, which are very similar to our quarter 2 numbers. So the first question is, is there a substantial reason to it apart from the NGT issue, which has been discussed already?

Shobhit Uppal: Just a second, please. Let me take a look at the numbers.

Satbeer Singh: You are asking about in comparison to which quarter?

Ankit: The same quarter last year, sir, the subcontract work as well as other expenses.

Satbeer Singh: Just if you have to see including cost of material and other expenses subcontract, then you will find that at

par because our PAT is also approximately on the similar line, 6.90% was last year and now 6.85%.

Ankit: Right. So that has...

Satbeer Singh: Basically, you have to include entire thing, subcontract, construction expenses and cost of material, then you will find appropriate answer.

Ankit: Fair enough. Fair enough. The second question I just had was there have been news of lately on increasing steel prices. Does that impact you on quarter 4 onwards? Or are we -- because in the last call, we discussed that we will use -- or we normally use our cash positions to sort of hedge against the supply chain costs. So is there something which we see as an inflation in terms of raw material costs? Or have we already hedged it?

Shobhit Uppal: No, the inflation definitely is there. But in the pricing of cement and steel, this is passed through because in all our contracts or most of our contracts, there are base prices for these materials. But there is an indirect impact on account of increase in steel prices because of the other material or equipment that we buy, be it tower cranes, be it mixers, transit mixers, so on and so forth, scaffolding, aluminium shuttering, there is an impact on account of this pricing.

Moderator: The next question is from the line of Samrat Sarkar an Individual Investor .

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Samrat Sarkar : Yes. Sir, I just wanted to know why your other employee expenses are as compared to your percentage of revenues is so high this quarter or as compared to last year?

Satbeer Singh: It's just basically provision as per the ECL method has been made around INR3 crores. That's why there is a slight difference.

Samrat Sarkar: Okay. And when do you expect this -- your operating margins to be 10% from which financial year onwards?

Satbeer Singh: Yes, this year would be double digit.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, how much value of projects that we have already bid and -- outcome is yet to come?

Shobhit Uppal: Shravan, that's a number that we don't have handy at the moment. L1, we've already told you it's INR2,485 crores. The other value is more on the private sector side. Can we get back to you on that number? It's not going to be substantial. As I said, we are not focusing on the government -- or sorry, on the residential side. So primarily in the government projects in that L1 is included, we've already given you the number. The government projects tenders which are not open, I don't have that figure handy. We'll get back to you on that.

Shravan Shah:

No issues. And the private government order book share, which is at 68%, which is private. Last time we said that we want it to reduce to 60% ?

Shobhit Uppal: Actually, it's even now, if you take the Central Vista, which has come in after December. Yes, it will be about 60:40.

Shravan Shah: So now we will keep it at this level or we want it to 50:50 going forward?

Shobhit Uppal: Going forward, 50:50 nearby, but it can -- it's very difficult to say whether it will be 55:45, whether it will be 60:40 one way or the other or 40:60, but it will be quite even.

Moderator: The next question is from the line of Rahul Kumar from Vaikarya Fund.

Rahul Kumar: Just one question, sir. Is there any impact of the New Labour Code on [inaudible 0:50:29] and if yes, how do you see.

Satbeer Singh: I think we have answered this question.

Shobhit Uppal: INR1.31 crores in absolute numbers up to December.

Rahul Kumar: I understand, sir. This is for our employee base, right? I was just wondering the outsourced labour.

Satbeer Singh: That will include outsourced labour.

Rahul Kumar: Okay.

Shobhit Uppal: Outsourced labour is generally we -- for labour rate works, we have petty contractors, right? And there the -- it's rate per unit, which is where the work is contracted out to them. So this impact going forward is in the rates that is agreed with them. So it becomes very difficult to quantify this. Am I -- have I been able to articulate, have you understood?

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Rahul Kumar: Yes, sir. Understood. I was just trying to understand from a bidding point of view or pricing point of view for going forward, how does this impact us.

Shobhit Uppal: So as far as labour is concerned, due to its scarce availability and diminishing skills, the quarter-on-quarter, the -- when we bid for a job, we see -- we are seeing that the unit rates are on the increase every 3 months or 4 months, and they are far more than what the governments are recognizing. So we are putting -- we are sort of accounting for this increase based on the past data, past 1 year or past 2 years. We are extrapolating that data and using it to sort of hike our bids also.

Moderator: The next question is from the line of Munir Chamadia an Individual Investor .

Munir C hamadia : In the Q2 presentation, year -to-date order was INR4,374 crores. And in Q3 presentation, it is INR9,565 crores. And in the meanwhile, we have just -- we have received 2 orders of INR3,070 crores and INR888 crores. Still there is a difference of around INR1,200 crores. So have we received any other order?

Shobhit Uppal: We'll need to -- I don't have that data handy. But Sir, you can reach out to Satbeer. We will provide you that detail.

Moderator: The next question is from Ankit, an Individual Investor.

Ankit: I just wanted to ask a couple of points. One is on quarter two presentation, we had mentioned Whiteland Corporation is around -- order value of around INR1,065 crores, which has in the quarter 3 presentation has come up to be INR821 crores. So is there a change here? That's the first question.

Shobhit Uppal: I think there is a mismatch. The INR1,060 crores includes GST. The INR821 crores is without GST.

Ankit: Okay. Okay. And the second question was what type of benefits, in terms of operational, financial, or any other organizational benefits, we would like to extract from the action of subsidiaries that are getting merged into the parent company?

Shobhit Uppal: No. These are the subsidiaries that own a tract of land in Kolkata, which has been on our books for a long time. As we have been mentioning in our investor interaction, we are now looking to leverage this land. To do that, we have applied for the necessary clearances. And for those clearances to go through amalgamation of this land is required. That is why we have -- we are merging these

companies with the parent company.

Moderator: The next question is from the line of Samrat Sarkar, an Individual Investor.

Samrat Sarkar : So I just wanted to know when do you expect the growth to be in mid-15% or 20% growth annually from the current 10% growth. So from this year onwards or from the next FY '27, you expect this growth to be much better sales growth?

Shobhit Uppal: So, the sales growth or top line growth, as I said, between 15% to 20%, it will be there in -- we are extremely hopeful it will be there in the next financial year.

Moderator: Ladies and gentlemen, we take that as the last question of the day. And now I would like to hand the conference over to the management for closing comments.

Shobhit Uppal: Thank you, everybody, for joining in. Hopefully, we've answered all your queries. If there is any more questions, feel free to reach out to Mr. Satbeer Singh, our CFO, and hope to see you again in a few months' time. Thank you. Bye.

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Moderator: On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q4 FY 26 Earnings Conference Call "
June 01, 2026

MANAGEMENT : MR. SHOBHIT UPPAL – DEPUTY MANAGING DIRECTOR
– AHLUWALIA CONTRACTS (INDIA) LIMITED
MR. VIKAS AHLUWALIA – DIRECTOR – AHLUWALIA
CONTRACTS (INDIA) LIMITED
MR. SATBEER SINGH – CHIEF FINANCIAL OFFICER –
AHLUWALIA CONTRACTS (INDIA) LIMITED

MODERATOR : MR. SUDEEP BORA – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Ahluwalia Contracts (India) Limited Q4 FY26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sudeep Bora from Ambit Capital. Thank you, and over to you, sir.

Sudeep Bora: Good afternoon, everyone. On behalf of Ambit Capital, I thank the management of Ahluwalia Contracts (India) Limited for the opportunity to host the Q4 FY 26 Earnings conference call. To discuss the results, I'm pleased to welcome Mr. Shobhit Uppal, Deputy Managing Director; Mr. Vikas Ahluwalia, Director and Mr. Satbeer Singh, Chief Financial Officer. Now I invite the management to take us through the key highlights of the quarter, post which we'll open up for Q&A. Thank you, and over to you, sir.

Shobhit Uppal: Thank you so much. Good afternoon, everybody. Thank you for joining in on this investor call. Ahluwalia Contracts (India) Limited has announced its financial results for Q4 FY '26. During Q4 FY 26, the company has achieved a turnover of INR1,322.30 crores and a PAT of INR80.14 crores in comparison to a turnover of INR1,215.84 crores and a PAT of INR83.16 crores during Q4 FY 25.

The company has registered a growth of 8.76% in turnover and a degrowth of 3.63% in PAT during Q4 FY26 in comparison to Q4 FY 25. EPS of the company for Q4 FY '26 is INR11.96 as compared to EPS of INR12.41 in Q4 FY 25. During Q4 FY26, the company's EBITDA margin is 9.35% as compared to 10.17% in Q4 FY25 and PAT margin is 5.95% as compared to PAT margin of 6.74% in Q4 FY'25.

During FY26, the company has achieved a turnover of INR4,565.20 crores and a PAT of INR264.32 crores in comparison to a turnover of INR4,098.62 crores and a PAT of INR201.51 crores during FY 25. During FY26, the company has registered a growth of 11.38% in its turnover and 31.17% in PAT in comparison to FY 25. During FY 26, EPS of the company is INR39.46 as compared to an EPS of 30.08 in FY 25.

During FY26, the company's EBITDA margin is 9.52% as compared to 8.34% and a PAT margin of 5.70% as compared to 4.85% in FY 25. Net worth of the company has crossed INR2,000 crores as on 31.3.2026. The net order book of the company as on 31st March 2026, is INR21,096.31 crores to be executed over the next 24 to 30 months. Total order inflow during FY26 was INR10,257.39 crores. At present, we are L1 in two projects amounting to INR1,620.95 crores. Thank you. We are ready to take questions.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Shravan Shah with Dolat Capital.

Shravan Shah: Couple of things, sir. Sir, now we are L1 in two projects. So if you can specify it would be great. And -- so now how we can look at the full year in terms of the order inflow? And given that we

are already at INR21,000 crores plus and plus INR1,600 crores, so kind of about INR22,700 -
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odd crores, so now will the execution will ramp up significantly in FY 27, '28. So what kind of a number one can look at in '27 and '28?

Shobhit Uppal: So Shravan, yes, the order execution will ramp up now. We have stocked up as far as our order book is concerned. We are giving a guidance of 15% to 20% in this year. And as far as the order inflow is concerned, target is about INR8,000 crores.

Shravan Shah: Including this L1?

Shobhit Uppal: Yes.

Shravan Shah: Okay. But sir, for this even 15

%, 20% also seems to be lower rather it should be at least 20%

kind of a number. So FY 28, can we see a much higher in terms of the execution?

Shobhit Uppal: Sorry, come again, I've given you guidance for FY27, right? So you're saying that further on, you're asking me about FY 28, is it?

Shravan Shah: Yes. Even FY 27 is 15%, 20% or rather it should be a minimum 20%. That's what I was looking at?

Shobhit Uppal: You can see that in the last 2 year or 3 years the guidance which I am giving is 10% to 15% and our order book which is there or because we are well stocked up and secondly the states in which we are working the stable government has come. So according to that we have increased the 5 percentage guidance and there are still lot of headwinds are there primarily due to what that is the big uncertainty. So because of that we don't think to give guidance is prudent.

Shravan Shah: Okay. So '28 may be similar kind of -- and then the margins, sir we are looking at 10% at least, but actually over 9.5% of full year FY '26. So -- and given obviously the commodity runup because of the war, so how we look at the margin in 1H also/

Shobhit Uppal: The margin profile, as I said in my last call I have given an indication of double digit and we are nearly there. We are at 9.5% and this is in spite of numerous headwinds that we faced in the last quarter. Elections which were in early April, March was a write-off on account of the fact that due to SIR and elections in Bengal and a lot of labor left the other parts of the country where our projects are.

Especially NCR nearly 40 % to 50 % our projects are there it went away from here and second began in end February. So in March there is an impact of that also plus Bengal and Assam there were elections. In Assam there was a major slowdown in the execution because the state started facing cash crunch. So in spite of these headwinds, we have managed to increase this thing by 9.5%, which is more or less in line with the guidance that I've given last time. And we will cross -- we will be into double-digit margins in this year.

Shravan Shah: Okay. And lastly, sir, a couple of balance sheet data points. Mobilization advance, retention money and unbilled revenue?

Shobhit Uppal: Satbeer is going to answer this.

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Satbeer Singh: Mobilization advance is INR802 crores. And the retention is including [inaudible 0:09:06] is INR450 crores. And unbilled revenue is INR688 crores.

Shravan Shah: Sir, just two, three bigger projects, particularly the CSTM registration. So correct me if I'm wrong. So third quarter order book and now it seems that a INR470-odd crores execution has been done. So is there any adjustment in that? Because since the execution is much better. And if it is -- so how one can look at the FY27, '28, similarly, the Indian Jewellery Park and recently when the Central Vista the INR2600 crores project which is there?

Shobhit Uppal: So as you said CSMT in that execution if we look from last year to this year plenty of ramp up has been done. The designs are now approved and the project has picked up speed. We will see an increase in the revenue from this project. As far as Central Vista is concerned, this project is a design-build project.

The project was awarded to us in January -- on 14 January. So our design is getting frozen, we have begun execution on the ground. The building -- one of the two buildings, Nirman Bhawan, has been fully demolished and we started execution, excavation and concrete. So this year, we'll see substantial revenue of being accrued from this project also. IJPM, at the moment, the designing is happening, where the work on the ground will begin in the last month of this quarter.

Shravan Shah: Okay. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of Lakshminaray

anan K G with Tunga Investments.

Lakshminarayanan K G : See, in recent quarters or maybe in the recent years we have seen a noticeable step -up in capex intensity. However, this increased investment hasn't yet translated into a corresponding expansion in EBITDA in a significant manner which would exert downward pressure on our structural ROE.

If you can help me understand if this lower asset turnover is a new normal of the business or because whenever we have been exceptional in terms of return ratios and lower depreciation with disciplined capex. Now the higher capex is not commensurately increasing the margins. And therefore, it is -- and also depreciation is increasing as you can see.

Now is this a new normal for the business that what we used to enjoy maybe a decade back or maybe like 3, 4 years back also is distant in terms of return ratios because the capex is increasing and it is not at least a way in which I see in the last one year, it is not increasing the margins in general. So I just want to understand, structurally, are we -- is the company is going through a different shift? Are the industry is going through a shift where capex is needed to stay in the same place and not excel in the operating margins?

Shobhit Uppal: A very interesting question, Mr. Lakshminarayanan. So yes, the last point that you made, both the industry as well as our company is at an inflection point. What we see -- if you see -- if you track our company also, since we are only in buildings and factories, the size of the orders, individual orders have gone up considerably and the time lines are getting squeezed.

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What that means is that the buildings that at the scale at which we are operating, the buildings are becoming more complex. So to handle such buildings, capex is going up, will go up because the required mechanization. That gets further exacerbated or the need for machinery or mechanization is further enhanced because of shortage in labor.

What we've been seeing over the last 2, 3 years, that there are various factors which now eventually around the year lead to a shortage of labor. Earlier on, it used to be for a couple of months maybe around the where there is a cut around April or May or in the festive season towards the end of the year. But now virtually through the year, every month or so the labor supply is disrupted.

So hence, we feel or we -- the top management of the company decided a couple of years ago that we would invest in mechanization. The full effect of which, while this is the new norm, right? But the full effect as far as our company is concerned, since we have been at this inflection point and we've been preparing for it as we have said in our past couple of investor calls. The impact towards the positive side will be seen in the coming couple of years and our margins will go up. You will see that. They've already gone up in the last year, and you will see them further going up in this year and then the following year. More so, when we are -- the higher capex also is on account of the fact that we -- not only we are well stocked or we won over the last 2 years, if memory serves me right.

We've taken an order inflow about INR18,000 crores. And so we are well stocked up and that we are well geared to execute this in the next 3 to 3.5 years, one. Secondly, because of our presence in areas like, say, Bihar, Bengal, Assam, NCR, of course, being a backyard. Now all these areas have very stable governments and the governments are the same in these states and in the center. So the cash strike or the payment issues that we had faced earlier in these states, we feel they are a thing of the past. So going forward, I think margin -- that's why we are giving you an increased guidance on the margin as well as top line.

Lakshminarayanan K G : Got it. Sir, the depreciation would

continue to meaningfully increase or what would be the increase in depreciation with respect to the -- for the capex with respect to the revenue growth because we have an exceptionally strong order book. I just want to understand how do we kind map it in terms of whether the capex would grow higher than revenue growth and therefore, higher depreciation. Is that how to think about the next 3 or 5 years?

Shobhit Uppal: So as I said, the capex in this year, FY27 will be on the similar lines. We feel -- in fact, a couple of quarters ago, I had given a guidance of capex of about INR500 crores. As we moved along, we've seen, we factored in some headwinds and we factored in how by increasing the efficiency of our machinery, we've been able to reduce the capex in this year to about INR274 crores. And I think moving forward, around INR300 crores would be the capex in FY27 also. Depreciation would increase, but on similar lines.

Lakshminarayanan K G : Got it. This is helpful. Just one question. See, if you look at the inflation has actually increased across the board driven by fuel prices. Now since our projects are L1 and we'll have limited room, if I may think. How do you ensure that the margins are protected or this is something

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which you have to keep in mind that is difficult to negotiate for the price increases as you execute the projects?

Shobhit Uppal: So the answer to this is twofold. One, almost all of our contracts now have a built-in escalation clause to give you -- to cite an example, this INR3,000 crore contract for Central Vista, there is an escalation clause 10CC, which is based on wholesale price index. So where labor is also covered and the material increase is also covered.

Having said that, what we've seen in the short term, in the last 1, 1.5, 2 months. The WPI has not moved as much or if the movement is not commensurate with the actual increase in prices, especially the metal prices. We have not only us, but the other construction companies have also have represented to the government directly.

And through industrial bodies, industry bodies that they should take a look at this and the ministry is taking an actual look at how when they principally have agreed to compensate a price increase to the contractors, how they can be more fair. What I can say at this stage is they are also biding their time. They're seeing how long the impact of this war is going to last.

So if it is a prolonged impact, I think wherever there is a gap between the WPI uptick and the actual inflation that we will find a way to compensate us. As regards the private client like say, DLF or other large builders or developers like Brigade or MAIA and so on and Signature Global, all heavy material like cement, steel, raw material, the basic price of procurement is a pass-through, the inflation is a pass-through. So we are adequately covered. Having said that, if the war prolongs for a longer period.

Lakshminarayanan K G : Yes, I'm listening.

Shobhit Uppal: Yes, I think somebody was on unmute. So I think I answered your question.

Lakshminarayanan K G : And third question is that, if you look at the last 2 years, there have been challenges, two challenges. One is the pollution control thing that actually happened in NCR for two consecutive years. And also the labor availability was also a challenge. Now that we are scaling up and I think our order book is much better than it's almost doubled in the last 2 years. How do you -- what are the steps you are taking to mitigate or to nullify these two big risks which we are actually facing?

Shobhit Uppal: So NGT continues to be a risk. But what has happened is that the entire ecosystem is coming together to sort of see how we can mitigate the inefficiency, which is there during this period of 2 to 3 months, one of the things that the developer has started

doing clients have started doing

is that they pay for labor, which is idle whenever the work is stopped.

So that the labor does not run away. And we sort of lose time if the labor leaves the site, then once the ban is lifted, we take time for the labor to be brought back. So in effect, if the project stays closed for a month, it takes another month for the labor to come back to ensure that it doesn't leave the site and the impact only is of the days that the project is shut down.

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The developers or the clients have started compensating the labor through us or either directly or through us. Secondly, projects such as Central Vista, which is now a large part of our order book in NCR is not impacted by NGT. So we foresee a substantial contribution to our top line growth from that project even during the months...

Lakshminarayanan K G: Yes, I'm...

Shobhit Uppal: So yes, that is that. And thirdly, as I said, the government is also -- again, the industry bodies, the various clients, contractors they are talking to the government, pollution mitigation measures have been taken on site like again, at the Central Vista project. We've got mist sprayers all over the site, along the boundary along the fencing on the building, so on and so forth. So we are -- all these efforts, I think, will lead to a reduced impact. And hence, the number of days of shutdown, I think, should be lesser this year.

Moderator: Our next question is from the line of Keshav Garg from Counter Cyclical PMS.

Keshav Garg: So if you see our order book has doubled over the past 2 years, but our revenues have grown at less than 9% CAGR over the past 2 years. So what I'm trying to understand that what has changed in the current year that we will do approximately double the revenue growth that we have been doing in the past 2 years because orders were anyway not an issue.

Shobhit Uppal: Yes. So as I said, most of our slow-moving projects, like, say, somebody asked a question about CSMT. CSMT, which was until recently, our largest -- one of our largest order wins that for the 1.5 years was a slow-moving project on account of the designs getting changed and approvals getting delayed. Now that has picked up speed.

Secondly, projects in states such as Assam or Bengal or Bihar, which were slow moving because of political upheavals. Now all these states have a stable government. So there will be -- these projects are, again, I think, will move much faster. Thirdly, with a lot of our orders such as large orders such as the 2 airports that we are doing.

Again, design is the thing of the past now. We are looking to complete the Varanasi airport

actually ahead of schedule because there are elections next year there. Darbhanga also will be closed out in this year. Kota, which is a new order win for us. Their designing is happening. And two months down the line, we'll be breaking ground.

As I said earlier, Central Vista, which is our largest order win till date, there, we've already broken ground, and the time lines of that project due to the nature of the project are extremely - it's a fast-moving project, where it would be logging a turnover of close to INR100 crores to INR150 crores a month. So all this will contribute to the growth projections that I have given at the beginning of my call.

Keshav Garg: Now sir, If we -- if I remember correctly, a few years back, you had said that to the question that why our margins had come down from low double digits to low teens to basically single-digit margins. So you had said that once the private sector order book becomes the land share of the business, so margins will again go up. So now that has happened now, I think over 60% of the order book is of private clients. So now at the time of bidding, I mean you must be keeping some Ahluwalia Contracts (India) Limited

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margin in mind before bidding. So I mean, on this order book, when we execute it, will we be able to reach that kind of margin?

Shobhit Uppal: As I said during my last call also, that we will -- the margin will go up, and we will be near about double digit or we will hit a double-digit listing. We are nearly there. So in the last one year also, as our private sector has gone up exposure, we have increased from 8.3% to 9.5%, as far as EBITDA is concerned.

And as I'm saying, going forward, this will further increase. We'll be well into the double digits now. And I had also said last time, the glory days of 13% to 14% are or the teens, so to say, are -- I don't think there are too many factors which are beyond our control. So I don't think in the short term, we can -- we will be getting there.

Keshav Garg: Okay. So now that 12%, 13% margins are no longer. So basically, what has changed fundamentally in the industry that the margins have come down because, I mean, one would have expected the operating leverage to kick in? I mean, when we were doing 1/3, 1/4 the current revenue base, that time, we were doing 12%, 13% EBITDA. And now we are triple the revenue we are doing 9.5%, 10%?

Shobhit Uppal: So if you were to see, this is an industry-wide phenomenon, even if you were to -- all of you would have done a peer comparison, we have done it. Not only now, last few quarters we're doing, we are consistently in the higher bracket of the kind of results or margins that we are declaring, right? This is an industry-wide phenomenon.

Part of the reason is that while the industry is growing, the capex is growing. The skill levels are actually deteriorating. Labor shortage is increasing that's why I mentioned that this industry is at an inflection point. While we are aspiring or aspirational to make buildings at par with those being made or having been made earlier in the developed part of the globe. But the skill levels don't exist.

So I think be it the government or the developers all the contractors, they are realizing this now. Hence, more and more mechanization is happening. But it will take time. Even with the mechanization, we need crane operators, trained excavation operators, pump operators, so on and so forth. So there is a skill shortage across the board. And this cannot be upgraded at the press of a button. This takes time. Hence, the margins have come down across the board.

Keshav Garg: Understood, sir. Now sir, what is the net cash that we have?

Satbeer Singh: This is cash and bank balance is INR817 crores.

Keshav Garg: Understood, sir. Sir, so now in way back, like in 2008 ours -- 18 years back, our stock price was INR350 and now it is INR760 so basically, the shareholders have -- the wealth has grown by 4%, 4.5% CAGR, which is less than the rate of inflation. And there have been no significant dividends also. So -- and now that we are in a very comfortable net cash position, sir, don't you think we should do a big share buyback so that the number of shares can reduce and whatever future growth gets divided on a smaller equity base and the government has reduced taxes on Ahluwalia Contracts (India) Limited

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the share buyback also. So because ultimately, we are debt-free, so then why just subsidize banks by giving them low-cost deposits?

Shobhit Uppal: Look, our industry has always been at the forefront of cycles. And the cycles at times, it's difficult to predict. 3 months ago, we were thinking that we were riding wave and all of a sudden, the war hit and the future is now quite uncertain. So, during such time, it's always better to have a war chest with you, which -- this is what our past experience has taught us. During the last downturn, when a lot of our peers fell by the wayside, we could survive the downturn. And we

could continue to grow. So, at the moment, the s

hare buyback is not in the offing. That's not even crossed our mind.

Keshav Garg: But now my last question is, sir, that are we thinking of putting up a precast facility especially in the NCR region, where we have a good business for the same reason of like labor substitution and so on?

Shobhit Uppal: We are internally debating on how to use technologies, which are being used in more developed nations, precast, pre-engineered buildings, precast building these are things and also how to do pre-engineered which is as far as MEP is concerned, all this is being looked at research. But for this to succeed, you need greater standardization. We are in active talks with a lot of our large clients.

Where we are sort of convincing all constituents of the ecosystem to look at standardization so that more and more things can be done off-site and brought to site in lockdown conditions. So, this is something which is not something which is a short-term solution. As I said earlier, upskilling would also form a key part of all of this. Going forward over the next 2 to 3 years, yes, some of these will be brought to use in a lot of our projects, but it's not something which will be seen in the next year, 1.5 years.

Keshav Garg: Understood, sir. Thank you very much.

Moderator: Thank you. Our next question is from the line of Amit Khetan with Laburnum Capital. Please go ahead.

Amit Khetan: Hi, thanks for taking my question. Just wanted to understand on your guidance of 15% to 20% growth and double-digit margins. To what extent are the current macro headwinds sort of factored in your guidance? And what are the potential factors which could sort of lead to under delivery either on execution or in margins?

Shobhit Uppal: At a micro level, I think we factored in quite a few quite like political instability, as I said, in states, that is something now seems to be a thing of the past. The only thing which can derail this is the impact of the war, if this war is prolonged. And India's fiscal performance or financial performance or India's gap, it widens the trade gap, right

And that is something which is beyond our control. Otherwise -- and that will impact the rupee - dollar this thing also. Otherwise, I don't really see any other reason which can stop us from meeting the guidance that I have given.

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Amit Khetan: Fair enough. Just wanted to understand how does the -- can you just explain a bit in terms of how the impact of the war impacts our business, either directly or indirectly?

Shobhit Uppal: So, when the war began, sorry. The first impact, which was the immediate impact was the LPG prices or the lack of availability of LPG cylinders, which directly impacted the labor. The labor ran away to their native places because they use LPG to cook their food, so that was an immediate impact, and labor is a key resource today. In fact, as I mentioned in an answer to the earlier question that today, we're facing a huge crunch as far as skilled labor is concerned. So that was a direct impact. Now going forward, the price of fuel, this also now has an indirect impact towards inflation.

Thirdly, supply chain is badly disrupted. A lot of materials or at least the component, say, to give you an example, electrical panel. Now switchgear is not available. So, the delivery of, say, a panel from the time like the order was placed if it used to be 2 months, now it is not less than 4 months. And so, there are delays everywhere on this account. That has an impact on our overheads, on our IDCs.

Amit Khetan: Understood. That's helpful. Thank you.

Moderator: Thank you. Our next question is from the line of Parvez Qazi with Nuvama Group. Please go ahead.

Parvez Qazi: Hi. Good afternoon, sir. And thanks for taking my question. A couple of questions. First, you said we are looking at adding about INR

8,000 crores of orders in FY27. So I mean, in terms of your target, would these be more towards private sector or government sector. Also in terms of segment, will we continue to kind of stay away from the private residential orders and focus more on commercial institutional orders? Just wanted to get some color on that.

Shobhit Uppal: Yes. So, the first question, answer to that is it would be in line with our broader vision, overall vision of having an equitable split as far as our client list is concerned, so it will be half and half tentatively. As regards the residential orders, in NCR, residential is not a focus for us. But in the southern part of the country or the western part of the country, we are not averse to picking up residential orders with clients who are stable. And which was the last question that you asked, sorry? Have I answered your question, Parvez?

Parvez Qazi: You answered my question. Second question is -- and I'm sorry if you have given this data

earlier. What is the quantum of fixed price orders in our order book currently?

Shobhit Uppal: This is 11%.

Parvez Qazi: Sure. And lastly, I mean, in view of the significant amount of volatility, I mean, both external as well as even the domestic operating conditions and which you talked about labor shortages and NGT ban and so on and so forth, how is the competitive intensity in this segment now? Has it increased -- or do you think some people have gone away from the segment witnessing the challenges which are there? Just wanted your thoughts on that.

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Shobhit Uppal: So, while last quarter, when we spoke, and I sort of took the last call, the competitive intensity was high. Over the past couple of months, there is a bit of a status for everybody or each constituent of the ecosystem is trying to evaluate where we are headed, the private developers have also slowed down the launches of fresh launches and the government sector also, as I said, there was a state of elections in various states.

So, the machinery, as such, over the past couple of months, was slow, was moving very, very slowly. So, it would not be prudent for me to sort of predict or project where the competitive intensity is going -- is headed. I think over the next couple of months, people will bide their time.

Parvez Qazi: Thanks, and all the best.

Moderator: Thank you. Our next question comes from the line of Vaibhav Shah with JM Financial. Please go ahead.

Vaibhav Shah: Sir, just to ask on margins. So, you mentioned that you are expecting a double-digit margin for sure in FY27. So given the headwinds in terms of the rising raw material cost and the labor availability is a big challenge. So, what gives the confidence of that 10% plus margin? Is it the mix of the order book right now?

Shobhit Uppal: It's the mix of the order book, both in terms of private and public sector. It's also how the order book is spread geographically. And thirdly, also because 89% of our order book, the escalation clauses are inbuilt. And most of our large orders, be it the Central Vista project, be it the DLF project, the escalation clauses or the majority of the volatile materials are covered.

Vaibhav Shah: Okay. So if we look at the top 3 projects, so what kind of execution are we targeting in FY 27? From CSMT, Gems, Jewellery and the Central Vista project?

Shobhit Uppal: So CSMT would be around INR 600 crores. The Central Vista would be about INR 1,000 crores. And the third one, which one did you mention? Dahlias?

Vaibhav Shah: IJP.

Shobhit Uppal: Our IJPM, as I said, the designing is, it would not be prudent for me to comment on that. We've kept our target modest as about INR 100 crores.

Vikas Ahluwalia: And Dahlias.

Shobhit Uppal: Did you ask about Dahlias?

Vaibhav Shah: No. But, Dahlias, what are we targeting?

Shobhit Uppal: Yes. Dah

lias would be to the tune of about INR 400 crores.

Vaibhav Shah: Sir, if I look at the IJPM guidance, so there we were targeting a much higher revenue from the project to any particular issue on it? Or are you seeing a delayed start in execution given that designing is going on?

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Shobhit Uppal: Yes. As I said, we will start towards the end of this quarter, but there are certain changes in design, which are happening there. That's why we've kept our target modest or conservative in terms of our projection on the top line from this project.

Vaibhav Shah: Okay. So secondly, in terms of depreciation, so it was around INR 29-odd crores in Q4. Do you see this run rate going forward?

Satbeer Singh: Yes, that will be on a similar line in proportionate to that. Already 66 to 97 this year, depreciation. And according to 250 to 300, we are planning for the capex in the next year. And depreciation would be according to that proportionately.

Vaibhav Shah: Okay. And lastly, on the working capital side, we have seen some increase this year, especially in the second half. So I was looking at the other current assets, it has jumped up significantly from INR 1,100 crores to almost INR 1700 crores.

Satbeer Singh: This is other orders including unbilled revenue retention money, that directly, this is unbilled revenue increase has been increased to INR 688 crores. And our working capital days has been, hold on for a moment, in the last quarter, it has been 103 days and now 104 days. And last year, you were talking about this was around.

Vaibhav Shah: What I calculated was in capital X of cash it was coming around.

Satbeer Singh: Definitely, but this is in line with the, our system.

Vaibhav Shah: Yes. So we see some reduction in '27 or it should be at similar levels?

Satbeer Singh: This is , I think that is standard. This 104 days that is standard days.

Vaibhav Shah: It should be at similar levels going forward?

Satbeer Singh: Yes.

Vaibhav Shah: Okay. Okay. Sir, lastly, in terms of , since the large part of the elections have at the state level have been done during this year will be completed. So labour, you see , it should be better compared to what it was last year?

Shobhit Uppal: Look, last 3 months have been particularly bad for labour. I think going forward, things will improve. But labour shortage is here to stay. As I mentioned earlier, these skills, there is a deficit of skills also and then the labour is only coming from a handful of states, 3 or 4 states only. And construction pipeline is increasing exponentially.

So this is a problem that we will have to grapple , continue to grapple with. But we are looking at more mechanization. We are looking at upscaling and we're looking at standardization helping more mechanization. So all the constituents of the ecosystem are coming together to see how we can combat this. But over the next 3 to 4 years, this is a problem that will be there. It's here to stay.

Vaibhav Shah: And sir, any payment challenges in particular states?

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Shobhit Uppal: At the moment, no. There were challenges in Assam over the last 4 to 5 months. The state machinery was preparing for elections . And as we've seen, generally, 3 to 4 months do or before the elections happen or are catered to happen, everything slows down, but we've seen an uptick post the election there also as far as release of our funds is concerned.

Vaibhav Shah: Okay, thank you sir. Those were my questions.

Shobhit Uppal: Thank you.

Moderator: Thank you. Our next question from the line of Mahesh Patil with ICICI Securities. Please go ahead.

Mahesh Patil: Hi. My first question is on the uncertainties that you highlighted on account of war. So is it also impacting our pipeline?

Are the new projects, new bids being given?

Shobhit Uppal: Pipeline is impacted, but we are not that affected because we are well stocked up. We have a healthy order book. So and going forward, we are sort of biding our time. We are waiting and watching and we are only picking up going forward or picking up contracts with either our existing clients or well-established clients with deep pockets. So we are not that affected. But yes, the pipeline overall, as I said, in answer to an earlier question, there is , everybody is sort of waiting and watching and trying to see which side the camel turns as far as the war is concerned.

Mahesh Patil: Okay. And sir, we have, I think , reported this time our order inflow and order book, excluding GST value , right? We have also given the past year numbers. So can we get the order inflow for this quarter if we compare , if you want to compare it with last quarter or last 3 quarters?

Satbeer Singh: These three quarters, we have not received any kind of orders during current year, you are talking about?

Mahesh Patil: Q4, I'm talking about Q4.

Satbeer Singh: That comparison we have to see here. I will get back to you.

Shobhit Uppal: So you're asking for the order inflow in Q4? Is that what you're saying?

Satbeer Singh: Quarter 4 comparison to '25. For that.

Mahesh Patil: Yes, that's correct.

Satbeer Singh: Our order flow is for Q4 FY26 was INR 4,300 crores. And regarding FY 25 quarter 4, we will get back.

Shobhit Uppal: Maybe you can reach out directly to our CFO, Mr. Satbeer Singh he will provide you that.

Mahesh Patil: Sure sir thank you.

Moderator: Thank you. Our next question is from the line of Salil Desai with Marcellus Investment Managers. Please go ahead.

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Salil Desai: Thank you. Sir, just to clarify , you said the Q4 order was INR 403 crores?

Satbeer Singh: INR4,300 crores.

Salil Desai: INR4,300 crores. Okay. All right thank you . Sir, second thing, my question was on execution in the residential real estate segment. I think you also mentioned that the new launches have been slow. And looking at the execution in a couple of projects like Signature Global and Whiteland, we haven't seen too much progress in the last 3, 4 quarters. So is there a broader issue here or these are kind of project-specific slowdown in execution?

Shobhit Uppal: No. As far as both these products, the work on the ground has picked up in real earnest.

Whiteland, they had due to frequent portal changes as some of you would know, first, there was a revised NDMA code, right, which was later discarded and the government ordered to go back to the original code. So a lot of developers went into redesign to save, to optimize costs. So that is behind us. In Whiteland, we have begun work on the foundations, concrete casting has started. Signature Global also work has started on all the towers. I think we are doing 8 towers there, a total of 5 million square feet of built-up area and work has picked up there.

Salil Desai: So broadly, you're not going to see in the sector as a whole at some sort of risk of slowing execution because.

Shobhit Uppal: As I said, the sector, definitely, the prices at which these developers were selling, they plateaued off. The war, as I said, has impacted each and every constituent of this ecosystem. It's really contractors, but also developers who are biding their time, and they are waiting and watching to see what happens going forward. So everybody is looking to conserve costs and the sentiment is also muted. So that kind of effect is there. But specifically talking about the projects that we are doing, you mentioned two. Signature Global as well as Whiteland. We see no reason to believe that the client is looking to slow down the projects that we are executing.

Salil Desai: Understood sir. Great. Thank you.

o much.

Shobhit Uppal: Thank you.

Moderator: Thank you. Our next question comes from the line of Keshav Garg with Counter Cyclical PMS. Please go ahead.

Keshav Garg: Sir, so do we enjoy any advantage in terms of the procurement side over the competition?

Shobhit Uppal: What? Keshav, what kind of advantage?

Keshav Garg: So costing, like I mean, since we have a large size versus most others, so do we have better credit terms versus our suppliers versus the competitors with our suppliers and vendors?

Shobhit Uppal: We would like to think so. But to answer your question more directly, yes, I think we feel we are handling the supply chain issues to the best of our ability. And as I mentioned earlier, if you're looking to cut down the timelines of, say, a project like Varanasi Airport, where our stipulated date of completion is June '27 but we are looking to complete it before the elections are announced that is by January '27. So in such challenging times, if we are aspiring to do that, Ahluwalia Contracts (India) Limited

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I'm sure we would be handling the supply chain constraints in a fairly decent manner. So given the challenging times, I think we're doing an okay job.

Keshav Garg: And sir, amongst all the competitors, who would you consider your top competitors, some 2 or 3 names?

Shobhit Uppal: So L&T, as I said, L&T, B&F is a competitor, Nagarjuna is a competitor, Shapoorji is a competitor, Kalpataru is a competitor, Tata Projects is also now. They've gotten back into buildings with it seems. So these are 4 or 5 people who bid on alongside us on a lot of projects.

Keshav Garg: Sir, now since most of these players have a very good overflowing order books, sir, so do you expect the bidding intensity to cool down and at least for us now that we have a very comfortable order book. So going forward, whatever bids we will put, I mean, will we be selective in those that only the high-margin orders we would bid for? Or like what's the outlook on the bidding intensity?

Shobhit Uppal: I said that, Keshav, earlier also that we are very choosy. We are also biding our time, and we're doing, not only doing a due diligence. But yes, we are looking to increase our margin profile going forward.

Keshav Garg: Now, sir, lastly, if, let's say, a customer is delaying the project on his side by not releasing the funds after every milestone is completed by us. So then what is our strategy? Do we stop the project? Or do we put our own capital and complete the project and wait for the client to release funds in future? Or like how exactly do we go about it?

Shobhit Uppal: So while there are some standard guidelines, there are SOPs on how, within the company and how we have to operate. But this starts from the time that we choose on which project to bid.

We check the customer profile. We do our due diligence. Having a certain set of factors are there, which lead our people to decide on the go, no-go.

And once we bid for a job once we are successful, then our endeavour is that we try because the costs are, our IB Cs are pretty high. Our endeavour is to work at a steady pace as per a targeted schedule. We are in constant dialogue with the client when there is a slowdown or is an expected slowdown. And, but if we feel that there is increased turmoil as far as the financial position of a client is concerned, then at time we slow down also.

Keshav Garg: So what is the maximum hit that we have taken in the past on any single project due to the customer either going bankrupt or getting into financial difficulties or due to.

Shobhit Uppal: That's a very general question. You would be to reach out to our CFO with a slightly more focused query. If I was to say the details on our write-offs are there for the past 2, 3 years on a few of our clients who have gone under, the likes of Jaypee or the likes of Assotec

h or the likes

of HDIL. If you've been a part of our con calls or investor calls over the last 3, 4 years. And if you followed this industry closely, then you would have the data.

We can provide that data to you. But all that I can say is that the way we do our due diligence, I think we've survived the slowdown much better than a lot of our peers and whenever we have Ahluwalia Contracts (India) Limited

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seen in the past that the client is facing increased turmoil, we've sort of engaged in a barter.

We've taken real estate inventory of them so that our risks are mitigated.

Keshav Garg: Understood sir, thank you very much.

Shobhit Uppal: Thank you.

Moderator: Thank you. Our next question comes from the line of Shubham Harne with Purnartha Investment Advisors. Please go ahead.

Shubham Harne: Thanks for the opportunity sir. I just wanted to know gross margin during the quarter was relatively low. How much this is due to inflationary pressure?

Shobhit Uppal: So again, a number of factors, for the gross margin being low. This was, we built up because of the order book, enhanced order book, we've built up our costs, be it on account of increased staff primarily on increased on account of increased staff as well as the salary enhancements, the increments. So that, but there was a slowdown.

As I said, the war started in February and then elections were also there in April. So the impact started in February for that also. Then in January this year or the last quarter, Q4 January was also impacted on account of NGT. All that led to, our top line would have been much higher if these impacts would not have been there.

So our IBC led to a decreased margin. And then, yes, inflation also played a part, but not so much as I said, a lot of it was, is covered by the escalation clauses in most of our contracts.

Shubham Harne: Okay. So what is the time lag for recovering that higher inflationary cost which you built in the escalation clause?

Shobhit Uppal: Generally, it lags by a quarter. The WPI is, so there are 2 kinds of clauses which are there. On the government sector side, it's the WPI, which once the index is published, quarter-to-quarter, the billing which is there is sort of, the enhancement has worked out. And on the private sector side, it is the volatile materials like cement, steel, grit, sand, it is more or less immediately month-on-month.

Shubham Harne: Got it. And as earlier con calls, you mentioned that we take the employee cost and our increase in the month of Jan or Q4. Does it take this year too?

Shobhit Uppal: Yes, we did, actually.

Shubham Harne: Okay. Got it. And last one is that the CSMT total order value has been decreased. What's the reason for that?

Satbeer Singh: That's sir, the GST has been factored in that. That's because of earlier, the total amount was 2,450, but excluding GST, it's 2,076.

Shobhit Uppal: All the figures that we've given with these results are without GST.

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Shubham Harne: Got it. Thank you sir and all the best.

Shobhit Uppal: Thank you.

Moderator: Thank you. Our next question is from the line of Madhur Rath with Counter Cyclical Investments. Please go ahead.

Madhur Rath: Sir, thank you for the opportunity. I just wanted to understand what kind of IRR or payback do we expect with these mechanization projects? Because on one side, you mentioned that meaningful benefits to our margin will be 3 to 4 years down the line. So whatever capex that we have done in the past 2, 3 years and the INR 300 crores that will be going this year, how should we look at it from a payback or IRR perspective?

Shobhit Uppal: Look, the IRR should go up. It will be very difficult to give you an absolute number. But the enhancement should be between 7% to 10% because our hiring costs will go

down.

Management: Payback will be about 4 to 5 years compared to...

Shobhit Uppal: Generally, the life of an equipment is taken to be about 4 years. And so the payback would be in about 4 to 5 years.

Satbeer Singh: But you can say, we are taking the life cycle is around 4 to 5 years. But for the other assets, we are taking a cycle around 7 to 8 years also, depending upon the life of the assets.

Madhur Rath: Sir, so when we say IRR enhancement, is it that also for our current projects, if we get a 20% IRR, whatever mechanization projects that we're doing that should increase by additional incremental delta of 7% to 10% or so how should I look at it? I'm not very clear on the enhancement part of IRR?

Shobhit Uppal: I don't understand your question. So what I am saying is that to increase the capex that I'm doing, the rate of return on account of that capex will go up by about 7% to 10% savings.

Satbeer Singh: Basically, we work on the EBITDA and other kind of factors. So you can speak about the EBITDA also, please?

Madhur Rath: Just how much EBITDA -- so 3% to 4% EBITDA margin improvement can we expect over a 3-year period...

Shobhit Uppal: No, not at all. Yes. So frankly speaking, I'm a little confused about this question. I don't know if you could articulate it in a slightly better form, maybe I'll be able to shed more light on it.

Madhur Rath: Yes. Sir, so we've done close to -- I think in the past 3, 4 years, we've been close to INR400 crores, INR500 crores or more than INR500 crores capex and we will be doing additional INR300 crores this year. So -- but there has been no meaningful improvement in our EBITDA margin or employee expenses. So, how should this -- whatever investment, how should these flow to our revenue? And actually how should we flow to our margin? I'm trying to understand on that?

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Shobhit Uppal: So look, I did mention earlier, right, that the industry is at an inflection point due to a huge shortage of labour and due to the complexity of the building, getting increased exponentially, we are -- the industry as such is going towards more and more mechanization. 10 years ago, you would only see a handful of crane or not every project had a crane. Now every project has 4 or 5 cranes. If you see the Aerocity, the projects that we are doing, we have 15 tower cranes there, right?

The downtown project that we're doing for DLF, we are having cranes there. So what I'm trying to say is the nature of the building. If every building in NCR or in Gurgaon, is 40, 50, 60 story. It can -- earlier on, the building used to be 4 stories, 6 stories, 8 stories, 10 stories. So they could be done without tower cranes.

Now not only tower cranes, you have passenger hoists, you have state-of-the-art passenger hoists, which take up not only building materials, but also people each passenger hoist cost about INR50 Lakh, INR60 Lakh, INR70 lakhs, depending on whether it's twin cage or single cage.

So it's very difficult to say if you're putting a tower crane, are mechanizing and putting passenger hoist that there will be a corresponding increase of projected increase in EBITDA by a percentage point or 0.5 percentage point. All this, the industry is changing very rapidly, plus we are forced to change on account of labour shortage.

So it will take the true benefit of these things will take time to accrue. Maybe 4, 5 years, the industry will mature up, right? There will be greater standardization. We would use more industrialized techniques. We would do more work offsite and get these in a knockdown condition to site, use machinery to erect it like we do in a LEGO set.

So I don't think there is any metric which we can use or a yardstick, which we can use to say, okay, we've invested INR20 crores in tower cranes and batching plants and concrete pumps and this will

straightaway improve our EBITDA by 1 percentage point.

Madhur Rath: Got it. Sir, sir, to sum it up, from what I understood was because of the capex intensity for these projects increasing over a medium term, there should be industry consolidation and some amount of margin improvement from that. Is that a fair understanding?

Shobhit Uppal: Over the long term, we are any step that we take, say, tomorrow for instance, everybody is talking about the AI. If I start using AI to start analysing my output, be it of machinery or labour.

I can't say I'm doing it and the impact will be visible in my EBITDA immediately. All these steps that I'm taking, be it for mechanization, be it for digital transformation or any other company, which takes these steps, they are with the long-term goal of increasing efficiency, right?

Madhur Rath: Sir, just a final suggestion as a shareholder, please consider a share buyback. Thank you so much and all the best.

Moderator: Thank you. Our next question comes from the line of Lakshminarayanan K G with Tunga Investments.

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Lakshminarayanan K G: See, we are in a very good advantageous position in terms of our order book. We're almost 2x from where we actually started and the visibility has actually meaningfully increased. Now how this is changing our bidding filters? So specifically, are we actively walking away from lower-margin contracts?

And what specific margin threshold you are actually applying when you actually walk into a new order? And also, how are you sensitizing the -- your entire sales machinery, which has

actually done fantastically last 2 years. How are you asking them to kind of pick and choose and not just push for bidding or even bringing the proposals to the management. I mean how are you using this advantageous position to your advantage that incrementally, the ratios and the margins only would get better?

Shobhit Uppal: That's a very good question, set of questions Mr. Lakshminarayanan. So as I mentioned earlier, we have a series of metrics which are regional tendering departments and tendering department in the central head office. There is a common set of metrics, which our potential clients when they call us to bid, we put them through those metrics.

And then a decision to go or no go first is taken by a regional head. Recommendation is given by them. And then they are passed on to the top management, namely Mr. Vikas Ahluwalia or myself. And then we decide to whether to go ahead or not. So as far as margins are concerned, we are actually walking away from a lot of projects, even with existing clients. Where we've told clients that we don't want to overexpose ourselves if we feel that they are impacted or potentially going to be impacted by the slowdown.

As far as the margins are concerned, we've actively -- as I answered earlier, we are bidding when we are bidding -- most of the items are standard, right? When we're bidding now, we have increased our costing profile, be it for labour or be it on account of staffing or other IDC costs. So we are factoring in the enhanced cost that we are facing on a day-to-day basis. And that -- and also our profit margins by a couple of percentage points, if not more, depending on the project profile and the competition intensity that we foresee.

Lakshminarayanan K G: Got it. And a couple of years back, you are smaller than what in terms of complexity as well as revenues and order book, right? Now in the last couple of years, the complexity has increased with multiple type of projects, large projects, and you admitted that the projects are even more complex.

And so the way in which you are providing guidance also has to take into account all these complexities. And for the last 2 years, there are a lot of things which are outside your control, which actually resulted in the deviation between the -- what you -- or the guidance you gave and

actually the numbers reported, of course, they're all external to you.

Now in this context, right, how are you tempering the expectations and how are you improving your guidance sharpness so that there is less amount of perceived difference between what you say and what you deliver, therefore, how the market and investors should react?

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Shobhit Uppal: Again, a good question, but I'd like to sort of start by giving my own opinion on what you've said. By and large, we've always been very conservative in guidance, and we sort of tried to -- we've more or less been able to achieve what we've guided in spite of headwinds.

Secondly, if you were to do, you already must have done a peer comparison be it our results of the last financial year or before that, we've constantly outperformed a lot of our peers. Having said that, to answer your question in a more direct manner, as far as a lot of factors other than the impact of war, while some impact is already factored in, in the guidance that I've given.

But most of the other factors that have impacted our performance or the headwinds that we faced in the last couple of years, we seem to -- they seem to have been covered. A lot of headwinds were created by elections and different government being there in the states that we are working in and the one at the center. That seems to have been taken care of now.

Secondly, our order profile or order mixture is more equitable now. Thirdly, we have a lot of fast-moving projects in our order book now, Central Vista being one. Fourthly, our slow-moving projects are either over or they started moving, CSMT being a case in point. So all this has led to the guidance that we have given during the course of this call.

Lakshminarayanan K G: Yes. I mean I'm just wondering whether providing guidance itself is a good thing because of the sheer complexity and a lot of things have moved away from your control, right? So given that, is it even -- you rethink giving guidance itself is like...

Shobhit Uppal: Excellent observation. I wish more of your brethren thought like you. And I've always sort of struggled to people put words in our mouth and say, why are you being conservative? I think the nature of our industry is such that we are always at the forefront of a cycle.

As I mentioned earlier, 3 months ago, we were extremely glowing, and we would have -- if we would have gone back in time and this call was held 3 months ago, I would have -- without batting an eyelid, I would have given a 20% growth guidance. But all of a sudden, the scenario has changed. And what people don't factor in our buildings are -- or even B&F has become very complex.

A lot of our projects are EPC projects, supply chain is badly, badly disrupted. It's not only about getting concrete or cement or steel, it's about panels, it's about other MEP products, chillers, transformers so on and so forth. And a lot of components of these finished goods coming from overseas. So yes, you are very right that we are more prone to disruptions or headwinds now.

Lakshminarayanan K G: Got it. Thanks for detailed explanation. Thank you.

Moderator: Thank you. The next question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, these two L1 projects, if you can specify, which are these two projects and when the LOA is likely?

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Shobhit Uppal: So Shravan one is RML Hospital in Delhi and one is a university project of Odisha Government in Bhubaneswar. So it is not possible to give a date for this because these are old tender orders.

And so it will not be possible for me to comment on when that be likely awarded -- likely to be awarded.

Shravan Shah: But is there also a p

ossibility that it can be rebid or cancelled?

Shobhit Uppal: so that possibility is always there because it totally depends on the market conditions being what they are, escalation being what it is, though there are escalation clauses inbuilt, but once they reach an award stage, if they reach an award stage, we would also like to have a say, on whether we would accept these orders or not depending on how escalation has worked out. So yes, that possibility is there from both sides.

Shravan Shah: Okay. And broadly right now in terms of -- for us, the big pipeline would be cross INR7,000 crores, INR8,000 crores or even much higher?

Shobhit Uppal: It's about INR8,000 crores.

Shravan Shah: Sorry, INR8,000 crores, you say.

Shobhit Uppal: Yes.

Shravan Shah: Okay, okay. And just -- so I was trying to understand why so much questions on the margin. So just to give you one more perspective that because ultimately, all the investors, whatever their expectation, they want to build in whatever the numbers, the volatility or the sensitivity is decently high for us in terms of the margin.

So, let's say, the 1% margin, if it is higher or lower, 12% to 18% kind of variation is there at the PAT level, and that's why the more questions. So, everybody is trying to understand whether this 10% EBITDA margin that we are looking at, whether it can go to 11%, 10.5% or on the lower side, can it be 9%. So that's the main thing.

So, in that sense, everybody is just trying to understand. So -- and whatever you have explained given the -- we are much better comfortable in terms of order book, a couple of projects are now fast moving. Broadly, let's say, even FY28 also, we would definitely would be doing kind of a 15%, 20% kind of our revenue growth. So, in that sense, the possibility of 50 bps kind of an improvement would be higher versus going lower? That's the way one can look at?

Shobhit Uppal: I think you've articulated it very well. So, I don't want to say 18%, 15% or 14% about any other company. But you know, we've seen, I know about my own company. I can tell you that all the risks or headwinds that we have faced in the past two years, if you put war aside, it is not in anyone's control. A lot of those headwinds seem to be a thing of the past.

And I'm quite confident that we will achieve our projections. And that stems from the fact that our order book is strong. Our clients' profiles are good. And a lot of these orders are fast moving orders. And secondly, where we are geographically present, there is stability of the government or the governments.

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Shravan Shah: Okay. Got it, sir. Thank you and all the best.

Shobhit Uppal: Thank you Shravan.

Moderator: Our next question comes from the line of Ankit Jambusaria who is an Individual Investor. Please go ahead.

Ankit Jambusaria: So, thanks for this opportunity. I want to ask a couple of questions. The first question is that there has been news in regarding to the poor monsoon this year. Will that impact our business in any way?

Shobhit Uppal: Well, I don't think so, unless and until it has -- look, people -- the reports are that, it will be a poor monsoon, and it may lead to an impact on the economy per se. So, by the time that it trickles down to the projects that we have on hand, and I don't think there will be much of an impact.

Ankit Jambusaria: Sir, second question is regarding Central Vista project. So is there anything in terms of -- you have already discussed that, I think the first level of execution has started. Is this comparatively, I mean the scale would be much higher, but is that comparatively a smoother project from an execution standpoint, looking at once we have sort of started to work on it, because we have projected a higher number for the entire year, and it has that NGT clearance also. Do you see any u

nexpected sort of variables coming into this project execution we had of the past projects that were of a different nature, and this is of a different nature?

Shobhit Uppal: No. I think this project, as you yourself said, that, A, it was not impacted by NGT. B, Central Vista all projects, the government is extremely aggressive on the time line because they need these buildings. This particular building that we are doing or two buildings that we are doing -- this will House the Ministry of Finance as well as the Ministry of Defense. So, the government wants these buildings as of yesterday. Money, obviously, is not a problem for the Central Vista project.

So, I don't see any challenges other than the fact that, yes, these are extremely complex buildings. But the advantage that we have is that end-to-end, it's an EPC contract and a lot of activities on most of the items that go into executing this are going to be done by our in-house other than highly specialized items. So, we have greater control on the output on a month-to-month basis.

Ankit Jambusaria: Right. Thanks. Sir, last one question I have. In the last con call when we were discussing about the residential projects, you discussed about capex, which we are doing, especially for purpose of the long and in the tall buildings. So now you just mentioned that outside NCR, we are still open to have the residential buildings.

And in the context of the margin and the other discussions which we had in the call till now, I just wanted to check if we have that capex or those machineries with us, and with the capabilities which we already have. Does that give us the advantage in terms of the competitive advantage, either at the margin level or at the clients preferring us while they are -- they want to execute these tall residential premium buildings?

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Shobhit Uppal: It definitely does because as it is the entry threshold of barriers, the bar has been raised as far as building construction goes. The very fact that it requires heavy mechanization for which capex is required, we require a stronger balance sheet, one. Secondly, the pedigree in terms of the past -- the criteria -- meeting the criteria for qualification is also high. Not everybody has the criteria or everybody meets the criteria. So yes, that definitely gives us some advantage.

Private sector, there are only 4 or 5 companies who sort of -- because the private sector large developers, they have their own criteria. Government has a set of defined criteria. But in the private sector, it's more to do with the personal wins and fancies. I won't say wins and fancies, but is a choice of the developer or the top management. And the purely go by the delivery of the potential bidders. Successful delivery. Let me put it that way.

Ankit Jambusaria: Yes, sure. Thank you. those were my questions. Thanks a lot.

Moderator: Next question is from the line of Vaibhav Shah with JM Financial. Please go ahead.

Vaibhav Shah: A couple of data points. You mentioned that mobilization advance was around INR802 crores.

So, what will be the interest-bearing position of that?

Satbeer Singh: Let's say, 37%.

Vaibhav Shah: And you see this number remaining constant or it can increase further in the next couple of years?

Satbeer Singh: I think so that the government project, that is interest-bearing. And more or less, because of 38% is the government order book versus similar line mobilization advance is also there. So, we think...

Shobhit Uppal: It will not go up, it will stay at the same level.

Vaibhav Shah: Okay. Sir, lastly, what will be the margin money as of March '26?

Satbeer Singh: Margin money you are talking about.

Vaibhav Shah: Yes.

Satbeer Singh: This would be around -- it's around INR200 crores.

Moderator: Our next question comes from the line of Ankit Jambusaria

an Individual Investor. Please go ahead.

Ankit Jambusaria: Yes. I just wanted to ask one question on the -- in the relation to India Jewellery Park. Sir, what I've realized over the last one year with various observations. This project has been going in terms of the time line due to various reasons. And I just wanted to know, is it related to a design of the project? Or is it related to the decision-making part of the client? Because there was India, US trade deal challenges, where gems and jewellery is one of definitely a sector which got impacted.

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I mean last con call also, we discussed that maybe by April will start with execution and what I have understood or what I've heard in the call, correct me if I'm wrong, is that we will be able to do that, we'll be able to start this by this quarter -- last month of the quarter? So, do you see any other uncertainty at the client side? Or is it more related to just a matter of time in execution of

this project?

Vikas Ahluwalia : So, this is Vikas here. The project has been delayed for some administrative reasons, no other reason. Actually, there was a bit of a change in the SIR and all that for the agency, which now has been built in properly. The excavation work has started at site. We have already applied all the licenses and all. We are expecting to start work very soon after the Mumbai monsoon. We are gearing up now.

And we are still awaiting a formal go-ahead from the client. But verbally the client has said that things are in place. They have their own process because it's a quota government agency under the Ministry of Commerce. So whatever permissions they are awaiting, because the land is allotted by the government of Maharashtra. So, some administrative aligning is happening, which is going to happen.

Ankit Jambusaria: Sure, sure. And just one point, we have guided for 15%, 20% revenue growth this year. So last year, after quarter 2, where we had definitely much stronger view and then maybe because of NGT and then other disruptions which we have faced in the last 3 months.

So, this 15%, 20% is what we are seeing for the coming year and the quarter-on-quarter also, do we see this level of growth over the last year? Or we see the H2 will be much higher in FY27 looking at the disruptions which we had in H2 in FY26 or do we see this more uniformly across quarters barring a little here and their margins?

Shobhit Uppal: You're right. H2 is always substantially higher than H1, and more so in the case of H1, as it is Q1 is always slow moving. But this time, it will be exceptionally slow moving because we had due to a confluence of various factors. A, I talked about elections, labor went away. And then there was -- there is a festival of Eid, nearly 70% of our skilled workforce is Muslim, especially carpenters and bar benders.

So, they went away. And once they went away for elections, they didn't come back over -- for a prolonged period, they were at home. So Q1 is also impacted. But starting Q2, the numbers will ramp up significantly and H2 will be significantly higher than H1.

Ankit Jambusaria: Thanks a lot.

Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Shobhit Uppal: Thank you, everybody, for joining in and look forward to seeing you on the next Investor call. Thank you once again.

Moderator: Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.